Isle of Man
COUNTERING FINANCIAL CRIME
An all-Island approach

Isle of Man National Risk Assessment

Terrorist Financing

JULY 2025

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In this assessment...

This is the first standalone Terrorist Financing (TF) National Risk Assessment (NRA) and builds on the 2020 Money Laundering (ML)/TF NRA. The Isle of Man (IOM) carries several TF risks, taking into account its overall jurisdictional profile as an International Financial Centre (IFC), its geographic position and various materiality factors within its reporting sectors. As an IFC, the IOM is susceptible to a certain extent to the transit risk of TF, whereby funds may be channelled through the IOM financial system using the Banking sector and Trust and Corporate Service Provider (TCSP) sector by sophisticated actors servicing well-established terrorist organisations, including with state links.

There have been no terrorism prosecutions or convictions:

The IOM has never experienced a domestic terrorist attack.
Isle of Man Constabulary (IOMC) has a relevant intelligence gathering strategy.
No terror groups or cells are believed to be active or present on the Island.

Additional TF capacity building:

There is a requirement for additional TF capacity building via training and awareness.

Adequate controls, though some areas of additional focus:

The assessment confirmed that there are areas where the IOM has adequate systems and controls in place to mitigate the risks of being used as a conduit for TF, as well as areas where additional focus and action is required to both test and strengthen existing controls and further develop understanding.

The overall assessment score in 2025 of Medium Low:

This aligns with previous TF assessments in NRAs. This risk assessment indicates that the risk of internal terrorist fund raising scores the lowest of the 4 categories and an overall medium risk of the IOM being used as a conduit (transit risk) for TF.

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CHAPTER 1

Ministerial Introduction



Minister for Justice and Home Affairs
Hon Jane Poole-Wilson MHK

Within our Island Plan[1], we lay the foundations to make the Isle of Man[2] a more attractive and prosperous place to live and work, which in turn will sustain and grow productive businesses and services.

In support of our strategy, we prioritise a strong and diverse economy, of which a key pillar is our Isle of Man Financial Crime Strategy 2024–2026[3].

We are committed to combatting all financial crime and upholding international standards. The Financial Action Task Force calls on jurisdictions to identify, assess and understand Terrorist Financing risks they face and to act to mitigate those risks effectively.

Whilst our Island is a comparatively safe place, we will make every effort to ensure terrorists cannot use our status as an International Finance Centre to finance their criminal activities. As an IFC, it is possible that we have some exposure to Terrorist Financing risk. This risk is constantly evolving, as criminal actors never stand still and, therefore, we constantly face new challenges. This report identifies areas where additional focus and action is required to further strengthen our controls.

This is our first standalone Terrorist Financing National Risk Assessment and is just one of the NRAs that the Island is currently undertaking. This extensive document will assist those in industry and the competent authorities and help demonstrate our ongoing compliance with international regulations. There will be outreach to industry in support of the publication of this document to help you understand and apply the key learnings.

The data available to support this NRA has improved considerably since the publication of our last Money Laundering and Terrorist Financing NRA in 2020. Thank you to everyone involved in collating, submitting, receiving and analysing the data. It helps to make our analysis more data-driven, in line with our strategy of ensuring that everyone works together and we have data to help evidence our effectiveness in our fight against Terrorist Financing.

As a responsible jurisdiction, our message is clear: we will not tolerate those who seek to commit crime either on or through our Island.

As we take an all-Island approach to tacking all types of financial crime, I wish to express my gratitude to everyone who has supported in the exercise to develop our first standalone Terrorist Financing NRA. ■

> We are committed to combatting all financial crime and upholding international standards."

1 https://islandplan.im
2 https://counteringfinancialcrime.im
3 https://www.gov.im/media/1383501/financial-crime-strategy-2024-2026-uploaded-230424_compressed.pdf

CHAPTER 2

Executive Summary

Why Write a Terrorist-Financing Specific NRA?

Undertaking an NRA is a core requirement of the FATF, the international body responsible for setting and reviewing global standards for anti-money laundering and countering the financing of terrorism and the proliferation of weapons of mass destruction (AML/CFT/CPF). The FATF 40 Recommendations provide the international standards which all countries are expected to meet; it is IOM Government policy to adhere closely to these recommendations.

A country's understanding of risk is an essential foundation of its national AML/CFT/CPF regime and should be used to allocate resources efficiently across law enforcement, agencies and regulators, as well as by industry. Therefore, the IOM has produced this standalone TF NRA, to further enhance its understanding of the TF risks to which the jurisdiction may be exposed to as an IFC.

The overall objectives of this TF NRA are to:

- Build upon and enhance the understanding of the TF risks from the 2015 and 2020 Money Laundering and Terrorist Financing (ML/TF) NRAs
- Update on the TF actions recommended in the 2020 ML/TF NRA
- Provide the agencies, regulators and industry with a specific TF-focussed NRA.

The IOM carries several TF risks, taking into account its overall jurisdictional profile as an IFC, its geographic position and various materiality factors within its reporting sectors. As an IFC, the IOM is susceptible to a certain extent to the transit risk of TF, whereby funds may be channeled through the IOM financial system using the Banking sector and TCSPs sector by sophisticated actors servicing well-established terrorist organisations, including with state links. Temporary parking of such funds in investments products, including life insurance, may be a possible risk scenario, albeit with lower probability. In addition, TF may arise as a secondary activity to ML, where the proceeds of overseas criminality are laundered in the IOM and then sent cross-border to fund terrorism.

The IOM has considered the TF risks highlighted in the NRAs from both Jersey and Guernsey. Both jurisdictions are Crown Dependencies (CD) and also IFCs. Both Jersey and Guernsey highlighted the risk that exists of being used as a transit jurisdiction for the movement of funds linked to terrorist activity in another jurisdiction.

The scarcity of TF or terrorism information or the lack of criminal/intelligence cases, could potentially limit the identification and analysis of TF threats and vulnerabilities. A number of actions are recommended to mitigate this risk.

If the Island's controls against TF are not continually reviewed and improved, then there is a potential risk that the Island will be used by terrorist financiers.

This is the first standalone TF NRA and builds on the 2020 ML/TF NRA[4]. It does not seek to unnecessarily duplicate the comprehensive work which supports the 2020 NRA and the recently published IOM Profile document[5], entitled "A Profile of the Isle of Man" and the reader is asked to refer to these documents.

The IOM Financial Crime Strategy 2024–2026 (National Financial Crime Strategy) clearly demonstrates publicly the very strong goal of tackling all forms of financial crime, including terrorist financing. ›

4 www.gov.im/media/1367979/isle-of-man-national-risk-assessment-2020-updated-140120.pdf
5 counteringfinancialcrime.im

METHODOLOGY FOR THIS NRA

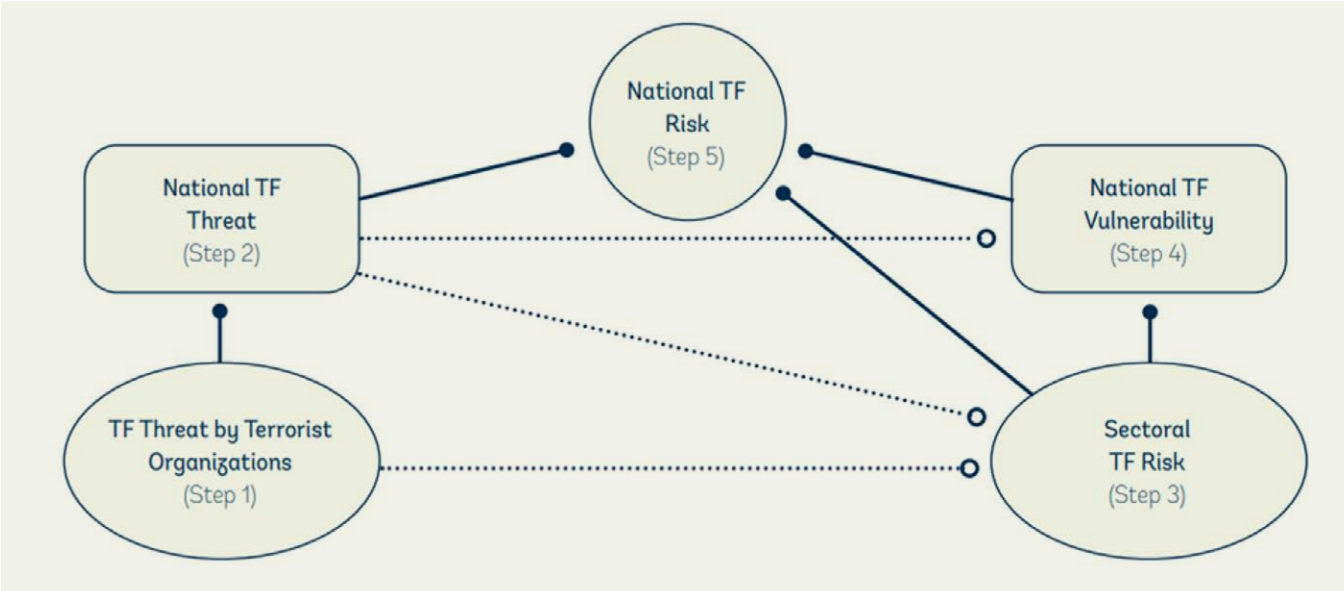
The Island will continue to use World Bank (WB) methodology where available for its risk assessment work. WB methodology was used for the 2015 and 2020 ML/TF NRAs and has been used by many countries worldwide, including several other IFCs. In the WB methodology, the TF risk assessment tool treats TF risk as a product of two main components: threat and vulnerability[6]. **Figure 2-1** depicts the overall structure of the WB risk assessment tool[7]. There are five steps, which this document follows in **Chapters 6, 7** and **8:**

- **Step 1**: TF Threat by Terrorist Organisations (results feed into Steps 2 and 3)
- **Step 2:** National TF Threat (results feed into Steps 3, 4 and 5)
- **Step 3:** Sectoral TF Risk (results feed into Steps 4 and 5)
- **Step 4**: National TF Vulnerability (results feed into Step 5)
- **Step 5:** National TF Risk (combination of all results).

The risk assessment tool uses a logical model that relies on both qualitative and quantitative information. The scarcity of data on terrorism and TF within the IOM and globally is still a key impediment for the development of fully quantitative and data-based models. The WB tool adopts an approach that aims to make use of the best available qualitative and quantitative information to reach informed and reliable expert judgments on a series of factors that affect TF risks in the Island.

This assessment document updates the CFT actions proposed in the 2020 NRA. This includes substantive improvements in the data that is supplied to the regulators from industry, as well as the creation of the IOM's Public Private Partnership. As a result of previous ML/TF NRAs, as a key resource allocation measure, the IOM Government allocated additional funding for resources to a number of agencies, which are covered in **Chapter 4.2.2.** ›

Figure 2-1: Overall Structure of the World Bank Terrorist Financing Risk Assessment Tool



Source: World Bank Group

6 The consequences are integrated into those two components through weights, preconditions and network structure and are not assessed separately. This approach is adopted at both national and sectoral levels.

7 The TF Risk Assessment Tool consists of five Excel templates (which are called steps). Step 2: "National TF Threat" and Step 4: "National TF Vulnerability" are the core templates. The order of the steps is determined by the reliance of each step on the outputs from the foregoing step. Each subsequent step relies on the previous one. Step 5 combines all the results in two risk maps. The overall results are produced after all parts of the assessment have been completed and the results have been transferred to the interlinked modules, particularly to Step 5. The bold lines represent direct inputs into a subsequent step and dotted lines represent indirect inputs.

FURTHER TF-RELATED NRAS

Three NRAs that are planned for later this year will also cover TF risk. Where appropriate, they will use specific WB methodology designed for the sector/product. The publication of these NRAs may necessitate an overlay on this TF NRA, with necessary adjustments if required. It is recommended that to demonstrate how these have been considered in concert, a horizontal Executive Summary is produced once all the NRAs have been published.

Sector/Product	NRA
Non-Profit Organisations (NPO)	NPO TF NRA
Virtual Assets (VA)	VA NRA
Legal Persons and Arrangements (LPAs)	LPA NRA. This will primarily consider the ML risks, but will also look at TF risks for LPAs

RISK ASSESSMENT STEPS

Step 1: TF Threat by Terrorist Organisations

The Island is geographically situated between the United Kingdom (UK) and the Republic of Ireland and is away from globally recognised conflict zones and higher-risk jurisdictions. It is within the Common Travel Area (CTA) which protects free movement of people between the UK, the Republic of Ireland and the CDs[8].

The IOM has never experienced a domestic terrorist attack. The IOMC has a relevant intelligence gathering strategy. No terror groups or cells are believed to be active or present on the Island. There have been 4 offences between 2020/23, initially recorded when reported as terrorism offences, which were hoax calls to institutions such as schools. These were later assessed to be misuse of telecommunications rather than terrorism offences. There have been no terrorism offences and no terrorism financing offences within the scope of the time period of this NRA.

The IOM population profile is low risk for terrorism. Although there are significant numbers of people resident who were not born on the Island, very few originate from regions/countries with an elevated risk profile for terrorism. There have been no terrorism prosecutions or convictions.

Step 2: National TF Threat

Whilst there is a low threat from terrorism within the Island, there is an understanding that the Island may not be immune from the challenges faced in other countries and therefore consideration is given to the threats faced by our near neighbours, the UK and Republic of Ireland.

The UK's terror threat level is currently 'substantial'. In a recent speech[9] the Director General of the UK Security Service stated, "The threat from terrorism, alongside ongoing efforts by autocratic states to harm the UK's security, presented the most complex threat environment we have ever seen".

Using WB methodology and with expert input from the Island's key agencies, Government and regulators, the national threat was assessed and categorised under four TF threat categories, see **Figure 2-2**. As would be anticipated for an IFC, the outgoing and transit TF threat came out highest. ›

> Whilst there is a low threat from terrorism within the Island, there is an understanding that the Island may not be immune from the challenges faced in other countries."

8 Isle of Man, Guernsey and Jersey
9 https://www.mi5.gov.uk/director-general-ken-mccallum-gives-latest-threat-update

Figure 2-2: Terrorist Financing Threat Assessment Scores

Terrorist Financing Threat Category	Summary of Threat	Assessment Result
Internal TF Threat	The domestic threat to the IOM from activity within the IOM	0.10
Outgoing TF Threat	The outbound threat to other jurisdictions from activity in the IOM	0.30
Incoming TF Threat	The inbound threat to the IOM from activity from neighbouring countries	0.13
Transit TF Threat	The flow-through threat of the IOM being used for TF	0.50

Score from 0.0 (low) to 1.0 (high)

STEP 3: SECTORAL TF THREAT

In addition to the national threat and national vulnerability, the threat and vulnerability were also considered in detail for 4 materially significant sectors[10] to the Island. To support the analysis, industry bodies put forward representatives who assisted by attending workshops and providing their views and expert opinions.

A high-level assessment was undertaken for all the other sectors, apart from those where sectoral TF-related NRAs are planned.

Figure 2-3 presents the residual TF risk score to which each sector is exposed to, which derives from the TF threat to each sector and the residual vulnerability of the sector to TF. The 2020 ratings are taken from the 2020 ML/TF NRA and are the TF Risk ratings as presented in the NRA.

The methodology used to assess the TF risk scores for each sector in the 2020 ML/TF NRA differs from the TF-specific methodology used in this 2025 NRA. Any changes in the scoring may be attributed to several factors:

- A more in-depth analysis in 2025 has provided an enhanced understanding of a sector
- There has been substantive work across the sectors by the competent authorities and industry since 2020 to better understand TF threats and implement improved controls
- The reviews in 2020 and 2025 did not look at identical variables. In this 2025 NRA the following variables were considered (in depth for 4 sectors and at a high level for the remaining sectors) and the focus was specifically on TF, not on ML, for this TF NRA :
  - Threat factors – 6 variables assessed
  - Inherent Vulnerability factors – 10 variables assessed
  - CFT controls – 13 variables assessed.

For each sector, the customer threat is analysed using the 2023 data from the annual AML/CFT returns, which looks at the customer profile and associated country. The tables display:

- Foreign Politically Exposed Persons (PEPs), the highest risk customers, by country of nationality and residency
- Natural persons, non-natural persons, new customers and Ultimate Beneficial Owners (UBOs) by residency
- The percentage for each of these 6 customer categories for higher-risk countries.

Of the 4 sectors reviewed using the full WB sectoral methodology, Banking, TCSP and Online Gambling sectors were all determined to pose a medium risk for TF. ›



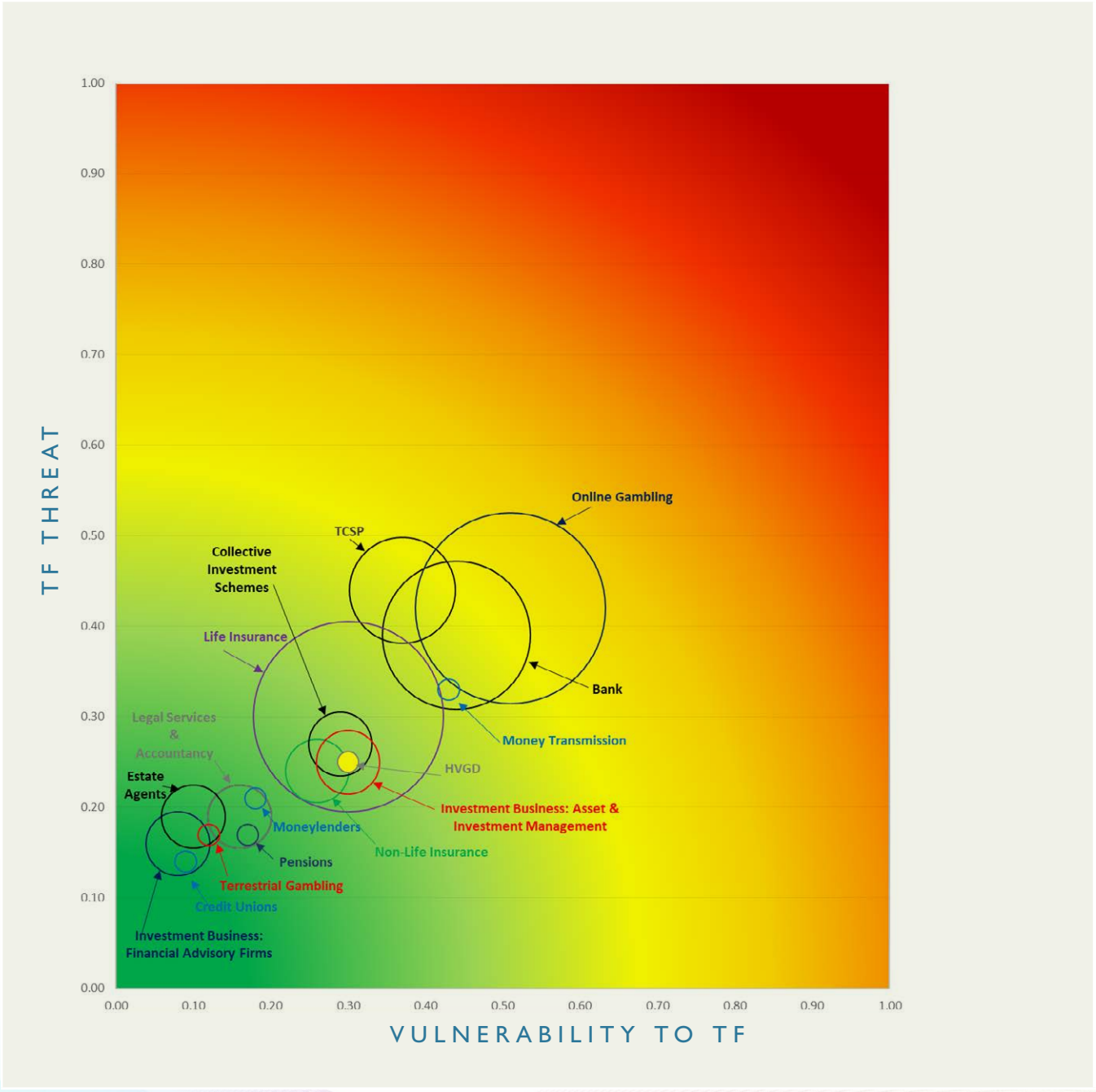
10 These sectors were chosen as they were recommended for inclusion by WB methodology (Banks and NPOs), material size to the Island (Life Insurance and Online Gambling) or recommended for inclusion (TCSP) by the governance committee deciding on which sectors to review. NPOs will be subject to a separate NPO TF NRA.

Figure 2-3: Residual Terrorist Financing Risk Score To Which Each Sector is Exposed

Sector	2020	2025
Materially Significant Sectors - Assessed Using World Bank Methodology		
Banking	Medium	Medium
TCSPs	Medium	Medium
Life Insurance	Medium	Medium Low
Online Gambling	Low	Medium
Other Sectors - Scored With The Expert Judgement Of The Relevant Regulators		
Non-Life Insurance	Medium Low	Medium Low
VA	Medium	Assessed Separately
Credit Unions	Medium Low	Low
Collective Investment Schemes (Funds), Fund Managers and Administrators	Medium	Medium Low
Investment Business: Asset and Investment Management	Medium	Medium Low
Investment Business: Financial Advisory Firms	Low	Low
Money Transmission	Medium Low	Medium Low
Pensions	Medium Low	Low
External Accountants, Tax Advisers & Payroll Agents	Medium Low	Low
Legal Services	Low	Low
Estate Agents	Low	Low
Non-Profit Organisations	Low	Assessed Separately
Moneylenders, Financial Leasing & Financial Guarantees	Low	Low
High-Value Goods Dealers	Low	Medium Low
Terrestrial Gambling	Low	Low

Using the WB tool, these TF risk scores for each sector are shown graphically in **Figure 2-4,** which plots vulnerability to TF against TF threat on the two axes of the graph. The size of the circle represents the size of the sector to the Island. The 4 sectors that received a more in-depth review (Banking – **Chapter 6.3.2**, TCSP – **Chapter 6.3.3**, Life Insurance – **Chapter 6.3.4** and Online Gambling – **Chapter 6.3.5**) are more exposed to TF risk than some of the sectors towards the bottom left of **Figure 2-4**. **Figure 2-5** shows the scores in tabular format. ›

Figure 2-4: Sectoral Terrorist Financing Risk Scores Graphically Presented



Source: World Bank Group

Figure 2-5: Sectoral Terrorist Financing Risk Scores in Table Format

Sector Name	Threat	Vulnerability
Banking	0.39	0.44
TCSPs	0.44	0.37
Life Insurance	0.30	0.30
Online Gambling	0.42	0.51
Non-Life Insurance	0.24	0.26
Credit Unions	0.14	0.09
Collective Investment Schemes (Funds), Fund Managers and Administrators	0.27	0.29
Investment Business: Asset and Investment Management	0.25	0.30
Investment Business: Financial Advisory Firms	0.16	0.08
Money Transmission	0.33	0.43
Pensions	0.17	0.17
External Accountants, Tax Advisers & Payroll Agents	0.19	0.16
Legal Services	0.19	0.16
Estate Agents	0.19	0.10
Moneylenders, Financial Leasing & Financial Guarantees	0.21	0.18
High-Value Goods Dealers	0.25	0.30
Terrestrial Gambling	0.17	0.12

Key for Threat and Vulnerability

	Rating
Low	≤0.2
Medium Low	≤0.4
Medium	≤0.6
Medium High	≤0.8
High	>0.8

STEP 4: NATIONAL TF VULNERABILITY

The national TF vulnerabilities were also considered, with many of the controls for TF being the same or similar to those for Proliferation Financing (PF) and ML. Once again, the analysis relied upon data as well as expert judgement from the agencies, regulators and government. The scores are presented in **Figure 2-6**. Overall, the lowest score was for the effectiveness of immigration controls, which has been acknowledged by Government. A recent announcement of strategy to close these gaps was presented in the Department for Home Affairs: Securing Our Island Strategy document, published in September 2024[11]. The published strategy negated the need for this NRA to make many recommendations regarding immigration. ›

11 www.gov.im/media/1385612/borders-strategy-final-sep-24-compressed.pdf

Figure 2-6: National Terrorist Financing Vulnerability Scores

#	National Vulnerability	Rating	
1	Quality of CFT Policy and Strategy	0.6	Medium High
2	Effectiveness of TF Crime Definition	1.0	Excellent
3	Effectiveness of Customs Controls on Cash and Similar Instruments	0.6	Medium High
4	Effectiveness of Border Controls on Goods (incl. military and strategic goods)	0.7	High
5	Effectiveness of Immigration Controls	0.4	Medium Low
6	Quality of Financial Intelligence Unit (FIU) Intelligence Gathering and Processing for TF	0.6	Medium High
7	Quality of Other TF Intelligence Gathering and Processing	0.6	Medium High
8	Capacity and Resources for TF Investigations	0.7	High
9	Integrity and Independence of TF Investigators	0.9	Close to Excellent
10	Capacity and Resources for TF Prosecutions	0.7	High
11	Integrity and Independence of TF Prosecutors	0.9	Close to Excellent
12	Capacity and Resources for Judicial Processes	0.7	High
13	Integrity and Independence of Judges	1.0	Excellent
14	Effectiveness of Domestic Cooperation	0.7	High
15	Effectiveness of International Cooperation	0.7	High
16	Availability and Effectiveness of TF Asset Forfeiture and Confiscation	0.7	High
17	Comprehensiveness of Targeted Financial Sanctions (TFS) Legislation, Procedures and Mechanisms	0.8	Very High
18	Effectiveness of TFS Implementation	0.8	Very High
19	Formalisation Level of Economy	0.9	Close to Excellent
20	Availability of Reliable Identification Infrastructure	0.7	High
21	Availability of Independent Information Sources	0.7	High
22	Availability and Access to Beneficial Ownership info	0.7	High
23	Controls on Provision of Strategic Equipment, Goods and Services to Conflict Zones	0.7	High

Score from 0.0 (does not exist) to 1.0 (excellent)

AWARENESS OF TF TYPOLOGIES

Generally, there is a lower understanding across both agencies and industry of TF and the forms it may take compared with ML. TF may be rarely, if ever, encountered whereas ML is more common. The lack of experience in the IOM in encountering TF, a lack of experience which is shared by many jurisdictions, may mean that any warning signs of TF and the threats of and vulnerabilities to TF might not be as readily identified as they would be for ML and suspicions may not be as readily engaged and reported as they would be for ML. The low number of TF Suspicious Activity Reports (SARs) may be because there has been very little TF or potential TF to date and/or it could be partly accounted for by the lack of experience in this area.

The jurisdiction's lack of experience in dealing with TF increases the need to raise the understanding (with the assistance of experience obtained from examples encountered in other jurisdictions) of the risks, threats and vulnerabilities of TF in all agencies and across all sectors. The typologies of TF, particularly those forms of TF at risk of being encountered in an IFC, need to continue to be collected from examples encountered in other jurisdictions and disseminated so that those in a position to report suspicions of TF have a better understanding of the forms in which it may be encountered.

TARGETED FINANCIAL SANCTIONS

The Terrorism and Other Crime (Financial Restrictions) Act 2014 (TOCFRA) ensures that funds or other assets of a designated person sanctioned under a TF-related United Nations (UN) sanctions regime are frozen without delay and without prior notice. Under the UN sanctions regimes, there is an obligation to freeze all funds, financial assets or economic resources of designated persons.

No funds or other assets have been frozen in relation to designated persons or entities under the UN TF-related TFS regimes. However, IOM regulated entities have frozen assets linked to other sanctions regimes, including the UK's Russia regime which saw an unprecedented number of individuals and entities being designated following Russia's illegal invasion of Ukraine in February 2022. This demonstrated that regulated entities understand their obligations regarding TFS.

Through examples of cooperation between agencies and actions taken in relation to other sanctions regimes, the Island can show that if there were an identified TF case, the Island would be capable of taking actions consistent with the requirements under respective UN sanctions regimes.

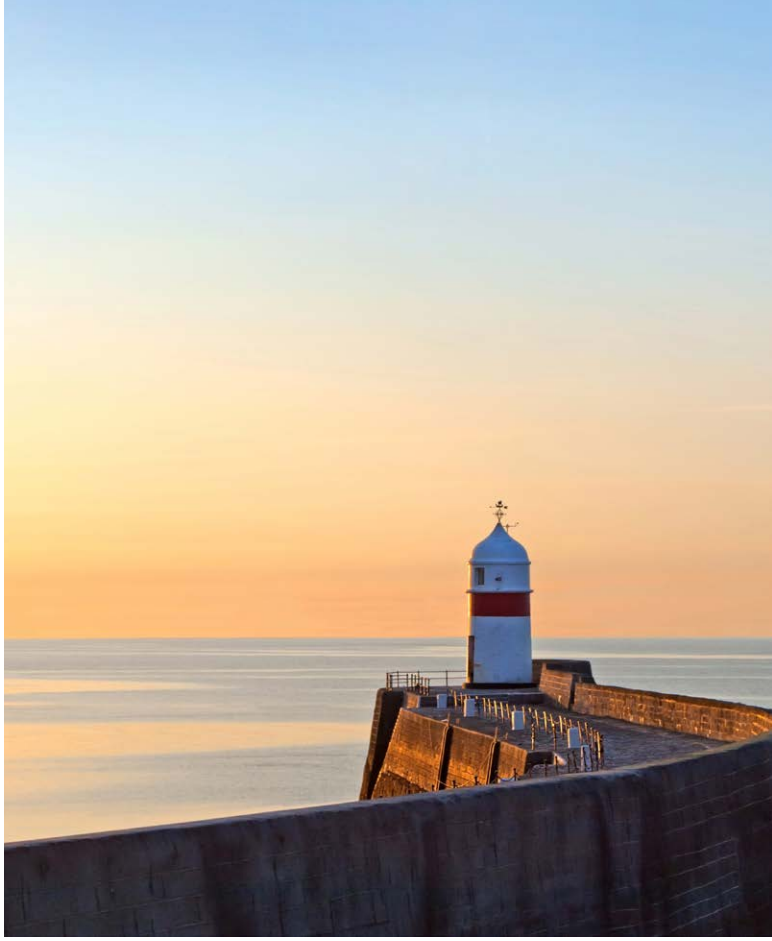
MONACO (MONEYVAL) SMALL STATES GUIDANCE ON IDENTIFYING, ASSESSING AND UNDERSTANDING THE RISK OF TF

Effective measures to address TF can only be put in place if the risks are understood. This can be a challenge for smaller financial centres, such as the IOM which is an IFC.

There are several challenges:

- An extremely limited number of cases to study and competent authorities who consequently may have little experience of TF activity. This challenge has been identified as a central one for small states, leading the IOM authorities to invest significant resources in addressing this issue: the creation of specialist teams (Proactive International Money Laundering Investigation Team (PIMLIT) within the IOMC and Financial Crime Unit (FCU) within Prosecution); additional resource within the FIU; additional resources within the Financial Services Authority (FSA) for both the AML/CFT and Enforcement divisions; additional resourcing for the Gambling Supervision Commission (GSC) AML/CFT team; in addition the Attorney General (AG) has issued internally the Prosecution Policy and Guidance on TF Prosecutions
- The difficulty in identifying potentially very small sums for which there is a terrorist purpose or to maintain small terrorist entities, versus the large sums required to maintain the largest terrorist entity
- The difficulty of assessing a risk that exists in another jurisdiction.

Several smaller jurisdictions (including the IOM) met in Monaco in 2018 and 2024 to provide guidance on how they could identify, understand and assess these TF risks. This guidance has been used in this TF NRA in support of the WB methodology. Consideration of the cross-border exposure for a regulated entity as well as the Island are very important to the assessment of TF. In **Chapter 7.2**, this TF NRA considers a number of the risks identified in the Small States Guidance. ›



FINANCIAL FLOWS

The Island's banks supply the FSA with quarterly financial flow data[12], showing outflows and inflows by country as well as number of transactions. The funds coming into the IOM (and this equally applies to outflows) for SWIFT[13] payments should pick up the original remitter for inflows and final beneficiary for outflows through the BIC[14] code fields. The FSA has requested banks' internal audit functions to undertake additional audit work to re-verify this understanding. It should be noted that the UK figure includes Faster Payments[15], BACS[16] and CHAPS[17] payments.

This data was analysed to consider the top 10 countries for outflows and inflows as a percentage of the sum of the overall amounts for the four years, see **Figure 2-7**. The data highlights the strength of the connection with the UK, with **46.9%** of the outflows and **51.1%** of the inflows. However, the outflows data does not reveal whether the UK is the final destination or if the inflows ultimately originated in the UK. ›

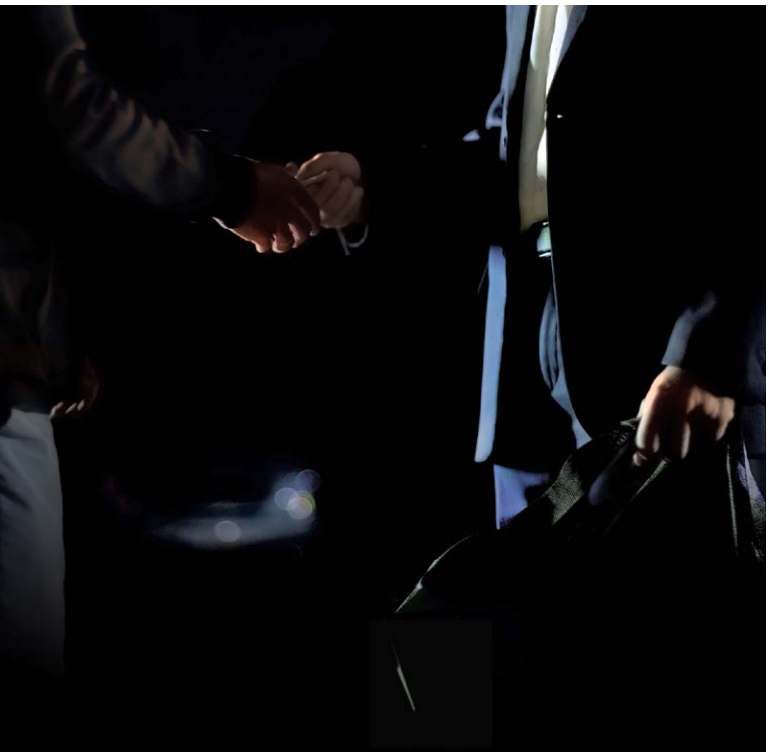
Figure 2-7: Top 10 Countries for Outflows and Inflows 2020–2023

Top 10 Outflows 2020/3		
Number	**Country**	**%**
1	UK	46.9%
2	United States of America (USA)	12.7%
3	Germany	11.2%
4	Switzerland	3.1%
5	Jersey	2.8%
6	South Africa	1.6%
7	India	1.5%
8	Singapore	1.3%
9	Belgium	1.0%
10	Luxembourg	0.9%

Top 10 Inflows 2020/3		
Number	**Country**	**%**
1	UK	51.1%
2	United States of America (USA)	12.3%
3	Germany	9.8%
4	Jersey	3.0%
5	Switzerland	1.9%
6	France	1.7%
7	South Africa	1.5%
8	Luxembourg	1.4%
9	Mauritius	1.2%
10	Ireland	1.2%

Source: FSA

12 Guidance is provided to the banks by the FSA detailing what payment data is included https://www.iomfsa.im/media/3160/financial-flows-return-guidance.pdf
13 SWIFT payments are transactions made through an intermediary bank that allows electronic payments internationally to be sent or received.
14 The Business Identifier Code (BIC) is an international standard for routing business transactions and identifying business parties.
15 A Faster Payment is an electronic payment that should arrive immediately.
16 A BACS payment is a bank transfer from one bank account to another, taking several days to arrive.
17 The CHAPS system is a sterling same-day system that is used to settle high-value payments as well as time critical payments.



Throughout this document, consideration is given to the exposure that regulated entities and their customers have to jurisdictions that pose or may pose a higher level of threat from terrorism and TF, see **Chapter 6.3.2.1**. The inflows and outflows are summarised in **Figure 2-8.**

Figure 2-8 summarises the outflows and inflows for List A jurisdictions and List B jurisdictions that pose or may pose a higher-risk for banks for the Period 2020/3. **Figure 2-8** also includes the total for all the other countries and the top 10 countries, for comparative purposes.

The FSA can see the underlying banks that made or received each payment and is developing a formal approach with the FIU to review inflows and outflows with higher-risk jurisdictions, along with any other relevant intelligence the FIU hold. Payments, countries and trends of interest will then be discussed by the FSA with the respective bank to ensure there is a good understanding of the potential threat. ›

Figure 2-8: Outflows and Inflows for Jurisdictions That Pose or May Pose a Higher-Risk 2020–2023

Financial Outflows 2020/3	
A	0.00%
Bi	2.71%
Bii ML&TF and TF	1.07%
All other	96.22%
Top 10	83.00%

Financial Inflows 2020/3	
A	0.00%
Bi	2.38%
Bii ML&TF and TF	0.41%
All other	97.21%
Top 10	85.10%

Source: FSA

CUSTOMERS AND COUNTRIES

To provide context on the customer profile across all sectors, **Figure 2-9** shows the split of customers. Overall, **74.65%** are personal customers, **10.46%** are non-natural persons and **14.90%** are UBOs. Banks and Life Insurance have the largest personal customer numbers on the Island. Banks, TCSPs and Life Insurance have the largest number of non-natural persons. Banks and Life Insurance have the largest number of UBOs. All 3 sectors are reviewed in more depth in this NRA. ›

Figure 2-9: Distribution of Customers Across the Sectors in 2023

2023			
Sector	**Personal Customers %**	**Non-Natural Persons %**	**UBOs %**
As % of all personal customers, non natural persons and Ultimate Beneficial Owners (UBO)	74.65%	10.46%	14.90%
Banks	30.85%	16.12%	15.20%
Credit Union	0.11%	0.00%	0.00%
Designated Non-Financial Business or Professions (DNFBP)	5.38%	7.48%	6.43%
TCSPs	0.28%	14.20%	8.55%
Funds	0.42%	1.04%	1.96%
Investment	2.58%	3.97%	7.90%
Life Insurance	47.66%	49.33%	53.38%
Money Transmission	0.00%	0.03%	0.04%
Non-life Insurance	11.85%	7.70%	6.10%
Pensions	0.88%	0.12%	0.45%
	100%	100%	100%

Source: FSA AML/CFT Annual Returns

Figure 2-10 shows the top 10 country exposure for personal customers, non-natural persons and UBOs. The UK and IOM are the two jurisdictions where the largest number of customers, from all 3 categories, reside. The United Arab Emirates (UAE) is the only other country above **10%,** which is for personal customers. South Africa is rated as a Bi country and the only classified country in the top 10 that may pose a higher-risk.

Figure 2-10: Top 10 Country Exposure for Personal Customers, Non-Natural Persons and UBOs in 2023

Personal Customers		Non-Natural Persons		UBOs	
Country	%	Country	%	Country	%
UK	26.94	UK	40.59	UK	52.22
IOM	20.22	IOM	37.50	IOM	18.02
UAE	10.34	Guernsey	3.43	South Africa	4.00
Argentina	5.92	Malta	3.29	UAE	1.50
Hong Kong SAR	5.40	Gibraltar	2.86	Japan	0.98
South Africa	4.61	Jersey	1.43	USA	0.82
Japan	4.29	British Virgin Islands (BVI)	1.32	Hong Kong SAR	0.72
USA	1.33	South Africa	1.11	Argentina	0.55
Australia	1.08	Cayman Islands	0.86	Australia	0.44
Singapore	1.08	UAE	0.82	Singapore	0.29
Top 10	81.22		93.19		79.53

Source: FSA AML/CFT Annual Returns

STEP 5: NATIONAL TF RISK

In WB methodology, the TF Threats (see **Figure 2-1**), are combined with the National Vulnerability rating which incorporates the Sectoral Vulnerabilities to provide a TF Risk Level for the four categories defined (see **Figure 2-2**).

These risk level scores are summarised in **Figure 2-11** and mapped in **Figure 2-12** which plots vulnerability to TF against TF threat on the two axes of the graph. ›

Figure 2-11: Overall TF Risk Levels

Terrorist Financing Threat Category	Summary of Threat	TF Threat	Vulnerability to TF	TF Risk Level
WB Methodology Steps		1&2	3&4	
Internal TF Risk	The domestic threat to the IOM from activity within the IOM	0.10	0.35	Medium Low
Outgoing TF Risk	The outbound threat to other jurisdictions from activity in the IOM	0.30	0.44	Medium Low
Incoming TF Risk	The inbound threat to the IOM from activity from neighbouring countries	0.13	0.44	Medium Low
Transit TF Risk	The flow-through threat of the IOM being used for TF	0.50	0.43	Medium

Score from 0.0 (low) to 1.0 (high)

A number of risks are identified throughout this TF NRA. As shown in **Figure 2-12**, the greater risks to the Island as an IFC are the Outgoing and Incoming Risks that are assessed as medium low and Transit Risks that is assessed as medium. Examples of some of these risks include:

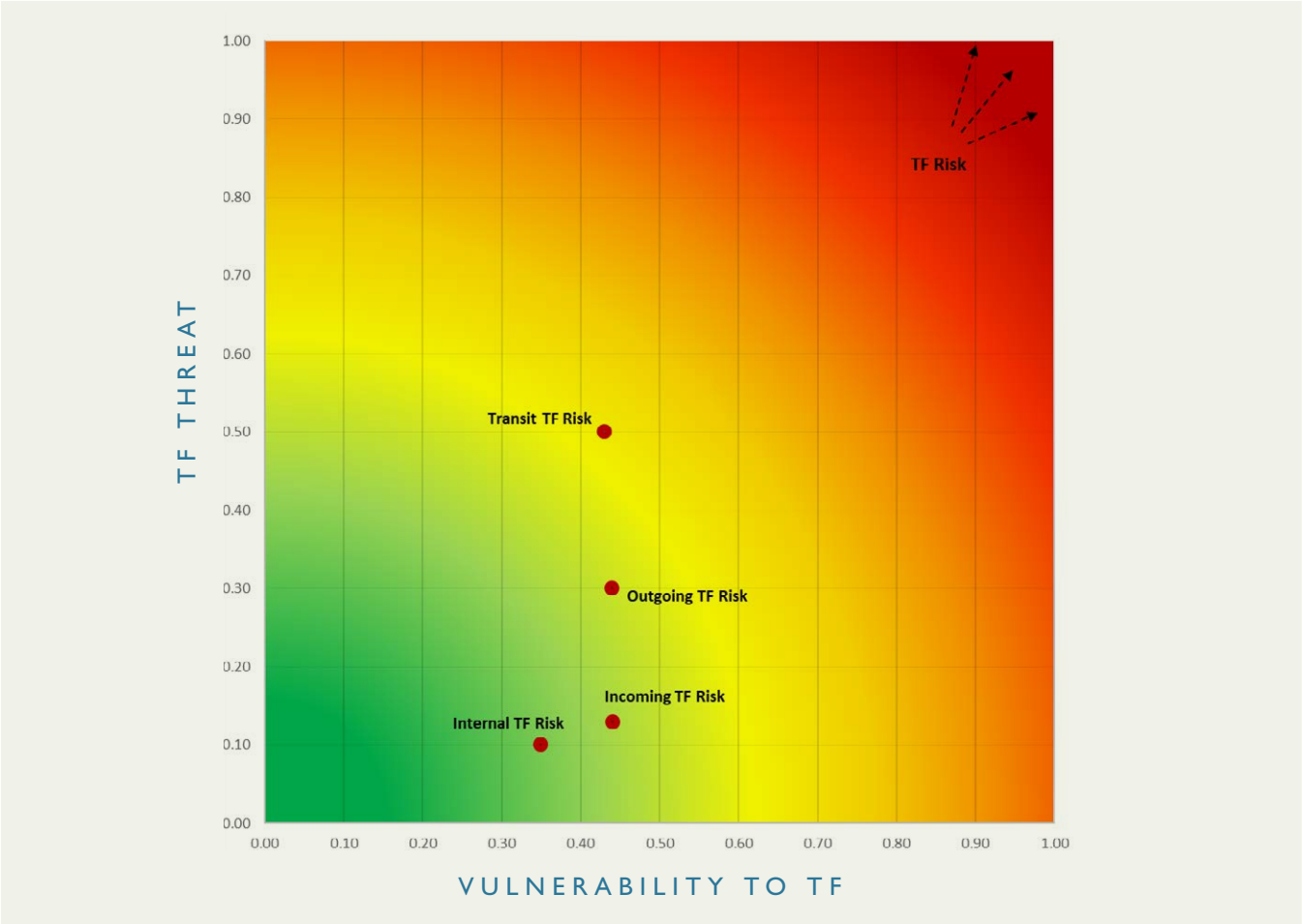
- Shell companies which are inactive/dormant, but keep paying fees and then might be activated when required to receive/transmit funds for a TF purpose
- Criminals setting up multiple companies with the IOM Companies Registry or UK Companies House for a TF purpose
- Complex layering for a TF purpose
- Terrorist property being processed through virtual assets
- Where a third country which the IOM has significant exposure to is placed under 'enhanced follow up' by the FATF. If it were then deemed to have strategic AML/CFT deficiencies, it would be placed on List A or Bi
- The immigration system being abused for TF
- The risks imported from other IFCs
- Displacement risk
- ML to fund TF
- Recruitment and retention of skilled professionals in industry and the agencies/regulators/Government to help prevent TF within the IOM.

Taking an average of the 4 TF Risk levels in **Figure 2-11**, the overall assessment score in 2025 of medium low aligns with previous TF assessments in NRAs, however it benefits from this more substantive document and is underpinned by a number of unpublished supporting workbooks. This risk assessment indicates that the risk of internal terrorist fund raising scores the lowest of the 4 categories and an overall medium risk of the IOM being used as a conduit (transit risk) for TF.

The assessment confirmed that there are areas where the IOM has adequate systems and controls in place to mitigate the risks of being used as a conduit for TF, as well as areas where additional focus and action is required to both test and strengthen existing controls and further develop understanding.

Significant progress has been made since the 2020 NRA in both understanding the TF risk and mitigating actions. The embedding of much better data from industry via the Regulators has allowed this NRA to have a deeper repository of data to review. Thanks must go to industry for supplying the FSA and GSC with the data on a quarterly/annual basis. Undoubtedly, these data requests will increase and broaden as the Island seeks to better understand the threats it faces. A number of additional data requests are recommended actions from this NRA. ›

Figure 2-12: National TF RIsks



Source: World Bank Group

Figure 2-13: Overall Island TF Risk

Year	TF Rating
2015	Medium Low
2020	Medium Low
2025	Medium Low

Throughout this assessment, it is acknowledged that CFT skills and CFT capacity must continually evolve to effectively meet the threat. Therefore, continued training, typologies and outreach are needed across the public and private sectors. This could be in co-operation with the UK (via the Counter Terrorism strategy (CONTEST)), through Memoranda of Understanding (MOUs), monitoring typologies in other IFCs and working with other jurisdictions via international forums. In recent months the UK National Terrorist Financing Investigation Unit (NTFIU) have run three TF sessions for industry, NPOs and agencies, where 314 people attended. The Royal United Services Institute for Defence and Security Studies (RUSI) have also run training sessions on Island.

On completion of the recommended actions in this document, it is anticipated that the scores would improve when this TF NRA is next undertaken. ›

ACTIONS

This TF NRA identifies a number of areas where work could enhance the controls and help further mitigate the threats identified. **Figure 2-14** shows the relationship between key national documents and how they link to the overall Our Island Plan, with the substantive actions from the NRAs being added to the National Action Plan, which will then be published. The areas for potential improvement have been aligned with the four strategic aims from the National Financial Crime Strategy 2024 – 2026, summarised in **Figure 2-15**, which support the overall mission of 'an all-Island approach to tackling financial crime'.

Whilst these actions have arisen during the analysis of TF in the Island, consideration could also be given to ML and PF at the same time. A summary of the actions is noted in **Figure 2-15**, with references to the Chapter where the issue arose and greater detail in **Chapter 8.2.** ›

Figure 2-14: Relation Between Key National Documents

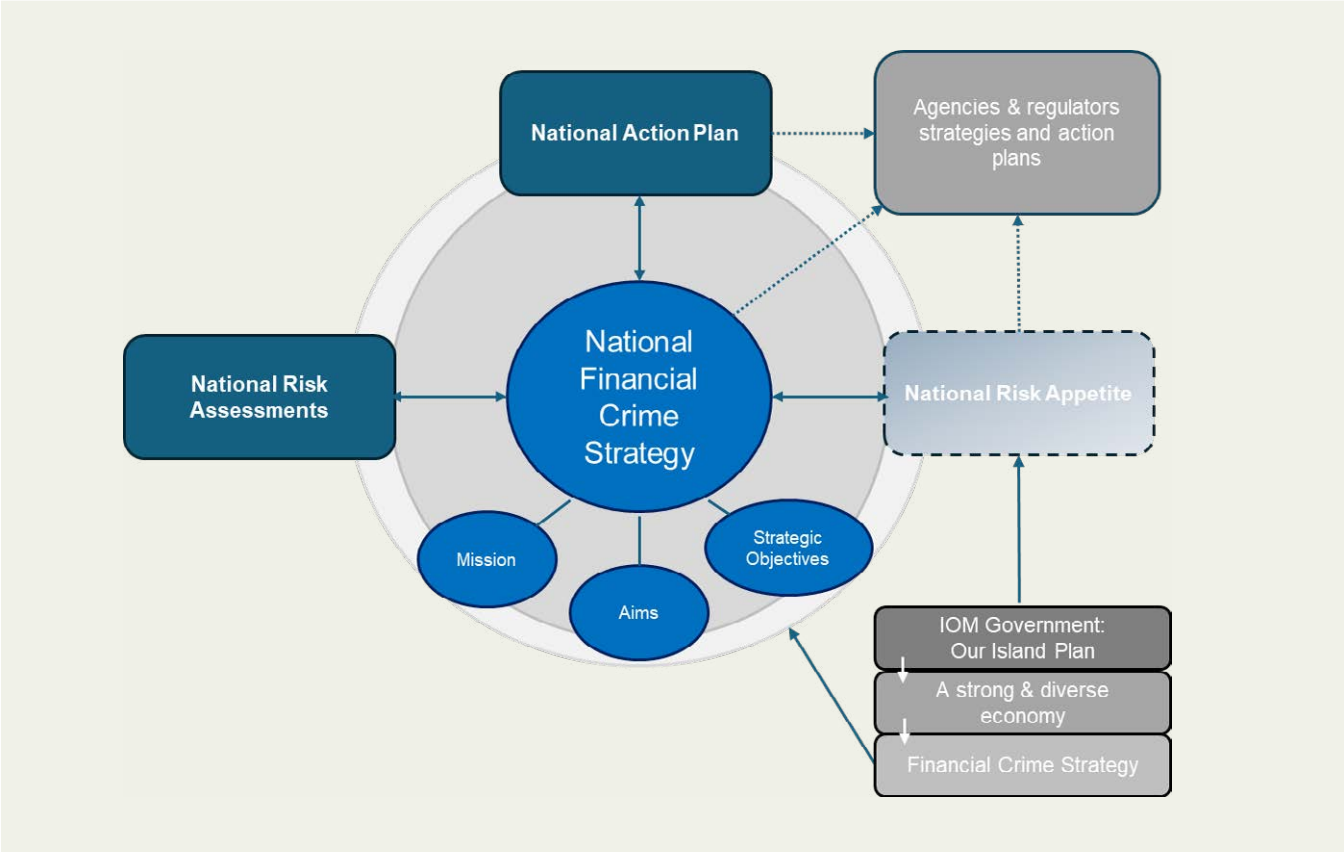


Figure 2-15: Summary of Recommended Actions

Public sector and industry work together to achieve a common goal of meeting international standards

1. Test CFT systems with hypothetical yet realistic scenarios (Chapter 7.1.2)

- As is the case in a number of similar jurisdictions, the exposure to terrorism and TF is extremely low and therefore it is not unusual that there are few investigations/prosecutions and convictions. Given the recent (internal only) publication of the Prosecution Policy Guidance on Terrorist Financing Prosecutions within the Attorney General's Chambers (AGC), it is recommended that the IOM undertake an Island-wide scenario test of how the agencies and regulators would approach a real TF case. This would allow all interested parties to test that their controls work, the framework does what is intended, the handovers between agencies are efficient and terrorist financiers can be prosecuted, appropriately sanctioned and deprived of their funds/assets.

2. Typologies presented to industry and agencies (Chapters 5, 7.1.6)

- The jurisdiction's lack of experience in dealing with TF increases the need to raise the understanding (with the assistance of experience obtained from examples encountered in other jurisdictions) of the risks, threats and vulnerabilities of TF in all agencies and across all sectors. The typologies of TF, particularly those forms of TF at risk of being encountered in an IFC, need to continue to be collected from examples encountered in other jurisdictions and disseminated so that those in a position to report suspicions of TF have a better understanding of the forms in which it may be encountered.

3. Training (Chapters 6.3.2.3, 6.3.6.10, 7.1.3, 7.1.4, 7.1.6, 7.1.8, 7.2.8)

- It is recommended that training and outreach be offered to agencies and industry in respect of recent trends and methods of TF. This could be in co-operation with the UK (via CONTEST), through Memoranda of Understanding.

4. Targeted Financial Sanctions familiarity and testing (Chapter 7.1.18)

- It is recommended that given changes over time and that sanctions sit across a number of agencies, it would be helpful to provide a visual picture of where responsibilities reside.
- The FSA and GSC TFS supervisory approach should be strengthened and potentially have a TF lead.

Actions are informed and driven by best practice and standards, both domestically and internationally

1. Embed the IOM Financial Crime Partnership (IOMFCP) and expand its remit (Chapter 5)

- It should be ensured that the IOMFCP is embedded and operating well with the Banking sector across AML/CFT/CPF, with any refinements made before extending to other key sectors. The IOMFCP and partners will explore the option of creating a TF Fusion Group.

2. Improvements in data (Chapters 5, 7.2.2)

- It is recommended that consideration is given to Class 8 Money Transmission Services providing relevant financial flow data (incoming and outgoing) to the FSA on a quarterly basis.
- There is no data held centrally on use of Automated Teller Machines (ATMs) overseas. It is recommended that this data is collected (if available) from relevant businesses in the regulated sector.
- Electronic Money Institutions (EMIs) are potentially importing risk to the IOM, probably from the UK. Therefore it is recommended that the banks are approached to see what financial flow data is available to assist with analysing the risk to the Island.

- It is recommended that the analysis process for incoming and outgoing financial flows to/from higher-risk countries is documented for how this data is used by the FSA and the FIU and how regularly and how often presented with comments to appropriate governance.

  As part of the strategic financial flow analysis, the FIU and FSA will consider the flows from the Island to IFCs in a similar way to the analysis with financial flows to higher-risk jurisdictions.

The Island is an active participant in the global fight against financial crime

1. Update the Island's National Financial Crime Strategy (Chapter 7.1.1)

- Following the publication of this TF NRA, the National Financial Crime Strategy should be refined and updated when next published. The National Action Plan will be updated with the key recommended actions from this document.

2. Update of NRAs (Chapter 7.1.1)

- It is recommended that the NRAs will be reviewed every two years, to identify if there are any material changes that need to be reflected in the NRA. The NRA will also be reviewed on a trigger event basis if there is a substantive local or domestic event that impacts the TF risk to the Island or if the Island Strategy/National Financial Crime Strategy require an NRA to be reviewed.

3. Write Procedures (Chapters 7.1.17, 7.1.6)

- The law is in place should the Island decide independently of the UK to designate a person under United Nations Security Council Resolution (UNSCR) 1373. However, procedures to implement the law are not in place and it is recommended that they are written.
- Both the Police and FIU have TF policies that require updating. Updates should be aligned, particularly in terms of where the actions of both agencies intersect.

4. Horizontal Executive Summary Across a Number of NRAs (Chapter 6.3.1)

- The publication of the NPO/VA/LPA NRAs may necessitate an overlay on this TF NRA, with necessary adjustments if required. It is recommended that to demonstrate how these have been considered in concert, a horizontal Executive Summary is produced once all these NRAs have been published.

All stakeholders have the resources they need to effectively identify and respond to ML/TF/PF threats

1. Information Sharing (Chapter 7.1.5)

- It is recommended that information and intelligence from all sea and air routes coming into and from the IOM be gathered in a central hub/system
- It is recommended that Visa application information is shared by Immigration with the other competent authorities when appropriate.

2. GSC Enhancing Controls (Chapter 6.3.5)

- The GSC have identified a number of controls that will be enhanced, including: Specific AML/CFT Guidance for Business to Business (B2B) businesses; the GSC will seek regulatory powers to apply civil penalties to an individual to enhance their current sanctions regime; widen legislative powers around entry controls to include those associated with criminals for integrity purposes; include a firmer mandate to apply risk-based licensing decisions to be able to react to emerging risk threats: issue revised fitness and propriety guidance and engage in outreach both to the sector and associated sectors around typologies and supervision practice.

HOW INDUSTRY SHOULD USE THIS TF NRA

Businesses in the regulated sector are obliged to undertake and maintain a Business Risk Assessment (BRA) which must have regard to any relevant findings of the most recent NRA relating to the Island. Therefore, industry must be able to show how they have considered and mitigated the relevant risks identified in this NRA. Given a number of NRAs are being published over the course of a few months, it is acceptable to consider each NRA as it is published, but update the overall BRA at its next formal review date. Consideration should also be given to the Customer Risk Assessment (CRA) and Technology Risk Assessment (TRA) and if these require updating ■



> This risk assessment indicates that the risk of internal terrorist fund raising scores the lowest of the 4 categories, and an overall medium risk of the IOM being used as a conduit (transit risk) for TF."



CHAPTER 3

Introduction

3.1 Terrorist Financing NRA

3.1.1 Why Does the IOM Need a TF NRA?

The FATF Recommendations require countries to identify, assess and understand the TF risks for the country, including designating an authority or mechanism to coordinate further actions in assessing TF risks and deploying resources, with the aim of ensuring that those risks are mitigated effectively. A country's understanding of risk is an essential foundation of its regulatory framework and should be used to allocate resources efficiently.

Many countries and jurisdictions produce a combined ML and TF NRA. The IOM produced a combined NRA in 2015[18] and another in 2020[19]. The International Monetary Fund (IMF) in its publication Countering the Financing of Terrorism: Good Practices to Enhance Effectiveness[20] published May 2023 stated:

> "The IMF's experience reveals that countries tend to combine terrorist financing risk assessments with money laundering risk assessments. This approach often leads to ineffective results because the risk indicators between terrorist financing and money laundering differ."

The IOM has therefore produced this standalone TF NRA to enhance its understanding of the TF risks that the jurisdiction may be exposed to as an IFC.

The overall objectives of this TF NRA are to:

- Build upon and enhance the understanding of the TF risks from the 2015 and 2020 ML/TF NRAs
- Update the TF actions recommended in the 2020 ML/TF NRA
- Provide agencies, regulators and industry with a specific TF-focussed NRA. ›

The IMF's experience reveals that countries tend to combine terrorist financing risk assessments with money laundering risk assessments. This approach often leads to ineffective results because the risk indicators between terrorist financing and money laundering differ."

18 https://www.gov.im/media/1350893/isle-of-man-national-risk-assessment-2015.pdf
19 https://www.gov.im/media/1367979/isle-of-man-national-risk-assessment-2020-updated-140120.pdf
20 https://www.elibrary.imf.org/display/book/9798400204654/9798400204654.xml

3.1.2 Terrorist Financing Defined and How It Differs from Terrorism Risk

As defined by the FATF[21], TF is the financing of terrorist acts and of terrorists and terrorist organisations.

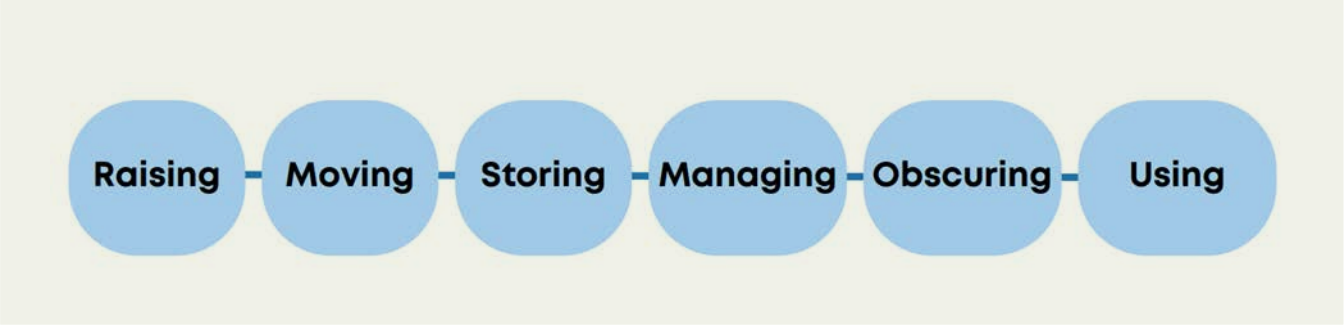
The United Nations Office on Drugs and Crime (UNODC) defines TF[22] as:

> "Terrorists and terrorist organisations usually need to rely on money to sustain themselves and to carry out terrorist acts. Terrorist financing encompasses the means and methods used by terrorist organisations to finance activities that pose a threat to national and international security. Money provides terrorist organisations with the capacity to carry out terrorist activities, which can be derived from a wide variety of sources. Money can come from both legitimate sources (i.e. profits from businesses and charitable organisations) and criminal sources (i.e. drug trade, weapon smuggling and kidnapping for ransom)."

In IOM legislation the Anti-Terrorism and Crime Act 2003[23] (ATCA) defines "terrorism" in **Chapter 1**. The Financing of Terrorism Fact Sheet published by the FSA[24] provides a model to illustrate the stages which may form part of the financing of terrorism process, **Figure 3-1**. It should be noted that not all of these steps are required as part of the process. For example, raising funds will suffice for financing of terrorism to have occurred.

TF risk differs from the risk of terrorism. Terrorism risk refers to the likelihood and impact of terrorist attacks. TF risk is the involvement or exposure to the sources and methods of funding terrorist activities. A country may face a TF risk even if it is not a frequent target of terrorist attacks, as the property that facilitates terrorism may originate from or transit through different jurisdictions from the jurisdiction where the attacks take place. **Figure 3-2** shows the paths of domestic and international flows of terrorist property within and between jurisdictions, adapted from The Negative Effects Of Money Laundering On Economic Development by Bartlett (May 2002)[25]. ›

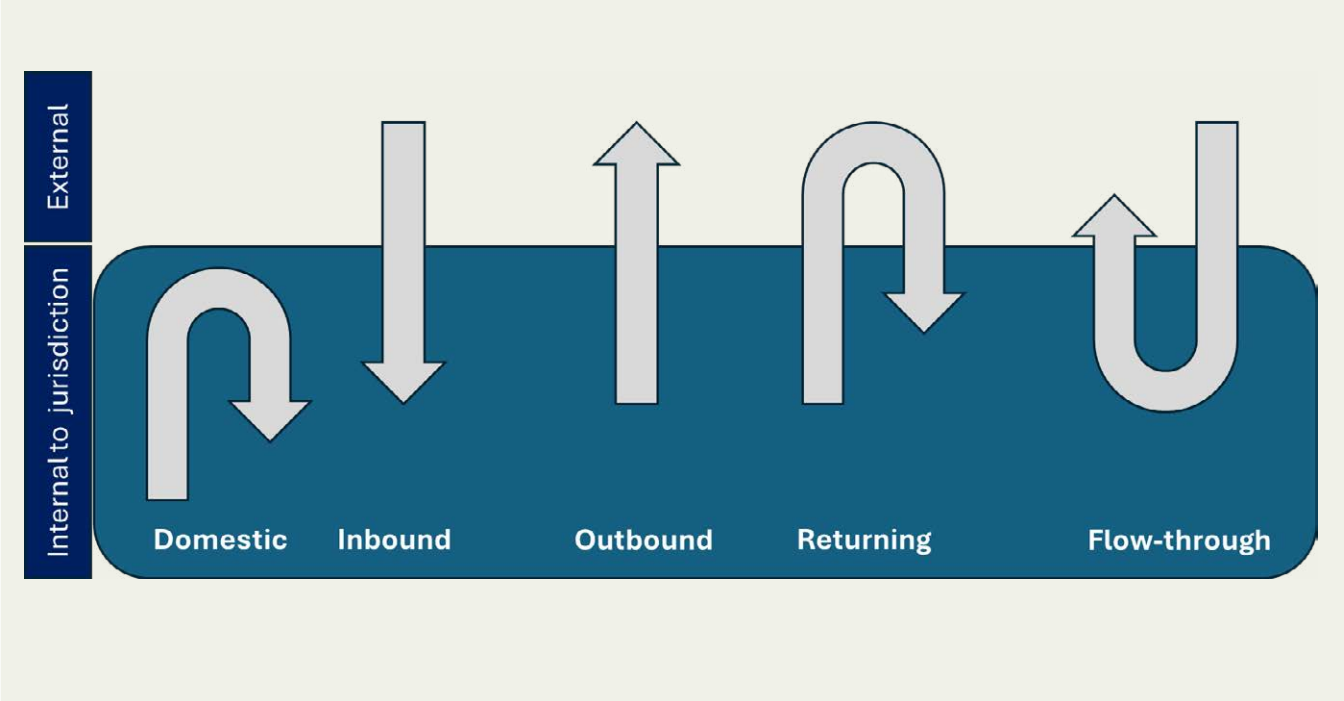
Figure 3-1: The Stages Which May Form Part of the Financing of Terrorism Process



Source: FSA

21 https://www.fatf-gafi.org/content/dam/fatf-gafi/methodology/FATF-Assessment-Methodology-2022.pdf.coredownload.inline.pdf
22 https://www.unodc.org/unodc/en/money-laundering/overview.html
23 https://legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/2003/2003-0006/2003-0006_14.pdf
24 https://www.iomfsa.im/media/3259/ft-fact-sheet.pdf
25 https://waleolusi.files.wordpress.com/2013/05/the-negative-effects-of-money-laundering-on-econom.pdf

Figure 3-2: The Paths of Domestic and International Flows of Terrorist Property Within and Between Jurisdictions



Source: The Negative Effects Of Money Laundering On Economic Development by Bartlett (May 2002)

3.1.3 Challenges in Understanding TF Risk

In the FATF report, Terrorist Financing Risk Assessment Guidance (July 2019)[26], it emphasises some of the challenges jurisdictions face in understanding TF risk, including:

- the difficulty of detecting low-value and diverse TF activities that use small amounts of funds or assets and exploit a wide range of sectors
- the scarcity of TF or terrorism information and expertise domestically or the lack of criminal/intelligence cases, that limit the identification and analysis of TF threats and vulnerabilities
- the tendency to overlook or conflate TF risk with terrorism risk in NRAs, with insufficient attention paid to the specific threats posed by terrorist financiers and sympathisers
- the need for a customised TF risk assessment approach that reflects the unique threat profile, national context and Countering Terrorism (CT)/CFT strategies of each jurisdiction which draws upon relevant guidance and country examples.

3.1.4 Data Used

Since the completion of the last ML/TF NRA in 2020, the data available across the jurisdiction has continued to improve. In 2023, the FSA/GSC launched STRIX AML, which enables the FSA/GSC to receive, risk assess and analyse data from the regulated sector. The system assists the FSA/GSC in analysing the data submitted by industry in an efficient manner. The data ›

26 https://www.fatf-gafi.org/content/dam/fatf-gafi/guidance/Terrorist-Financing-Risk-Assessment-Guidance.pdf

is then used to build entity, sectoral and NRAs and drive the supervisory engagement model for the FSA/GSC. It also allows for cross-sectoral comparisons to be made.

This NRA uses data from 2020 (the publication of the last ML/TF NRA) up to 2023. It also includes a limited amount of 2024 data where available and relevant. Data has been compiled by a number of the agencies, government departments and regulators in the jurisdiction. Where sensitive data has been used, it has been aggregated to allow inclusion in this report, displayed as percentages rather than actuals or removed from the final published version of this report.

As is the case for many countries and jurisdictions, there are very limited cases to reference and so typologies and cases from other jurisdictions' open-source information are referenced. Where there are significant gaps in the data, then actions are recommended to establish new frameworks for data collection and that these be included in the National Action Plan.

3.1.5 Acknowledgements

WB methodology relies upon the support and input of subject matter experts. Expert discussions validate and help to raise the main threats, vulnerabilities and risks in the IOM. The completion of this NRA involved extensive input from these experts from competent authorities, regulators, IOMFCP and industry bodies, listed in Appendix 9.1. Their support is greatly valued.

Our appreciation is also extended to the World Bank, for the use of their methodology, accompanying tools and guidance material. We are also grateful for the input from the UK Home Office.

3.2 Isle of Man as an International Finance Centre

This is the first standalone TF NRA, therefore it builds on the 2020 ML/TF NRA. It does not seek to unnecessarily duplicate the comprehensive work which supports the initial NRAs and the recently published IOM Profile document, entitled "A Profile of the Isle of Man" and the reader is asked to refer to these documents.

The National Financial Crime Strategy, which incorporates the mission, aims, strategic objectives and actions, clearly demonstrates publicly the very strong goal of tackling all forms of financial crime, including terrorist financing. In **Appendix 4** of The National Financial Crime Strategy document, a timeline is provided for the key activities in the development and maintenance of the Island's AML/CFT/CPF regime in line with international standards. ›

> ... a risk-based approach to identify risk, coordinate appropriate actions and apply resources to ensure identified risk is addressed and mitigated."

3.3 Methodology

The National Financial Crime Strategy states in strategic objective two: "Use a risk-based approach to identify risk, coordinate appropriate actions and apply resources to ensure identified risk is addressed and mitigated". The AML/CFT Policy Office team within the Government's Cabinet Office co-ordinates the NRA work. It will continue to use WB methodology where available for its risk assessment work. WB methodology was used for the 2015 and 2020 ML/TF NRAs. It has been used to provide consistency with previously published NRAs.

In the WB methodology, the TF risk assessment tool treats TF risk as a product of two main components: threat and vulnerability. The consequences are integrated into those two components through weights, preconditions and network structure and are not assessed separately. This approach is adopted at both national and sectoral levels for the IOM. TF threat primarily considers activities or persons with the potential to cause harm by raising, moving, storing or using funds or other assets for terrorist purposes, while TF vulnerabilities consider the design of the frameworks to mitigate risk and any weaknesses or gaps in the defence against TF that could be exploited by the threat or that may support or facilitate its activities.

The WB methodology is not a statistical model approach as there is not enough data in many jurisdictions, including the IOM. The Island's experts have decided on the ratings using the qualitative and quantitative data together and making an expert judgement which is supported by evidence as much as possible. WB methodology uses both qualitative and quantitative information.

The scarcity of data on terrorism and TF globally is still a key impediment for the development of fully quantitative and data-based models. However, the analysis has been enhanced by the varied sources of data available, especially from the AML/CFT returns and financial flow data, which have allowed the Island to better understand the immediate, emerging and ongoing threats of TF via data.

In the WB TF risk assessment tool there are five steps, which this document follows in **Chapters 6, 7** and **8:**

- **Step 1:** TF Threat by Terrorist Organisations (results feed into Steps 2 and 3)
- **Step 2:** National TF Threat (results feed into Steps 3, 4 and 5)
- **Step 3:** Sectoral TF Risk (results feed into Steps 4 and 5)
- **Step 4:** National TF Vulnerability (results feed into Step 5)
- **Step 5:** National TF Risk (combination of all results).

Each step is supported by WB Excel sheets and steps 2, 3 and 4 are underpinned by extensive workbooks which have not been published, that provide the summary narrative for this document.

The National TF Risk Assessment of the IOM has been conducted as a self-assessment by the IOM authorities, using the National TF Risk Assessment Tool that has been developed and provided by the World Bank Group. Data, statistics and information used for completing the National TF Risk Assessment Tool modules, as well as findings, interpretation and judgement under the scope of National TF Risk Assessment, completely belong to the IOM authorities and do not reflect the views of the World Bank Group. ■





CHAPTER 4

Legal, Supervisory & Law Enforcement Framework

4.1 Introduction

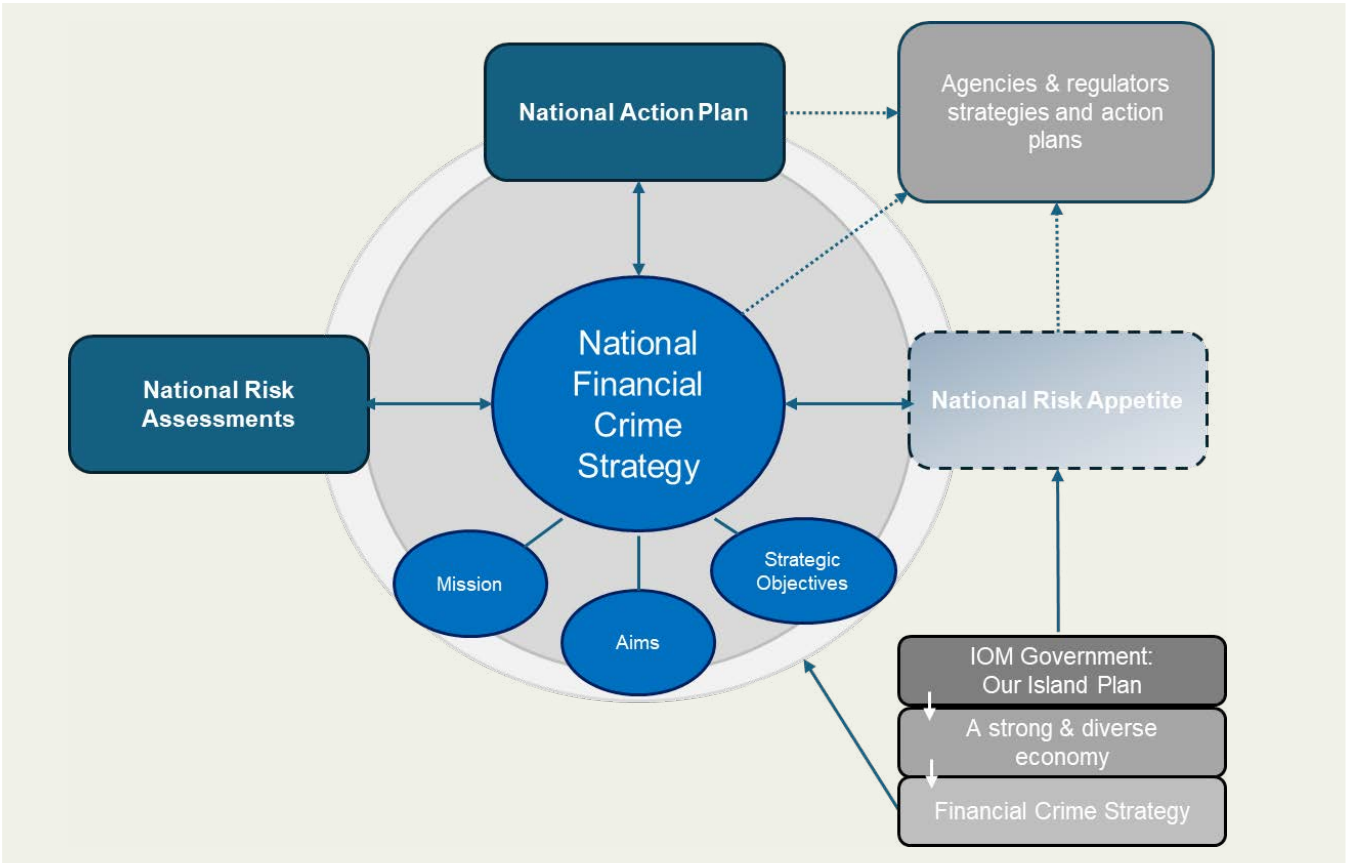
Appendices 2 and 3 in the 2020 ML/TF NRA summarised the legal and regulatory framework as well as the legislation, as does the recently published IOM Profile document, entitled "A Profile of the Isle of Man".

The fourth and most recent National Financial Crime Strategy, published in November 2023, established the mission, aims and strategic objectives for the continued success of the IOM as an IFC. The aims are:

- Public sector and industry work together to achieve a common goal of meeting international standards
- Actions are informed and driven by best practice and standards, both domestic and internationally
- The Island is an active participant in the global fight against financial crime
- All stakeholders have the resources they need to effectively identify and respond to ML/TF/PF threats.

The National Financial Crime Strategy clearly documents the IOM's position in supporting international efforts in the fight against all forms of TF. **Figure 4-1** shows the relation between the overall Island Plan and the National Financial Crime Strategy. The National Action Plan, once published, will outline the actions being taken by which competent authority. The National Risk Appetite, which is scheduled to be drafted within the next 12 months and a number of NRAs, of which this TF NRA is one core part. ›

Figure 4-1: Relation Between Key National Documents



4.2 Framework

The IOM's CFT framework includes a robust suite of legislation and other enforcement tools. It includes a dissuasive array of sanctions. This framework:

a) is established to minimise the abuse of the international financial system by actors wishing to finance terrorism
b) is based on the FATF Recommendations and is continually updated in line with the FATF changes
c) implements the requirements of the international conventions extended to the IOM, including the United Nations Terrorist Financing Convention (International Convention for the Suppression of the Financing of Terrorism 1999).

The Island achieved a high level of compliance with the FATF 40 Recommendations at the time of the last MONEYVAL assessment, with 39 out of the 40 being scored compliant or largely compliant. The two key pieces of legislation relating to TF in IOM legislation are:

- ATCA 2003[27]
- TOCFRA 2014[28].

In addition, the Sanctions Act 2024[29] provides for the implementation of UK sanctions, to amend TOCFRA to align certain provisions more closely with equivalent provisions of UK law. Amongst a wide range of other matters, ATCA defines terrorist property, provides powers to proscribe organisations, creates the offences of supporting and funding terrorist organisations, including facilitating funding and financing travel, the offences of failure to disclose TF for the regulated sector and provides for the forfeiture of terrorist property. TOCFRA provides for the giving of directions in respect of the financing of proliferation or terrorism or money laundering, the freezing of terrorist assets, sets out disclosure requirements, offences for failure to comply with directions, designations and freezing orders. Both Acts have been subject to recent amendments to ensure that they reflect the latest FATF Recommendations as these evolve.

4.2.1 Isle of Man Government Agencies and Authorities

The Competent Authorities and the roles that they play in mitigating risk within the Island are detailed in **Appendix 5** in the National Financial Crime Strategy. This also includes details of the governing boards that oversee efforts towards financial crime prevention and detection on the Island.

4.2.2 Further Enhancements to Framework Since 2020 ML/TF NRA

As a result of previous ML/TF NRAs a number of enhancements have been made to the Island's overall framework and the IOM Government also allocated additional funding for resources to a number of agencies. These include, but are not limited to:

LEGISLATION

- Companies (Amendment) Act 2021 amended the Companies Act 2006, the Companies Act 1931 and the Limited Liability Companies Act 1996 in order to:
  - Introduce new requirements in respect of companies incorporated under the Companies Act 2006 to make the filing of the register of directors and any subsequent changes to it compulsory
  - Introduce a requirement for companies incorporated under the Companies Act 1931, Companies Act 2006 ›

27 https://legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/2003/2003-0006/2003-0006_13.pdf
28 https://legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/2014/2014-0013/2014-0013_10.pdf
29 https://legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/2024/2024-0002/2024-0002_1.pdf

and Limited Liability Companies Act 1996 to maintain their memorandum and articles (which confirm the company name, legal form and status, registered office address and basic regulating powers) or proof of incorporation at the registered office on the IOM and be made available for inspection

- Beneficial Ownership (Amendment) Act 2021, to improve the accuracy and timeliness of information on beneficial ownership (filed by IOM companies and entered on the BO Register)
- International Co-Operation (Protection from Liability) Act 2021 – which made provisions for protection from liability against claims for damages, costs and consequential loss in cases where a public authority provides assistance pursuant to a request made by a relevant authority of a country or territory outside the Island and for connected purposes
- The Beneficial Ownership (Civil Penalties) Regulations 2022 added civil penalties to the existing criminal sanctions regime
- Sanctions Act 2024 - The Act brought together the majority of UN and UK sanctions legislation under one Act of Tynwald (IOM Parliament) and into one set of Regulations instead of being separated over a number of Acts and Regulations
- Travel Rule (Transfer of Virtual Assets) Code 2024 came into effect October 2024
- Beneficial Ownership (Obliged Entities Access) Order introduced in January 2025.

LAW ENFORCEMENT AGENCIES (LEAS)

- In 2022 the IOMC received additional funding and created PIMLIT. The team's remit is to progress international ML/TF investigations and realise intelligence developed from the FIU into evidence and pursue viable cases
- Within the Prosecution Division there is a dedicated FCU in the AGC. Prosecution are split into a general team and the FCU, which helps to increase specialism. FCU were established in 2024 and are a ring-fenced resource. FCU is structured to allow for procurement of specialist services and advice from a King's Counsel (KC), as most prosecutions will be highly complex and lengthy
- Also within the Prosecutions Division of AGC (which is the Central Authority for Mutual Legal Assistance (MLA) in the IOM) there is an International Cooperation and Asset Recovery Team which specialises in MLA, other forms of international cooperation and asset recovery including non-conviction based confiscation under the Proceeds of Crime Act 2008.

FSA

- Full re-write of AML/CFT Handbook to be more risk-based
- Restructured the FSA Supervisory Divisions from primarily sector-based to three impact- and risk-based divisions focussed on Prudential and Conduct supervision alongside authorisation of new firms (including designated businesses) and a ring-fenced AML/CFT supervisory division
- Revised FSA Supervisory Methodology Framework published, which set out a minimum engagement model for supervision based on impact and risk (with a distinct risk-based engagement model for AML/CFT supervision), together with an improved internal governance approach.

GSC

- Quarterly risk assessments of operator's risk drive forward a risk-based inspections process that includes onsite inspections for all operators
- Full review of the AML/CFT Guidance with a consultation to incorporate industry feedback
- Publication of AML/CFT Guidance for Software Supplier B2B models including examples of typologies
- Publication of AML/CFT Guidance for VA use within gambling models including typologies
- Creation of a standalone and ring-fenced AML/CFT Division including inspections, enforcement and outreach teams
- Creation and publication of an enforcement framework including a decision-making process and clear guidelines on how the GSC will proceed with enforcement.

DATA

- The IOMC has invested in a system from a leading provider of investigative analytics and intelligence software. This has allowed the IOMC to leverage their ability to ingest large volumes of data and analyse the material much quicker with data sets or key words specific to the offending. It allows PIMLIT's material to be analysed and processed almost immediately, aiding and expediting any TF-related investigation
- The IOMC have also re-established an existing system and have a shared licence with the FIU. In the event of a TF-related investigation, it could be implemented at short notice to better analyse suspect accounts and money flows. It enhances the jurisdiction's analytical capability ›

- Crypto tracing capability has also been invested in. PIMLIT and FIU share licences to allow for tracing of crypto assets linked to criminality including TF
- The introduction to the IOMC of an Open-Source-Intelligence (OSINT) Tool which allows investigators to research open-source profiles, source of wealth and internet history on persons of interest in a secure and auditable format that can be provided in evidence. This system also expands the capabilities for the IOMC in any investigation
- STRIX AML launched within the FSA and GSC, see **Chapter 5**, has enhanced the annual return as well as allowing for ad-hoc surveys to be undertaken
- The FSA continues to make the statistical returns more robust and embedded, as well as continually enhancing data via industry outreach
- Beneficial Ownership – risk-based independent identification and verification checking implemented from January 2025.

PUBLIC PRIVATE PARTNERSHIPS

- IOMFCP, see **Chapter 5.**

RESOURCING

- Additional resources provided to a number of agencies, regulators and departments including but not limited to:
  - Prosecutions Division – by the creation of the FCU and increased headcount in International Co-operation and Asset Recovery Team (ICART) providing for specialisation in non-conviction-based confiscation
  - Police – receiving additional staff and then the creation of PIMLIT
    - FIU – creation of a number of additional positions
    - FSA – increased headcount to divisions including AML/CFT and Enforcement
    - GSC – Created 4 standalone Divisions including AML/CFT Inspections and Enforcement Divisions, increasing headcount to all Divisions to ensure AML/CFT team are ring-fenced
    - AML/CFT team in the Cabinet Office increased headcount
    - Central Registry appointment of Data Assurance Officer – enabling a more proactive approach to data validation
    - Customs and Immigration Division appointed a dedicated Sanctions Officer ■

> The IOM's CFT framework includes a robust suite of legislation and other enforcement tools. It includes a dissuasive array of sanctions."



CHAPTER 5

Update on TF Actions from 2020 ML/TF NRA

The 2020 IOM ML/TF NRA made 5 recommendations at the end of Chapter 5, Main Threats – Terrorist Financing Threats.

1. The full analysis and understanding of inflows and outflows of funds to higher-risk jurisdictions

- Data on the monetary value and volume of inflows and outflows for all 11 banks[30] including origin and destination of funds, which is now collected and analysed quarterly by the FSA and shared with the FIU
- The aggregated results identify where financial flows are received from and are sent to; this includes higher-risk jurisdictions. The data is also used by the FIU to support ongoing strategic analysis projects
- The FSA Sector reports which are published include details of year-on-year payment flows in and out and the highest-risk countries
- The data is used in this and other NRAs
- **In Chapter 7.2.2** it is recommended that Class 8 Money Transmission Services also provide financial flow data to the FSA.

2. Using the information and data collated from the regulatory annual returns to further inform supervisory work and preventive measures

- In 2016 – 17 the FSA worked with Financial Institutions (FIs) to devise a dedicated AML/CFT return. The first cross-sectoral return was completed by all FIs and a number of DNFBPs in 2017 on a best endeavours basis. The annual return was revised following feedback and further returns from all FIs and DNFBPs submitted in 2018 (for 2017 data) and 2019 (for 2018 data)
- The returns have continued annually, subject to refinement as required. To enhance the process the data is now captured via STRIX AML and is received by the 31 March each year for the preceding year's data in order to feed into the inspection year which runs April – March
- STRIX AML is software which enables the regulators to receive, risk assess and analyse data from FIs and DNFBPs. Its introduction has streamlined the annual AML/CFT return, thematic review data requests and risk assessment data requests and has enhanced analysis of this data
- The data is used to undertake a high-level prioritisation review of risk for entities and sectors, to help with the allocation of resources for AML/CFT supervisory work (and oversight) on a risk basis and to target outreach and training. It also informs the AML/CFT Handbook, Sector Guidance and Sector reports
- The GSC also uses STRIX AML and collects data from licenceholders and uses this to inform outreach and supervision
- The data from the returns submitted in 2024 have been used in this NRA.

3. For the authorities to continue to monitor international typologies and domestic indicators ensuring that findings are appropriately disseminated

- The FIU keep up-to-date with typologies and reports on TF that are published by other jurisdictions and agencies. The FIU also receive typologies and other information via their connections in the Egmont Group of Financial Intelligence Units (Egmont Group) and other international groups. Where permissible, the FIU share relevant publications with other agencies
- An example of the above being where the FIU received updated typology information from an international partner in relation to an international conflict. The FIU had permission to share the typologies, so an alert was created which was distributed to government agencies and also to the regulated sector in a controlled manner via Themis
- A programme of outreach to industry from Government and agencies is in place. This includes TF
- This NRA recommends an action to publish further typologies.

4. To continue to thoroughly examine any suspected cases of TF using the policies and procedures established

- The FIU, Police and AGC all have policies and procedures in place. An action highlighted in **Chapter 7.1.6** recommends that the FIU TF policy is updated. Both the Police and FIU have TF policies that require updating. Updates should be aligned, particularly in terms of where the actions of both agencies intersect ›

30 Class 1 licenceholders (banks), which includes both Deposit taking and Restricted Deposit Taking

- As detailed in **Chapter 7.1.2** of this document the AG has recently published a Prosecution Policy and Guidance on Terrorist Financing Prosecutions internal guidance policy. ICART has also recently updated their policies
- This NRA recommends the IOM undertake an Island-wide scenario test of how the agencies and regulators would approach a real TF case. This would allow a theoretical test of the current extensive laws, policies and procedures, communication mechanisms and data flows/information sharing gateways to be tested
- The Police, ICART, FSA, GSC and FIU meet regularly as part of the AML Group, which has a standing agenda item to also review TF.

5. To identify ways in which collaboration with industry on identifying and managing TF risk can be further developed

- The implementation of the IOMFCP, a public/private partnership between the FIU and the regulated sectors (currently banks and TCSPs) to enhance timeliness and quality of suspicious transaction reporting and cooperation between the FIU and its primary sources of information; and focusing not only upon continual improvement of Intelligence Reports with a view to IOM investigations into international money laundering, but also working towards better identifying opportunities for civil recovery and working with ICART to achieve positive outcomes
- The IOMFCP allows the opportunity for the development and sharing of TF typologies to be done in collaboration and with input from industry as part of the operational group. In addition to the IOMFCP being a source of tactical collaboration, a huge part of the work is the undertaking of strategic work to understand risks, identify emerging trends and to develop collaborative typologies and risk assessments with input from both the public and private sector
- It has also been raised at the Steering Group of the IOMFCP that the FIU would like to explore the option of developing a TF Fusion Group within the IOMFCP. This would be a public/private initiative that could create a quick response with identified public and private points of contact, to react to any TF event or matter to allow urgent action and collation of required financial intelligence ■



CHAPTER 6

TF Threat

6.1 Step 1: Threat by Terrorist Organisation

6.1.1 Introduction

The TF threat increases if there are active terrorist organisations in a jurisdiction. Step 1 of the WB methodology considers this threat. The threat posed, is assessed by considering all active terrorist organisations or types (such as lone wolf) and reviewing per organisation:

- TF threat
- Diagnostic of TF methods:
  - What are the funding needs and the possible sources of funding
  - Assets – movement and use of funds
  - Which channels are used for moving funds.

By understanding the organisations, there is a greater understanding of the TF threat and this informs the overall TF threat assessment in Step 2. As documented in the FATF Terrorist Financing Report, February 2008[31]:

"The first step in identifying and forestalling the flow of funds to terrorists is to understand the funding requirements of modern terrorist groups. The costs associated not only with conducting terrorist attacks but also with developing and maintaining a terrorist organisation and its ideology are significant. Funds are required to promote a militant ideology, pay operatives and their families, arrange for travel, train new members, forge documents, pay bribes, acquire weapons and stage attacks. Often, a variety of higher-cost services, including propaganda and ostensibly legitimate social or charitable activities are needed to provide a veil of legitimacy for organisations that promote their objectives through terrorism."

6.1.2 Isle of Man: Domestic Terrorist Threat

The IOM has never experienced a terrorist attack. The IOMC has a relevant intelligence gathering strategy. No terror groups or cells are believed to be active or present on the Island. The IOM population profile is low-risk for terrorism. Although there are significant numbers of people resident who were not born on the Island, very few originate from regions/countries with an elevated risk profile for terror. There have been no terrorism prosecutions or convictions.

Given its small island population of 84,069[32], this is similar to the finding in the TF NRA for a number of other smaller jurisdictions. However, as an IFC, this does not necessarily result in no TF risk. Consequently, the Island contributed to the Monaco ›

"The costs associated not only with conducting terrorist attacks but also with developing and maintaining a terrorist organisation and its ideology are significant."

31 https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/FATF%20Terrorist%20Financing%20Typologies%20Report.pdf.coredownload.inline.pdf
32 https://www.gov.im/about-the-government/departments/cabinet-office/statistics-isle-of-man/census-and-population/

MONEYVAL workshop which produced guidance for assessing TF risk for IFCs with low domestic terrorism risk, detailed within the FATF Terrorist Financing Risk Assessment Guidance[33] (2019). See **Chapter 7.2** of this NRA.

There have been 4 offences between 2020 – 2023 initially recorded when reported as terrorism offences, which were hoax calls to institutions such as schools. These were later assessed to be misuse of telecommunications rather than terrorism offences and there have been no prosecutions for any terrorism offence. The IOM Department of Home Affairs publishes a list of proscribed organisations[34], which are the same as those listed in Schedule 2 of the UK Terrorism Act 2000[35]. "Proscribed organisations" are defined in the UK Act.

IOMC maintains direct liaison with the Counter Terrorism Policing North West[36] (CTPNW), which works within the National Counter Terrorism Network[37] to make sure that UK Police forces are best equipped to protect the public from acts of terrorism or domestic extremism and actively shares intelligence relating to terror threats with UK partners via the National Common Intelligence Application.

The WB Terrorist Financing Risk Assessment Tool Guidance Manual, November 2022[38] states: "Even if no terrorism or TF cases have been detected in the jurisdiction so far, a useful step may be to conduct this analysis for the terrorist organisations that are active in neighbouring countries."

The potential threat is governed by the environment, geographic position, restricted international transportation links (few direct international travel options for individuals) and neighbourhood that the Island exists within. Therefore, consideration was given to the risk from terrorist organisations in the two neighbouring countries: UK and Ireland. ›

Figure 6-1: Typologies to Support Wider Public Private Partnership Groups

The following two typologies were prepared by the FIU to support the wider Public Private Partnership (PPP) groups.

Activity by a national from a country where terrorist activity takes place or is adjacent to a country experiencing terrorist activity.
In this hypothetical typology example, a Turkish national who is living in the jurisdiction is identified by a local bank when they try to arrange for funds to be sent back to their own account in Turkey.

The bank reviewed the customer due diligence and identified inconsistencies with the expected account activity.

The bank then raised a SAR explaining their suspicions to allow the authorities to investigate further, using gathered intelligence as well as open-source information.

'Lone wolf' using crowdfunding to raise money.
In this hypothetical typology example, a local 'lone wolf' actor, who has been associated with conflicts overseas (but not in the capacity as a so-called Foreign Terrorist Fighter), uses crowdfunding pages to raise funds.

This type of typology is referenced extensively in the FATF publication Crowdfunding for Terrorism Financing 2023[39] and Europol Terrorism and Situation Trend report 2023[40].

33 https://www.fatf-gafi.org/content/dam/fatf-gafi/guidance/Terrorist-Financing-Risk-Assessment-Guidance.pdf.coredownload.pdf
34 https://www.gov.im/about-the-government/departments/home-affairs/executive-office/proscribed-terrorist-organisations/
35 https://www.legislation.gov.uk/ukpga/2000/11/contents
36 https://www.counterterrorism.police.uk/north-west/
37 https://www.counterterrorism.police.uk/our-network/
38 https://www.worldbank.org/en/topic/financialmarketintegrity/brief/national-money-laundering-and-terrorist-financing-risk-assessment-toolkit-disclaimer-and-terms-of-use
39 https://www.fatf-gafi.org/en/publications/Methodsandtrends/crowdfunding-for-terrorism-financing.html
40 https://www.europol.europa.eu/cms/sites/default/files/documents/European%20Union%20Terrorism20Situation%20and%20Trend%20report%202023.pdf

6.1.3 UK: Domestic Terrorist Threat

UK MI5 Security Services currently assess the terrorism threat level as Substantial[41] (an attack is likely) for the UK and also as Substantial for Northern Ireland-related terrorism. This had previously been higher, when in March 2023, a rise in dissident republican activity, led the UK to raise the terrorism threat level from Substantial to Severe (an attack is highly likely).

The Global Terrorism Index[42] (2024) scores the UK as 2.373 (low 0 to high 10) and an overall rank of 41 (of countries rated). Note that the IOM is not rated. The Fragile States Index[43] (2023) rates the UK as 'More Stable' with a score of 41.9 (globally the most favourable country has a score of 14.5, the least favourable has a score of 111.9). The IOM is not rated.

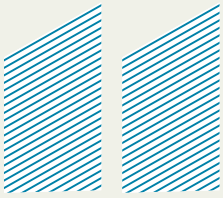
The UK ML/TF NRA 2020[44] explains that:

> "The UK national threat level incorporates the threat from far-right terrorism and left-wing, anarchist and single-issue terrorism in addition to Islamist terrorism and Northern Ireland-related terrorism in mainland Great Britain. Far-right terrorism encompasses ideologies adopted that can commonly be subdivided into cultural nationalism, white nationalism and white supremacism. Although Islamist terrorism remains the greatest threat in the UK, far-right terrorism has evolved in recent years and is of growing concern both within the UK and across Europe. Left-wing, anarchist and single-issue terrorism covers a broad spread of threat strands that sit outside of far-right terrorism: political left, anarchist and single issue. For example, anti-state, animal rights abuses, environmental abuses and anti-democracy. Most terrorist attacks and plots in the UK continue to be planned by British residents… continuing to see a trend towards lone actor, low sophistication attacks, which are inherently harder to detect."

According to the published UK Home Office figures, there were 159 arrests[45] for terrorism-related activity in the UK for the year ending 30 June 2023. As at 30 June 2023, there were 234 persons in custody for terrorism-connected offences in Great Britain. Of those in custody, the majority (**65%**) were categorised as holding Islamist-Extremist views; a further **27%** were categorised as holding Extreme Right-Wing ideologies and **8%** were categorised as holding 'Other' ideologies.

In a recent speech[46] the Director General of the UK Security Service stated: "The threat from terrorism, alongside ongoing efforts by autocratic states to harm the UK's security, presented the most complex threat environment we have ever seen".

RUSI in their paper "The Silent Threat, The Impact of Fraud on UK National Security" January 2021[47] highlights that as terrorism moves from large organisations such as Al-Qa'ida to small cells and lone actors, the funding from fraudulent activities[48] has become more prevalent. ›



The UK national threat level incorporates the threat from far-right terrorism and left-wing, anarchist and single-issue terrorism in addition to Islamist terrorism and Northern Ireland related terrorism in mainland Great Britain. "

41 https://www.mi5.gov.uk/threats-and-advice/terrorism-threat-levels
42 https://reliefweb.int/report/world/global-terrorism-index-2024
43 https://fragilestatesindex.org/wp-content/uploads/2023/06/FSI-2023-Report_final.pdf
44 assets.publishing.service.gov.uk/media/5fdb34abe90e071be47feb2c/NRA_2020_v1.2_FOR_PUBLICATION.pdf
45 https://www.gov.uk/government/statistics/operation-of-police-powers-under-the-terrorism-act-2000-quarterly-update-to-june-2023/operation-of-police-powers-under-the-terrorism-act-2000-and-subsequent-legislation-arrests-outcomes-and-stop-and-search-great-britain-quarterly-u
46 https://www.mi5.gov.uk/director-general-ken-mccallum-gives-latest-threat-update
47 https://static.rusi.org/the_silent_threat_web_version.pdf
48 Activities such as: benefit fraud; credit card fraud; identity theft; and the sale of counterfeit goods.

These UK threats have been considered for the IOM, as per WB methodology. Whilst the UK and IOM are very closely linked, the threat from UK domestic terrorists using the IOM financial system is considered to be very low, given the physical separation and onboarding controls. There are a number of Irish and Northern Irish IOM residents; however, the Island has no history of sectarian tension. There are no active political groups linked to Irish Republicanism. No intelligence exists to suggest Republican Paramilitary Groups have a presence or any substantial body of sympathisers. There is no indication of fund raising or money laundering linked to such groups.

It should be noted that there is a close working relationship between the IOM and the UK. As documented in CONTEST: The United Kingdom's Strategy for Countering Terrorism (2023)[49], the UK has responsibility to the Crown Dependencies (which includes the IOM) stemming from international law and the constitutional relationship. The UK would support any locally led response if an incident occurred. The IOMC primarily engages with the UK Counter Terrorism network through the 'Pursue' and 'Prevent' strands. If there were a situation of terrorism with a primarily external nexus (UK-based/affecting the UK/international), the UK National Crime Agency or the British Security Services would be the lead agency for identification and investigation and the IOM agencies would support.

6.1.4 Ireland: Domestic Terrorist Threat

The Global Terrorism Index (2024) scores Ireland as 0.03 and an overall rank of 88. This is the lowest (most favourable) score for countries that are rated. The Fragile States Index (2023) rates Ireland as 'Very Sustainable' with a score of 19.5, one of the most favourable scores globally.

The Ireland ML/TF NRA 2019[50] explains that:

> "Republican Paramilitary Groups (sometimes referred to as 'dissident groups') represent the main terrorist threat to the security of the State. While the Good Friday Agreement has delivered a stable peace process that commands overwhelming cross-community support, certain groups in both communities, with very limited levels of support, remain intent on disrupting the progress which has been achieved. It is important to understand that these groups operate on a 'whole of island' basis, with activities occurring on both sides of the border. While logistical support, planning and financing may occur in both jurisdictions, these groups do not generally have as an objective the carrying out of acts of terrorism in this State. For that reason it is generally assessed that an attack in Ireland from this source is unlikely."

The threats from Ireland have been considered for the IOM, as per WB methodology. Europol's Terrorism Situation and Trend Report (2023) recorded 19 arrests in Ireland in 2022. This highlights that whilst the IOM is not currently directly affected, neighbouring countries may be impacted.

LONE ACTORS

The Europol Terrorism Situation and Trend Report looks at the outlook on potential developments in terrorism and violent extremism in the European Union (EU). **Figure 6-2** summarises the report's comments on lone actors. The threats from lone actors have been considered for the IOM, as per WB methodology. ›

Figure 6-2: Lone Actors

Acting alone but not unconnected, Lone Actors are expected by Europol to continue to perpetrate most of the terrorist attacks in the EU. The range of ideas, messages and grievances that can trigger radicalisation is expected to become even broader in the background of social polarisation and recurrent economic crises. Against such backdrop and strongly enabled by the almost unconstrained access to online extremist and terrorist content, more vulnerable individuals without prior and direct affiliation to terrorism or violent extremism can be exposed to radical content and ideas.

As a countermeasure to deflect law enforcement investigations, terrorist networks may target vulnerable individuals and influence/manipulate them to commit terrorist acts as lone actors, seemingly alone, but in reality serving the objectives of the larger networks.

49 https://assets.publishing.service.gov.uk/media/650b1b8d52e73c000d54dc82/CONTEST_2023_English_updated.pdf
50 https://assets.gov.ie/8242/80ab9a41b1354405adcec66bfb1c0715.pdf

6.2 Step 2: National TF Threat

6.2.1 Introduction

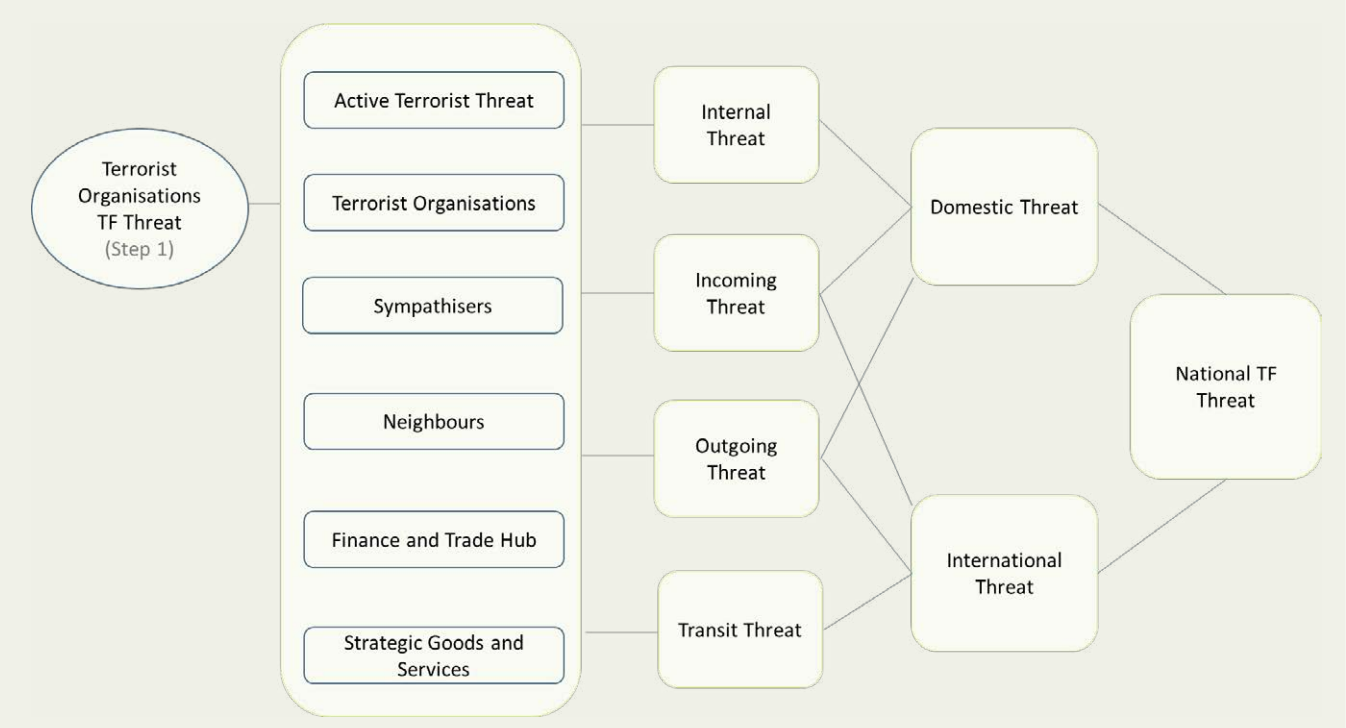
Step 2 considers the national threat of TF. As per earlier **Figure 3-1**, it assesses the aspects of raising, moving, storing and using of funds to finance terrorism, terrorist organisations and people. **Figure 6-3** details WB methodology for **Step 2**.

The assessment of the national TF threat considered by the experts on Island, covered:

1. Active terrorist threat in the jurisdiction, including: current level of alert system (if any); casualties; terrorist acts; ancillary activities; overall impact of terrorism
2. Terrorist organisations which includes the input from **Step 1** (**Chapter 6.1**), threat by terrorist organisations
3. Sympathisers, including: level of investigations-prosecutions-convictions; SARs; travel to active zones; outgoing remittances to geographical locations that have an active terrorist threat; Islanders having close relationships to active zones
4. Threat from neighbouring jurisdictions, including: neighbours' threat level (**Chapters 6.1.3** and **6.1.4**); fatalities in neighbouring countries; terrorist acts; funding needs associated with the active terrorist threat of neighbouring jurisdictions
5. Finance and Trade Hub, which captures elements applicable to the IOM as an IFC, supported by **Chapter 7.2,** Monaco (MONEYVAL) Small States guidance
6. Strategic goods and services including: providing strategic goods, services or financial aid to affected areas.

The assessment then produced outputs (**0-1.0**) in four categories, as per **Figure 6-4**. ›

Figure 6-3: Step 2 - National TF Threat



Source: World Bank Group

Figure 6-4: Terrorist Financing Threat Assessment Scores

Terrorist Financing Threat Category	Contributing Threats Making Up The Assessment Result	Assessment Result
Internal TF Threat – the domestic threat to the IOM from activity within the IOM	• Domestic TF threat arising from active terrorist threat in the IOM • Domestic TF threat from terrorist organisations, groups or persons in the jurisdiction • Domestic TF threat from populations that are sympathetic to terrorist groups or ideology	0.10
Outgoing TF Threat – the outbound threat to other jurisdictions from activity in the IOM	• Cross-border TF threat arising from active terrorist threat in the jurisdiction • Cross-border TF threat from terrorist organisations, groups or persons in the jurisdiction • Cross-border TF threat from populations that are sympathetic to terrorist groups or ideology • TF threat arising from the provision of strategic goods, strategic services or financial aid to areas with active terrorist threat	0.30
Incoming TF Threat – the inbound threat to the IOM from activity from neighbouring countries	• Incoming TF threat from neighbouring countries with active terrorist threat • Outgoing TF threat from neighbouring countries with active terrorist threat	0.13
Transit TF Threat – the flow-through threat of the IOM being used for TF	• TF threat arising from financial/trade hub facilities	0.50

6.2.2 TF Threat Arising From Active Terrorist Threat

	Rating	Trend
Domestic TF Threat	Very Low	Constant
Cross-border TF Threat	Very Low	Constant

There is no evidence from SARs, investigations or prosecutions of an active terrorism threat within the IOM. However, the Island is always alert and has to be prepared should there be any offences. The Island is not immune from terrorist activity, some of which is borderless online activity.

Given its small, Island population, this is similar to the finding in the TF NRA for a number of other smaller jurisdictions and not unexpected.

It is assumed that the Island faces similar potential threats as other jurisdictions, though a smaller population is assumed to result in a proportionally smaller risk. This NRA considers that the Island could potentially face similar threats to those highlighted in the UK NRA, such as extremists (political or religious) and lone wolf actors, even though none have materialised to date.

As documented in the European Commission Online Radicalisation What We Know paper[51] by Joe Whittaker, "online radicalisation has become a key concern within contemporary society." The IOM is not immune from the threat of recruitment, radicalisation and self-radicalisation of individuals. As outlined in **Chapter 6.1.3,** the IOMC primarily engages with the UK Counter Terrorism network through the 'Pursue' and 'Prevent' strands. ›

51 https://home-affairs.ec.europa.eu/system/files/2023-11/RAN-online-radicalisation_en.pdf

Figure 6-5: Radicalisation

The IOMC has a MOU in place with UK LEAs which provides intelligence updates around relevant threats and risks relating to terrorism. The working collaboration also provides a basis for mutual support where necessary and development and learning to IOM intelligence and investigation staff.

The UK terrorism strategy is built around the four 'P's approach which relates to;

- **Pursue** – stopping terrorist attacks
- **Prevent** – stopping people becoming terrorists or supporting violent extremism
- **Protect** – strengthening our protection against terrorist attack
- **Prepare** – mitigating the impact of attacks.

The IOMC has embraced the principles of this working strategy within local domestic examples where potential terrorist offending has been identified. These principles were employed and active working strategies developed relating to bespoke matters of interest to protect the IOM. In particular, where there has been any evidence relating to potential radicalisation, the IOMC have assessed and put mitigation measures in place to prevent and protect with any cases to date resulting in no further action in relation to any terrorist concerns.

Where appropriate the IOMC has engaged with other stakeholders across the Island, such as prison and probation services, mental health services, education and other agencies where the principles and mitigation action in line with the Prevent strategy has been taken forward or advice offered.

> Where there has been any evidence relating to potential radicalisation, the IOMC have assessed and put mitigation measures in place"

MONEYVAL CoE Committee on Counter Terrorism Report on Emerging Terrorist Threats in Europe (February 2023)[52] identifies the rise in terrorist attacks by violent far-right extremists as one of the biggest threats in Europe.

The overall summary of crime-recorded terrorism offences for the IOMC within the time parameters of this NRA is that there have been no substantive offences of terrorism, with no links to any form of fund raising from any particular example, therefore the overall domestic and cross-border TF threat is deemed very low. ›

52 https://rm.coe.int/0900001680a9ad67#_Toc121816438

6.2.3 TF Threat Arising From the Presence of Terrorist Organisations

	Rating	Trend
Domestic TF Threat	Very Low	Constant
Cross-border TF Threat	Very Low	Constant

The TF threat arising from terrorist organisations, groups and (categories of) persons (1) that are designated or (2) for whom reasonable grounds exist for believing they are engaged in terrorist activities in the jurisdiction are deemed to be very low.

Since the publication of the last NRA in 2020 (the time horizon for this NRA) there have been no investigations, prosecutions or convictions of terrorist organisations in the Island.

The profile of the jurisdiction is a key factor in its comparative safety from terrorist threats, persons and organisations being active in the jurisdiction. However, this is not taken for granted and it should be noted that the recently published Department of Home Affairs Securing Our Island Strategy (September 2024) does say that the Island will "deploy Automatic Number Plate Recognition (ANPR) and facial recognition technologies at our ports to detect criminals and terrorists".

There is no intelligence in the IOM to suggest links with so-called Foreign Terrorist Fighters (FTF) and their funding. However, it is well documented that the risk posed by FTFs does exist throughout the world and therefore as an IFC it is important that there is an awareness of the threat. The United Nations Security Council Counter-Terrorism Committee Executive Directive issued a report titled Evolving Trends in the Financing of Foreign Terrorist Fighters' Activity: 2014–2024[53], published in November 2024. The report summarises how financial flows related to FTF travel and activities have evolved over the ten-year period. It highlights that there are at least 35,000 – 45,000 FTF associated individuals remain in camps and prisons. It concludes on evolving trends and how these will shape the landscape of FTF financing:

- "The decentralization of terrorist groups is likely to lead to a corresponding decentralization in their financing methods, including in relation to any associated FTFs
- Armed conflict contexts in which FTFs operate also raise challenges for impartial humanitarian action where measures to counter the financing of terrorism may result in negative unintended consequences on the provision of vital humanitarian aid
- Technological advancements will continue to play an important role in the evolution of FTF financing, with an anticipated further increase and sophistication in exploitation of new and emerging financial technologies as they continue to spread across jurisdictions
- The convergence between terrorist financing and transnational organized crime networks is likely to continue, particularly for financing and FTF-associated travel facilitation purposes
- The increased convergence in the mixed use of old and new ways to raise and move funds (e.g., online fundraising in virtual assets and with further use of hawala-like systems or cash couriers to move collected funds) essentially combines the challenges and complexities related to each method – from detecting physical cross-border transportation of cash to tracing intricate virtual transactions." ›

Technological advancements will continue to play an important role in the evolution of FTF financing, with an anticipated further increase and sophistication in exploitation of new and emerging financial technologies"

53 https://www.un.org/securitycouncil/ctc/sites/www.un.org.securitycouncil.ctc/files/cted_trends_tracker_evolving_trends_in_the_financing_of_foreign_terrorist_fighters_activity_2014_-_2024.pdf

6.2.4 TF Threat Arising From Sympathisers

	Rating	Trend
Domestic TF Threat	Very Low	Constant
Cross-border TF Threat	Low	Increasing

The TF threat associated with persons in the Island population that may be sympathetic to terrorist organisations, persons or ideologies is rated as very low for any local Island threat (as there is no domestic terrorism). It is rated as low for cross-border threat, as there is always a risk with a population that is made up from many locations worldwide – although the actual number of people from other countries is very low.

There are **38.2%** of the population originating from the UK, where there have been terrorist activities and therefore there is a very low residual risk, given the size of this population in the Island. From recent nationalities of those applying for Visas, the top 10 jurisdictions that may pose a higher-risk[54] are summarised in **Figure 6-6**.

The cross-border threat is deemed as increasing (see reference to Department of Home Affairs border strategy), on the basis that the population is slowly increasing .›

Figure 6-6: Top 10 Nationalities That Have Applied for IOM Visas Over The Last 4 Years from Jurisdictions That May Pose a Higher-Risk

Top 10 Nationalities That Have Applied for IOM Visas Over The Last 4 Years From Jurisdictions That May Pose a Higher-Risk	
Country	**% of overall number**
South Africa	21.2%
Philippines	13.2%
Bulgaria	3.1%
Nigeria	2.9%
Ukraine	2.7%
Pakistan	2.7%
Zimbabwe	1.9%
Kenya	1.6%
Russian Federation	1.3%
Türkiye	1.2%

Source: Passport, Immigration & Nationality

54 Jurisdictions that may pose a higher-risk are explained in **Chapter 6.3.2**

Figure 6-7 has two possible typologies that could occur on the Island.

Figure 6-7: Typologies

Typology – collecting cash donations

The FATF Terrorist Financing Typologies Report February 2008[55] describes scenarios of both legitimate and illegitimate money being used for TF purposes. A derivation of these typologies is described below as being the sort of typology that might be applicable to the Island.

Someone reports to the Police that their neighbour has been collecting cash donations from their community, which they say are being sent overseas. The concern of the reporting neighbour is that the funds may actually be destined for a banned organisation overseas which has been associated with terrorist activities. The likelihood is that the collection has been done under the false auspicious of raising money for an overseas religious body.

Typology – unusual travel frequency

This typology is described in the UK Neighbourhood Watch website[56]: Signs of terrorist activity.

Like other criminals, terrorists need to plan. They need to prepare, to buy and store materials and find ways to fund their activities. Much of this is done in view of the public. It can be hard to distinguish between terrorist activity and ordinary activity or behaviour, but the police would prefer that you report anything that you find suspicious, even if you are not sure.

For example: Your neighbour travels a lot but is vague about where they are going and why they are visiting that country.

6.2.5 TF Threat Arising From Active Terrorist Threat From Neighbouring Jurisdiction

	Rating	Trend
Domestic TF Threat	Very Low	Constant
Cross-border TF Threat	Low	Increasing

As detailed in Chapter 6.1, the key neighbouring jurisdictions are the UK and Republic of Ireland. Both have sophisticated anti-terror agencies and their NRAs give a good understanding of the risks they face and hence help the IOM consider the risks of any proximate TF threat. Prior to March 2023, the UK had been rated as Severe, hence the increasing rating being allocated.

The **UK ML/TF NRA 2020** states: "Most terrorist attacks and plots in the UK continue to be planned by British residents continuing to see a trend towards lone actor, low sophistication attacks, which are inherently harder to detect." The UK NRA explains the close economic ties between the UK and the Crown Dependencies and the significant economic benefits, although it does state that criminals seek to exploit this relationship. The Irish ML/TF NRA 2019 makes no explicit reference to the Island. ›

55 https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/FATF%20Terrorist%20Financing%20Typologies%20Report.pdf.coredownload.inline.pdf
56 https://www.ourwatch.org.uk/crime-prevention/crime-prevention-toolkits/terrorism/spotting-signs

The United Nations Office of Counter-Terrorism in an article entitled Cybersecurity and New Technologies[57] warns about the growing concern of terrorists misusing information and the internet and new technologies in particular. They are used to 'commit, incite, recruit, fund or plan acts of terrorism'. In 2024 the United Nations Interregional Crime and Justice Research Institute published a report titled Beneath the Surface: Terrorist and Violent Extremist Use of the Dark Web and Cybercrime as a Service for Cyber-Attacks (June 2024)[58]. This report looks at the relationship between terrorism and cybercrime.

6.2.6 TF Threat Arising From Finance and Trade Hub

	Rating	Trend
Cross-border TF Threat	Medium	Constant

Financial and trade hubs, particularly those with international and regional significance, often present an appealing environment for TF activities. This remains true even in areas with minimal or no active terrorist threats or where few terrorist organisations, individuals or groups operate. These hubs potentially offer facilities that can be exploited for TF purposes, with the sheer scale of global financial transactions making it challenging to identify suspicious activities. Additionally, trade hubs may attract financing flows related to goods such as military or strategic items, contraband or assets acquired by terrorist organisations, including resources like oil or antiquities. The high volume of goods passing through these hubs generally complicates efforts to enforce laws and detect illicit operations. Such vulnerabilities can be especially significant for jurisdictions, neighbouring areas or major trading partners facing an active terrorist threat.

The Island is not a transhipment hub or a major trading hub (most trade is with the UK), however it is an IFC and therefore rated as medium. The threat is deemed to be constant and not changing significantly at present.

The 2022/23 National Income by Economic Activity published by the IOM Government in January 2025[59], states that the Manufacturing Engineering sector accounts for a **0.6%** share overall. This compares with the Finance Sectors and supporting services which have overall National Income shares of: Banking **7.6%**; Insurance **17.0%**; Other Finance and Business Services **8.3%**; Legal and Accountancy Services **1.7%**; Corporate Service Providers **3.4%**; Other Professional Services **9.9%**; and eGaming **13.6%**.

The Global Financial Centres Index published in 2025[60] ranks[61] the IOM in 55th place out of 119 financial centres. For comparison, other jurisdictions which appear later in this report are:

Centre	Rank
New York, USA	1
London, UK	2
Hong Kong SAR	3
Singapore	4
Dubai, UAE	12
Dublin, Ireland	14
Geneva, Switzerland	15
Luxembourg	16
Jersey	25
Guernsey	41
Isle of Man	55
Mauritius	58
Cayman Islands	86
BVI	102
Buenos Aires, Argentina	119

57 https://www.un.org/counterterrorism/cybersecurity
58 www.un.org/counterterrorism/sites/www.un.org.counterterrorism/files/dw_beneath_the_surface_update.pdf
59 https://www.gov.im/media/1387432/national-income-2022-23-report-final-070225.pdf
60 https://www.longfinance.net/media/documents/GFCI_37_Report_2025.03.20_v1.1.pdf
61 https://www.bis.org/publ/qtrpdf/r_qt2206b.htm

A comparative measure of the size of the IOM as an IFC is provided in the paper published by the Bank for International Settlements (BIS), The Outsize Role of Cross-Border Financial Centres[62] in 2022 (see **Appendix 9.2**).

As a result of the Island's profile, there is a low likelihood of funds being sent from the IOM to wittingly support terrorism elsewhere in the world. However, as an IFC, there is always the risk that funds raised in the IOM or sent via the IOM (or via an IOM structure) unwittingly ending up in the hands of terrorists and/or terrorist financiers. Therefore, as an IFC the possibility has to be considered. Potential typologies include the following:

- Donations to international charities for a charitable purpose overseas, ending up being misdirected for a terrorist purpose, thereby benefitting terrorist organisations as an unintended consequence. An NPO TF NRA will be undertaken and published following the publication of this risk assessment
- IOM residents giving funds to campaigns via online platforms/ crowdfunding that are then used for terrorist purposes
- TF in the IOM by a national from a country where terrorist activity takes place or is adjacent to a country experiencing terrorist activity
- 'Lone wolf' using crowdfunding[63] to raise money for terrorist purposes.

As an IFC, the IOM engages in cross-border business that might be exploited for TF. The risk of the finance sector being used by a lone actor is low as lone actors usually need only relatively small amounts of money for terrorist purposes and have no need of the expense or the risk of exposure from using the formal financial system across jurisdictions. The risk of organised terrorist groups needing to use the financial sector and legal persons and arrangements to conceal and transfer larger amounts of property for terrorist purposes is higher.

There have been no prosecutions for the substantive TF offences (ss.7-10 ATCA) to date. There have been no convictions for TF in the IOM.

Chapter 7.2 uses Monaco (MONEYVAL) Small States guidance to analyse the threat further.

6.2.7 TF Threat Arising From the Provision of Strategic Goods and Services

	Rating	Trend
Cross-border TF Threat	Low	Constant

Strategic goods and services are not exported to areas with an active terrorist threat. The national vulnerabilities worksheet assessments provided a good insight into the controls and potential vulnerabilities. These are low and not seen to be changing. ›

> There is a low likelihood of funds being sent from the IOM to wittingly support terrorism elsewhere in the world. However, as an IFC, there is always the risk that funds raised in the IOM or sent via the IOM unwittingly ending up in the hands of terrorists and/or terrorist financiers."

62 Crowdfunding is a Class 6 permission under the Financial Services Act 2008. There are currently no licensed entities.

6.3 Step 3: TF Threat & Vulnerability at Sectoral Level

6.3.1 Introduction

WB methodology seeks to assess the risk of sectors in the jurisdiction, to help fully understand the national TF risk. Not only may the features of a sector lend themselves to being exploited by terrorist financiers, but weaknesses in the CFT measures in different sectors may also cause TF vulnerability. However, due to the different nature of terrorist financing crimes, not all sectors require an in-depth TF risk assessment. Each jurisdiction must first decide which sectors should be subjected to an in-depth risk assessment and for which others a brief risk assessment would be sufficient.

FATF Terrorist Financing Risk Assessment Guidance 2019 states:

> " An assessment of TF risk will require a consideration of both cross-border risks and TF risks posed to specific sectors. The extent to which countries will need to assess the TF risks posed to specific sectors will depend to some extent on the materiality, TF awareness and geographic reach of certain sectors."

For the Island the following sectors have been reviewed using the WB Sector methodology:

- Banks
- TCSPs
- Life Insurance
- Online Gaming

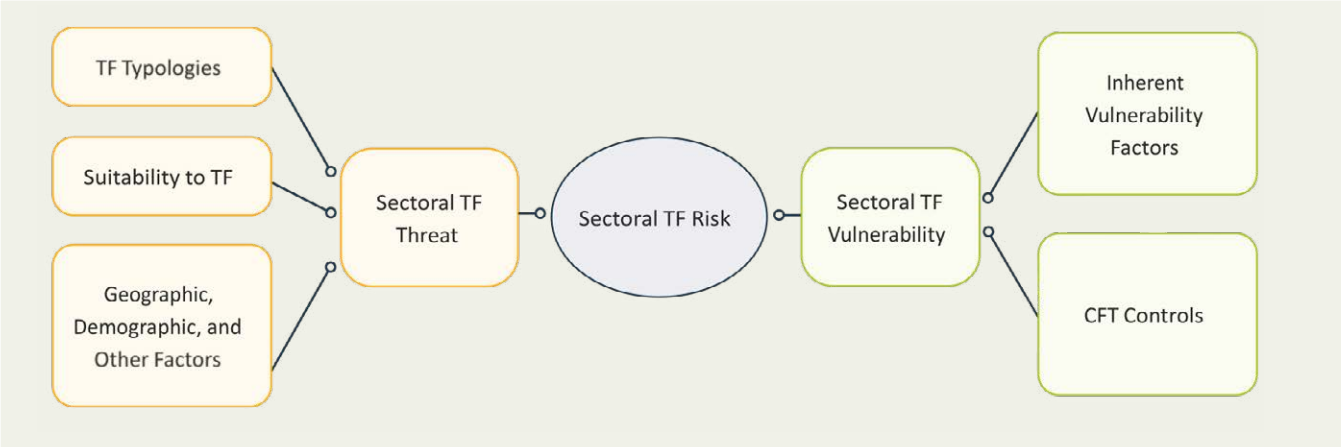
In addition, the NPO TF NRA will be published shortly after the publication of this NRA.

These sectors were chosen as they were recommended for inclusion by WB methodology (Banks and NPOs), constitute a material portion of the Island's ecomony (Life Insurance and Online Gambling) or recommended for inclusion (TCSP) by the governance committee deciding on which sectors to review in more depth.

For each sector, WB methodology undertakes a review of, see **Figure 6-8**:

- TF threat factors
- Inherent vulnerability factors
- CFT controls. ›

Figure 6-8: WB Methodology - Sector TF Risk



Source: World Bank Group

Summarised commentary and scoring is provided on the 4 sectors noted above. More detailed analysis documents were reviewed with the sectoral working groups but these are not published in this document. For all other sectors, a briefer review has been undertaken in **Chapter 6.3.6.** These sectors have been scored at a high level using the WB methodology, with the expert judgement of the regulators.

The methodology used to assess the TF risk scores for each sector in the 2020 ML/TF NRA differs from the TF-specific methodology used in this 2025 NRA. Any changes in the scoring may be attributed to several factors:

- A more in-depth analysis in 2025 has provided an enhanced understanding of a sector
- There has been substantive work across the sectors by the competent authorities and industry since 2020, to better understand TF threats and implement improved controls
- The reviews in 2020 and 2025 did not look at identical variables. In this 2025 NRA the following variables were considered (in depth for 4 sectors and at a high level for the remaining sectors) and the focus was specifically on TF, not on ML, for this TF NRA:
  - Threat factors – 6 variables assessed
  - Inherent Vulnerability factors – 10 variables assessed
  - CFT controls – 13 variables assessed. ›

Figure 6-9: Residual TF risk scores for each sector alongside the TF rating in the 2020 ML/TF NRA

Residual TF Risk Score Each Sector Is Exposed To	2020	2025
Materially Significant Sectors - Assessed Using World Bank Methodology		
Banking	Medium	Medium
TCSPs	Medium	Medium
Life Insurance	Medium	Medium Low
Online Gambling	Low	Medium
Other Sectors - Scored With The Expert Judgement Of The Relevant Regulators		
Non-Life Insurance	Medium Low	Medium Low
VA	Medium	Assessed Separately
Credit Unions	Medium Low	Low
Collective Investment Schemes (Funds), Fund Managers and Administrators	Medium	Medium Low
Investment Business: Asset and Investment Management	Medium	Medium Low
Investment Business: Financial Advisory Firms	Low	Low
Money Transmission	Medium Low	Medium Low
Pensions	Medium Low	Low
External Accountants, Tax Advisers & Payroll Agents	Medium Low	Low
Legal Services	Low	Low
Estate Agents	Low	Low
Non-Profit Organisations	Low	Assessed Separately
Moneylenders, Financial Leasing & Financial Guarantees	Low	Low
High-Value Goods Dealers	Low	Medium Low
Terrestrial Gambling	Low	Low

FURTHER TF-RELATED NRAS

Three NRAs that are planned for later this year will also cover TF risk. Where appropriate, they will use specific WB methodology designed for the sector/product

The publication of these NRAs may necessitate an overlay on this TF NRA, with necessary adjustments if required. It is recommended that to demonstrate how these have been considered in concert, a horizontal Executive Summary is produced once all the NRAs have been published.

Sector/Product	NRA
NPO	NPO TF NRA
VA	VA NRA
LPAs	LPA NRA. This will primarily consider the ML risks, but will also look at TF risks for LPAs.

Group-Wide Risk to FIs

Where relevant, the group-wide risk to DNFBPs and TCSPs are considered separately within each sectoral Chapter.

As part of the AML/CFT annual return, the FIs provide information on introduced business and for each introduced customer the jurisdiction of the introducer. The AML/CFT returns were analysed by introductions for the number of customers from: IOM; UK; European Union Countries; Higher-Risk Countries[63]; Other Countries, which includes other IFCs.

Not all FIs have a material number of introduced customers, therefore the analysis only includes those that do: Banking; Life Insurance; Non-Life Insurance; Investment Business: Asset and Investment Management.

SUPERVISION

The FSA has published its Supervisory Methodology Framework[64] in January 2025. This details how the FSA approaches the supervision of Groups.
When conducting our supervisory activities we also take into account where there is more than one firm within the same corporate group and how integrated the systems, business models, controls and governance is for firms within those groups.

The FSA is an active participant in supervisory colleges, which are viewed by the FSA as an important component of their supervisory activities. They help the FSA to share information with other regulators about financial services groups with a presence on the Island (typically high and medium impact firms, most notably in respect of banks and certain insurers), improve the FSA's understanding of risk and learn about market and regulatory

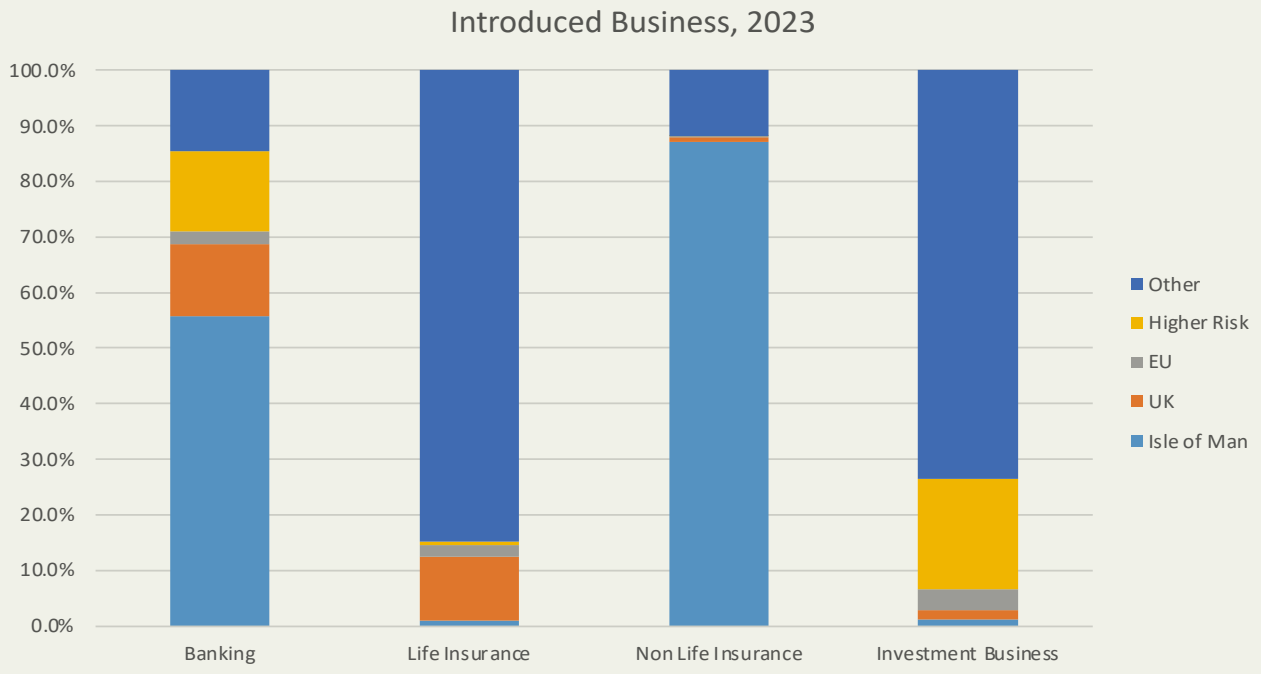
63 Defined in chapter 6.3.2.1
64 https://www.iomfsa.im/media/3144/supervisory-methodology-framework.pdf

developments. The FSA may organise and chair a supervisory college, where they are the home supervisor or as other circumstances may apply (for example for larger fiduciary groups or for insurance groups if the FSA are the "group supervisor") or the FSA may be invited, as a host supervisor, to attend a college arranged by an overseas home regulatory supervisor.

LICENSING

The FSA Licensing Policy for Regulated Activities under the Financial Services Act 2008[65], September 2024, provides details for applicants that are part of groups. The FSA will normally supervise a licenceholder on both a solo and consolidated basis.

Where the licenceholder is part of a group, the FSA may want to assess the whole group. The FSA may ask for information about other group entities from the applicant, other regulators and, if necessary, the group entities themselves.



Source: FSA AML/CFT Annual Returns

65 https://www.iomfsa.im/media/3343/fsa08licensingpolicy.pdf

6.3.2 Banking Sector

6.3.2.1 TF Threat Factors for Banking Sector

Threat Factors	Rating for Banking
Existence of Typologies/Cases in the Jurisdiction	Rare
Existence of Typologies/Cases Globally	Moderate
Geographic Factors	Moderate
Demographic Factors	Moderate
Other Threat Factors	Do Not Exist
National Threat Level (to which the sector is exposed)	0.25

Various potential/hypothetical local typologies were identified by the National Vulnerabilities working group:

- Abusing the IOM Visa system for a TF purpose
- TF activity facilitated in the IOM by a national from a third country (where terrorist activity takes place or is adjacent to such a country)
- 'Lone wolf' using crowdfunding to raise money for TF.

There are potential/hypothetical international typologies:

- An IOM resident using the Banking system to send funds to extremists in the UK or Europe or elsewhere
- The use of legal business structures by terrorists and violent extremists to raise funds, as identified in Europol Terrorism Situation and Trend Report 2023
- Sending funds to family who are believed to be members of or associated with terrorist organisations.

There are cases of terrorists using Banking facilities in other countries, such as money transmission accounts, making payments cross-border and the use of low value transactions to avoid suspicion. The threats of inadvertently assisting a TF middleman to transfer funds are primarily mitigated by the bank only transferring funds for their existing customers, on whom they monitor transactions and hold and refresh their customer due diligence.

The IOM's geographical location positioned between the UK and Ireland is away from globally recognised conflict zones and recognised higher-risk jurisdictions. But as an IFC, the client base of the banks is global and this imports country risk. Figure 6-10 compares the aggregated top 10 countries in 6 exposure categories for the banks that are reported annually via the AML/CFT returns. Similar comparisons are provided for several other sectors in this Chapter. A comparison of each of the 6 categories is made for:

- Top 10 countries as a % of the overall customer base – which is designed to show the concentration of customers by country risk
- The percentage of higher-risk countries (List A, Bi and Bii) as a proportion of the overall customer base – showing the exposure to jurisdictions that pose or may pose a higher-risk.

For overall context, as at the end of 2023, in respect of the total customer base for banks, **93.2%** were natural persons. ›

Figure 6-10: Top 10 Countries showing Exposure to Country Risk from the Customers of IOM Banks, 2023

PEPs by nationality	%	PEPs by residency	%	Natural persons by residency	%	Non-natural persons by residency	%	New customers	%	UBO	%
UK	22.0	South Africa	19.9	Isle of Man	34.6	Isle of Man	73.6	Isle of Man	55.8	Isle of Man	47.5
South Africa	19.8	Isle of Man	12.4	UK	20.9	UK	11.7	UK	12.9	UK	24.4
Nigeria	4.9	UK	10.8	South Africa	12.9	BVI	3.1	South Africa	12.5	South Africa	3.7
Zimbabwe	3.9	Nigeria	5.2	USA	3.2	Guernsey	1.4	UAE	4.0	UAE	2.6
Isle of Man	3.5	Ghana	3.7	UAE	2.3	South Africa	1.2	Brazil	2.5	Ireland	1.7
Japan	2.9	Zimbabwe	3.4	Australia	2.1	Jersey	1.2	Malaysia	1.5	Jersey	1.5
Namibia	2.1	Japan	2.7	Hong Kong SAR	2.1	Cayman Islands	0.8	Zimbabwe	1.4	USA	1.3
Saudi Arabia	2.0	Kenya	2.5	Spain	1.4	Malta	0.8	Mexico	1.0	Guernsey	1.2
USA	2.0	UAE	2.4	Canada	1.2	Ireland	0.7	Cypus	0.8	Switzerland	1.1
Kenya	2.0	Namibia	2.2	France	1.2	Gibraltar	0.5	Zambia	0.8	Italy	0.9
Top 10 as % of overall	**65.0**		**65.1**		**82.0**		**95.0**		**93.2**		**85.8**
Higher-risk countries (Lists A, Bi and Bii)	**40.8**		**40.6**		**16.5**		**1.6**		**14.4**		**6.4**

Source: FSA AML/CFT Annual Returns

JURISDICTIONS WHERE COUNTER-MEASURES ARE REQUIRED AND THOSE THAT POSE OR MAY POSE A HIGHER-RISK

Throughout this document, consideration is given to the exposure that regulated entities and their customers may have to jurisdictions that are considered likely to be subjected to a greater level of threat from terrorism and TF. The Island has categorised countries by the risk they pose[66]:

- **'List A'** contains those jurisdictions which the FATF has made a call on its members and other jurisdictions to apply countermeasures to protect the international financial system from the on-going and substantial risks of ML/TF emanating from the jurisdiction. List A currently comprises 3 jurisdictions
- **'List B'** contains those jurisdictions with strategic AML/CFT deficiencies or which may pose a higher-risk of ML/TF. List B is made up of two lists:
  - **List Bi** - consists of countries that FATF has identified as having strategic AML/CFT deficiencies for which they have developed an action plan with the FATF. It also identifies a number of jurisdictions as not having made sufficient progress on their action plans agreed with the FATF
  - **List Bii** - specifies additional jurisdictions that have also been identified as those that may pose a higher-risk of ML or TF by the IOM Government. The list is prepared, in accordance with an established methodology, using data gathered from various commercial intelligence sources that cover ML, TF, crime, transparency and bribery/corruption risk.

The June 2024 published lists were used for this document. The list of countries is detailed in an Appendix in **Chapter 9.3.**

NON-HIGHER-RISK JURISDICTIONS

- **'List C'** is a list specifying countries which are considered to have an AML/CFT regime of approximately equivalent standard to that of the IOM
- **'List D'** – Disclosures within a "Group" List[67]
- Lists are updated and published quarterly by the Department of Home Affairs
- Industry is accustomed to updating their own systems and relevant procedures and controls using these Lists ›

66 https://www.gov.im/about-the-government/departments/home-affairs/executive-office/anti-money-laundering-legislation-and-countering-the-financing-of-terrorism-amlcft/

67 List D – Disclosures within a 'Group' List - A disclosure within a regulated financial institution is permitted providing both the institution making the disclosure and the institution to whom the disclosure is made belong to the same group [as prescribed is section 146(2) of the Proceeds of Crime Act 2008 – "Disclosures within an undertaking or group, etc."] and are captured by List D and its methodology. Fuller details can be obtained on the previous link.

Consideration is also given to other potential threat factors:

- Natural resources - There are no natural resources of significance for a terrorist organisation to own or abuse in the IOM, although the IOM Government is open to the possibility of exploration of oil and gas
- Supply chains – Negligible as most trade is with the UK, see **Chapter 7.2**
- Transport route – The IOM is an IFC but not a transit route.

Consideration is also given to other potential threat factors:

6.3.2.2 Inherent Vulnerability Factors for Banking Sector to TF

Inherent Vulnerability Factors	Rating for Banking
Overall Size/Turnover of the Sector	Medium High
Outward International Transactions/Operations	Most Transactions
Outward Transactions/Operations to Higher-Risk Geographical Locations	Moderate Level
Inward International Transactions/Operations	Most Transactions
Inward International Transactions/Operations from Higher-Risk Geographical Locations	Moderate Level
Client Base Profile	Medium
Level of Cash Activity	Medium
Use of Agents, Vendors, Other Intermediaries	Medium Low
Suitability/Utility for TF	Medium Hgh
Other Inherent Vulnerability Factors	Do Not Exist

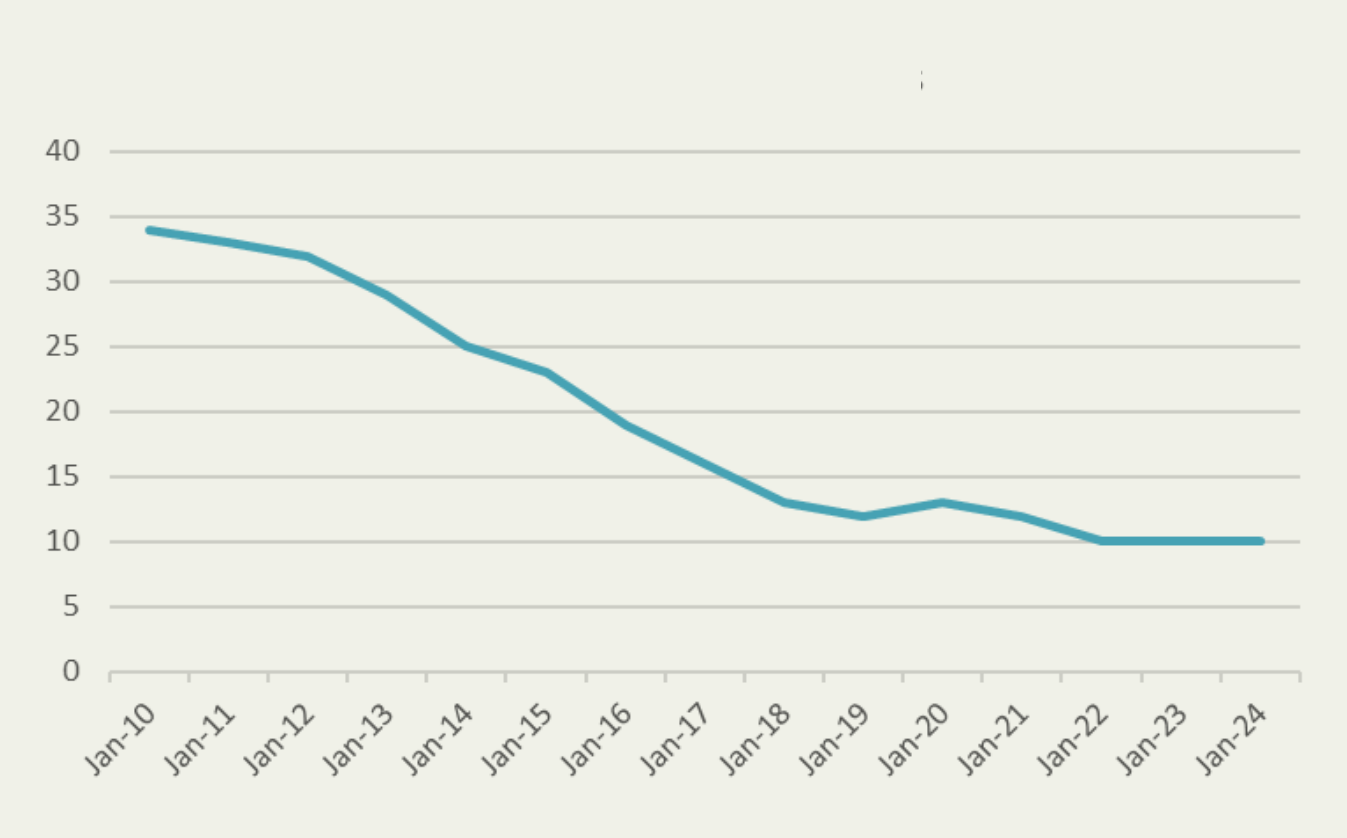
As detailed in the IOM National Income 2022/3 Report[68], Banking is **7.6%** of the national income. This compares with the other sectors receiving a deep dive review:

- Insurance – **17.0%**
- Online Gaming – **13.6%**
- TCSPs – **3.4%**

The number of deposit-taking licensed banks has steadily reduced between 2010 and 2024 (source IOM Government[69]), see **Figure 6-11**. ›

68 https://www.gov.im/media/1387432/national-income-2022-23-report-final-070225.pdf
69 https://www.gov.im/about-the-government/government/open-data/economy/Quarterly Economic and Statistical Update

6-11: Deposit-Taking Licenceholders 2010 – 2024



Source: IOM Government

The 11 banks (10 deposit-taking and 1 restricted deposit-taking) have the following ultimate countries of origin (group ownership):

UK – 4
South Africa – 3
Isle of Man – 2
Spain – 1
Trinidad & Tobago – 1

The Banks supply the FSA with quarterly transactional data for outflows and inflows. The four years of data 2020/3 is summarised in **Figure 6-12**. The largest trading partner for the IOM is the UK, which accounts for **46.9%** of outward payments and **51.1%** of inward payments over this four-year period[70]. Approximately **96%** of all transactions are cross-border.

The FSA Banking Bulletin[71] also provides a breakdown of the geographical source of deposits, with the IOM being the largest with **33%** and then the UK with **30%**. ›

70 Over this period banks have continued to improve the quality of their data reporting in respect of Sterling payments to/from UK.
71 https://www.iomfsa.im/media/3321/banking-bulletin-q1-2024.pdf

Figure 6-12: Top 10 Banking Outflows and Inflows 2020 – 2023

Top 10 Outflows 2020/3		
Number	Country	%
1	UK	46.9%
2	USA	12.7%
3	Germany	11.2%
4	Switzerland	3.1%
5	Jersey	2.8%
6	South Africa	1.6%
7	India	1.5%
8	Singapore	1.3%
9	Belgium	1.0%
10	Luxembourg	0.9%

Top 10 Inflows 2020/3		
Number	Country	%
1	UK	51.1%
2	USA	12.3%
3	Germany	9.8%
4	Jersey	3.0%
5	Switzerland	1.9%
6	France	1.7%
7	South Africa	1.5%
8	Luxembourg	1.4%
9	Mauritius	1.2%
10	Ireland	1.2%

Source: FSA

Across many of the banks, operational activity is outsourced to other parts of the group; this is often to ensure a consistent standard is met across the group. There are shared services agreements in place. Work is passed to other jurisdictions such as the Crown Dependencies, UK, India and South Africa.

Figure 6-13 summarises the outflows and inflows for List A jurisdictions and List B jurisdictions that pose or may pose a higher-risk for banks for the Period 2020/3. **Figure 6-13** also includes the total for all the other countries and the top 10 countries, for comparative purposes.

Figure 6-13: Outflows and Inflows for Jurisdictions That Pose or May Pose a Higher-risk 2020 – 2023

Financial Outflows 2020/3	
A	0.00%
Bi	2.71%
Bii ML&TF and TF	1.07%
All other	96.22%
Top 10	**83.00%**

Financial Inflows 2020/3	
A	0.00%
Bi	2.38%
Bii ML&TF and TF	0.41%
All other	97.21%
Top 10	**85.10%**

Source: FSA

Those countries deemed to carry higher-risk account for **3.78%** of outflows and **2.79%** of inflows via the banks. It should be noted that South Africa is a List Bi country and is in the top 10 for both outflows **(1.6%)** and inflows **(1.5%)** and accounts for the largest part of these numbers. **Figures 9-1** and **9-2** provide a more detailed breakdown of outflows and inflows by country for List B countries.

The annual AML/CFT returns provided by the banks to the FSA enable a picture to be obtained of the banks' exposure to the high or higher-risk presented by certain customer country risk categories when those customers (whether a PEP, a resident, a natural person or a new customer) are connected to a List A, a Bi or a Bii country, see **Figure 6-14**. ›

Figure 6-14: Country Risk Exposure to High- or Potentially High-Risk Countries of Bank Customers, 2023

Country Risk Rating	2023 Bank PEPs by Nationality	2023 Bank PEPs by Residency	2023 Bank Natural Persons by Residency	2023 Bank Non-Natural Persons by Residency	2023 Bank New Customers Introduced	2023 Bank UBO
A	0.04%	0.08%	0.01%	0.00%	0.00%	0.01%
Bi	31.13%	32.06%	14.72%	1.45%	12.94%	5.62%
Bii	9.67%	8.47%	1.78%	0.18%	1.41%	0.74%

Source: FSA AML/CFT Annual Returns

The FSA has requested Banking licenceholders to conduct internal audit reviews in 2025/26 regarding the quality of data being submitted to the FSA, including AML/CFT data and financial flow data.

It is to be expected that there are a comparatively high percentage of South African clients at South African banks on the IOM, who may be higher-risk clients, as South Africa is a List Bi country and may therefore be deemed higher-risk for TF. Further, South Africa is just one country component of a wider exposure to African-based clients in respect of not only the South African banks that operate from the Island, but some other banks that had built previous relationships on that continent. Included within these customer numbers are a very small number of overseas-based charities (not registered on the IOM Charities Register) who hold monies with IOM banks. Whilst the majority are UK registered charities, a small number are African-registered charities. The banks also support the IOM charitable sector with Banking facilities, with **0.6%** being rated as higher-risk.

The cash activity in the Banking sector will be via the domestic branches. Any TF risk arising from outflows of property will be from bank transfers and is not considered to be likely by way of the cross-border outflow of cash in the form of bank notes (particularly given that IOM bank notes, although sterling, are not readily usable outside the IOM).

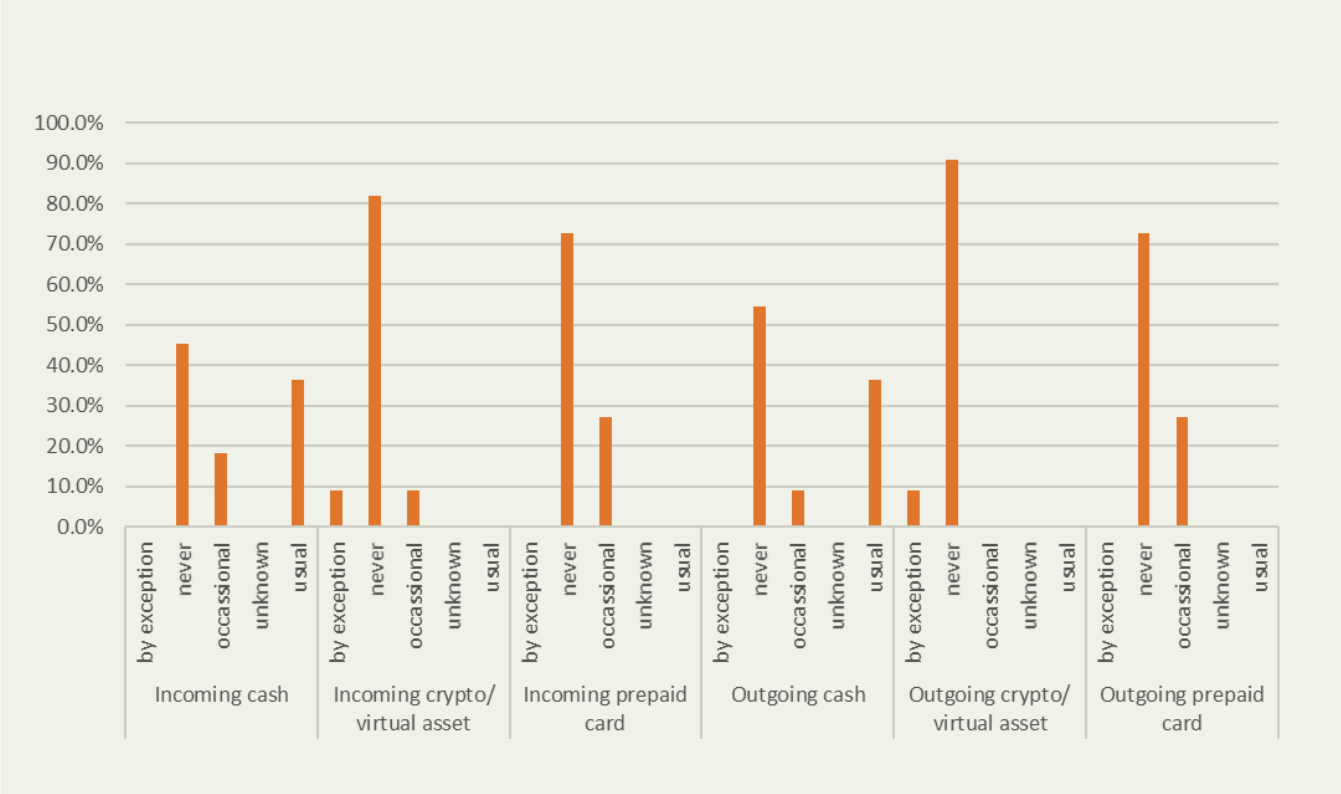
Therefore and in conjunction with Step 4 Threat Vulnerabilities assessment sheet 19: "Formalisation level of the economy" which was scored as 0.9 (close to excellent), the level of cash activity is deemed to be medium. From the AML/CFT returns the banks confirm[72] how often they accept incoming or provide outgoing cash, virtual assets and prepaid cards[73], see **Figure 6-15**. ›

> Any TF risk arising from outflows of property will be from bank transfers and is not considered to be likely by way of the cross-border outflow of cash in the form of bank notes"

72 Under the prescribed headings: by exception; never; occasional; unknown; usual

73 Although the acceptance of money from and payment of money to, prepaid cards is not prevalent, banks have reported an anecdotal increase in fraud related transactions whereby funds have been paid away to e-money accounts, which may link to prepaid cards.

Figure 6-15: Incoming and Outgoing Activity for Banking Sector for Cash, Virtual Assets and Prepaid Cards, 2023



Source: FSA AML/CFT Annual Returns

> It is globally recognised that bank products do provide some suitability for TF, as they enable person-to-person transfers, via digital or mobile banking."

The Banking sector reports on use of Concessions from the Code including Reliance on third parties (Eligible Introducer) in their Annual AML/CFT return. Across the sector there are a small number of Eligible Introducers (who verify customers' identities and retain evidence of those identities); therefore this concession is used to a limited extent. This is reflected in the medium low score for use of agents, vendors and other intermediaries.

It is globally recognised that bank products do provide some suitability for TF, as they enable person-to-person transfers, via digital or mobile Banking. ›

6.3.2.3 CFT Controls for Banking Sector

	CFT Control Factors for Banking	Rating	
1	Comprehensiveness of CFT Legal/Regulatory Framework	0.8	Very High

There are comprehensive laws and regulations regarding CFT. In the IOM the two key pieces of legislation relating to TF are ATCA and TOCFRA.

The Banking sector is supervised by the FSA. The FSA issue and maintain the AML/CFT Handbook.

The Isle of Man's AML/CFT framework of legislation and guidance is drafted to meet the FATF AML/CFT standards. AML/CFT legislation as defined by the Code means:

- Section 7 to 11 and 14 of ATCA
- Part 3 of the Proceeds of Crime Act 2008 (POCA)
- Parts 2 to 4 of TOCFRA
- financial sanctions which have effect on the Island
- the Code.

The AML/CFT Handbook provides extensive guidance across a range of matters that are key to the Banking sector.

The FIU also issues guidance to banks on completing SARs, as well as providing feedback on the quality of SARs.

2	Effectiveness of Supervision/Oversight Activities	0.8	Very High

The FSA has published its Countering Financial Crime Strategic Approach document[74], which sets out the mission and vision taking direction from the FSA's Strategic Plan for 2024 – 27[75].

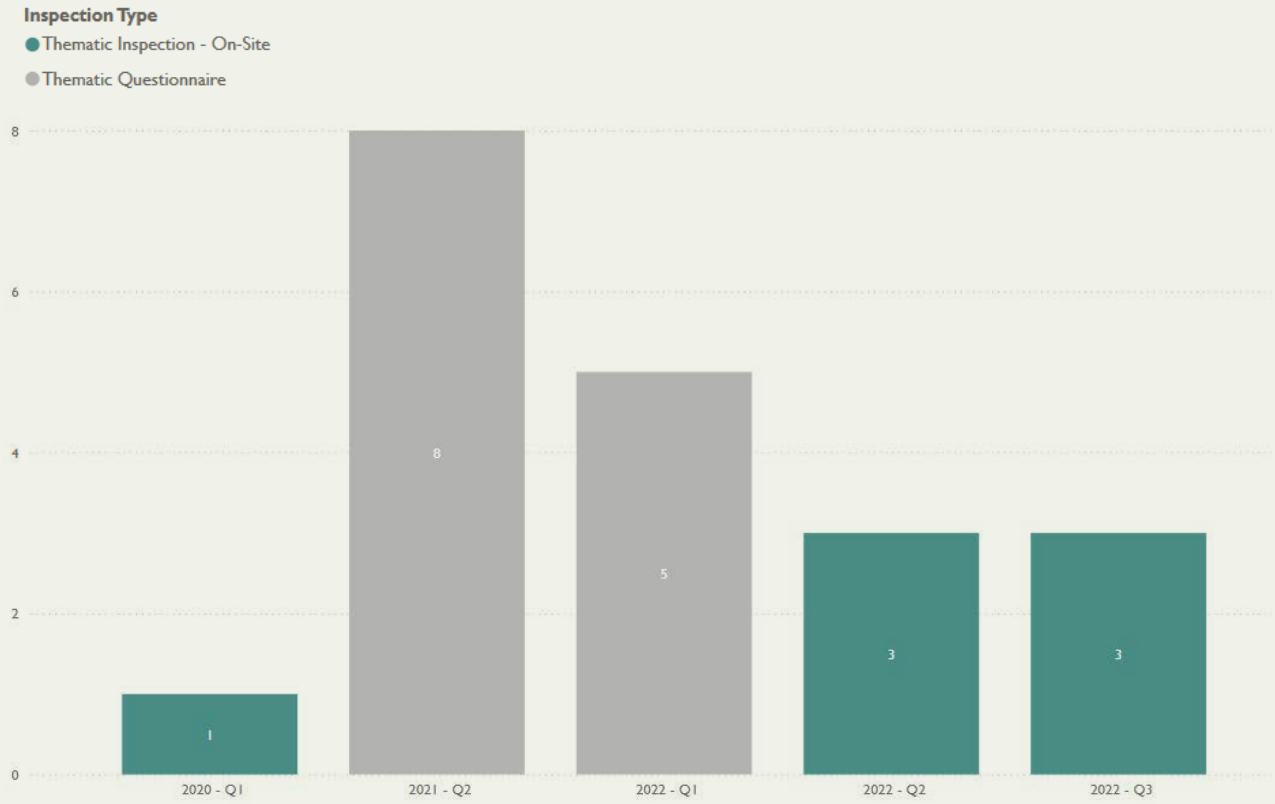
The Financial Services Act 2008 (FSA08) prescribes the mandate and powers to the FSA. The FSA inspections methodology (October 2021) is also published[76]. The FSA's supervisory framework was published in May 2023[77]. The document details where the policies and procedures fit into the control considerations.

The FSA has been receiving AML/CFT annual returns and financial flow data from banks for the last 7 years which informs the risk-based approach to Supervision as well as informing sector reports which are published on the FSA's website. The use of technology (STRIX AML) has further streamlined this process and allows for the efficient analysis of risk producing a risk heat map of both sectors and individual entities.

Through the publication of sector reports and the analysis of the AML/CFT returns (including financial flows) the staff within the FSA have a good understanding of the risks within the banking sector and are confident in determining where to focus resources when devising the Engagement Plan.

74 https://www.iomfsa.im/media/3371/countering-financial-crime-strategic-approach.pdf
75 https://www.iomfsa.im/media/3356/iomfsa-strategic-plan-2024-2027.pdf
76 https://www.iomfsa.im/media/2898/external-inspections-guidance.pdf
77 https://www.iomfsa.im/media/3144/supervisory-methodology-framework.pdf

Figure 6-16: Number of AML/CFT Inspections & Thematic Questionnaires of Banks by the FSA Since Q1 2020



As stated in the FSA AML/CFT Supervisory Priorities 2025/27 document[78]: "A key part of our approach to assessing risk at firm and sector level is through data collection and automation, as well as intelligence and other information, including onsite and desk-based fieldwork."

In addition to AML/CFT annual returns, thematic[79] reviews and supervisory inspections covering AML/CFT, the FSA holds discussions with the banks' internal audit and compliance teams and has meetings/dialogue with the IOM Banking Association on matters where required.

It is acknowledged in various chapters of this document that the TF awareness is not as detailed as the ML awareness. This also applies within the FSA. There is a plan to identify a lead on TF within the FSA, with a greater CFT knowledge than their colleagues to provide CFT support and to identify and provide enhanced CFT training where required.

Source: FSA

78 https://www.iomfsa.im/media/3408/aml-cft-supervisory-priorities-2025-2027.pdf
79 Full list contained within FSA website https://www.iomfsa.im/publications/

3	Availability and Enforcement of Administrative Sanctions	0.8	Very High

The FSA seek to:

- Intervene at an early justified stage in issues to help prevent unacceptable risks crystallising
- Understand, collaborate and follow a reasonable path of remediation to achieve the right outcomes
- Ensure enforcement is pursued where proportionate, reasonable and appropriate.

A full suite of regulatory measures is available and applicable including both criminal and civil penalties, including against individuals. Administrative sanctions include directions, conditions, suspension and revocation.

Figure 6-17 represents the regulatory penalties that have been imposed on 3 banks. Island Global Research survey of industry[80] shows the effectiveness of the deterrence of enforcement actions, with **91%** of responders saying they were aware or very aware of the enforcement actions. **Figure 6-17** does not include the most recent bank fine[82].

Various Acts overseen by the FSA enable the FSA to require a current or former licenceholder to pay a penalty for any contravention of the Act or any prohibition or requirement imposed under the Act. The Financial Services (Civil Penalties) Regulations 2015 came into effect on 1 August 2015. In 2019 the AML/CFT (Civil Penalties) Regulations[83] were introduced.

A decision to impose a discretionary civil penalty will be made by the FSA in accordance with the Enforcement Decision-Making Process. The Authority has published a Guidance Note to provide additional information on the operation of the discretionary civil penalties regime.

Figure 6-17: Penalties Imposed[81] on the Banks



Source: FSA

80 https://www.iomfsa.im/media/3200/2023-industry-survey-full-report.pdf
81 In this and all subsequent graphs, the penalties are all those imposed on the sector and not related to TF penalties in isolation. The FSA Enforcement Action announcements (https://www.iomfsa.im/enforcement/enforcement-action/) provides details on the nature of the non-compliance.
82 https://www.iomfsa.im/fsa-news/2024/nov/public-statement-concerning-the-imposition-of-a-civil-penalty-under-the-financial-services-civil-penalties-regulations-2015-in-respect-of-hsbc-bank-plc-iom-branch-hsbc/
83 https://www.iomfsa.im/media/2598/anti-money-laundering-and-countering-the-financing-of-terrorism-civil-penalties-regulations-2019.pdf

4	Availability and Enforcement of Criminal Sanctions	0.6	Medium High

Extensive criminal sanctions are in place for non-compliance with CFT obligations. These are detailed in ATCA with a maximum custody term not exceeding 14 years. For an employee of a bank (and all other sectors) the threat of criminal sanctions alongside internal disciplinary procedures and loss of employment are strongly dissuasive.

There have been no prosecutions or convictions of banks or of those employed by banks for TF to date.

5	Availability and Effectiveness of Entry Controls	0.8	Very High

The FSA's Licensing Policy for Regulated Activities under the FSA08 sets out the criteria that applicants must satisfy to be successful in securing and retaining a financial services licence. The FSA will not issue a licence unless it is satisfied that the licence applicant, including the persons associated with it, is a fit and proper person to undertake the regulated activity. The fit and proper test is both an initial test at the time of granting a licence and a continuing test in relation to the conduct of regulated activities. The test takes into account integrity, financial standing and competence.

The FSA may be challenged in the Courts by an applicant if they do not agree with the FSA's decision. This was the situation in a recent (non-bank) case[84]

The FSA monitor entry controls and report on the vetting of individuals within the banking sector.

6	Integrity of Staff in the Sector	0.8	Very High

The general level of integrity and the operating environment in the IOM is considered to be of a good standard. Banking is a mature sector, there is often group oversight and a range of policies in place for dealing with staff issues. The IOM is also not considered to have significant issues regarding corruption/bribery of officials. There has been one recent example where the IOM based defendant was acquitted of his involvement in the bribery of a Ugandan official[85]. The FSA monitor data on the notifications of fraud, staff discipline and criminal convictions and report internally on an annual basis. They also track notifications of employee screening which may affect an assessment of the fitness and propriety of an individual.

84 https://www.courts.im/media/3141/fst-costs-order-2022-03-04.pdf
85 https://www.iomtoday.co.im/news/the-first-bribery-trial-ever-to-be-held-in-the-isle-of-man-has-been-aborted-762344
https://www.iomtoday.co.im/news/isle-of-mans-first-bribery-trial-comes-to-an-end-as-accountant-cleared-812099

7	CFT Knowledge and Awareness of Staff in the Sector	0.6	Medium High

First issued in 2006, revised on many occasions and most recently in 2022, the FSA "Training and Competence Framework"[86] sets out the FSA's detailed expectations of its applicants, the regulated sector and their staff in relation to ongoing training and competence and should be read in conjunction with the "Regulatory Guidance - Fitness and Propriety".[87] The framework is split into two distinct segments:

PART 1: General Training and Competence Requirements – What the FSA expects of the regulated sector in relation to the training and competence of all staff
PART 2: Controlled Functions and Other Functions - Training and Competence – the additional expectations applicable to individuals undertaking or aspiring to undertake certain Controlled Functions or certain other functions.

When applying the training and competence framework, an applicant/business in the regulated sector should consider the specific risks and needs of its business.

Global bodies and agencies also issue helpful papers, manuals and videos such as the World Bank, FATF, MONEYVAL and others.

Banks also have in-house training material (potentially with assessment tests) to ensure staff refresh their knowledge on a periodic basis. Whilst the ML knowledge is very good, TF and TFS knowledge will not be as extensive across the workforce and there is little exposure to TF & TFS risks in the day-to-day activity of staff within the Island. As per the action in 7.1.6 it is recommended by the FIU that TF typologies are updated, including emerging threats, followed by further training to industry. This accounts for the medium high rating for banking and across most other sectors within **Chapter 6.3**. The FSA are gathering additional data on TF training which will become available in 2025.

8	Effectiveness of Compliance Function (Organisation)	0.8	Very High

In common with other small jurisdictions that support an IFC, there is competition for compliance professionals. However, the banking sector may have access to a larger pool of resources, via support from the group when required.

The large banks have invested heavily in risk management, compliance and financial crime prevention over the last decade. In 2023 the banks increased the percentage of staff in compliance function as a percentage of overall staff and reduced the number of vacancies – showing an increasing compliance function. Comparative figures for other sectors are provided in the relevant sectoral chapters[88] and the overall position by sector in **Figure 7-24.**

86 https://www.iomfsa.im/media/1521/tandc0406.pdf
87 www.iomfsa.im/media/3289/regulatoryguidancefitnessandpropriety.pdf
88 https://www.iomfsa.im/media/3221/aml-return-guidance-2023.pdf. The FSA provides guidance for firms on inputting the data and what is required for each question. Questions C7 to C14 cover the staff, vacancies and training. All figures displayed are for Full Time Equivalents (FTE). Staff vacancies as a % - the total number of FTE vacancies in the sector. Compliance staff as % of overall staff – the total number of FTE Compliance staff divided by overall FTE staff numbers. Compliance staff vacancies as % - the total number of FTE Compliance staff vacancies as a % of total FTE Compliance staff

Sector	Staffing	2022	2023
Banks	Staff vacancies as %	7.4%	5.6%
Banks	Compliance staff as % of overall staff	4.0%	5.6%
Banks	Compliance Staff Vacancies as %	10.8%	6.5%

The rating balances the strong compliance culture within the banks against the challenge of recruiting, developing and retaining talented compliance professionals in the sector.

9	Effectiveness of TFS Implementation	0.8	Very High

See **Chapter 7.1.18**

10	Effectiveness of Suspicious Activity Monitoring and Reporting	0.6	Medium high

The FSA inspections review the SAR process for the sector. The FIU advises the FSA of any known issues with timeliness, etc. The FIU provides guidance documents as well as feedback to Money Laundering Reporting Officers (MLROs) on SARs submitted. Banks audit the process themselves through all three lines of defence. The MLROs, who have access to the bank boards, also flag any issues.

Banks generally have automated Transaction Monitoring (TM) systems in place which are audited regularly.

The number of TF-related SARs submitted by banks has been extremely low over the last four years. It should be noted that the banks have had no recent enquiries referred to them of potential TF from the authorities. This could support the hypothesis that there is very little evidence of TF activity in the Island. As reported by the banks, there has only been 1 internal TF disclosure in 2022 and 1 in 2023, compared to 9 internal sanctions disclosures in 2023 and over 1,000 internal money laundering disclosures.

11	Availability and Access to Beneficial Ownership Information	0.7	High

See **Chapter 7.1.22**

12	Availability of Reliable Identification Infrastructure	0.7	High

Particularly for the banks, the most common form of local photo Identification Document (ID) is a Government-issued passport or IOM driving licence. A framework is in place to deal with persons who may not have these documents (e.g. elderly, students). The AML/CFT Handbook section 3 provides extensive support and guidance to industry on customer due diligence. Some banks also use electronic ID data tools for customers resident in certain countries, most commonly the UK as it is considered robust data sources exist there.

Banks do business with customers in many different countries and this is taken into account in the BRA and CRA process. Particular focus on ID theft is also in place and staff are trained to spot fraudulent documents. Due to non-face-to-face business the level of required validation can be difficult where there may exist some cultural differences such as name spelling, females not being included on bills, etc.

The use of electronic ID methods can be more difficult for corporates due to the number of persons involved in a structure.

13	Availability of Independent Information Sources	0.7	High

See **Chapter 7.1.21**

6.3.2.4 Summary for Banking sector

BANKING SECTOR OVERVIEW

Residual TF risk the banking sector is exposed to	Medium
Inherent TF risk the banking sector is exposed to	Medium
Quality of CFT controls	Medium

The Island's banking sector is well-established, fully regulated and supervised by the FSA, with robust CFT supervision measures in place. Most banks operate as branches or subsidiaries of larger banking groups and are subject to broader group-wide consolidated supervision, requiring compliance with both local and group-wide CFT regulations. The quality of controls was deemed to be medium.

These banks serve a diverse range of clients, including local and international personal customers, corporate entities and individuals managing funds on behalf of others (e.g. wealth management services).

Their customer base spans various nationalities and locations and they offer an extensive range of products and services. Approximately **96%** of transactions are cross-border. The largest trading partner for the IOM is the UK, which accounts for **46.9%** of outward payments and **51.1%** of inward payments over the most recent 4-year period.

It is globally recognised that bank products do provide some suitability for TF, as they enable person-to-person transfers, via digital or mobile banking. However, over recent years the banks have generally sought to de-risk the customer base, partly as a result of the cost of retaining higher-risk business (in a lower interest rate environment) and the cost via regulatory penalties and remediation when obligations are not met. Consequently, the inherent TF risk was assessed as medium.

Overall, the residual TF risk the banking sector is exposed to is **medium**. ›

6.3.3 TCSP Sector

6.3.3.1 TF Threat Factors for TCSP Sector

Threat Factors	Rating for TCSP
Existence of Typologies/Cases in the Jurisdiction	Moderate
Existence of Typologies/Cases Globally	Moderate
Geographic Factors	Moderate
Demographic Factors	Moderate
Other Threat Factors	Do Not Exist
National Threat Level (to which the sector is exposed)	0.23

As per banking in Chapter 6.3.2.1, the same domestic and international typologies were considered and given the products and services offered by the TCSP sector, the TF threats in the TCSP sector were deemed to be moderate for local typologies and moderate for global typologies. Consideration was given to the typology described in the IOM Law Society Typologies document[89] in relation to ML (but the typology could also be used for TF) of a TCSP acting as an enabler, by setting up multi-jurisdictional structures of companies and trusts for a criminal purpose. As an IFC the IOM is potentially susceptible to the misuse of such legal persons and arrangements in multi-jurisdictional structures to conceal and transfer property for TF purposes.

It is possible that an individual terrorist or a terrorist organisation may seek to disguise themselves as and appear to operate like a legitimate individual or business to use an IFC and the services offered by TCSP for the purposes of TF. Terrorist financiers may be attracted to use the IOM for the cover of legitimacy that an IOM or British company and/or trust, particularly when used as part of a multi-jurisdictional structure, might provide. The stacking of legal persons and/or legal arrangements across jurisdictions may be used to launder money and/or to finance terrorism. There is always the risk that a TCSP might be used to finance terrorism either wittingly or (and this may be more likely) unwittingly, especially if the TCSP has weak controls and a poor AML/CFT framework.

As an IFC, the client base of the TCSPs is global and this imports country risk.

Figure 6-18 shows the top 10 countries as a percentage of the IOM TCSP sector's customer base in six client categories which are captured in the annual AML/CFT returns: PEPs by nationality; PEPs by residency; Natural person by residency; Non-natural person by residency; New customers by residency; UBOs by residency.

Figure 6-18 also shows the top 10 countries as a percentage of the overall number, which highlights any concentration or if there is a spread across multiple countries.

The Figure also details overall percentage country risk exposure to high- or potentially high-risk countries.

For overall context, as at the end 2023, in respect of the total customer base, **87.7%** were non-natural persons. For non-natural persons by residency[90] the largest number are IOM (**79.3%**) resident, then the UK (**5.9%**). The top 10 countries account for **96.8%** of the overall non-natural persons by residency population. Only **0.6%** have country risk exposure to high or potentially higher-risk countries. ›

89 https://iomlawsociety.co.im/wp-content/uploads/2019/09/20.-Schedule-of-Relevant-Typologies.pdf
90 Residency for non-natural persons is the place of incorporation for a legal person or the proper law for a legal arrangement. These will be situations where a TCSP has incorporated an IOM company or established a trust under IOM proper law for their client.

Figure 6-18: Top 10 Countries in Various Client Categories Showing Exposure to Country Risk from the Customers of the TCSPs, 2023

PEPs by nationality	%	PEPs by residency	%	Natural persons by residency	%	Non-natural persons by residency	%	New customers	%	UBO	%
UK	17.8	UK	16.5	Isle of Man	48.9	Isle of Man	79.3	Isle of Man	63.8	UK	39.6
Saudi Arabia	12.5	Saudi Arabia	11.3	UK	15.4	UK	5.9	UK	18.3	Isle of Man	14.3
Nigeria	4.2	UAE	5.9	South Africa	5.2	Cayman Islands	4.1	Jersey	4.0	South Africa	5.5
Bahrain	3.3	Nigeria	4.4	Cayman Islands	5.0	BVI	3.4	Ireland	3.9	Ireland	5.5
Kuwait	3.3	Bahrain	4.0	Portugal	2.0	Jersey	1.1	South Africa	1.5	USA	2.6
India	3.2	Isle of Man	2.9	USA	1.8	USA	0.8	Hong Kong SAR	1.4	UAE	2.1
UAE	3.0	Qatar	2.7	Spain	1.6	US Virgin Islands	0.6	Switzerand	1.4	Switzerland	1.9
Qatar	2.7	Kuwait	2.6	Ireland	1.3	Guernsey	0.6	Singapore	0.8	Kenya	1.2
USA	2.5	Hong Kong SAR	2.6	BVI	1.2	Ireland	0.6	USA	0.5	Monaco	1.2
Ireland	2.5	USA	2.4	UAE	1.1	Bahamas	0.4	Guernsey	0.5	Israel	1.2
Top 10 as % of overall	**54.6**		**55.2**		**83.6**		**96.8**		**96.0**		**75.1**
Higher-Risk countries (Lists A, Bi and Bii)	**17.8**		**17.8**		**7.6**		**0.6**		**2.0**		**12.6**

Source: FSA AML/CFT Annual Returns

To support the completion of the LPA NRA, additional data has been requested from the TCSP sector. This will allow the LPA NRA to explain in more detail the customer base, exposure to other IFCs and to what extent those jurisdictions are used to transit UBOs to the IOM from other geographic destinations. ›

6.3.3.2 Inherent Vulnerability Factors for TCSP Sector to TF

Inherent Vulnerability Factors	Rating for TCSPs
Overall Size/Turnover of the Sector	Medium
Outward International Transactions/Operations	At a Significant Level
Outward Transactions/Operations to Higher-Risk Geographical Locations	At a Limited Level
Inward International Transactions/Operations	At a Significant Level
Inward International Transactions/Operations from Higher-Risk Geographical Locations	At a Limited Level
Client Base Profile	Medium High
Level of Cash Activity	Low
Use of Agents, Vendors, Other Intermediaries	Medium
Suitability/Utility for TF	Medium High
Other Inherent Vulnerability Factors	Medium High

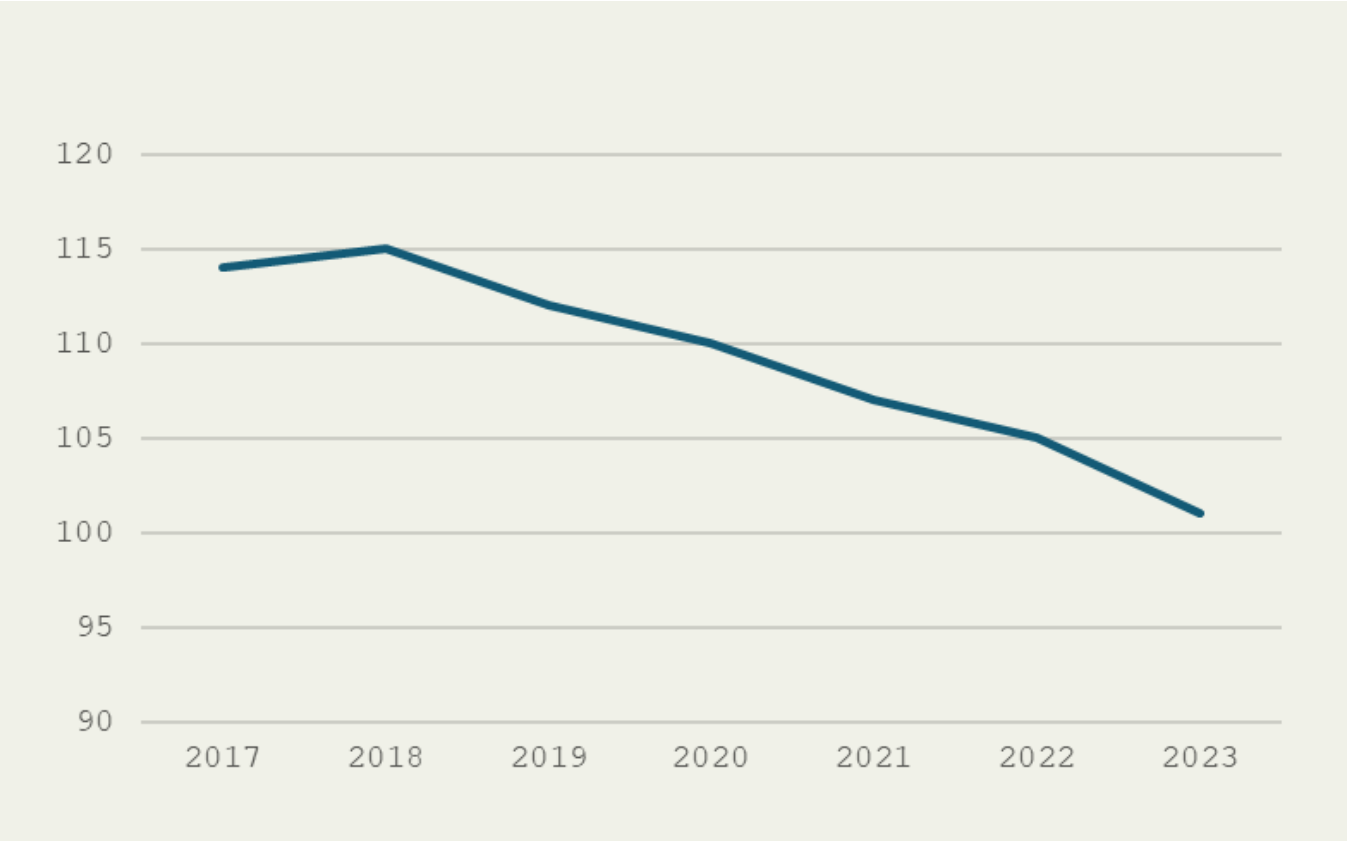
›

As detailed in the Isle of Man National Income 2022/23 Report the TCSP sector is **3.4%** of the national income and therefore measured as medium (using WB scoring terminology) for overall size/turnover of the TCSP sector to the Island.

Given the status of the Island as an IFC and the overseas nature of many customers for the sector, outward and inward cross-border payments are at a significant level, although the exposure of transactions/operations to higher-risk jurisdictions is at a limited level.

The number of TCSPs has steadily reduced between 2017–2023, see **Figure 6-19** below (source FSA public register), mostly due to consolidation of the market[91].

Figure 6-19: Number of TCSPs 2017 – 2023



Source: FSA

TCSPs on the Island provide a range of trust and corporate services, including aiding company formation and operation. From the annual returns to the FSA, TCSPs also report information about the activities of clients they provide services for and an estimate of the total value of client assets that they manage. The most common client activity is described as "asset holding", with **81.7%** in that category in 2021. The estimated value of client "assets under management" in 2021 was £172 billion.

TCSPs have clients that are charities. The NPO TF NRA will also address the work that TCSPs do for those clients in the charitable sector. ›

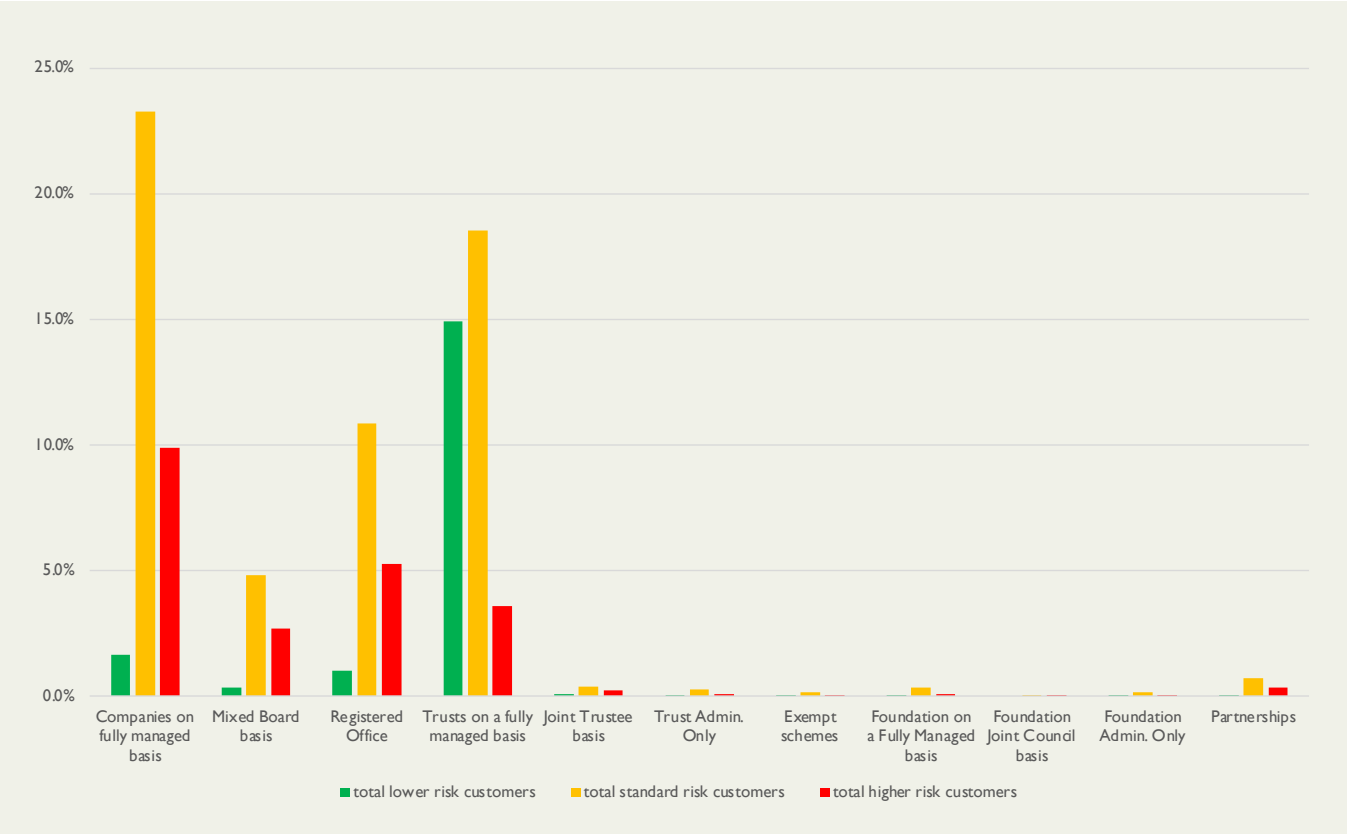
91 As referenced (page 7) in the Group of International Finance Centre Supervisors First Round Mutual Evaluation Report Isle of Man, January 2024. https://www.iomfsa.im/media/3223/gifcs-evaluation-report-isle-of-man.pdf

From the AML/CFT returns for the TCSP sector, companies on a fully managed basis and trusts on a fully managed basis, taken together make up the largest customer base accounting for approximately **72%** of the sector.

TCSPs reported that **22%** of their client base was high- or higher-risk of ML/TF/PF. Having this percentage of high- or higher-risk customers has a direct impact upon a TCSP; it brings increased Code requirements, such as enhanced customer due diligence, a higher level of monitoring, more scrutiny in CRAs and more approvals by senior officials within the TCSP in relation to taking on the customer and continuing with the business relationship for which the TCSP needs to be recompensed if the customer is to be profitable. The individual firm BRA will define the approach to higher-risk customers. The FSA includes the percentage of high- or higher-risk customers and the geographical location of the customer in its risk model and in their risk-based approach to supervision.

Figure 6-20 shows the TCSP customer base from AML/CFT annual returns and risk ratings. It shows the following: the different types of TCSP customers categorised by the type of services offered to those customers; the risk ratings for those services (lower, standard, higher); the percentage that each of those services at each risk rating makes up in percentage terms of IOM TCSP customers overall. ›

Figure 6-20: TCSP Customer Base Classified by TCSP Services Offered With Customer Risk Ratings, 2023



Source: FSA AML/CFT Annual Returns

Figure 6-21 shows for the TCSP sector, the percentage of that sector of the different types of TCSP customers from each of the high or higher country risk groups (taken from the TCSP AML/CFT returns 2023).

Figure 6-21: Country Risk Exposure to High or Potentially High-Risk Countries of TCSP Customers, 2023

Country Risk Rating	2023 TCSP PEPs by Nationality	2023 TCSP PEPs by Residency	2023 TCSP Natural Persons by Residency	2023 TCSP Non-Natural Persons by Residency	2023 TCSP New Customers Introduced	2023 TCSP UBO
A	0.06%	0.00%	0.00%	0.00%	0.00%	0.02%
Bi	10.85%	11.58%	6.72%	0.30%	1.95%	10.29%
Bii	6.85%	6.22%	0.92%	0.32%	0.00%	2.28%

Where TCSPs have been fined by the FSA[92], there are common failings:

- Insufficient experience, resources and expertise in identifying and mitigating risks in the business
- Deficiencies in the procedures, systems and controls as required by the Code.

The cash activity in the TCSP sector is negligible. In the AML/CFT annual returns for 2023, TCSP firms stated[93]:

- Incoming cash: **6.3%** of firms accept cash by exception and **93.8%** never accept cash
- Outgoing cash: **3.1%** of firms send cash by exception, **94.8%** never send cash and **2.1%** will send occasionally.

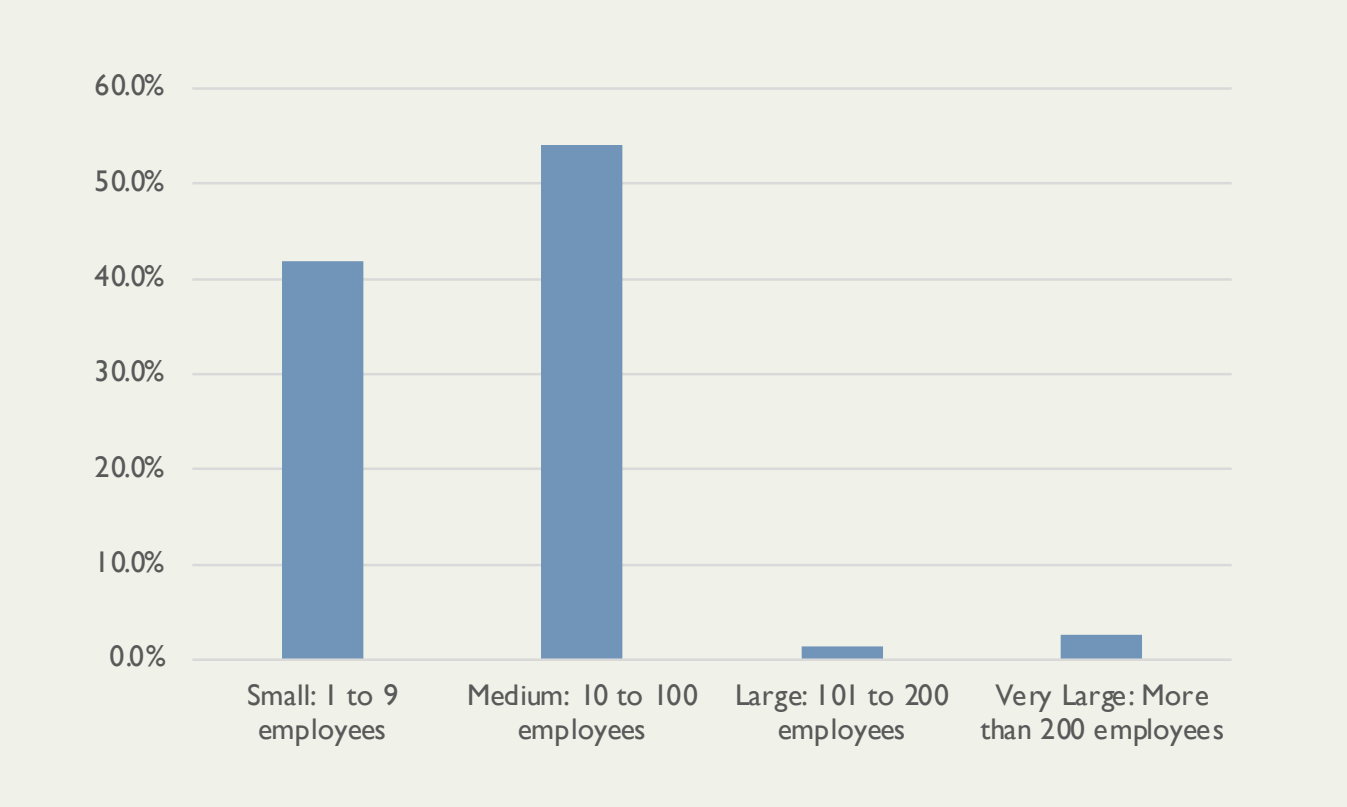
Where TCSPs are signatories to the accounts of their clients, they consider a payment before it is made, rather than review retrospectively, which helps to mitigate the risk.
The size of the TCSP potentially has an impact on the inherent vulnerabilities, see **Figure 6-22** which shows what percentage of the IOM's TCSP sector by size of TCSPs.
(Source IOM Government):

- Smaller TCSPs may not have the economies of scale to invest in systems which larger firms have
- Larger TCSPs may be part of wider groups and may be able to call upon specialist resources which smaller TCSPs may not
- Ownership of the TCSP may affect the culture and risk appetite.

Several TCSPs support Online Gambling firms, so **Chapter 6.3.5** should also be considered by those TCSPs when they update their BRA. ›

92 https://www.iomfsa.im/enforcement/enforcement-action/
93 Under the prescribed headings: by exception; never; occasional; unknown; usual

Figure 6-22: TCSP Size



Source: IOM Government

From the annual AML/CFT returns the sector advised that in 2023 it provided services to:

- 18,001 companies
- 11,673 trusts.

There is inherent vulnerability of the TCSP sector potentially being misused for TF (just as for ML):

- The ability to conceal/disguise the identity of the individual(s) who control the company or trust and its purpose
- The use of shell companies which may for long periods be inactive/dormant, but still administered by the TCSP whose fees continue to be paid. Such companies may acquire a spurious legitimacy from their longevity but are ready to be activated if required to receive/transmit funds for TF
- Criminals setting up multiple companies with the IOM Companies Registry or UK Companies House, one or more of which may be used for the purposes of TF. The UK Companies House Strategic Intelligence Assessment[94] published in October 2024, details where mass incorporations have been evidenced
- Complex layering – see **Chapter 7.2.4**
- Property being processed through virtual assets
- The splitting of control/management of the trust or corporate structure across several stacked jurisdictions
- The use of different Virtual Asset Exchanges.

A number of these vulnerabilities will be considered in the LPA NRA and the VA NRA. ›

94 https://www.gov.uk/government/publications/companies-house-strategic-intelligence-assessment/companies-house-strategic-intelligence-assessment

TCSP Sector Groups[95]

A number of the Island's TCSPs are part of wider Groups. In the Group of International Finance Centre Supervisors (GIFCS) Evaluation Report of IOM TCSPs[96] it advises that TCSPs have been deemed not to represent a systemic risk to the IOM.

INTRODUCED BUSINESS

As part of the 2022 AML/CFT annual return[97], the TCSP Sector provide information on introduced business and for each introduced customer the jurisdiction of the introducer. The AML/CFT returns were analysed by introductions for the number of customers from: IOM; UK; European Union Countries; Higher-Risk Countries; Other Countries, which includes other IFCs. **36%** of introduced business came from outside the IOM or UK. **13%** came from higher-risk jurisdictions, primarily South Africa.

The FSA monitors introductions and their locations.

RULE BOOK

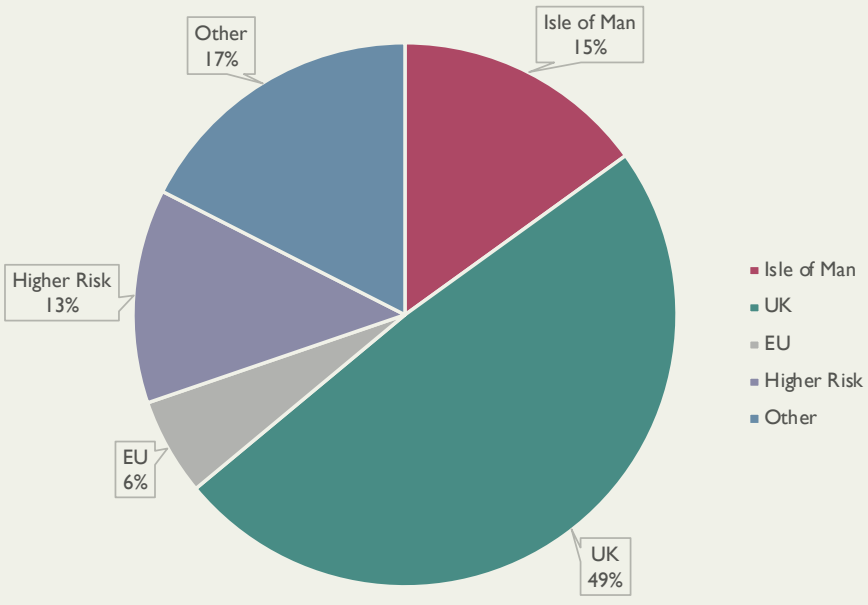
TCSPs that are part of Groups typically follow group-wide policies and procedures, the procedures must comply with IOM legislation. This includes the Financial Services Rule Book 2016 (Rule Book)[98].

The Rule Book stipulates that every TCSP must appoint a:

- Head of Compliance with responsibility for overseeing the licenceholder's compliance with the regulatory requirements, including those relating to AML/CFT
- MLRO
- Deputy MLRO to cover the absence of the MLRO.

The same individual may be appointed as Head of Compliance and as MLRO or DMLRO. The Rule Book states that the Head of Compliance must:

a) have appropriate independence and direct access to the licenceholder's responsible officers
b) have unfettered access to all business lines and support departments



95 FATF consider TCSPs as DNFBPs - Considering that there is a diverse ecosystem of structures connecting individual entities in the various DNFBP sectors, both domestically and/or internationally and that they generally operate differently to financial groups, the FATF asks countries to also consider applying the requirements for group-wide programmes to 'other DNFBP structures' sharing common ownership, management or compliance control. https://www.fatf-gafi.org/content/dam/fatf-gafi/recommendations/Explanatory-Materials-R18-R23.pdf
96 https://www.iomfsa.im/media/3223/gifcs-evaluation-report-isle-of-man.pdf
97 2023 data included a one-off event which distorted the figures, so 2022 data is used
98 https://www.iomfsa.im/media/1470/financialservicesrulebook20131.pdf

c) have appropriate status within the licenceholder to ensure that the responsible officers react appropriately to recommendations
d) have sufficient time and resources to discharge properly the responsibilities of the position
e) be resident in the Island.

The Head of Compliance may report to a Group function, which is designed to share knowledge and provide a line manager with specialist risk expertise.

MATERIAL OUTSOURCING

The Rule Book states that a licenceholder may not delegate any material management or business function without the consent in writing from the FSA. If activity is outsourced, to Group or elsewhere, the ultimate responsibility remains with the licenceholder for the delegated functions. The FSA has issued guidance[99] on this rule to aid the sector. The guidance does cover outsourcing to Group entities:

> "The FSA is more likely to consent to outsourcing to other Group entities. This reflects the degree of common systems, control and responsibility between the licenceholder and the service provider."

REGULATORY COLLEGES AND SUPERVISION

In the GIFCS Evaluation Report of IOM TCSPs it states:

> "The FSA takes part in colleges and shares information regularly. It actively and timely responds to any gateway requests received from other regulatory bodies. The FSA confirmed that not all multi-jurisdictional TCSPs have had Supervisory Colleges, however the FSA has participated in 6 supervisory colleges and the IOM have 11 multi-jurisdictional groups."

The Colleges provide the FSA with an opportunity to discuss a firm with other regulators.

The GIFCS Evaluation Report confirms their view that Group structures are effectively supervised in the whole and not solely at the individual level.
The report states:

> "The Rule Book provides for ownership structures for both IOM and non-IOM incorporated structures, with supervision undertaken whether at the solo level or if part of a group. The structural requirement places emphasis on ownership ensuring that at any given time; applicant, owners and even changes in ownership are made known to the FSA. Applications are accompanied by a structural plan with updated versions required, rendering the process expansive whilst catering for changes. There have been no examples where the ownership structure has hindered effective supervision. The Licencing Policy limits complex structures."

Source: FSA AML/CFT Annual Returns

99 https://www.iomfsa.im/media/3374/guidancenoteonoutsourcing2024.pdf

6.3.3.3 CFT Controls for TCSP Sector

The laws, regulations and controls are similar or identical for Banking and TCSPs and these two sectors often share customers.

	CFT Control Factors for TCSP	Rating	
1	Comprehensiveness of CFT Legal/Regulatory Framework	0.8	Very High

There are comprehensive laws and regulations regarding CFT. In the IOM the two key pieces of legislation relating to TF are ATCA and TOCFRA.

The TCSP sector is supervised by the FSA. The FSA issue and maintain the AML/CFT Handbook.

The Isle of Man's AML/CFT framework of legislation and guidance is drafted to meet the FATF AML/CFT standards. AML/CFT legislation as defined by the Code means:

- **section 7** to **11** and **14** of ATCA
- **part 3** of POCA 2008
- **parts 2** to **4** of TOCFRA
- financial sanctions which have effect on the Island
- the Code.

The AML/CFT Handbook provides extensive guidance across a range of matters that are key to the TCSP sector.

The FIU also issues guidance to TCSPs on completing SARs, as well as providing feedback on the quality of SARs.

2	Effectiveness of Supervision/Oversight Activities	0.8	Very High

FSA08 prescribes the mandate and powers to the FSA. The FSA inspections methodology (October 2021) is also published. The most recent version of the FSA's supervisory framework was published in May 2023. The document details where the policies and procedures fit into the control considerations.

Through the publication of sector reports and the analysis of the AML/CFT returns (including financial flows from the banks) the staff within the FSA have a good understanding of the risks within the sector and in determining where to focus resources when devising the Engagement Plan.

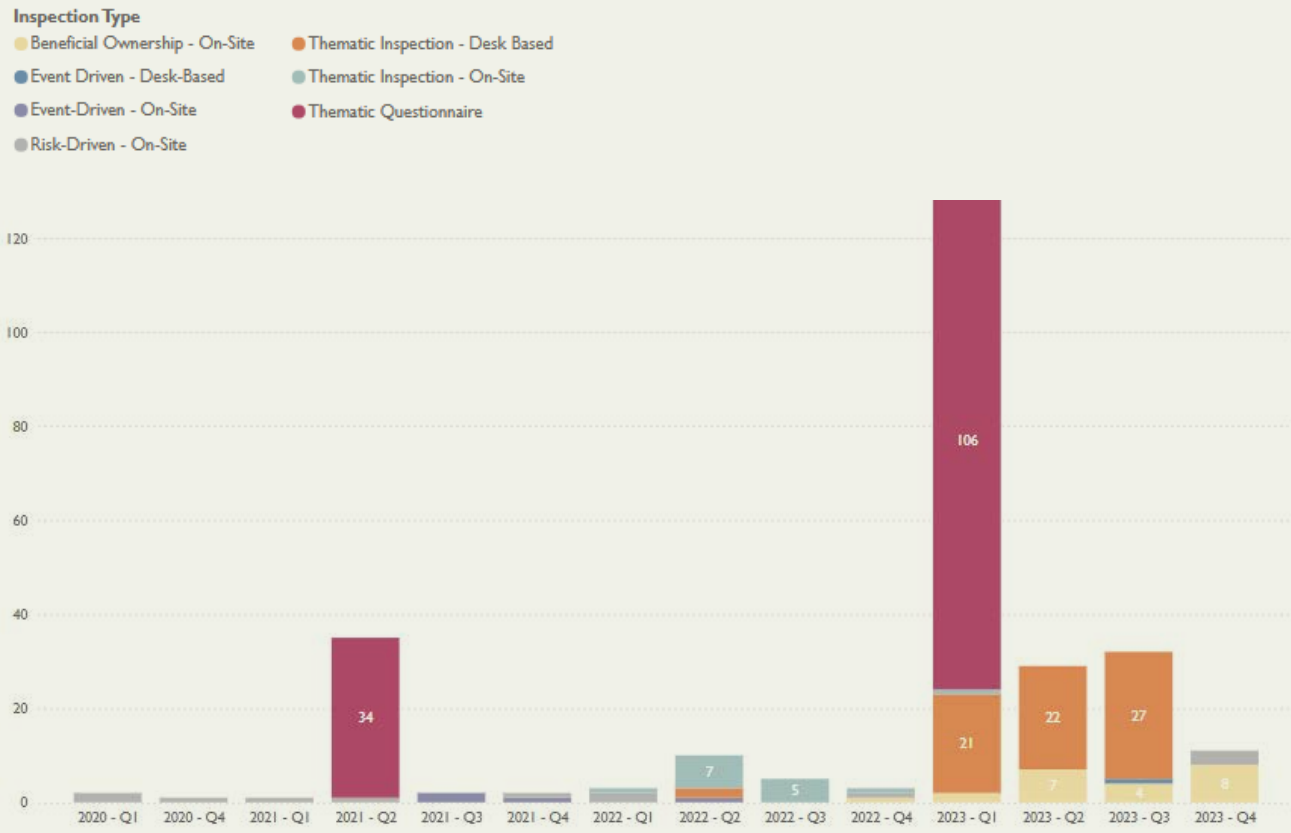
Figure 6-23 shows the number of AML/CFT inspections and what prompted those inspections and thematic questionnaires with the TCSP sector since 2020. The figures indicate that there has been increasing engagement by the FSA with the TCSP sector.

In July 2023 the FSA issued a thematic questionnaire on the BRA[100] to 106 TCSP licenceholders for completion. This was followed up with inspections which consisted of 70 desk-based inspections of TCSP licenceholders focusing on the BRA and their compliance with **paragraph 5** of the Code. This phase of the project concluded in October 2023,

100 https://www.iomfsa.im/media/3180/tcsp-thematic-report-phase-1.pdf

with an individual inspection report issued to each firm inspected. The final report for industry as a whole was published in January 2024[101]. The report reminds the sector that 'Paragraph 5(3)(b) of the Code requires for the BRA to have regard to any relevant findings of the Island's latest NRA'.

Figure 6-23: Number of AML/CFT Inspections & Thematic Questionnaires of TCSPs by the FSA Since Q1 2020



In addition to AML/CFT annual returns and supervisory inspections covering AML/CFT, the FSA holds discussions with the TCSP's internal audit and compliance teams and has meetings/dialogue with the IOM Association of Corporate Service Providers on matters where required.

In 2022 the FSA invited the GIFCS to review the supervision of TCSPs. The report assessed the FSA as 'compliant' (the highest rating) in 9 of the 10 categories and 'largely compliant' in 1[102].

Source: FSA

101 https://www.iomfsa.im/media/3232/tcsp-thematic-report-phase-2.pdf
102 https://www.iomfsa.im/fsa-news/2024/jan/report-highlights-authority-s-compliance-with-international-standards/

3	Availability and Enforcement of Administrative Sanctions	0.8	Very High

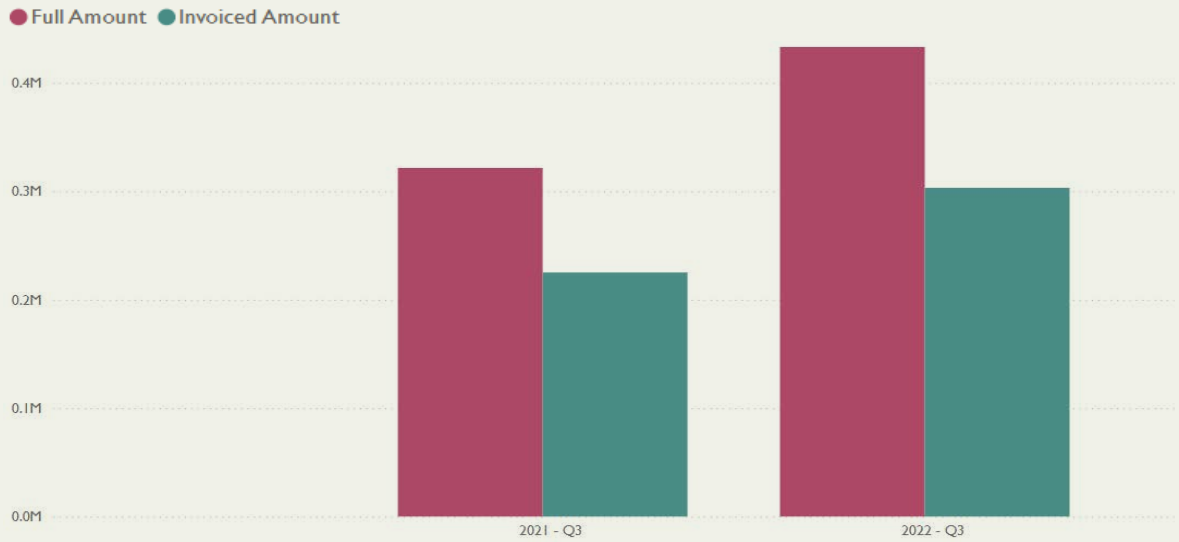
The FSA seek to:

- Intervene at an early justified stage in issues to help prevent unacceptable risks crystallising
- Understand, collaborate and follow a reasonable path of remediation to achieve the right outcomes
- Ensure enforcement is pursued where proportionate, reasonable and appropriate.

A full suite of regulatory measures is available and applicable including both criminal and civil penalties, including against individuals. Administrative sanctions include directions, conditions, suspension and revocation.

Figure 6-24 displays the regulatory penalties that have been imposed on the TCSP sector since the beginning of 2021 (Source: FSA). As is the case for all the Figures where penalties are imposed, these relate to all matters and are not penalties in respect of TF-related matters exclusively.

Figure 6-24: Penalties Imposed[103] on TCSPs since the beginning of 2021



Various Acts overseen by the FSA enable the FSA to require a current or former licenceholder to pay a penalty for any contravention of the Act or any prohibition or requirement imposed under the Act. The Financial Services (Civil Penalties) Regulations 2015 came into effect on 1 August 2015. In 2019 the AML/CFT (Civil Penalties) Regulations were introduced.

A decision to impose a discretionary civil penalty will be made by the FSA in accordance with the Enforcement Decision-Making Process. The Authority has published a Guidance Note to provide additional information on the operation of the discretionary civil penalties regime.

Source: FSA

103 The penalties are all those imposed on the sector and not related to TF penalties in isolation. The FSA Enforcement Action announcements (https://www.iomfsa.im/enforcement/enforcement-action/) provides details on the nature of the non-compliance

4	Availability and Enforcement of Criminal Sanctions	0.6	Medium High

Extensive criminal sanctions are in place for non-compliance with CFT obligations. These are detailed in ATCA with a maximum custody term not exceeding 14 years. For an employee of a TCSP (and all other sectors) the threat of criminal sanctions alongside internal disciplinary procedures and loss of employment are strongly dissuasive.

Criminal sanctions are available for the substantive TF offences and for the failure to report TF offences. There have been no TF prosecutions for substantive TF offences. There has been a failure to report a suspicion of TF, investigation leading to a prosecution of two counts under s.14 ATCA in which the prosecution alleged that there was a failure to report (by someone working in a TCSP) in circumstances where there were reasonable grounds to suspect the financing of terrorism, giving rise to an obligation to report. For this offence to be made out, no terrorist financing needs to take place and in this case there was no admissible evidence that terrorist financing had taken place or was to take place. The issue was, had the Prosecution proved beyond reasonable doubt, that there were reasonable grounds for the TCSP employee to suspect that there may be TF and, on the evidence, were the elements of the offence triggering the reporting obligation made out. The Deemster ruled at the close of the Prosecution's case that there was not sufficient evidence upon which a jury could properly convict and the Deemster withdrew the two s.14 counts from the jury and directed them to return not guilty verdicts on those two counts.

5	Availability and Effectiveness of Entry Controls	0.8	Very High

The FSA's Licensing Policy for Regulated Activities under the FSA08 sets out the criteria that applicants must satisfy to be successful in securing and retaining a financial services licence. The FSA will not issue a licence unless it is satisfied that the licence applicant, including the persons associated with it, is a fit and proper person to undertake the regulated activity. The fit and proper test is both an initial test at the time of granting a licence and a continuing test in relation to the conduct of regulated activities.

The test considers integrity, financial standing and competence.

The FSA may be challenged in the Courts by an applicant if they do not agree with the FSA's decision. This was the situation in a recent (non-TCSP) case.

The FSA monitor entry controls and report on the vetting of individuals within the TCSP sector.

6	Integrity of Staff in the Sector	0.7	High

The level of integrity and the operating environment in the IOM is generally considered to be of a good standard. The sectors in the IOM with the largest firms benefit from additional in-built controls and checking. The IOM is also not considered to have significant issues regarding corruption/bribery of officials. There has been one recent example where the IOM based defendant was acquitted of his involvement in the bribery of a Ugandan official.

The FSA monitor data on the notifications of fraud, staff discipline and criminal convictions and report internally on an annual basis. They also track notifications of employee screening which may affect an assessment of the fitness and propriety of an individual.

7	CFT Knowledge and Awareness of Staff in the Sector	0.6	Medium High

First issued in 2006, revised on many occasions and most recently in 2022, the FSA "Training and Competence Framework" sets out the FSA's detailed expectations of its applicants, the regulated sector and their staff in relation to ongoing training and competence and should be read in conjunction with the "Regulatory Guidance - Fitness and Propriety". The framework is split into two distinct segments:

- **PART 1:** General Training and Competence Requirements – What the FSA expects of the regulated sector in relation to the training and competence of all staff
- **PART 2:** Controlled Functions and Other Functions - Training and Competence – the additional expectations applicable to individuals undertaking or aspiring to undertake certain Controlled Functions or certain other functions.

When applying the training and competence framework, an applicant/business in the regulated sector should consider the specific risks and needs of its business. Global bodies and agencies also issue helpful papers, manuals and videos such as the World Bank, FATF, MONEYVAL and others.

A number of TCSPs also have in-house training material (potentially with assessment tests) to ensure staff refresh their knowledge on a periodic basis. Whilst the ML knowledge is very good, TF and TFS knowledge will not be as extensive across the workforce and there is little exposure to TF & TFS risks in the day-to-day activity of staff within the Island. As per the action in 7.1.6 where it is recommended by the FIU that TF typologies are updated, including emerging threats, followed by further training to industry. This accounts for the medium high rating for TCSPs. The FSA are gathering additional data on TF training which will become available in 2025.

The TCSP sector reported in the 2023 AML/CFT annual return that all staff received annual training and 497 received additional specialist training relating to ML & TF.

As is the case for the banking sector, the knowledge of TF in the TCSP sector requires enhancement.

8	Effectiveness of Compliance Function (Organisation)	0.6	Medium High

In common with other small jurisdictions that support an IFC, there is competition for compliance professionals.

The TCSP sector increased the percentage of the compliance function as well as reducing vacancies – showing an increasing overall compliance function.

Sector	Staffing	2022	2023
TCSP	Staff vacancies as %	2.1%	4.5%
TCSP	Compliance staff as % of overall staff	12.6%	14.5%
TCSP	Compliance Staff Vacancies as %	8.2%	5.7%

9	Effectiveness of TFS Implementation	0.6	Medium High

The TCSP sector firms vary in size. Not all have the extensive screening infrastructure in place that the large TCSPs are able to maintain, which might make the control less effective. See **Chapter 7.1.18**

10	Effectiveness of Suspicious Activity Monitoring and Reporting	0.6	Medium High

The FSA inspections review the SAR process for the sector. The FIU advises the FSA of any known issues with timeliness, etc. The FIU provides guidance documents as well as feedback to MLROs on SARs submitted. The number of TF-related SARs submitted by TCSPs is extremely low over the last four years.

11	Availability and Access to Beneficial Ownership Information	0.7	High

See **Chapter 7.1.22**

12	Availability of Reliable Identification Infrastructure	0.7	High

Some TCSPs also use electronic ID data tools for customers depending on the client. TCSPs do business with customers in many different countries and this is taken into account in the business and customer risk assessment process. Particular focus on ID theft is also in place and staff are trained to spot fraudulent documents.

13	Availability of Independent Information Sources	0.7	High

See **Chapter 7.1.21**

6.3.3.4 Summary for TCSP Sector

TCSP SECTOR OVERVIEW

Residual TF risk the TCSP sector is exposed to	Medium
Inherent TF risk the TCSP sector is exposed to	Medium
Quality of CFT controls	Medium

TCSPs in the Island are regulated with supervision oversight by the FSA extended to include CFT. Corporate Service Providers have been regulated since 2000. Licensing was extended to include the regulation of Trust Service Providers in 2005.

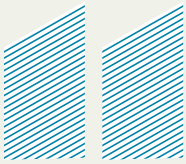
The consistency in laws, regulations and supporting agencies does result in very similar controls to the banking sector and hence a similar score. The quality of controls was deemed to be medium.

Due to the international nature of the sector, business relationships may not be face-to-face (resulting in use of introducers in some cases) and there may also be reliance on third parties. TCSPs establish and provide corporate and trust structures which can be complex and multinational in nature; this is a legitimate activity but complexity provides the opportunity to disguise beneficial ownership, the source of funds and the activities of the entities concerned.

Several TCSPs support Online Gambling firms, so the Online Gambling sectoral review in **Chapter 6.3.5** should also be considered by those TCSPs when they update their BRA.

The inherent TF risk was assessed as medium.

Overall, the residual TF risk the TCSP sector is exposed to is **medium.** ›



Due to the international nature of the sector, business relationships may not be face-to-face and there may also be reliance on third parties. ”

6.3.4 Life Insurance Sector

6.3.4.1 TF Threat Factors for Life Insurance Sector

Threat Factors	Rating for Life Insurance
Existence of Typologies/Cases in the Jurisdiction	Rare
Existence of Typologies/Cases Globally	Rare
Geographic Factors	Moderate
Demographic Factors	Moderate
Other Threat Factors	Do Not Exist
National Threat Level (to which the sector is exposed)	0.23

As per banking in Chapter 6.3.2.1, domestic and international typologies were considered and given the products and services offered by the Life Insurance sector it was thought that the threat was rare. It is noted that:

- The sector generally does not accept cash
- The design of the products does not provide terrorist financiers with easy options for moving or storing funds. The products are often long-term and if there is early redemption this would be a red flag
- The products can be quite complex – though this may mean they are used in the storing or managing stage (see **Figure 3-1**).

The typical Life Insurance international typology is associated with ML threats rather than TF, such as:

- As an IFC with a large Life Insurance sector, the Island might be seen as a potential location for the proceeds of crime to be layered and then moved out for TF purposes
- The funding of insurance policies by third parties/persons different to the policyholder who have not been subject to the regular identification procedures when the insurance contract was concluded
- Typologies include those with more complex transfers of money via bank accounts or cheques through different jurisdictions, which complicates the control of the (legal) source of funds by the insurance company.

For the Life Insurance sector the customer base is almost all cross-border in nature, with **99.9%** of personal customers being outside of the Island and **96.6%** of non-personal customers. As at the end of 2023, in respect of the total customer base, **87.3%** of customers were natural persons.

Figure 6-25 shows the top 10 countries as a percentage of the IOM Life Insurance sector's customer base in five client categories which are captured in the annual AML/CFT returns: PEPs by nationality; PEPs by residency; Natural person by residency; Non-natural person by residency; New customers by residency.

Figure 6-25 also shows the top 10 countries as a percentage of the overall number, which highlights any concentration or if there is a spread across multiple countries.

The Figure also details overall percentage country risk exposure to high- or potentially high-risk countries. ›

Figure 6-25: Top 10 Exposure to Country Risk from the Customers of the Life Insurance Sector, 2023

PEPs by nationality	%	PEPs by residency	%	Natural persons by residency	%	Non-natural persons by residency	%	New customers	%
UK	34.4	UK	32.0	UK	23.5	UK	70.9	UAE	31.8
Argentina	28.6	Argentina	28.5	UAE	19.8	Malta	6.0	Argentina	28.6
UAE	5.8	UAE	10.6	Argentina	12.3	Gibraltar	5.2	UK	11.5
India	1.6	Hong Kong SAR	1.7	Hong Kong SAR	9.9	Guernsey	3.8	Hong Kong SAR	10.4
Brazil	1.4	Singapore	1.6	Japan	8.2	Isle of Man	3.3	Qatar	2.2
Bahrain	1.4	Bahrain	1.6	Singapore	1.9	UAE	1.5	Malta	1.6
Chile	1.4	Chile	1.4	China	1.6	Argentina	1.5	Malaysia	1.4
Peru	1.2	Brazil	1.3	Brazil	1.6	Japan	1.3	Singapore	1.3
Singapore	1.2	Peru	1.2	Taiwan	1.4	Hong Kong SAR	1.0	USA	1.2
Hong Kong SAR	1.1	Costa Rica	0.9	Qatar	1.0	Sweden	0.9	BVI	1.2
Top 10 as % of overall	**78.0**		**80.9**		**81.3**		**95.5**		**91.1**
Higher-risk countries (Lists A, Bi and Bii)	**4.8**		**3.6**		**3.2**		**0.7**		**0.8**

Source: FSA AML/CFT Annual Returns

South America (in particular) has a strong presence in the Life Insurance sector which it does not have in other sectors, such as banking or TCSPs. There is a significant percentage of PEPs, natural persons and new customers who are life insurance customers and reside in Argentina. A number of the larger firms have branch operations in Argentina, where the licensing regimes allow branches of foreign insurers to distribute to domestic markets. A Tax Information Exchange Agreement was signed with Argentina in 2012[104]. Argentina in its Mutual Evaluation Report[105] dated December 2024 was placed under 'enhanced follow-up'.

The larger firms also have branch operations in the UAE, where there is also a large expatriate population. The life insurance sector has significant exposure to customers from the UAE: the UAE provides the highest number of new life insurance customers, the second highest number of natural persons who are life insurance customers and the third highest number of life insurance customers who are PEPs. ›

The larger firms also have branch operations in the UAE, where there is also a large expatriate population. The life insurance sector also has significant exposure to customers from the UAE: the UAE provides the highest number of new life insurance customers, the second highest number of natural persons who are life insurance customers and the third highest number of life insurance customers who are PEPs."

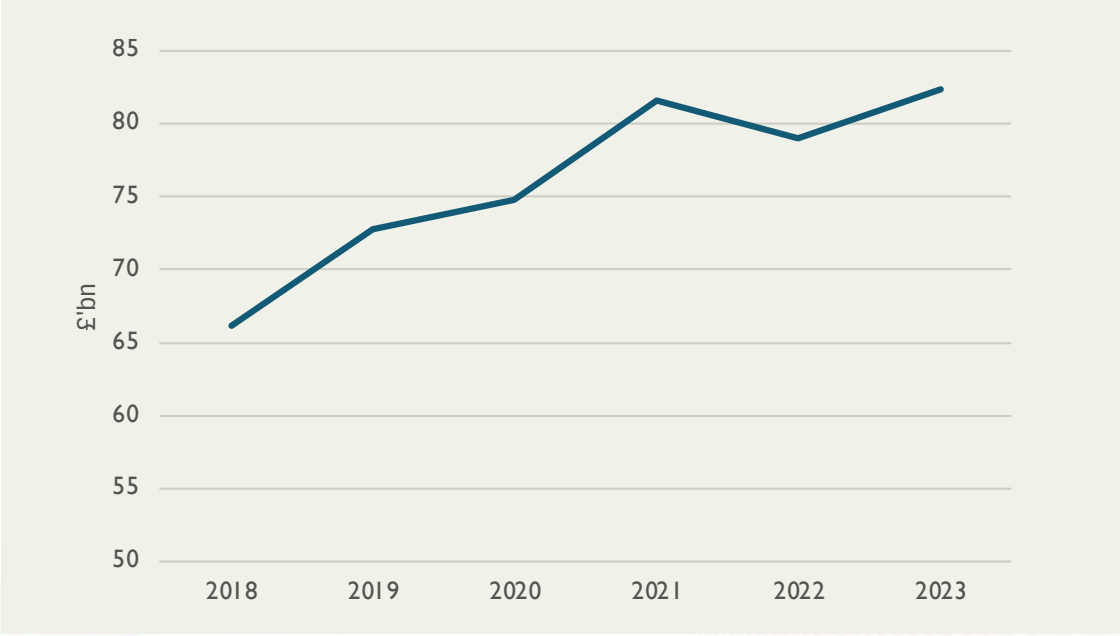
104 https://www.gov.im/categories/tax-vat-and-your-money/income-tax-and-national-insurance/international-agreements/tax-information-exchange-agreements/
105 https://www.fatf-gafi.org/en/publications/Mutualevaluations/MER-Argentina-2024.html

6.3.4.2 Inherent Vulnerability Factors for Life Insurance Sector to TF

Inherent Vulnerability Factors	Rating for Life Insurers
Overall Size/Turnover of the Sector	High
Outward International Transactions/Operations	At a Significant Level
Outward Transactions/Operations to Higher-Risk Geographical Locations	At a Limited Level
Inward International Transactions/Operations	At a Significant Level
Inward International Transactions/Operations from Higher-Risk Geographical Locations	At a Limited Level
Client Base Profile	Medium High
Level of Cash Activity	Does Not Exist
Use of Agents, Vendors, Other Intermediaries	High
Suitability/Utility for TF	Low
Other Inherent Vulnerability Factors	Medium Low

As detailed in the Isle of Man National Income 2022/3 Report, Insurance is **17.0%** of the national income. Life Insurance is estimated to be the majority of the insurance business on Island[106] with Funds Under Management of £82.4bn vs Non-Life of £5.3bn and Gross Premium Income of £5.2bn vs £0.9bn as at 31 December 2023. Therefore the sector size is rated as 'high' as it is one of the two largest sectors on the Island. The number of Life Insurers has reduced to 12 through consolidation on the Island. ›

Figure 6-26: Funds Under Management for Life Insurers



Source: FSA

106 https://www.iomfsa.im/statistics-site/insurance/

The annual AML/CFT returns provided by the Life Insurance sector to the FSA give a picture of the sector's exposure to life insurance customers from List A, Bi and Bii countries, see **Figure 6-27.** Whilst almost all the customer base is outside the Island, resulting in the client base profile being assessed as medium high, very low percentages are in jurisdictions which may pose a high or higher-risk, namely those from the List A, Bi and Bii groups.

Life Insurance products tend to be long-term in nature. If a 20-year+ product is sold to a client, there are various ways that the country risk profile could vary over than period:

- The customer might move to a third country e.g. an oil worker moving with their firm
- The customer may move back home to their country of origin e.g. oil worker finishes working for the oil company and moves home to Africa
- The risk profile of the country changes e.g. a product is sold to a customer who lives in Russia. The country was classed as a C List country and now it is a higher-risk country.

Life insurers cannot necessarily exit a client. The cash activity in this sector is zero. No life insurer receives or sends cash. ›

Figure 6-27: Country Risk Exposure to High- or Potentially High-Risk Countries of Life Insurance Customers, 2023

Country Risk Rating	2023 Life Insurance PEPs by Nationality	2023 Life Insurance PEPs by Residency	2023 Life Insurance Natural Persons by Residency	2023 Life Insurance Non-Natural Persons by Residency	2023 Life Insurance New Customers Introduced
A	0.01%	0.00%	0.01%	0.00%	0.00%
Bi	3.05%	2.44%	2.34%	0.63%	0.40%
Bii	1.74%	1.14%	0.85%	074%	0.36%

Life Insurance Sector Groups

The sector broadly operates cross-border either via branch structures which are regulated and/or through regulated introducers. When operating branch networks, they will work to the same group standards, normally adopting the highest standard that applies (whilst complying with local laws and regulations). The country may have operational teams to support locally written business and a network of intermediaries such as Independent Financial Advisers (IFAs). Since COVID-19 restrictions were lifted, the IFAs may now distribute to a wider base as the use of technology is more readily accepted by customers.

IOM Life Insurers must comply with the Code, including paragraph 37 "branches, subsidiaries and agents". This means that the IOM Life Insurer must ensure that a branch or subsidiary takes measures consistent with the Code and guidance issued by a competent authority for AML/CFT. The guidance issued in the Island explains that:

> "This does not mean that the measures must mirror those of the IOM in every detail, rather, that the measures should be of an equivalent or consistent standard to those in the Isle of Man.

In such cases, a relevant person may consider establishing a group AML/CFT/CPF strategy to protect its global reputation as well as its IOM business. The branch, subsidiary or agent is subject to the AML/CFT/CPF regime of the jurisdiction that it is established in and must ensure that it complies with this, including the reporting requirements of that jurisdiction."

As informed by routine supervisory oversight, the FSA observes that IOM Life Insurers that are themselves part of wider groups and/or operate through branches or subsidiaries abroad (as specified above), generally adopt standard policies across companies (jurisdictionally) and then modifications exist where there are more stringent regulations/ requirements in particular jurisdictions to which they would de-fault i.e. always to the higher standard. This ensures that Life Insurers are able to comply with all relevant legal and regulatory obligations, both for AML/CFT and wider Corporate Governance requirements.

The Life Insurers also have well-defined "3 lines of defence" governance structures in place in terms of ongoing monitoring and compliance and will also often operate a branch oversight committee as part of its overarching approach to governance within the Insurer.

In terms of onboarding and acceptance of money and settlement into life policy products, each Life Insurer that operates overseas branches will have its own approach as to delegation of authorities and corresponding levels of sign off/acceptance of business, which will often be in the IOM (subject to any outsourcing of activity). Legal entity-wide ongoing monitoring and screening processes, etc. will also be overseen by the IOM offices. The "in-country" presence of an Insurer in key markets can also help as a mitigant to the inherent vulnerabilities that may exist.

If the FSA undertakes an inspection of a Life Insurer for AML/CFT compliance it will review the business as a whole (including reviewing activity that may have been generated through overseas branches) and would consider elements such as the Insurer's BRA and CRA as it applies to its whole business. The Prudential Supervision Division of the FSA is also planning to conduct a series of governance-focussed inspections to Life Insurers that operate overseas branches to validate the FSA's current understanding of how those firms oversee and govern their branch operations more generally; this work is expected to commence in 2025 and is planned into 2026.

"If the FSA undertakes an inspection of a Life Insurer for AML/CFT compliance it will review the business as a whole (including reviewing activity that may have been generated through overseas branches) and would consider elements such as the Insurer's BRA and CRA as it applies to its whole business."

With the exception of one overseas branches, overseas branches of IOM authorised Llife Insurers are all in groups other than A & B listed countries.

Figure 6-28: Authorised Life Insurers - Foreign Country Operations

Location of foreign branch (of IOM insurer)	Country List Rating	Foreign supervisor	Number of IOM insurers	Number of IOM insurance groups
Dubai/UAE	C&D	Central Bank of the UAE	2	2
Hong Kong	C&D	Hong Kong Insurance Authority	5	3
Singapore	C&D	Monetary Authority of Singapore	3	3
Bahrain	C&D	Central Bank of Bahrain	1	1
Qatar	C&D	Qatar Financial Centre Regulatory Authority	1	1
Argentina	not listed	Superintendicia de Seguros de la Nación	1	1
Labuan	not listed	Labuan Financial Services Authority	2	2
Lebanon	B(ii)TF	Insurance Control Commission	1	1
Japan (new)	C&D	Japan Financial Service Agency	1	1

Source: FSA

Figure 6-28 (Source FSA) shows the location of the overseas branches of IOM authorised Life Insurance firms. Some of the Life Insurance firms are themselves part of much bigger groups with global operations and may also outsource some functions to group entities. There are also direct subsidiaries and other entities, summarised in **Figure 6-29** below. ›

Figure 6-29: Direct Subsidiaries and Other Entities

Location of foreign subsidary (of IOM insurer)	Country List Rating	Foreign supervisor	Number of IOM insurers	Number of IOM insurance groups
Dubai	C&D	Dubai International Finance Centre	1	1

Location of foreign subsidary (of insurance group where IOM is group supervisory)	Country List Rating	Foreign supervisor	Number of IOM insurers	Number of IOM insurance groups
Dubai	C&D	Dubai International Finance Centre Dubai Multi Commodities Centre	2	2
UK	C&D	Financial Conduct Authority	1	1
Labuan	not listed	Labuan Financial Services Authority	1	1
Bahamas	C&D	Insurance Commission of the Bahamas	1	1

Source: FSA

Long-term business, such as Life Insurance products are designed to financially protect the customer and related third parties, which may include the insured, the beneficiary(/ies) of the contract and the beneficial owners, against the risk of an uncertain future event such as death or critical illness. Life Insurance products can also be bought as investment or saving vehicles and to support estate planning or pension plans. The Island's long-term sector is predominantly unit linked investment insurance business.

The assignment of a policy has several legitimate benefits, but creates the potential vulnerability of being misused. A terrorist financier might collaborate with groups of otherwise legitimate individuals, such as business owners, to redirect claims on their insurance policies. The terrorist financier might agree to pay these businesses, potentially in cash or VAs, a percentage of any claim payments received that exceed the face value of the claims.

The majority of insurers operate a customer relationship and distribute products and services, through another party such as an intermediary or "introducer". The use of these third parties creates an inherent vulnerability in the process, which the sector is accustomed to mitigating.

6.3.4.3 CFT Controls for Life Insurance Sector

	CFT Control Factors for Life Insurers	Rating	
1	Comprehensiveness of CFT Legal/Regulatory Framework	0.8	Very High

There are comprehensive laws and regulations regarding CFT. In the IOM the two key pieces of legislation relating to TF are ATCA and TOCFRA.

The Life Insurance sector is supervised by the FSA. The FSA issue and maintain the AML/CFT Handbook.

The Isle of Man's AML/CFT framework of legislation and guidance is drafted to meet the FATF AML/CFT standards. AML/CFT legislation as defined by the Code means:

- **section 7** to **11** and **14** of ATCA
- **part 3** of POCA 2008
- **parts 2** to **4** of TOCFRA
- financial sanctions which have effect on the Island
- the Code.

The AML/CFT Handbook provides extensive guidance across a range of matters that are key to the sector.

The FIU also issues guidance on completing SARs, as well as providing feedback on the quality of SARs.

2	Effectiveness of Supervision/Oversight Activities	0.8	Very High

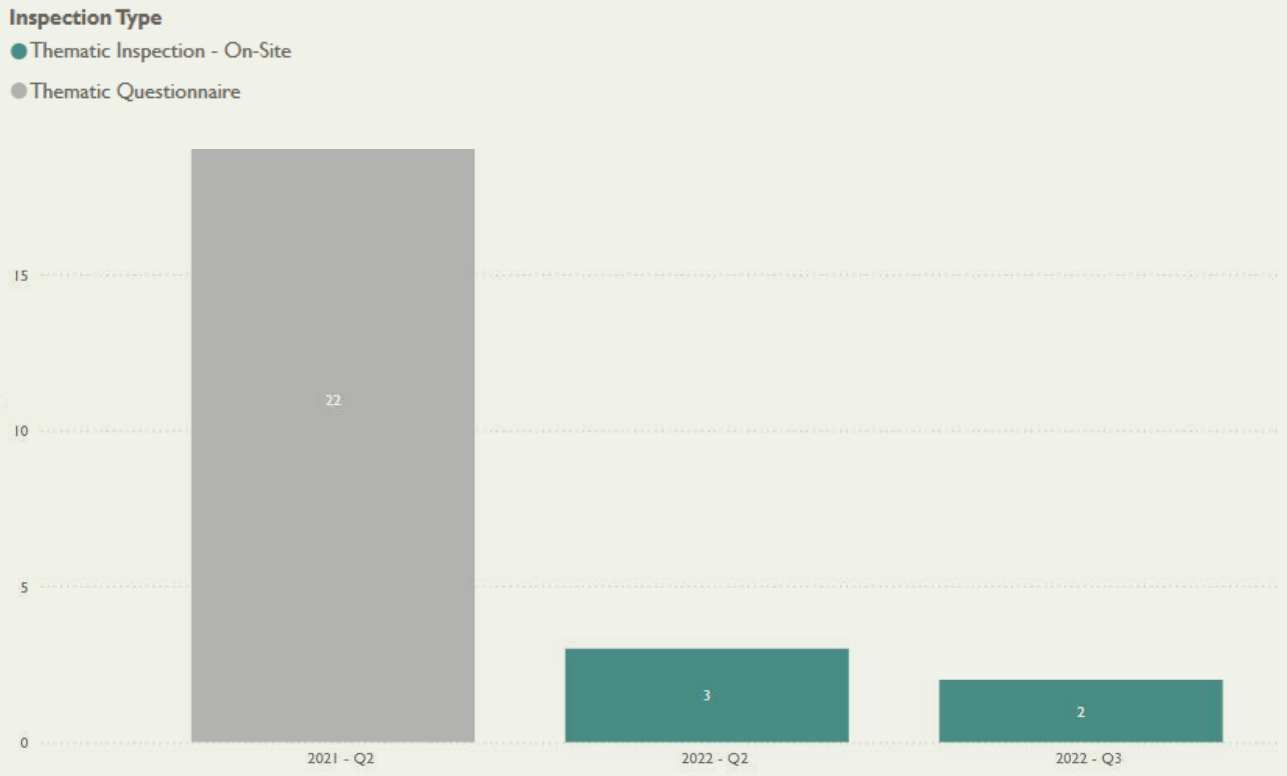
FSA08 prescribes the mandate and powers to the FSA. The FSA inspections methodology (October 2021) is also published. The most recent version of the FSA's supervisory framework was published in May 2023. The document details where the policies and procedures fit into the control considerations.

The FSA has been receiving AML/CFT annual returns data for the last 7 years which informs the risk-based approach to Supervision as well as informing sector reports which are published on the FSA's website. The use of technology (STRIX AML) has further streamlined this process and allows for the efficient analysis of risk producing a risk heat map of both sectors and individual entities.

Through the publication of sector reports and the analysis of the AML/CFT returns (including financial flows provided by the banks) the staff within the FSA have a good understanding of the risks within the sector and are confident in determining where to focus resources when devising the Engagement Plan.

Figure 6-30 shows the amount of inspections and thematic questionnaires with the Life Insurance sector since Q2 2021.

Figure 6-30: Number of AML/CFT Inspections & Thematic Questionnaires of Life Insurers by the FSA Since Q2 2021



Source: FSA

3	Availability and Enforcement of Administrative Sanctions	0.8	Very High

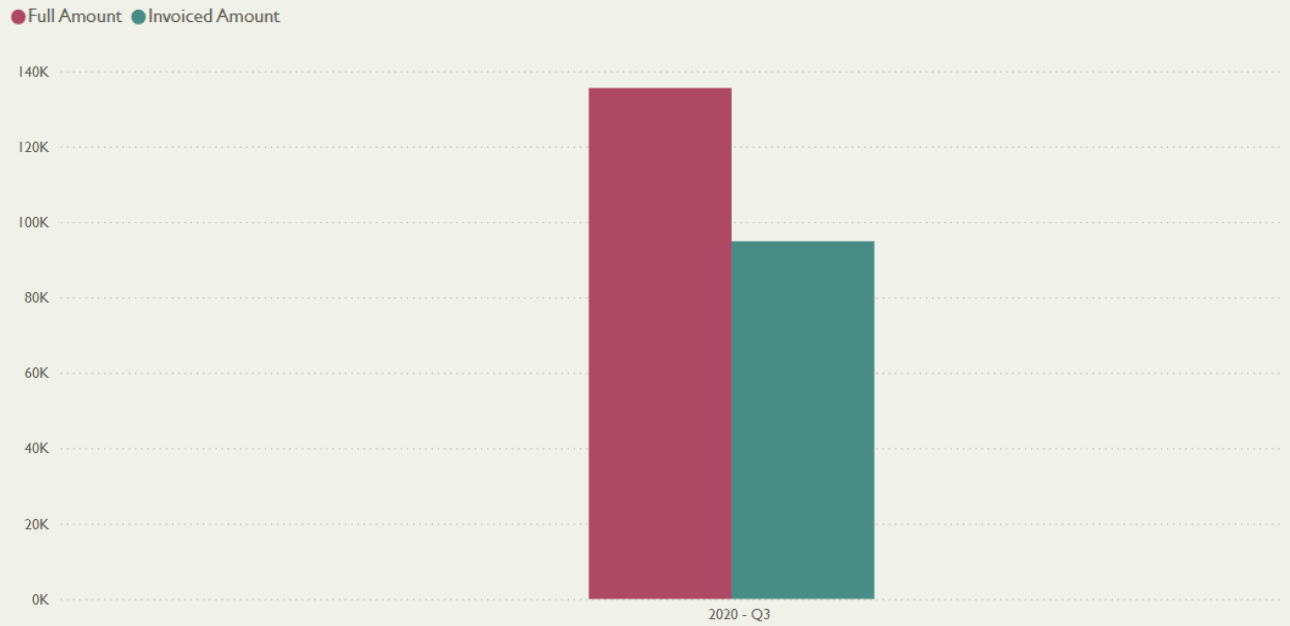
The FSA seek to:

- Intervene at an early justified stage in issues to help prevent unacceptable risks crystallising
- Understand, collaborate and follow a reasonable path of remediation to achieve the right outcomes
- Ensure enforcement is pursued where proportionate, reasonable and appropriate.

A full suite of regulatory measures is available and applicable including both criminal and civil penalties, including against individuals. Administrative sanctions include directions, conditions, suspension and revocation.

Figure 6-31 displays the limited number (two) and value of regulatory penalties that have been imposed on the sector (Source: FSA) since 2020.

Figure 6-31: Penalties Imposed[107] on Life Insurers



Various Acts overseen by the FSA enable the FSA to require a current or former licenceholder to pay a penalty for any contravention of the Act or any prohibition or requirement imposed under the Act. The Financial Services (Civil Penalties) Regulations 2015 came into effect on 1 August 2015. In 2019 the AML/CFT (Civil Penalties) Regulations were introduced.

A decision to impose a discretionary civil penalty will be made by the FSA in accordance with the Enforcement Decision-Making Process. The Authority has published a Guidance Note to provide additional information on the operation of the discretionary civil penalties regime.

Source: FSA

107 The penalties are all those imposed on the sector and not related to TF penalties in isolation. The FSA Enforcement Action announcements (https://www.iomfsa.im/enforcement/enforcement-action/) provides details on the nature of the non-compliance

4	Availability and Enforcement of Criminal Sanctions	0.6	Medium High

Extensive criminal sanctions are in place for non-compliance with CFT obligations. These are detailed in ATCA with a maximum custody term not exceeding 14 years. For an employee of a Life Insurer the threat of criminal sanctions alongside internal disciplinary procedures and loss of employment are strongly dissuasive.

There have been no prosecutions or convictions for TF of Life Insurers to date.

5	Availability and Effectiveness of Entry Controls	0.8	Very High

The FSA's Licensing Policy for Regulated Activities under the FSA08 sets out the criteria that applicants must satisfy to be successful in securing and retaining a financial services licence. The FSA will not issue a licence unless it is satisfied that the licence applicant, including the persons associated with it, is a fit and proper person to undertake the regulated activity. The fit and proper test is both an initial test at the time of granting a licence and a continuing test in relation to the conduct of regulated activities. The test takes into account integrity, financial standing and competence.

The FSA may be challenged in the Courts by an applicant if they do not agree with the FSA's decision. This was the situation in a recent (non-Life Insurer) case.

The FSA monitor entry controls and report on the vetting of individuals within the sector.

6	Integrity of Staff in the Sector	0.8	Very High

The level of integrity and the operating environment in the IOM is generally considered to be of a good standard. The sectors in the IOM with the largest firms benefit from additional in-built controls and checking and will be less influenced by very significant fee-earning customers. The IOM is also not considered to have significant issues regarding corruption/bribery of officials. There has been one recent example where the IOM based defendant was acquitted of his involvement in the bribery of a Ugandan official.

The FSA monitor data on the notifications of fraud, staff discipline and criminal convictions and report internally on an annual basis. They also track notifications of employee screening which may affect an assessment of the fitness and propriety of an individual.

7	CFT Knowledge and Awareness of Staff in the Sector	0.6	Medium High

First issued in 2006, revised on many occasions and most recently in 2022, the FSA "Training and Competence Framework" sets out the FSA's detailed expectations of its applicants, the regulated sector and their staff in relation to ongoing training and competence and should be read in conjunction with the "Regulatory Guidance - Fitness and Propriety". The framework is split into two distinct segments:

- **PART 1:** General Training and Competence Requirements – What the FSA expects of the regulated sector in relation to the training and competence of all staff

- **PART 2:** Controlled Functions and Other Functions - Training and Competence – the additional expectations applicable to individuals undertaking or aspiring to undertake certain Controlled Functions or certain other functions.

When applying the training and competence framework, an applicant/business in the regulated sector should consider the specific risks and needs of its business. Global bodies and agencies also issue helpful papers, manuals and videos such as the World Bank, FATF, MONEYVAL and others.

The sector also has in-house training material (potentially with assessment tests) to ensure staff refresh their knowledge on a periodic basis. Whilst the ML knowledge is very good, TF and TFS knowledge will not be as extensive across the workforce and there is little exposure to TF & TFS risks in the day-to-day activity of staff within the Island. Whilst the ML knowledge is very good, TF and TFS knowledge will not be as extensive across the workforce and there is little exposure to TF & TFS risks in the day-to-day activity of staff within the Island. This accounts for the medium high rating. The FSA are gathering additional data on TF training which will become available in 2025.

The Life Insurance sector reported in the 2023 AML/CFT annual return that all staff received annual training and 559 received additional specialist training.

8	Effectiveness of Compliance Function (Organisation)	0.7	High

In common with other small jurisdictions that support an IFC, there is competition for compliance professionals. The compliance staff as a percentage of overall staff fell slightly from 2022 to 2023; in fact this was against a backdrop of overall staff increasing. Therefore the actual number of people engaged in compliance increased.

Sector	Staffing	2022	2023
Life Insurance	Staff vacancies as %	6.4%	3.7%
Life Insurance	Compliance staff as % of overall staff	3.3%	3.0%
Life Insurance	Compliance staff vacancies as %	7.0%	5.6%

9	Effectiveness of TFS Implementation	0.8	Very High

See **Chapter 7.1.18**

10	Effectiveness of Suspicious Activity Monitoring and Reporting	0.6	Medium High

The FSA inspections review the SAR process for the sector. The FIU advises the FSA of any known issues with timeliness, etc. The FIU provides guidance documents as well as feedback to MLROs on SARs submitted. The MLROs, who have access to the boards, also flag any issues. The number of TF-related SARs submitted by the Life Insurance sector over the last 4 years was 10, which is much lower than the number of ML SARs, as would be expected.

The IOMFCP Steering Group has also agreed that the creation of a Life Insurance group should be considered.

11	Availability and Access to Beneficial Ownership Information	0.7	High

See **Chapter 7.1.22**

12	Availability of Reliable Identification Infrastructure	0.7	High

Life Insurers do business with customers in many different countries and this is taken into account in the BRA and CRA process. Particular focus on ID theft is also in place and staff are trained to spot fraudulent documents. Due to non-face-to-face business the level of required validation can be difficult where there may exist some cultural differences such as name spelling, females not being included on bills, etc.

12	Availability of Independent Information Sources	0.7	High

See **Chapter 7.1.21**

6.3.4.4 Summary for Life Insurance sector

LIFE INSURANCE SECTOR OVERVIEW

Residual TF risk the Life Insurance sector is exposed to	Medium low
Inherent TF risk the Life Insurance sector is exposed to	Medium low
Quality of CFT controls	Medium

Life assurance companies in the IOM are, in the main, subsidiaries of large internationally active groups head-quartered in the UK or Europe. The life sector consists of authorised and permitted insurers writing predominately long-term unit linked business, where policyholder liabilities are directly linked to the performance of an underlying financial asset.

IOM life companies are generally internationally focussed, targeting High Net Worth Individuals (HNWIs) and mass affluent customers, including expatriates and non-resident customers. The IOM domestic market is insignificant. Clients from certain geographic destinations, such as the Middle East and South America may give rise to increased suspicions of TF. **Chapter 7.2.10** considers the threats from large-scale terrorist organisations.

The consistency in laws, regulations and supporting agencies does result in very similar controls to the Banking and TCSP sectors and hence a similar score. The quality of controls was deemed to be medium.

The overall residual TF risk was lower than Banking and TCSP sectors due to a number of factors including the low suitability of the products offered for TF purposes and fewer TF typologies for the sector.

Overall, the residual TF risk the Life Insurance sector is exposed to is **medium low.** ›

IOM life companies are generally internationally focussed, targeting High Net Worth Individuals (HNWIs) and mass affluent customers, including expatriates and non-resident customers. The IOM domestic market is insignificant."

6.3.5 Online Gambling Sector

6.3.5.1 TF Threat Factors for Online Gambling Sector

Threat Factors	Rating for Online Gambling
Existence of Typologies/Cases in the Jurisdiction	Rare
Existence of Typologies/Cases Globally	Moderate
Geographic Factors	Moderate
Demographic Factors	Significant
Other Threat Factors	Do Not Exist
National Threat Level (to which the sector is exposed)	0.27

As per banking in Chapter 6.3.2.1, domestic and international typologies were considered given the products and services offered by the sector. Jurisdictional typologies were currently rated as rare, which aligned with the MONEYVAL Research Report[108]: The Use of Online Gambling for ML and TF Purposes, April 2013. It states:

> "Furthermore, various sources of literature on the topic, which were consulted by the project team, seem to indicate that the ML/FT risks linked to regulated online gambling are low and that the sector is not likely to be the preferred option for money launderers or terrorist financiers."

A number of global typologies were reviewed, including one where Russian gaming firms were supplying the Donbas separatists. On the basis that there could be Russian or Ukrainian owned/controlled gambling firms operating globally, this typology was considered to be one that could potentially impact the IOM's gambling sector.

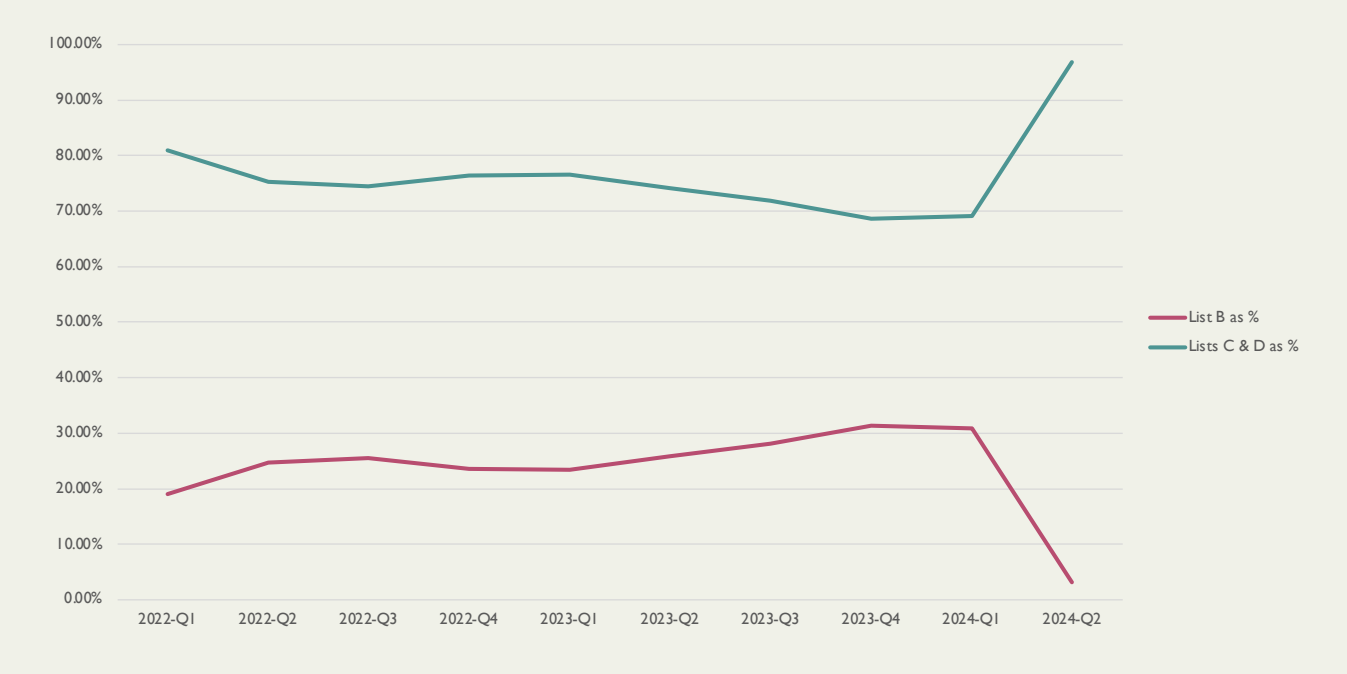
The GSC receives data by country of residence of customers for deposits and withdrawals[109]. The majority of these transactions are with the end customer and the gambling company, rather than client-to-client. The only client-to-client transactions are through the gambling firm. **Figures 6-32** and **6-33** show the percentage of deposits and withdrawals for B list countries, compared to other countries not on the A or B List (note that there is negligible A List activity – the sums are so low as not to register in the data as a percentage to two decimal places).

There are a small number of operators who account for the majority of the transactions. The recent departure of two firms from the Island has reduced the risk profile of deposit and withdrawal exposure in Q2 2024 to List B countries, as per **Figures 6-32** and **6-33.** ›

108 https://rm.coe.int/research-report-the-use-of-online-gambling-for-money-laundering-and-th/168071509c

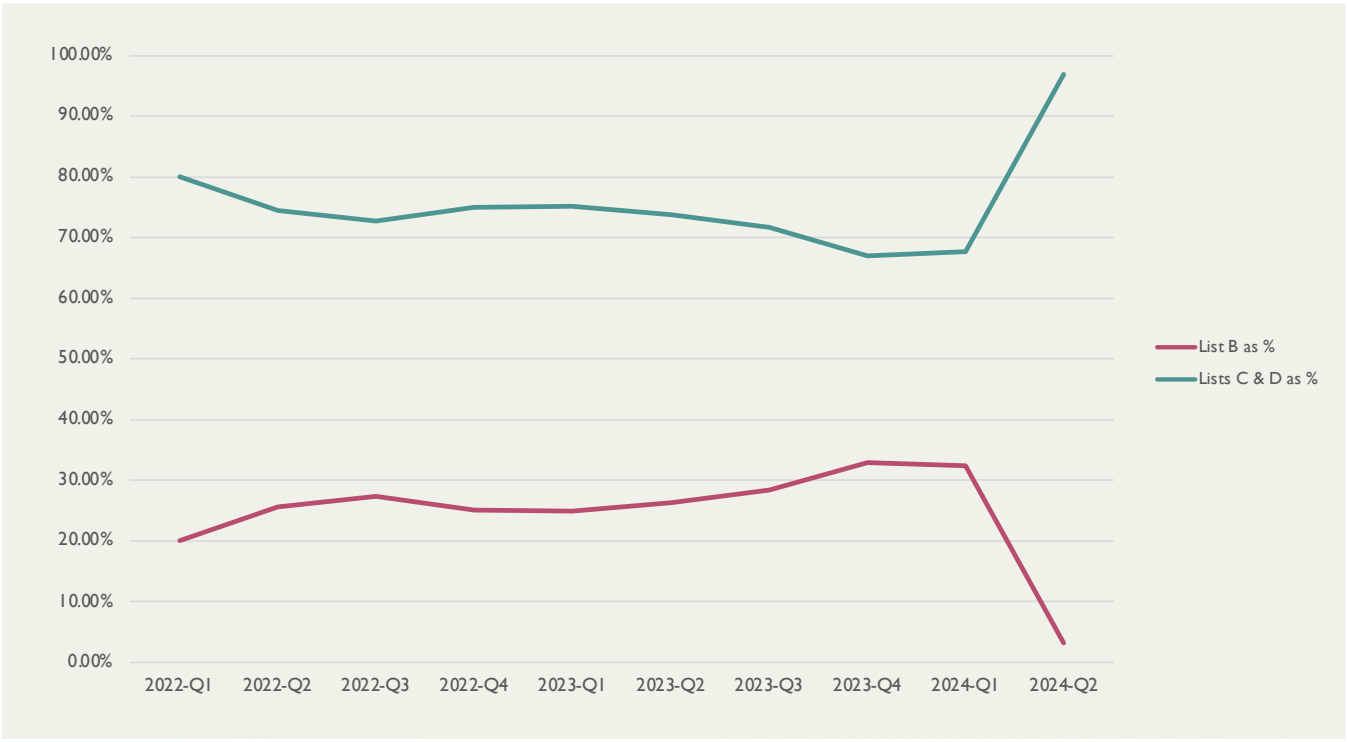
109 The data throughout Chapter 6.3.5 relates to gambling activity by customers, Business to Customer (B2C), unless otherwise stated. Non regulated activity would be captured in the Bank's financial flow data if they bank in the IOM.

Figure 6-32: Online Gambling Customer Deposits - 2022 – 2024



Source: GSC

Figure 6-33: Online Gambling Customer Withdrawals - 2022 – 2024



Source: GSC

Prior to Q2 2024 the majority of B List deposits and withdrawals were with Bi List countries, those that FATF have identified as having shortcomings. The risk was spread across a number of countries in the Bi List countries with no majority (unlike banking) from one country.

The data shows some very limited activity in List A countries which can be accounted for by the following factors:

- Legacy accounts from pre-IOM licence which are then closed
- Accounts originally opened through a Virtual Private Network (VPN) and the deposit/withdrawal identified as List A jurisdiction by the Internet Protocol (IP) address and the account then closed.

Demographic data of the Beneficial Ownership of the licenceholders is supplied to the GSC by the Online Gambling firms. Beneficial ownership must be approved by the GSC and any changes over **5%** in ownership or significant investment must also be approved. The jurisdictional risk from ownership is included in the operator risk assessment factors from a supervisory perspective, **Figure 6-34**.

Figure 6-34: Jurisdictional Risk From Foreign Ownership of Firms

List A	0%
List Bi	8%
List Bii	0%
List C or not listed	55%
Multiple ownership List C or not listed	25%
Multiple including List B	12%

Source: GSC

The assumption is that the funds do not move out of the jurisdiction of the residence of the end customers, therefore the client base profile is similar to the payment profile in **Figures 6-32 and 6-33**.

Figure 6-35: Assumed Client Base Profile

	Higher-risk countries	Non high-risk countries
Prior to Q2 2024	average 32%	average 68%
Q2 2024	3.2%	96.8%

Source: GSC

The historic exposure to higher-risk countries was the driver to the demographic rating being marked as significant.

An analysis was undertaken of virtual asset exposure to List A & B countries, see **Figure 6-36.** Over the 2 ½ years, the deposits and withdrawals are largely equal, which would be expected for the business model of the online gambling firms.

It should be noted that the virtual assets activity is a very low percentage compared to the fiat[110] currency activity. The GSC have guidance for their teams with additional control measures when VAs are used. The GSC has also engaged external training for staff on the risks posed by VAs and blockchain analysis tools are available to staff. There is an acknowledged emerging threat from the misuse of VAs, most notably linked to stablecoins[111]. ›

110 Fiat money is a government issued currency that is not backed by a physical commodity such as gold.
111 Designed to have a relatively stable price, typically pegged to a commodity or currency.

Figure 6-36: Virtual Assets Exposure to List A & B Countries



Source: GSC

PIMLIT and FIU have VA tracing capability. Through shared licences they are able to trace VAs linked to criminality including TF. This allows the agencies to trace through the blockchain, identify other lines of enquiry or touchpoints where assets are converted to fiat currency. The VA tracing licences give the capability for operational staff that identify seed words[112]/VA wallets to be able to look up and identify assets or any markers/ red flags on the blockchain. Crypto tracing makes it easier to identify and trace cross-border movement of assets. This is a significant capability improvement to PIMLIT and FIU that can be applied in a TF-related financial investigation.

This capability allows LEAs to see where assets derive from and if they originate from frauds/US sanctions breaches and other activities which terrorist financiers might use.

The GSC have invested in both external and internal training programmes on VA risks including training on the use of blockchain analysis tools and explorers. The GSC has also issued additional guidance on VA use and typologies, which requires operators to consider applying additional AML/CFT controls including chain analysis and enhanced measures such as lowered thresholds. ›

112 Seed words are a sequence of random words that store the data required to access or recover cryptocurrency (source: Coinbase)

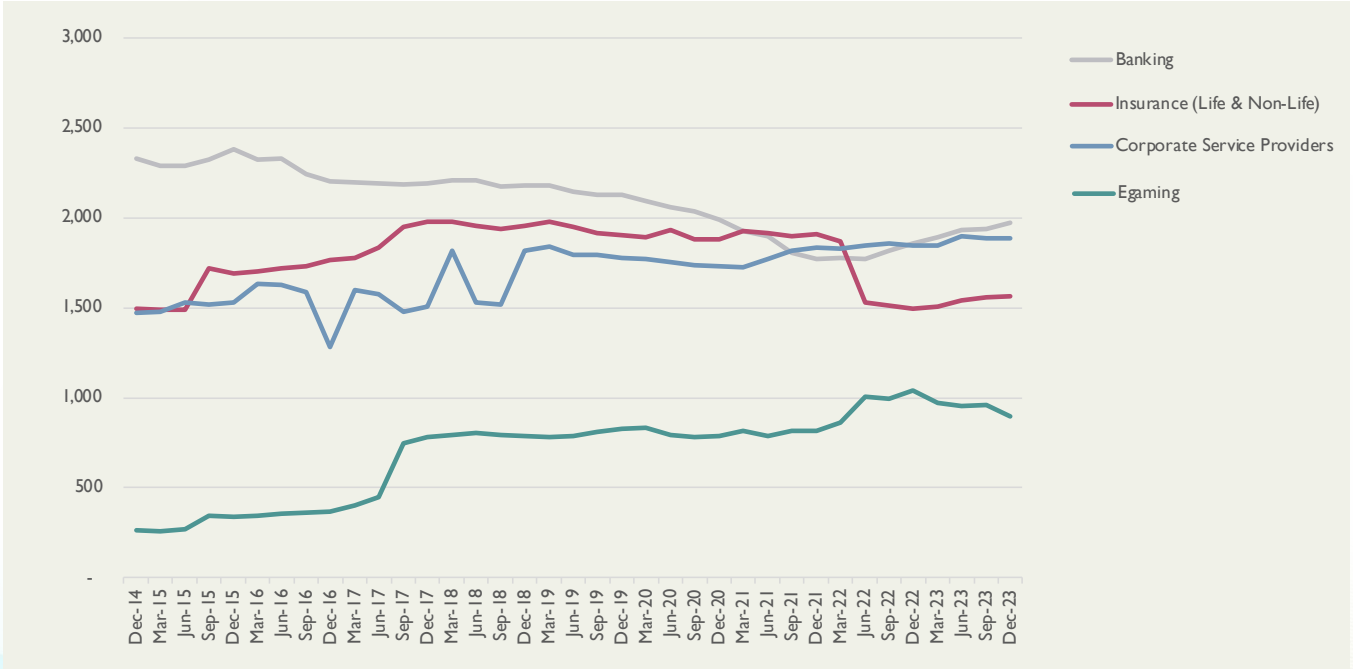
6.3.5.2 Inherent Vulnerability Factors for Online Gambling Sector to TF

Inherent Vulnerability Factors	Rating for Online Gambling
Overall Size/Turnover of the Sector	High
Outward International Transactions/Operations	All Transactions
Outward Transactions/Operations to Higher-Risk Geographical Locations	At a Significant Level
Inward International Transactions/Operations	All Transactions
Inward International Transactions/Operations from Higher-Risk Geographical Locations	At a Significant Level
Client Base Profile	Medium High
Level of Cash Activity	Does Not Exist
Use of Agents, Vendors, Other Intermediaries	Low
Suitability/Utility for TF	Medium Low
Other Inherent Vulnerability Factors	Does Not Exist

As detailed in the IOM National Income 2022/3 Report, the online gambling sector (including non-regulated supporting businesses) is **13.6%** of the national income, giving it a high score for overall size.

Figure 6-37 shows the steadily increasing growth of staff in eGaming (Online Gaming and also the non-regulated supporting businesses) industry in the IOM (source IOM Government Open Data[113]) since 2014 compared with Banking, TCSPs and Insurance. ›

Figure 6-37: Labour Market Employment Statistics 2014 – 2023



113 https://www.gov.im/about-the-government/government/open-data/economy/

Source: IOM Government

Online gambling firms may have operations in jurisdictions apart from the IOM. It depends upon the business model; for example, if there is a large client base in a particular country, the firm may have operational/telephony teams in that jurisdiction. If there is a software supplier based in another jurisdiction then there may be other operational activities also in that third country. Almost none of the customer base is local, therefore almost all transactions are cross-border in nature.

Whilst the exposure to higher-risk countries has reduced markedly since Q2 2024, the exposure prior to Q2 2024 has been used for the rating, thereby assessing the exposure to higher-risk geographical locations as 'significant'.

Online gambling businesses also interact as customers and the Gambling (Anti-Money Laundering and Countering the Financing of Terrorism) Code 2019 (Gambling Code) includes additional requirements around customers acting by way of business. This could be a company that uses an algorithm to spot where a marginal return can be made usually over a long period or businesses that accept bets looking to hedge or lay off the bet with a bet of their own to cover losses.

The sector has, according to figures reported to the GSC through the STRIX AML platform, **0.02%** very high-risk clients and **1.58%** high-risk customers. A large amount of the sector's activities come from a high volume of customers making small value transactions.

The GSC undertook a review of the deposits held by the top 5 firms vs the overall sector. The top 5 hold the overwhelming majority of the deposits, highlighting that the risk presented by the Sector may derive from a small number of firms.

There are PEPs within the client book of online gambling firms, though the overall numbers are extremely low, as the majority of operators will not accept customers that are PEPs as a risk-based commercial decision.

There is no reliance upon third parties to undertake due diligence. All players must be onboarded by the Online Gambling firms. All online business is non-face-to-face (noting that terrestrial is in person, see **Chapter 6.3.6.15**): nor is it allowed to use introducers. There are third party marketing affiliates, but they do not onboard the client and only act in a marketing capacity.

It is difficult to use Online Gambling anonymously with any degree of success. It is possible to enter false details and commence gambling. Many sites offer facilities where a player can play games for free (albeit they cannot win money either). Fictitious names in free-play databases are common. However, the ultimate pay-out of any winnings or unused deposits must be to the original depositing instrument. That means that to gamble with money, the person must have registered with details that will pass checks a licensee makes on name, address and date of birth. These checks typically include screening on government or private databases and over a EUR 3,000 threshold (and normally at much lower levels) the supply of photographic ID and proof of address.

The use of VAs in any transaction increases the risk of that transaction from the GSC's perspective and their guidance informs operators to treat VA users as higher-risk and to apply stricter controls and lower thresholds.

In the report UNODC: Casinos, Money Laundering, Underground Banking and Transnational Organized Crime in East and Southeast Asia: A Hidden and Accelerating Threat[114] published in January 2024, in a section that references the IOM it states that the UK Gambling Commission issued a fine against a UK-licensed white-label company for failures which included not having an ML or TF risk assessment which adequately addressed the risks. A subsequent publication by UNODC titled Transnational Organized Crime And The Convergence Of Cyber-Enabled Fraud, Underground Banking and Technological Innovation In Southeast Asia: A Shifting Threat landscape[115] highlights that the 'transnational organised crime threat landscape in Southeast Asia is evolving faster than in any previous point in history'. The Island has vulnerabilities to the threats from transnational organised crime.

LICENCE TYPES

There are 4 types of licence available from the GSC. From most to least functionality offered:

I. Network – The Network Licence carries the same privileges as the Full Licence but in addition, the operator may use the Network Licence to accept players ›

114 https://www.unodc.org/roseap/uploads/documents/Publications/2024/Casino_Underground_Banking_Report_2024.pdf
115 https://www.unodc.org/roseap/uploads/documents/Publications/2024/TOC_Convergence_Report_2024.pdf

onto a software platform hosted on Island from global operators (Network Partners) to enable gameplay on back office servers without registering them. This is useful for pooling liquidity for poker tournaments as well as operating networks and progressive jackpots

II. Full – This is the most popular licence and will allow the operator to perform Business to Customer (B2C) activities such as offering the game, striking the bet and registering players as well as well as B2B activities such as offering Software/Game Provision, Sub-Licences and White Labels[116] to other operators

III. Sub – Sub-Licenceholders must have an exclusive relationship with a Full Licenceholder in which they only offer the products the Full Licensee they 'sub' under is licensed to offer. If a Sub-Licenceholder wishes to offer further products from a different supplier they need to upgrade to a Full Licence

IV. Software – The GSC maintains a register of software providers and their products. IOM operators may use any product from this register immediately without notifying the GSC. In order to be named in this register and have its software products listed, it is necessary for a software supplier to obtain an IOM relevant certification. Once licensed, the software supplier provides the test house certification directly to the GSC and is responsible for the software.

In the case of a Network or Full licence, specific licence permissions are then added that establish in more granular detail the types of activity permitted to be conducted. Specific licence conditions will be added for the activities permitted and financial reporting is required for each of the permissions.

It should be noted that there are gambling-related activities that occur on-Island without being required to be licensed, software suppliers that do not opt to be licensed, head offices to foreign licensed operators and businesses that gamble. Such businesses fall outside of the regulatory framework and are not therefore subject to entry controls or AML/CFT requirements, although they potentially carry a vulnerability of TF.

B2B

The GSC also issues online gambling licences to B2B operators:

- Network Services
- Software Suppliers

Where a gambling business is the customer of another (i.e. for hedging purposes) this is also considered as B2C with no specific licence permission required. The Gambling Code applies and Customer Due Diligence (CDD) requirements are more stringent than for retail customers.

NETWORK SERVICES LICENCE

A network services licence must be obtained if the operator wishes to allow one or more foreign registered players on to its IOM software server without re-registering the player details. The holder of a network services licence provides services to another operator (a Network Partner (NWP)) enabling the NWP's customers access to the operator's systems. The operator does not have a relationship with the player. Network Services are subject to supervision under the Gambling Code and additional licence conditions apply. Licence conditions require the operator to notify the GSC of new NWPs and enter into NWP agreements that establish contractual arrangements for AML/CFT controls. The GSC conducts checks on the NWP agreements and CDD conducted by the operator on the NWP but is unable to "look-through" to the underlying player. Specific AML/CFT Guidance for NWPs is planned for 2025.

It is current GSC policy that NWPs must be licensed in the relevant jurisdiction(s) to their operations where such a regime exists.

Given the reliance on the NWP which may be an unlicensed entity and the GSC's inability to oversee AML/CFT controls applied to the underlying player, this should be considered a weakness in the system.

SOFTWARE SUPPLY LICENCE

Where an operator supplies software or related services in a way that does not see player activity occurring on the IOM servers, they can apply for a standard Online Gambling Regulation Act 2001 (OGRA) licence enabling them to list software on a centrally approved register. ›

116 Any white label arrangements require full registration and oversight of the customers and do not facilitate activity noted in press articles relating to football sponsorship

Software Supply companies make games and sell them. They are licensed to provide games to GSC-licensed operators and have no gambling activity. They are exempted from the Gambling Code requirements as they are not DNFBPs under the FATF Methodology; they simply provide software to other gambling firms, they do not accept customers or customer funds. However, licence conditions do apply which require the operator to have mechanisms for reporting ML/TF suspicions and AML/CFT Guidance for Software Suppliers is available on the GSC website. The GSC's ensures compliance with the Guidance through its supervision and inspection regime.

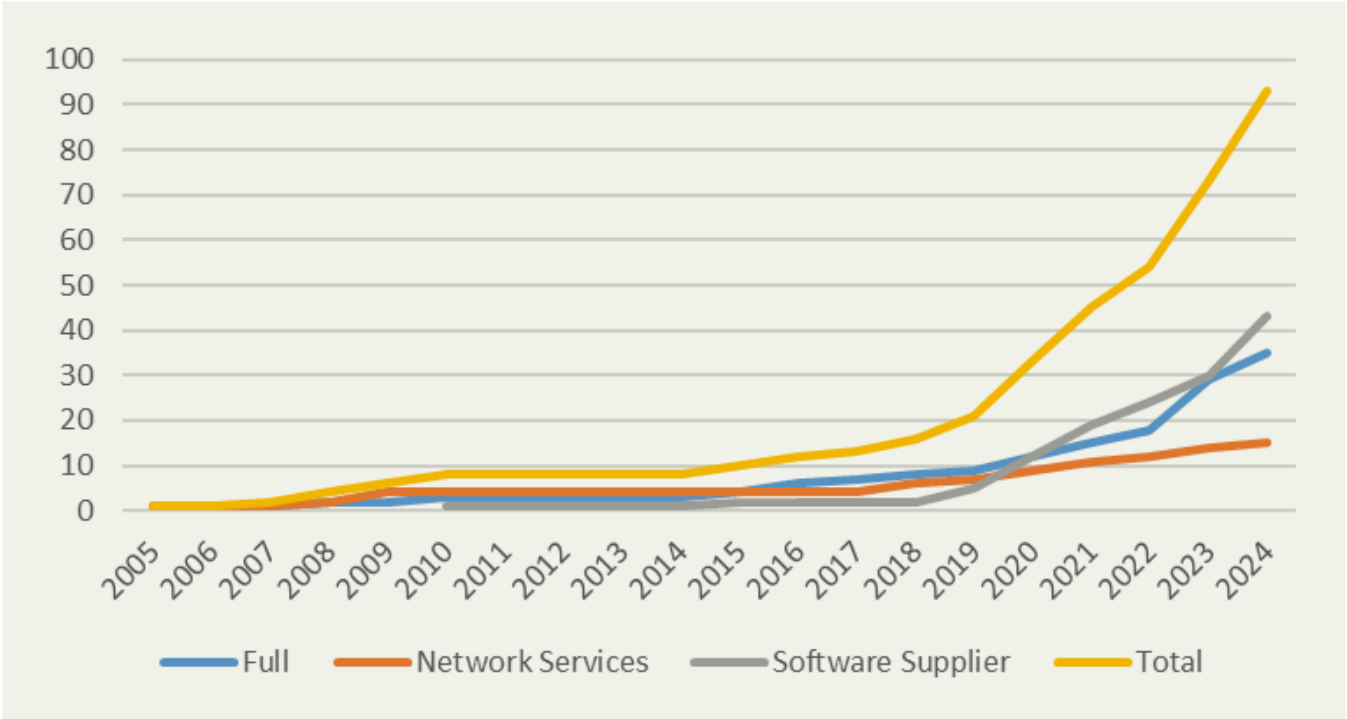
As with Network Services the GSC does not conduct checks on Software Supply businesses' customers (unless the services are being provided to a GSC-licensed B2C operator). It may be possible that an operator's software (i.e. games) are used for criminal purposes further down the chain as games can be sold and resold.

Some regulated firms undertake both B2B and B2C activity and where they do undertake B2C this is fully supervised for AML/CFT.

Figure 6-38 shows the growth over time in the types of licence that are issued by the GSC. The Software Supply licence has grown in number since first issued and is now the most popular.

The LEAs have recently undertaken a review into the threats posed by organised transnational criminality from South East Asia. Once the findings have been analysed, they will input into the Online Gambling ML Risk Assessment that is scheduled to be written in 2025. ›

Figure 6-38: Online Gambling Licences Issued by the GSC Since 2005



Source: GSC

6.3.5.3 CFT Controls for Online Gambling Sector

	CFT Control Factors for Online Gambling	Rating	
1	Comprehensiveness of CFT Legal/Regulatory Framework	0.7	High

As is the case for the other sectors, there are comprehensive laws and regulations regarding CFT and these have previously been positively assessed by MONEYVAL. In the IOM the two key pieces of legislation relating to TF, which also apply to Online Gambling, are: ATCA and TOCFRA.

The Gambling Code[117] details requirements for CDD. In support of the legislation the GSC produce the AML/CFT Guidance for Gambling Operators[118] (Guidance). The Guidance covers CDD, which includes tables and flow charts to help ensure clarity of what is required. The Gambling Code and Guidance cover all the key requirements, including but not limited to: record keeping; enhanced due diligence (EDD); suspicious activity reporting; confidentiality; tipping off; and internal controls. Networks are also obliged under the Gambling Code.

All licenceholders under OGRA are subject to the same level of entry controls, risk assessment, ongoing monitoring and supervision and risk-based inspection. Regarding B2B operations, there are three main types:

1) Where a gambling business is the customer of another operator: This is where one operator will place bets (i.e. hedging) with another. The Gambling Code applies and CDD requirements are more stringent than for retail customers
2) Software suppliers: such businesses are exempted from the Gambling Code requirements as they are not DNFBPs – see explanation in **Chapter 6.3.5.2** above
3) Network services: This is where an operator provides services to another operator (an NWP) but unlike in the case of software suppliers, bets are placed on the operator's systems for the NWP's customer. It is the NWP that has the relationship with the player and conducts AML/CFT checks (as mandated in NWP agreements between the operator and the NWP, which is a requirement of licence conditions).

It is current GSC policy that NWPs must be licensed in the relevant jurisdiction(s) to their operations where such a regime exists. The GSC does not currently have specific AML/CFT guidance for operators but it is planned for 2025.

As identified in the previous Chapter, given the reliance on the NWP which may be an unlicensed entity in a foreign jurisdiction, this should be considered a weakness in the system.

117 https://legislation.gov.im/cms/images/LEGISLATION/SUBORDINATE/2019/2019-0219/2019-0219_2.pdf
118 https://www.isleofmangsc.com/media/3bugfy4j/aml-cft-guidance-for-gambling-operators-v1-2-final.pdf

2	Effectiveness of Supervision/Oversight Activities	0.7	High

The GSC is the regulator that supervises the gambling sectors' compliance with legislation and regulations made under OGRA, associated guidance and licence conditions. The Gambling Supervision Act 2010[119] is the principal legislation that provides for the status, constitution and functions of the GSC.

The GSC supervises compliance through a combination of self-assessments and on-site reviews. Desk-based reviews of self-assessments and any documents provided allow the GSC to assess an operator's policy and process. General Supervision is the division in GSC that is responsible for the oversight and supervision of operators from licence approval to licence cessation.

AML Supervision of licenceholders is outlined in the Gambling AML/CFT Act 2018:

- Conducting investigations into alleged breaches as necessary. Guidance for supervision inspections has been published for entities to review
- Ensuring operators submit quarterly returns that includes AML/CFT information including internal and external disclosures, financial flows per jurisdiction, etc
- Conducting on-site inspections to assess the extent to which the operator complies with the AML/CFT legislation taking into account the operator's own procedures for achieving compliance.

As at Q2 2024 the GSC had approximately 53 employees, with 17 ring-fenced staff who are focussed on AML/CFT engagements. The staff hold many relevant professional qualifications. All staff receive in-house and external training on gambling models. Average turnover is at about **5%** per annum. The overall team has increased in recent years.

The GSC covers TF in their training for all staff and the inspection teams undertake International Compliance Association diplomas which cover TF.

Whilst turnover in the GSC is low, the recent expansion of the number of inspectors has resulted in a number of new recruits joining from industry or other competent authorities.

3	Availability and Enforcement of Administrative Sanctions	0.7	High

The GSC publishes a number of policies to ensure there is a good understanding of each step of enforcement strategy and process. The policies are:

- Enforcement Strategy
- Referral for Enforcement Policy
- Enforcement Decision-Making Process
- Discretionary Civil Penalties
- Prohibition Policy
- Publication Policy
- Use of Appropriate Experts Policy
- Settlement Policy
- Referral for Criminal Investigation
- Guidance on the Audio Recording of Interviews
- Guidance for Individuals - Interviews Under Compulsion Powers
- Guidance for Advocates - Interviews Under Compulsion Powers.

›

119 https://legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/2010/2010-0008/2010-0008_4.pdf

Administrative sanctions include:

- Power to restrict holders of permits or licences
- Addition of licence conditions
- Directions to appoint an expert or to prohibit appointment
- Injunctions and remedial orders
- Civil penalties
- Warning notices and Public Statements
- Prohibitions
- Suspension or revocation of licences or permits.

There is a Register of Discretionary Civil Penalties[120] which advises the firm that has been subject to enforcement action and the amount of the penalty imposed. Public statements are also made.

4	Availability and Enforcement of Criminal Sanctions	0.6	Medium High

Extensive criminal sanctions are in place for non-compliance with CFT obligations. These are detailed in ATCA with a maximum custody term not exceeding 14 years.

There have been no prosecutions or convictions for TF of Online Gambling firms to date.

The GSC do publish a document on how they make a referral to the police and/or AG, so there is clarity on both the process and risks of being prosecuted.

The GSC does not currently have the authority to sanction an individual. There is a plan for the GSC to be given this power.

5	Availability and Effectiveness of Entry Controls	0.5	Medium

Guidance for Making an Online Gambling Licence Application[121] details the requirements that must be satisfied as well as the types of different licence that can be applied for.

OGRA gives the GSC Commissioners the authority to approve designated officials. There are accompanying forms and declarations that are required. There is guidance on procedures and controls, as well as on compliance officers and staff.

Within the GSC there is a standalone division with 12 ring-fenced staff who are tasked with undertaking entry controls at licence application and every 5 years from licensing. The team also undertake entry controls on any changes of shareholding or ownership. All entry control applications are put to the independent board of the GSC for a decision. Staff undergo training on carrying out CDD, open-source and adverse media alongside AML/CFT training and specialist training VA risks, PF, etc.

The GSC require full details of beneficial ownership and control and the thresholds are set at **5%** ownership for full EDD to be required. Below **5%**, full CDD is required, but not additional diligence such as police checks. Open-source checks and ongoing screening for adverse media is in place for all owners and defined controllers such as directors, senior managers, etc. The GSC have a threshold set at **20%** ownership for publicly-owned companies but can waive this at discretion under policy if there are concerns.

120 www.isleofmangsc.com/gambling/enforcement/register-of-discretionary-civil-penalties/
121 https://www.isleofmangsc.com/media/opsgmqbs/online-gambling-guidance-for-making-a-licence-application.pdf

The GSC conducts ongoing monitoring for PEPs, sanctions and adverse media. Where criminal activity or adverse media is noted within licenceholders' wider groups, the GSC will consider in line with the regulatory framework the integrity of the owners and controllers. In a recent case in which a group company was associated with criminal activity, the GSC worked with partner agencies to suspend and remove the licence in order to cause disruption.

Organised crime is sophisticated and it is the remit of a regulator to detect and prevent criminal activity where it is associated with licenceholders. As was outlined in the IOM 2020 ML/TF NRA, the threat posed 'by criminal ownership or misuse of a licence is significant. Criminal ownership of businesses associated with a regulated gambling entity would be significant'. This risk still remains and amendments to strengthen the controls are in plan to be drafted and added to the legislation, which will give the GSC additional powers. This risk is also identified in other NRAs, such as the Malta 2023 NRA[122] which stated, 'Licensed institutions controlled by foreign criminal groups… the Italian police had announced that an entire online network of betting companies, part of which was headquartered in Malta, had direct connections to the 'Ndrangheta', a notorious Calabrian criminal organisation.'

A recent GSC public[123] statement advising of the cancellation of a licence confirmed that the firm was no longer "under the control of a person of integrity".

The Online Gambling sectoral risk assessment will further assess the ML threat of criminal capture.

6	Integrity of Staff in the Sector	0.6	Medium High

The Guidance states that an operator must establish, record, maintain and operate procedures and controls to enable the operator to satisfy itself of the integrity of new officers and of all new appropriate employees and workers. It also outlines requirements on new staff appointments.

There is a requirement of quarterly returns by regulated entities to declare any integrity matters such as convictions or legal proceedings/regulatory sanctions against Controllers or Senior Managers.

The IOM is also not considered to have significant issues regarding corruption/bribery of officials. There has been one recent example where the IOM based defendant was acquitted of his involvement in the bribery of a Ugandan official.

7	CFT Knowledge and Awareness of Staff in the Sector	0.6	Medium High

The Gambling Code covers staff training as does the Guidance. It is a legal requirement and must be evidenced. Guidance requires the entities to ensure that there is training for new starters, refresher training (at least annually) and in the event of changes to the AML/CFT/CPF requirements or the operators own AML/CFT/CPF processes and procedures. The GSC expects the Compliance Officer to be involved in creating, delivering or supervising this training to ensure that it meets the Gambling Code

122 https://www.ncc.gov.mt/wp-content/uploads/2024/01/PublicNRA_Dec2023.pdf
123 https://www.isleofmangsc.com/gambling/gsc-gambling-news/6-december-2024-public-statement-regarding-metagrow-solutions-limited/

requirements, is in line with the business risks and is effective.

As referenced in **7.1.6**, the FIU have issued guidance and good practice documents to assist with making SARs. The Online Gambling sector has submitted the largest number of SARs where the suspected criminality was terrorism or TF, see **Figure 7-7.**

As outlined for the other sectors, the general knowledge of TF risks is lower than for ML. This NRA, in its recommended actions, will recommend that the FIU as the repository of financial intelligence collect and publish TF typologies to assist each sector in identifying the forms of TF which might arise in each sector.

During on-site inspections the GSC do test understanding of TF knowledge during interviews/ testing. Across the sector, **10.2%** of all staff received specialist TF training in addition to the annual training required.

8	Effectiveness of Compliance Function (Organisation)	0.6	Medium High

The risk-based approach requires that every policy links back to the BRA which must take into consideration the volume and nature of the business.

The Guidance requires that the Compliance Officer must have sufficient seniority and authority; they must also have sufficient time and resources to properly discharge their responsibilities for implementing and testing AML/CFT/CPF procedures and controls and reporting to the board.

The Guidance states that operators should consider commissioning periodic audit reports by an independent third party expert. Such reports can be helpful in providing an unbiased expert opinion from a fresh perspective. Such reports can be particularly helpful where it is not possible for the Compliance Officer to be completely conflict-free or where extra attention is required to fully understand and remediate shortcomings.

The sector does experience challenges in recruiting. The perception is that this has become more difficult following GSC-published enforcement actions – something that is also found across other sectors. However, the number of compliance vacancies in the last sector data submission was only **1.6%**.

Recent Public Statements from the GSC have included recommendations for improving the effectiveness of the Compliance Function.

9	Effectiveness of TFS Implementation	0.8	Very High

See **Chapter 7.1.18**
As referenced in an earlier Chapter, data shows that there was a very limited amount of activity with List A countries. Some were legacy accounts which had been opened pre-IOM licence and were closed on discovery. Others were originally opened via a VPN and the deposit/withdrawal was identified as a List A jurisdiction IP address and then closed – the use of IP addresses assists as an additional control.

10	Effectiveness of Suspicious Activity Monitoring and Reporting	0.6	Medium High

The Guidance outlines what is required for ongoing monitoring for occasional transactions and regular activity. This includes:

- a review of information and documents held for the purpose of CDD to ensure that they are up-to-date, accurate and appropriate, in particular where that transaction or relationship poses a higher-risk of ML/TF
- appropriate scrutiny of transactions and other activities to ensure that they are consistent with:
  - the operator's knowledge of the customer, the customer's business and risk profile and source of funds for the transaction
  - the BRA
  - any relevant TRA
  - the CRA
- monitoring whether the customer or any known beneficial owner is listed on the sanctions list.

Systems must be tested and reported on internally at least annually as mandated in the Gambling Code and tested on inspection by GSC.

As is the case for most sectors, staff would benefit from further training and awareness of typologies to increase their awareness of TF and hence increase the number of submitted SARs to the FIU.

11	Availability and Access to Beneficial Ownership Information	0.7	High

See **Chapter 7.1.22**
There is no local non-personal client base so access is almost never required by this sector.

12	Availability of Reliable Identification Infrastructure	0.7	High

See **Chapter 7.1.20**
Almost all of this sector's customers are not local to the Island. The firms are well versed in using screening and verification tools which link to public information systems for screening.

The firms also use tools to identify browser, type of device being used, model and operating system, detect use of VPN, as well as tools to identify for fraudulent documents.

13	Availability of Independent Information Sources	0.7	High

See **Chapter 7.1.22** and assessment 12 above.

6.3.5.4 Summary for Online Gambling Sector

ONLINE GAMBLING SECTOR OVERVIEW

Residual TF risk the OG sector is exposed to	Medium
Inherent TF risk the OG sector is exposed to	Medium
Quality of CFT controls	Medium

Online Gambling firms in the Island are regulated and overseen by the GSC with supervision oversight extending to include CFT. The GSC is an independent statutory board of the IOM Government and was established in 1962. Whilst the laws and regulations differ from the sector supervised by the FSA, the CFT legislation applies to both and there is commonality in a number of areas including the Codes. This consistency, as well as the common reliance upon the same supporting agencies (including IOMC, FIU, AGC, Customs & Immigration, as well as others) does result in a number of similar controls to the Banking/TCSP/Life Insurance sectors and hence some similar scores.

Recent ML investigations involving Online Gambling companies have prompted a reassessment of the adequacy and effectiveness of the GSC's previous entry controls in this area, resulting in a lower entry controls score. The GSC has identified a number of actions and measures to mitigate those risks. Efforts are in progress to establish a clear legal foundation for risk-based licensing decisions which are stricter than the standard entry control checks previously applied. The experience derived from these ongoing ML investigations in this area has been further considered as part of a multi-agency threat assessment. Overall, the quality of controls was deemed to be medium, although recent public statements by the GSC have indicated where certain controls require strengthening to ensure that the risk of TF is minimised in respect of any revenue coming through this sector. There have also been weaknesses identified in the B2B controls. A large amount of the sector's activities come from a high volume of customers making small-value transactions. Almost all the Online Gambling sector customers are international and not-face-to-face.

The inherent TF risk was assessed as medium.

Overall, the residual TF risk the Online Gambling sector is exposed to is **medium.** ›

> Efforts are in progress to establish a clear legal foundation for risk-based licensing decisions which are stricter than the standard entry control checks previously applied. ”

6.3.6 Other Sectors

The following two sectors included in the Designated Businesses (Registration and Oversight) Act 2015 have been excluded:

- Safe custody – very small in number
- Specified Non-Profit Organisations – very small in number and included in the NPO TF NRA that will be published.

There are comprehensive laws and regulations regarding CFT. In the IOM the two key pieces of legislation relating to TF are ATCA and TOCFRA, which apply to all sectors. **Section 68** of TOCFRA establishes that codes as they may be required under the act also apply to the regulated sector as defined in POCA 2008.

6.3.6.1 Non-Life Insurance

The Non-Life Insurance sector consists of three broad types of activity:

- General Insurance Intermediaries
- Insurance Managers
- Authorised Insurers and Permit Holders

The sector split is summarised as per **Figure 6-39** (source: FSA). ›

Figure 6-39: Non-Life Insurance Sector Split, 2020 – 2024

Year (as at 31st March)	2020	2021	2022	2023	2024
Total general insurance intermediaries	**21**	**31**	**31**	**30**	**30**
Of which, general insurance intermediaries – fully registered[124]	19	19	18	17	18
Of which, general insurance intermediaries – partially exempt	2	12	13	13	12
Total non-life insurance managers	**10**	**7**	**7**	**7**	**7**
Of which, insurance managers – commercial	7	5	5	5	6
Of which, insurance managers – internal (group-related)	3	2	2	2	1
Permitted non-life insurers (permit holders)	**12**	**11**	**9**	**9**	**7**
Authorised non-life insurers[126]	**100**	**100**	**100**	**97**	**96**
Of which, captive insurance	70	70	70	85	82
Of which, general insurance	17	17	17	8	9
Of which, general insurance (including reinsurance)	8	8	8	2	3
Of which, reinsurance only	5	5	5	1	1
Of which, special purpose vehicles	0	0	0	1	1

Source: IOM Government

124 There was a change in legislation in 2020/2021 which resulted in some firms that were previously "fully exempt" from requiring a registration, to being "partially exempt" (thus requiring registration). These firms were already licensed for investment business activity.
125 The updated insurance framework in 2022 resulted in a shift of firms moving from class 3-9 (and 11) to captive (Class 12) insurance.

Further explanation of each of the sectors, together with key data, is covered below.

GENERAL INSURANCE INTERMEDIARIES

General insurance intermediaries are IOM domiciled and incorporated companies registered under the Insurance Act only to intermediate on general insurance products[126] and pure protection products[127]. Some of these companies are also licensed under the FSA08 for investment business activities (advising on investments and arranging deals in investments). These firms are "fully-registered".

There are also some investment firms or banks licensed under the FSA08 which do limited insurance intermediation activity, whereby their insurance intermediation permissions are restricted to pure protection business (these are known as partially exempt intermediaries). This insurance business is ancillary to their main activity.

There are also non-IOM-domiciled entities who may occasionally visit the Island to service IOM clients. The framework exempts them from having to be regulated in the IOM for their temporary visits whilst they undertake regulated activity on the Island on the basis that they are regulated by the UK Financial Conduct Authority (FCA).

The data in **figure 6-40** is in respect of those firms that are fully-registered general insurance intermediaries.

Figure 6-40: General Insurance Intermediaries Country Exposure, 2023

		PEP Nationality %	PEP Residency %	Natural Persons %	Non-Natural Persons %	UBO %
	List A & B Countries	none	none	0.04%	0.04%	0.49%
Top 2 Countries	IOM	51.4%	84.9%	98.5%	89.2%	87.0%
	UK	34.1%		1.2%		4.1%
	UAE		4.3%			
	Cayman Islands				2.7%	

Source: FSA AML/CFT Annual Returns

As at end of 2023, in respect of the total customer base, **92.1%** were natural persons.

There is almost no exposure to higher-risk jurisdictions for general insurance intermediaries. The majority of the country exposure is either within the IOM or to the UK. There is minimal cross-border exposure to other countries, with only one firm having PEP exposures outside of IOM/UK/Channel Islands – that firm's business model is specifically focussed on the provision of employee group (crew) insurance for corporate owners of crewed luxury yachts, in relation to owners' obligations under employment contracts and international maritime regulations. ›

126 A non-Life insurance product which provides cover for damage or loss i.e. motor, travel, home, health, liability both on a personal and commercial basis.
127 An insurance product intended to respond when there is an unexpected event such as premature death (i.e. whole/term life assurance) or illness which prevents the policyholder from working (i.e. income protection or critical illness). There must not be an investment element to the insurance contract.

INSURANCE MANAGERS

Insurance Managers are firms registered under the Insurance Act, which provide professional insurance management services (i.e. underwriting, claims management, finance and treasury) to insurance companies who have a presence in the IOM. An insurance manager can manage both an IOM-authorised insurer and an IOM-permitted insurer (foreign insurer). Non-Life insurance managers in the main operate as commercial managers and manage insurance companies outside of their ownership group and those insurers are mainly captive insurers.

Figure 6-41: Insurance Manager Country Exposure, 2023

		PEP Nationality %	PEP Residency %	Natural Persons %	Non-Natural Persons %	UBO %
	List A & B Countries	35.5%	35.5%	none	none	7.1%
Top 2 Countries	South Africa	32.3%	32.3%			
	Malaysia	29.0%	29.0%			
	Isle of Man				94.6%	
	Bermuda				5.4%	
	UK					37.1%
	Switzerland					7.1%

Source: FSA AML/CFT Annual Returns

All customers of insurance managers are non-natural persons as the customers are insurance companies. The data shows that the majority of the customer base of insurance managers are IOM-authorised insurers, with the others being Bermudan insurance companies holding permits in the IOM. Within this insurance customer base there is some exposure to PEPs from higher-risk countries, primarily South Africa. Also see information in respect of the PEP exposure for "authorised and permitted insurers" below.

AUTHORISED AND PERMITTED INSURERS

Permitted insurers are insurance companies that are incorporated and domiciled in an overseas jurisdiction (i.e. a foreign company) but have a presence on the IOM (which may be due to being managed in the Island by a registered insurance manager) and thus require to be authorised. A permitted insurer (non-life) may be either a captive insurer or a commercial (retail or non-retail) insurer. ›

Authorised insurers are IOM-incorporated and domiciled companies that generally either:

- Insure the risks of or related to, group entities only (captive insurance) – the majority of IOM non-life authorised insurers fall into this category (circa **85%** in 2023/24)
- Write mainly group-related insurance, but not exclusively ("commercial non-retail")
- Write insurance policies to members of the public (including to businesses) ("commercial retail").

The data in **Figure 6-42** is in respect of all permitted and authorised non-life insurers that submit annual AML/CFT data to the FSA, including any composite insurers (those currently allowed to write both long-term and general insurance business).

Figure 6-42: Insurers Country Exposure, 2023

		PEP Nationality %	PEP Residency %	Natural Persons %	Non-Natural Persons %
	List A & B Countries	22.68%	22.68%	0.002%	1.25%
Top 2 Countries	IOM	39.2%	39.2%	22.9%	54.3%
	South Africa	18.6%	18.6%		
	UK			71.6%	19.7%

Source: FSA AML/CFT Annual Returns

(UBO data for applicable sectors is in **Figure 6-43**)

As at end of 2023, in respect of the total customer base covered in **Figure 6-42** above (all authorised and permitted insurers), **92.2%** were natural persons. However, it is helpful to breakdown the figures into certain sub-sectors, as shown in **Figure 6-43** below. ›

Figure 6-43: Sub-Sector Breakdowns (Material Exposures), 2023

Sector and country analysis	PEP Nationality %	PEP Residency %	Split of book (natural vs non-natural)	Natural Persons %	Non-Natural Persons %	UBO %
(A) Authorised insurers – commercial (retail and non-retail, excluding composite)			94.5% natural 5.5% non-natural			
Isle of Man	58.5%	58.5%		25.3%	87.9%	–
South Africa	20.8%	20.8%		–	–	–
UK	–	–		74.6%	11.8%	99.4%
Malaysia	11.3%	11.3%				
(B) Permitted insurers – commercial (retail and non-retail)			77.3% natural 22.7% non-natural			
IOM	–	–		42.1%	25.1%	
UK	–	–		0.6%	5.8%	
Guernsey	–	–		31.7%	33.5%	
Jersey	–	–		25.6%	35.6%	
(C) Authorised captive insurers (IOM domiciled)			100% non-natural			
Isle of Man	29.2%	29.2%			2.0%	6.3%
South Africa	29.2%	29.2%			24.0%	5.1%
UK	4.2%	4.2%			42.7%	38.0%
Australia	–	–			0.7%	20.2%
India	8.3%	8.3%			–	–
	All others 4.2% or below				All others below 3.3%	
(D) Permitted captive insurers (foreign domiciled)	100% non-natural customers. There are only 2 permitted captive insurers and in 2023 only one reported customer data. This data is therefore not provided here but indicated a wide spread of country risk					

Source: FSA

101 Any white label arrangements require full registration and oversight of the customers and do not facilitate activity noted in press articles relating to football sponsorship

(A) AUTHORISED INSURERS - COMMERCIAL

The data for this sub-sector is dominated by two commercial insurers, whose exposure is only to IOM and UK. The exposure to South African PEPs is through one commercial non-retail insurer.

(B) PERMITTED INSURERS - COMMERCIAL

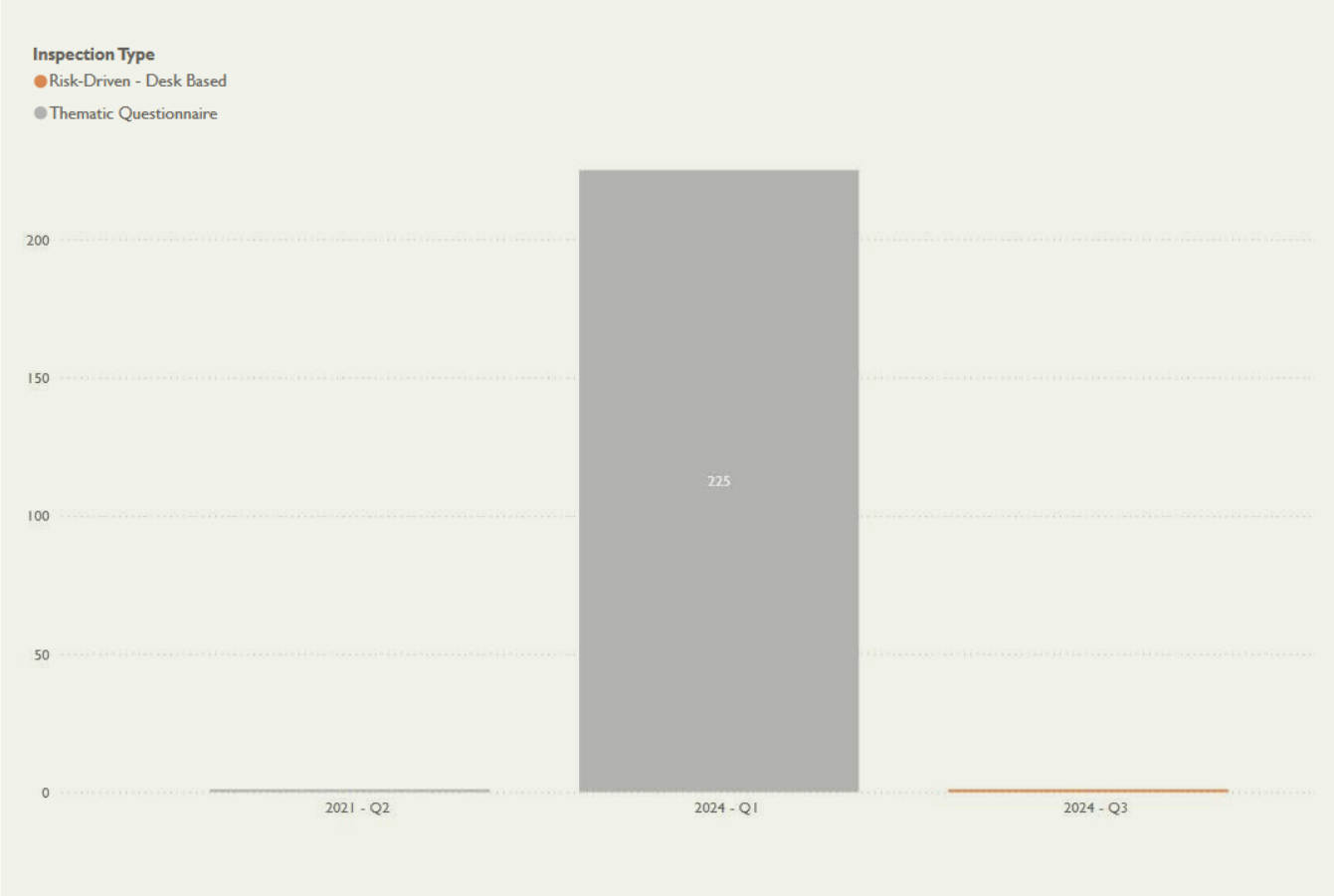
The data for this sector is dominated by two permit holders, whose exposure is only to the British Isles.

(C) AUTHORISED CAPTIVE INSURANCE

The data for this sector is from the authorised captive insurers that reported 2023 data (82 firms on 31 March 2024). The number of customers (of these captive insurers) is naturally low; this is because captive insurance contracts mainly provide protection for group-owned assets and liabilities with share capital, premium inflows and claim outflows being largely between group companies (i.e. the customers of the captive insurers are group entities and in some cases a captive insurer may only have 1 customer).

Most premium outflows are to the reinsurance sector, much of which is placed in the London and Lloyds insurance markets. Significant claims generally involve the appointment of an independent loss adjuster who will verify the claim and advise on reserves and settlement values. ›

Figure 6-44: FSA AML/CFT Inspections & Thematic Questionnaires of Non-Life Insurance Sector



Source: FSA

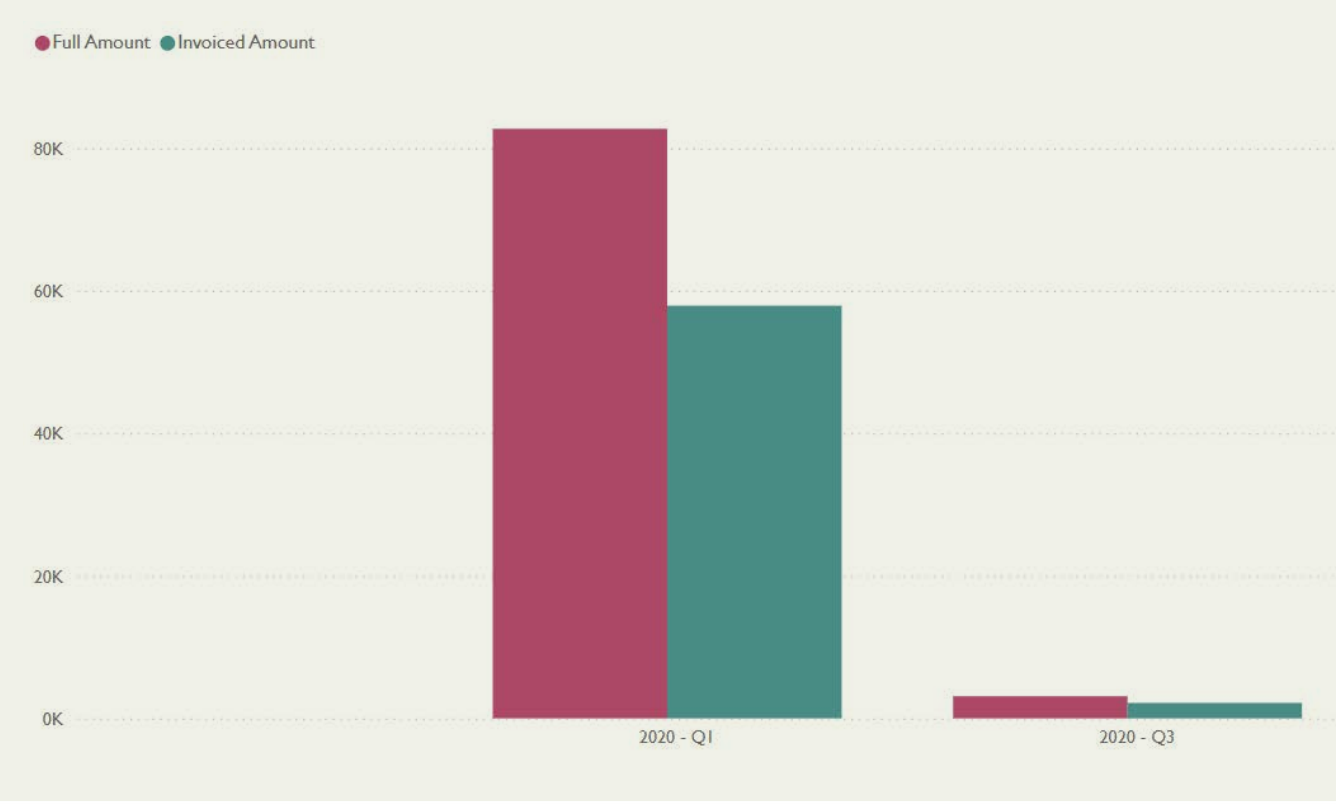
The Island offers a broad range of captive management services (see insurance managers above). Captives have become an integral part of the risk management strategy of many large companies and continue to offer one of the most effective and widely used mechanisms for risk treatment.

Authorised captive insurers have a larger cross-border exposure compared to other parts of the non-life sector, with clients (group entities) in circa 30 countries, noting more of a concentration to UK and South Africa. There are also some PEP customers in higher-risk jurisdictions, primarily South Africa, although PEP numbers are relatively low and, where they do arise, are concentrated within specific groups.

RELEVANT LEGISLATION AND REGULATION

The FSA regulates the different parts of the non-life insurance sector. Non-life insurance companies carrying out insurance business in or from the Island are required to be authorised under the Insurance Act 2008. Insurance managers and general insurance intermediaries are required to be registered under the Insurance Act 2008. ›

Figure 6-45: Penalties[128] and Fees Applied to the Non-Life Insurance Sector



Source: FSA

128 The penalties are all those imposed on the sector and not related to TF penalties in isolation. The FSA Enforcement Action announcements (https://www.iomfsa.im/enforcement/enforcement-action/) provides details on the nature of the non-compliance

There have been penalties applied to two firms in 2020 but none since then. The penalty in Q1 2020 was only partly for AML/CFT failings.

The FSA has issued sector specific guidance[129], which assists the non-life insurance sector which covers all 3 activities (General Insurance Intermediaries, Insurance Managers, Authorised Insurers and Permit Holders). The sector specific guidance does refer to kidnap, ransom and cyber insurance. It states that:

> "The payment of a ransom (whether paid in fiat or virtual currencies generates proceeds of crime) and these proceeds may be used for terrorist or proliferation financing….
> It is important that registered persons comply with the Code requirements in relation to external disclosures if they are involved in a ransom payment. Relevant persons should be aware that the payment of a ransom is illegal in some jurisdictions."

TF-RELATED MATTERS

There is a significant cross-border aspect to parts of the Island's Non-Life sector, most notably the captive insurance sector. The data also confirms that some business is conducted on a non-face to face basis through introducers.
(Source: FSA AML/CFT annual return).

Higher-risk factors for the sector might be:

- applications from countries where there may be a closer and equally suitable country offering the same product
- where the rationale for insuring does not make sense
- seeking policies of a value that does not appear to meet the requirements
- customers that are legal entities whose structure makes it difficult to identify the ultimate beneficial owner.

The FATF Risk-Based-Approach (RBA): A Guidance for the Life Insurance Sector[130] 2018 references non-life insurance and gives the following example as a typology:

> "where non-life insurance products might be misused for ML and TF is the utilization of illicit funds for the payment of premiums or a significant overpayment of premiums followed by a refund request for the full amount or the amount overpaid."

Incoming and outgoing payments are almost exclusively bank transfers, with negligible cash accepted and no virtual asset transactions.

Overall, the residual TF risk the Non-Life Insurance sector is exposed to is estimated as **medium low**. ›

It is important that registered persons comply with the Code requirements in relation to external disclosures if they are involved in a ransom payment. Relevant persons should be aware that the payment of a ransom is illegal in some jurisdictions."

129 https://www.iomfsa.im/amlcft/amlcft-requirements-and-guidance/
130 https://www.fatf-gafi.org/content/dam/fatf-gafi/guidance/RBA-Life-Insurance.pdf.coredownload.pdf

6.3.6.2 Virtual Assets and Virtual Asset Service Providers[131]

THE SECTOR

As defined by FATF on its Virtual Assets web page[132]:

> "Virtual Assets (crypto assets) refer to any digital representation of value that can be digitally traded, transferred or used for payment. It does not include digital representation of fiat currencies."

An NRA will be written for the Island for VAs , this will also consider the TF risk. Therefore, this Chapter provides a brief overview and does not seek to quantify the TF risk. Should the VA risk materially differ from this jurisdictional TF assessment, then it will be considered as a trigger event and this NRA will also be reviewed in the light of the additional information.

The registered VA/Virtual Asset Service Provider (VASP) sector in the IOM ranges from small VA issuers to international VA exchanges. The usage and purpose of each registered designated business is diverse and positioned within a rapidly evolving industry. The sector is largely international-based with non-domestic customers.

Digital IOM, part of the IOM Government, actively promotes the Island to Financial Technology (FinTech) firms. Its website states[133]:

> "The Isle of Man's regulatory position has always been one that is tech agnostic, where it is the activity that is judged for regulation, not the underlying technology."

RELEVANT LEGISLATION AND REGULATION

POCA schedule 4 defines VA activity. By virtue of being included in schedule 4 of POCA, VA/VASPs are subject to the AML/CFT Code 2019 and the Designated Businesses (Registration and Oversight) Act 2015 gives the FSA the power to oversee the sector for CFT purposes.

Refreshed sector guidance[134] has been recently published referencing the new legislation.

The Travel Rule (Transfer of Virtual Assets) Code 2024 was introduced in October 2024. This puts obligations on the relevant person who sends a VA to a VASP to obtain and hold certain information and where the relevant person receives a VA from a VASP it must ensure it has received certain information.

The GSC regulates gambling activities related to VAs and has issued AML/CFT Guidance for VA/Goods[135] which provides guidance of the TF risks in VA and virtual goods and illustrates areas where further controls can help mitigate the risks. In addition, an operator must seek permission from the GSC before they accept VA deposits by any route.

Due to the nature of the rapidly evolving sector, particular focus should be given to the TRA. This must estimate the risk of ML/TF posed by any technology utilised by the business, such as the use of online delivery channels and communication methods, to its business. The BRA must also take into consideration the TRA. ›

"The Isle of Man's regulatory position has always been one that is tech agnostic, where it is the activity that is judged for regulation, not the underlying technology."

131 VASPs were previously referred to as CVCs in the regime
132 https://www.fatf-gafi.org/en/topics/virtual-assets.html
133 https://www.digitalisleofman.com/fintech/
134 https://www.iomfsa.im/media/3381/virtual-asset-service-provider.pdf
135 https://www.isleofmangsc.com/media/envj2xsk/aml-cft-guidance-for-virtual-assets_goods.pdf

TF-RELATED MATTERS

FATF states on its Virtual Assets web page[136] :

"Without proper regulation, virtual assets also risk becoming a safe haven for the financial transactions of criminals and terrorists. The FATF has been closely monitoring developments in the cryptosphere and has issued global, binding standards to prevent the misuse of virtual assets for money laundering and terrorist financing. In recent years, some countries have started to regulate the sector, while others have prohibited virtual assets altogether. However, the majority of countries are yet to implement effective regulations. These gaps in the global regulatory system have created significant loopholes that can be exploited by criminals, terrorists and rogue regimes."

As at the end of 2023 the sector's customer characteristics were:

- Very few PEPs, with none from jurisdictions that may pose a higher-risk
- **55%** of the PEPs were nationals and resident in the UK
- **0.2%** of natural persons were resident in List B countries
- **81%** of natural persons are resident in the UK
- There were no non-natural persons from List A or B countries
- **65%** of non-natural persons are resident in the UK
- **1.4%** of UBOs are from jurisdictions that may pose a higher-risk
- **68%** of UBOs are resident in the UK.

In her paper *New Technologies but Old Methods in Terrorism Financing*[137], Jessica Davis writes:

"The most popular cryptocurrency among terrorists and extremists is by far Bitcoin, lauded for its supposed anonymity as well as the mythology surrounding its creation. Terrorists and extremists have used Bitcoin to move money and to pay for services like as webhosting, although terrorists (particularly the Islamic State) also use other cryptocurrencies like Monero. The most common terrorist use of cryptocurrency is to solicit donations from supporters."

"The most popular cryptocurrency among terrorists and extremists is by far Bitcoin, lauded for its supposed anonymity as well as the mythology surrounding its creation. Terrorists and extremists have used Bitcoin to move money and to pay for services like as webhosting"

Jessica Davis, *New Technologies but Old Methods in Terrorism Financing*

The sector is rapidly evolving globally and is also complex. The level of regulatory (and investigatory) expertise in the field is limited and this creates challenges in keeping up with developments. Also, with these services there is a level of anonymity available which is greater than traditional non-cash methods and difficulty in linking an 'account' to a real identity.

The sector has factors which increase the potential threat, including:

- Anonymity
- Global reach and disaggregation
- Near-real-time settlement and irrevocability of transactions
- Challenges in tracing and seizing assets.

The VA NRA will consider these and other threats and vulnerabilities. ›

136 https://www.fatf-gafi.org/en/topics/virtual-assets.html
137 https://static1.squarespace.com/static/5e399e8c6e9872149fc4a041/t/60b0ab3b05f1734566580 76b/1622190920308/New+Technologies+but+Old+Methods+in+TF.pdf

6.3.6.3 Credit Unions

THE SECTOR

There is one regulated Credit Union on the Island, Manx Credit Union Limited (MCU).

Information is provided to the FSA as part of the annual AML/CFT return, which the FSA uses to assist with supervision. The MCU also provides quarterly and annual financial data to the FSA. However, no data, except that which is already public, is presented in this document, as it is not possible to aggregate or anonymise data for one entity.

The MCU promotes itself as providing savings and loans and is run solely for the benefit of its members. Members must be over 16 years of age and live on the IOM (noting provisions in place to deal with the situation when a member moves off Island). It is run by volunteers.

As of **30 September 2023** (published financial statements), the MCU had **1,431** members, with total assets of **£1,435,555**. The size is therefore determined to be very low.

RELEVANT LEGISLATION AND REGULATION

Credit Union activity is included in **schedule 4** of **POCA**, therefore the sector is subject to the Code and the **FSA08** gives the FSA the power to regulate the sector and to oversee the sector for CFT purposes. A licence to carry on the **Class 9** regulated activity of Operation of a Credit Union permits an entity that is incorporated as a credit union under the **Credit Unions Act 1993** to operate a credit union in the IOM.

The Credit Unions Act 1993[138] provides tight restrictions on business. A member must be resident on the Island, may not have a shareholding of greater than **£15,000** and the law allows a loan to be no more than **£5,000** in excess of the paid-up shareholding. This restricts the business activity and consequential TF risk.

The MCU has participated in two AML/CFT-related thematic questionnaires and a business meeting with the FSA in 2024.

TF-RELATED MATTERS

From the AML/CFT returns, the country exposure can be seen to be almost exclusively the IOM, consistent with its membership criteria. Therefore, there is no exposure to higher-risk jurisdictions. Cash is accepted but the usual payment method is bank transfer. New customers are met face-to-face, reducing the risk of any TF exposure.

Overall, the residual TF risk the Credit Union sector is exposed to is estimated as **low**.

6.3.6.4 Collective Investment Schemes (Funds), Fund Managers and Administrators

THE SECTOR

Fund managers and administrators in the IOM provide services to a range of fund vehicles, both IOM funds and overseas funds (which are subject to AML/CFT frameworks in their home jurisdictions). Whilst there are a number of IOM funds, most are private arrangements (i.e. exempt schemes).

The population of Fund Managers/Administrators varies in terms of the types and numbers of funds they provide services to. Some are focussed on only a small number of retail type funds, whereas others focus on servicing a wider range of clients including IOM qualifying funds, experienced investor funds, specialist funds and exempt funds, together with services to overseas funds or to overseas managers/administrators.

As of June 2024 (Source: FSA), Assets Under Management:

- **Services to IOM schemes = USD 2.54bn**
- **Services to overseas schemes = USD 9.51bn**

Both the IOM funds themselves and the fund managers/administrators are subject to the AML/CFT framework. ›

138 https://legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/1993/1993-0019/1993-0019_6.pdf

Fund managers/administrators are responsible for assessing the ML and TF risk associated with taking on funds as clients. This includes an understanding of not only the investor base but also what the fund is investing in, the fund structure and the other functionaries providing services to the fund. The funds are responsible for complying with the Code, in relation to their clients, but in practice the governing body of the fund usually delegates this to the manager/administrator.

The underlying clients of funds range from retail individuals (predominantly non-resident) to more sophisticated individual investors and corporate and institutional investors. Investment into funds is often made through intermediaries, financial advisory firms, investment firms/portfolio managers, custodians and life companies. Many of these intermediaries are regulated firms outside of the IOM.

Figure 6-46: Range of products offered by the funds industry[139]

Type of Scheme	Scheme	Description
Retail	Authorised	Subject to detailed and prescriptive regulation and which are capable of promotion to the general public.
	Regulated	Can be suitable for both retail and institutional investors and can apply for secondary listings on recognised exchanges.
Professional	Qualifying	For distribution to non-retail investors, offering maximum flexibility on strategy and asset allocation.
	Specialist	A minimum $100k initial investment criteria.
Private	Exempt	Private funds which cannot be marketed to the public and are restricted to having no more than 49 participants.
	CEICs	Closed-ended investment companies (CEICs) generally fall outside the regulatory net for collective investment schemes.

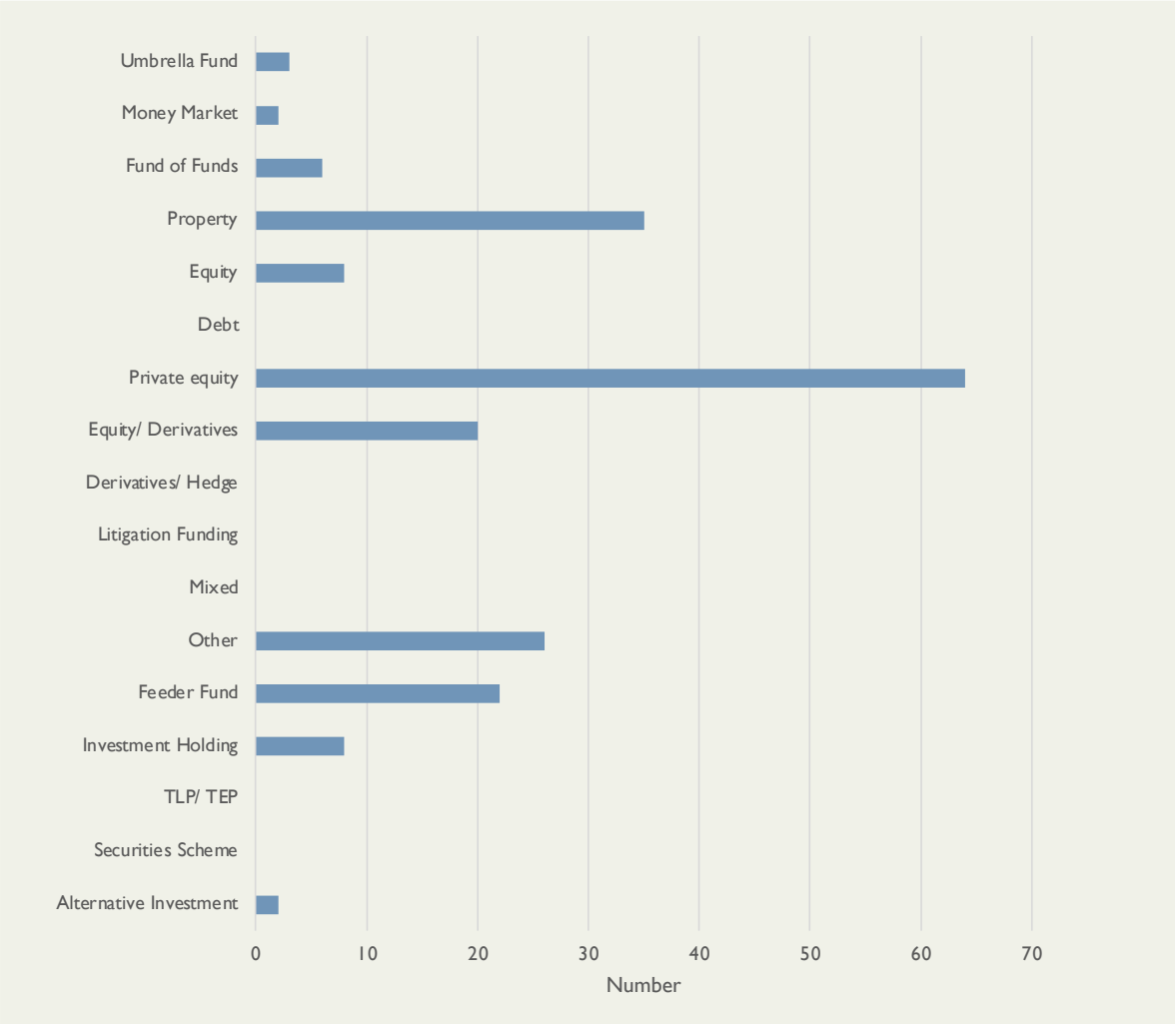
Source: FSA

The number of licensed fund managers/administrators has been broadly stable over the last four years.

In total there are (as at June 2024) 196 funds, excluding CEICs. 98 funds are domiciled in the IOM and 98 outside the IOM with 59 in the Cayman Islands and 27 in the British Virgin Islands (BVI). **Figure 6-47** shows the asset class for all funds, with Private Equity and Property accounting for approximately **50%** (Source FSA[140]). The Funds Under Management have dipped in June 2024, as per **Figure 6-48**. ›

139 https://www.iomfunds.com/iom-wealth-funds/isle-of-man-funds/
140 https://www.iomfsa.im/statistics-site/funds/

Figure 6-47: Asset Class for All Funds



Source: FSA

The FSA produce a quarterly statistical bulletin[141] that provides further detail on the sector, as well as a sectoral update[142].

RELEVANT LEGISLATION AND REGULATION

The Fund Management /Administration sector is mature and is regulated under the current FSA08 legislative framework, with previous regulatory frameworks applying for over 25 years.

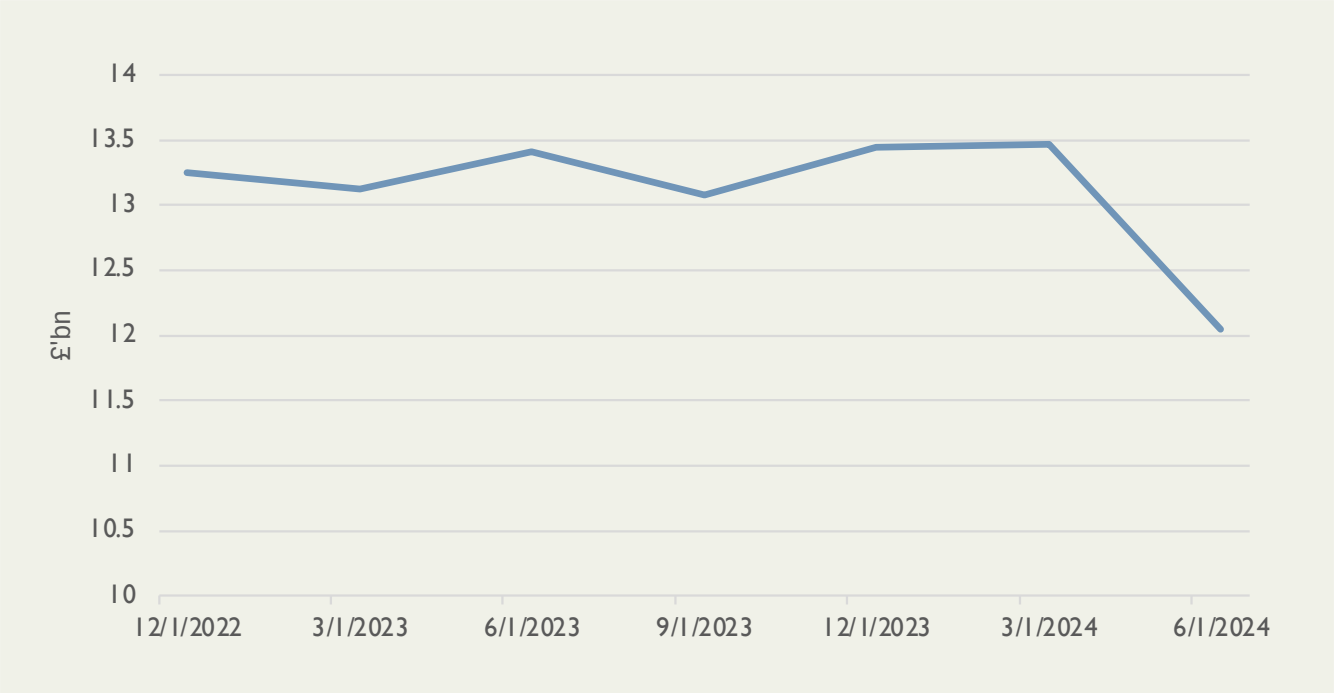
All funds established in the IOM under the Collective Investment Schemes Act 2008 are also "relevant persons" for the purpose of AML/CFT legislation; this means the AML/CFT Code also applies directly to IOM funds as well as the functionaries. In practice the governing body of an IOM fund will delegate the majority (if not all) of AML/CFT matters to its functionaries (fund manager/ administrator), but the governing body must understand and document what services the functionary provides and more importantly is not, providing in relation to the fund's obligations under the AML/CFT Code.

TF-RELATED MATTERS

Figure 6-49 shows the top 10 countries as a percentage of the IOM Collective Investment Schemes, Fund Managers and Administrator sector's customer base in five client categories ›

141 https://www.iomfsa.im/media/3363/stats-bulletin-30-september-24.pdf
142 https://www.iomfsa.im/media/3098/fsa-report-fund-services-2020-2021-final.pdf

Figure 6-48: Total Funds Under Management, $bn



Source: FSA

which are captured in the annual AML/CFT returns: PEPs by nationality; PEPs by residency; Natural person by residency; Non-natural person by residency; UBOs by residency.

Figure 6-49 also shows the top 10 countries as a percentage of the overall number, which highlights any concentration or if there is a spread across multiple countries.

The Figure also details overall percentage country risk exposure to high- or potentially high-risk countries.

There is a significant cross-border element to this sector, with South Africa being the largest exposure for natural persons at **56.0% (2020 – 28.6%)** and UBOs at **63.0% (2020 – 5%)**. South Africa is a List Bi country and therefore regarded as higher-risk for TF purposes. The UK is also a significant market. The majority of customers are not met face-to-face (**75%** in **2023,** Source: FSA). Combined, these increase the inherent risk. ›

Figure 6-49: Top 10 Exposure to Country Risk from the Customers of the Collective Investment Schemes (CIS), Fund Managers and Administrators Sector, 2023

PEPs by Nationality	%	PEPs by Residency	%	Natural Persons by Residency	%	Non-Natural Persons by Residency	%	UBO	%
UK	24.2%	UK	15.7%	South Africa	56.0%	Isle of Man	34.4%	South Africa	63.0%
South Africa	9.1%	Isle of Man	14.1%	UK	15.8%	UK	14.3%	UK	11.5%
Isle of Man	6.5%	South Africa	9.2%	Isle of Man	6.6%	Guernsey	8.9%	Isle of Man	8.4%
Qatar	5.9%	Qatar	5.9%	Japan	5.2%	South Africa	7.6%	Guernsey	1.9%
Singapore	5.4%	Singapore	5.9%	Belgium	2.87%	Luxembourg	7.3%	Switzerland	1.6%
Saudi Arabia	4.8%	Malaysia	5.4%	Singapore	2.38%	Switzerland	3.6%	USA	0.8%
Malaysia	4.8%	Saudi Arabia	4.9%	Australia	0.96%	Ireland	3.6%	Australia	0.8%
Bahrain	3.2%	Switzerland	3.2%	Malaysia	0.56%	Cayman Islands	2.1%	Ireland	0.7%
Switzerland	3.2%	Bahrain	2.7%	New Zealand	0.54%	BVI	1.8%	Belgium	0.7%
Canada	2.7%	Luxembourg	2.2%	USA	0.50%	Belgium	1.6%	Israel	0.7%
Top 10 as % overall	69.9%		69.2%		91.31%		85.2%		90.2%
Higer risk countries (Lists A, Bi and Bii)	12.9%		13.5%		57.49%		6.8%		64.2%

Source: FSA AML/CFT Annual Returns

Figure 6-50 shows for the CIS, Fund Managers and Administrators sector, the percentage of that sector of the different types of customers from each of the high or higher country risk groups (taken from the AML/CFT returns 2023).

Figure 6-50: Country Risk Exposure to High or Potentially High Risk Countries of the CIS, Fund Managers and Administrators Sector, 2023

Country Risk Rating	2023 Bank PEPs by Nationality	2023 Bank PEPs by Residency	2023 Bank Natural Persons by Residency	2023 Bank Non-Natural Persons by Residency	2023 Bank UBO
A	0.00%	0.08%	0.01%	0.00%	0.00%
Bi	10.75%	10.81%	56.69%	7.78%	63.63%
Bii	2.15%	2.70%	0.80%	0.35%	0.58%

Source: FSA AML/CFT Annual Returns

It should be noted that cash is never used and the usual method of funds transfer is via the banks.

The non-face-to-face nature of the sector, use of intermediaries, pooling of monies, exposure to higher-risk jurisdictions and the possibility of integrating small amounts can be a feature of parts of the sector which can pose additional risk.

The majority of Collective Investment Schemes do not provide the ability to access funds quickly, which would make the products less attractive to terrorist financiers, unless they were looking to invest over the medium term. In addition, the profile of the investors in the schemes, who may be in positions to exercise control over the scheme does not correspond to the profile for terrorist organisations or individual terrorists.

Overall, the residual TF risk the Funds sector is exposed to is estimated as **medium low**. ›

6.3.6.5 Investment Business: Overall Sector

A licence to carry on the Class 2 regulated activity of Investment Business permits a firm operating in or from the IOM (within certain criteria and with specified exclusions) to:

- deal in investments
- arrange deals in investments
- manage investments belonging to another person
- provide administration and safeguarding of investments
- advise on investments.

Businesses that provide services to Collective Investment Schemes will need to hold a separate Class 3 licence.

Investment Firms' customers vary from retail and general corporate customers through to those that just support institutional customers.

Services under a discretionary mandate mean that the firm is trusted by customers to make appropriate investment decisions for them. An initial assessment is completed with the customer to work out investment objectives and risk appetite and then a strategy is planned to fit the customer profile and needs. The manager will then take charge of all investment decisions and, providing the appropriate documents are in place, will not require consent for transactions. Minimum investment levels tend to be higher than those for Financial Advisors.

Advisory investment management is more intensive and offered by larger firms and private banks. The wealth manager will advise on strategies for investment but the customer makes the final decision and or approvals.

Execution only means the customer instructs the firm and no advice is provided by an investment manager suitable predominantly for proficient investors and finance professionals.

Stockbrokers may, on behalf of customers, buy and sell stocks, bonds and other securities, either on an execution-only basis or via an advisory or discretionary offering. Stockbrokers are required to abide by stock market rules, which require them to prevent churning, market abuse and treat customers fairly, such as ensuring best execution in performing deals. Best execution means achieving the best possible result for customers when executing their orders by taking into account price, costs, speed, likelihood of execution and settlement, size, nature or any other consideration relevant to the execution of the order.

Sector	Staffing	2022	2023
Investment Business	Staff vacancies as %	2.8%	4.1%
Investment Business	Compliance staff as % of overall staff	8.9%	11.1%
Investment Business	Compliance staff vacancies staff	0.0%	5.4%

It should be noted that compliance roles are not solely focussed on financial crime, with conduct, prudential, operational, strategic, governance and protection of clients' assets also being key risk pillars of the Investments sector.

INVESTMENT BUSINESS: ASSET AND INVESTMENT MANAGEMENT

The Sector

The business undertaken in this sector includes asset and investment management services for individuals/HNWIs, corporations, funds, pensions and other FIs.

Asset management is the process of managing a client's portfolio of assets, which can include property, bonds, stocks and other investments and is aimed largely at HNWIs to increase their wealth over time.

Investment managers work with all levels of customers and businesses by choosing an appropriate selection of assets and managing them for the customer.

Investment managers typically use nominee companies to register and administer clients' assets, although they can be in the clients' name in a segregated account. Investment Managers may arrange for a custodian (and a sub-custodian) to hold investment assets. Investments may be very high-value and services may be on a discretionary, advisory or execution-only basis.

Relevant Legislation and Regulation

Firms are licensed and supervised by the FSA under the FSA08 and are subject to the requirements of the Code by virtue of being included within Schedule 4 to POCA.

TF-related Matters

The data for Investment Business from the AML/CFT returns is inclusive of both this sector and Investment Business: Financial Advisory Firms in **Chapter 6.3.6.6. ›**

Figure 6-51: Exposure to Country Risk from the Customers of the Investment Business Sector, 2023

PEPs by Nationality	%	PEPs by Residency	%	Natural Persons by Residency	%	Non-natural Persons by Residency	%	New Customers	%	UBO	%
Isle of Man	47.7%	Isle of Man	62.3%	Isle of Man	64.1%	Isle of Man	51.3%	UAE	27.6%	Isle of Man	34.2%
UK	27.7%	UK	8.7%	UAE	7.5%	South Africa	17.4%	South Africa	12.2%	South Africa	19.0%
South Africa	8.1%	South Africa	7.5%	South Africa	7.0%	Guernsey	9.5%	Australia	5.9%	UK	16.7%
Brazil	3.1%	UAE	5.7%	UK	4.5%	UK	8.7%	Isle of Man	4.4%	Malta	2.7%
Nigeria	2.3%	Brazil	3.0%	Brazil	1.19%	Gibraltar	4.3%	Thaliand	4.3%	Portugal	2.5%
Peru	1.5%	Nigeria	1.9%	Thailand	1.10%	Malta	2.5%	Saudi Arabia	4.1%	UAE	2.4%
Australia	1.2%	Peru	1.5%	China	0.92%	BVI	1.3%	Mexico	4.0%	Brazil	2.4%
India	1.2%	Gibraltar	1.1%	Malaysia	0.92%	Mauritius	1.2%	Malaysia	3.26%	Hong Kong SAR	1.4%
Italy	0.8%	Australia	0.8%	Saudi Arabia	0.85%	Bermuda	0.6%	Switzerland	3.13%	USA	1.4%
USA	0.4%	Bahrain	0.8%	Qatar	0.72%	Jersey	0.6%	BVI	2.18%	Ireland	1.4%
Top 10 as % overall	93.8%		93.2%		88.86%		97.32%		71.15%		84.0%
Higer-risk countries (Lists A, Bi and Bii)	12.3%		11.7%		8.64%		17.5%		16.3%		20.5%

Source: FSA AML/CFT Annual Returns

Figure 6-51 shows the top 10 countries as a percentage of the IOM Investment Business sector's customer base in six client categories which are captured in the annual AML/CFT returns: PEPs by nationality; PEPs by residency; Natural person by residency; Non-natural person by residency; New customers by residency; UBOs by residency.

Figure 6-51 also shows the top 10 countries as a percentage of the overall number, which highlights any concentration or if there is a spread across multiple countries.

The Figure also details overall percentage country risk exposure to high- or potentially high-risk countries.

75.4% of PEPs by nationality are in the IOM or UK and **71%** by residency. South Africa and Nigeria account for over **80%** of the PEPs in higher-risk countries by nationality or jurisdiction. Whilst there is a significant cross-border element to the sector, it is not as predominant as other sectors, with the IOM featuring top in five categories. For non-natural persons the majority of the exposure to List B countries is via South Africa.

From the AML/CFT return submitted to the FSA the sector reports that approximately **67%** of new customers are not met face-to-face, which increases the risk profile above those that are met in person.

The predominant payment method accepted by Investment Firms is bank transfers, with some occasional use of cheques and in specie property transfers. Cash is only very occasionally accepted and never issued by the sector.

In a similar way to Collective Investment Schemes, the products offered by the sector are less likely to be attractive to terrorist financiers.

Figure 6-52 shows for the Investment Business sector, the percentage for that sector of the different types of customers from each of the high or higher country risk groups (taken from the AML/CFT returns 2023).

Overall, the residual TF risk the sector is exposed to is estimated as **medium low**. ›

Figure 6-52: Country Risk Exposure to High- or Potentially High-risk Countries of the Investment Business Sector, 2023

Country Risk Rating	PEPs by Nationality	PEPs by Residency	Natural Persons by Residency	Non-Natural Persons by Residency	New Customers Introduced	UBO
A	0.00%	0.00%	0.02%	0.00%	0.03%	0.00%
Bi	11.15%	10.19%	8.22%	17.48%	15.63%	19.87%
Bii	1.15%	1.51%	0.40%	0.07%	0.66%	0.66%

Source: FSA AML/CFT Annual Returns

6.3.6.6 Investment Business: Financial Advisory Firms

THE SECTOR

The sector consists of IFA firms with permission to arrange deals and provide financial advice to clients. In the majority of cases, Financial Advisers do not have permission to hold client monies or client assets.

The IFA industry presents a broad mix of potential risks driven by the inherent risk of the business, geography, services & products and customers involved. There are factors that can increase a firm's risk if not properly managed, including culture, insurance issues, poor controls around advice, underqualified persons giving advice, fraud, vulnerable clients, mis-management of conflicts and financial crime risks.

Typically, Financial Advisers give financial advice upon packaged retail products and pensions to domestic customers with whom they have direct ongoing contact.

RELEVANT LEGISLATION AND REGULATION

The provision of, advising on and arranging deals for investments is regulated activity. Financial Advisory firms are therefore licensed and supervised by the FSA under the FSA08 and are subject to the requirements of the Code by virtue of being included within Schedule 4 to POCA.

TF-RELATED MATTERS

See data in **Chapter 6.3.6.5**.

The sector's client base is predominantly local resident individuals, with business conducted on a face-to-face basis. Due to the nature of services provided, Financial Advisory firms need detailed information about their clients' needs, their financial circumstances and must assess the ML/TF risk of the customer.

There is very limited reliance on third parties for CDD collection or the use of introducers. The sector uses the local banking system and no substantial reliance is placed on other parties outside the Island. Money being settled into an investment product recommended by an IFA will pass from one regulated business to another, but not to or from the IFA. Cash is only very occasionally accepted and never issued by the sector.

As a consequence of these risk mitigants, overall the residual TF risk the sector is exposed to is estimated as **low.**

6.3.6.7 Money Transmission

THE SECTOR

Money Transmission Services capture the broad areas:

- PSP and EMI
- Bureau de change, cheque cashing and payment services as agent.

The sector is small, in parts relatively new, but diverse in terms of business models. The risks of TF will therefore vary for each business based on a wide range of factors, such as the type of services and products they supply, their customers and delivery channels.

The sector may be involved in occasional transactions, which is predominant in respect of bureau de change and payment services as agent. There are 2 bureaux de change in the Island at present, one of which is the IOM Post Office and the other provides the service as ancillary to its main travel agency business. ›

6-53: Breakdown of Money Transmission Firms, 2020 – 2024

Year (as at 31st March)	2020	2021	2022	2023	2024
Money Transmission (excludes the exempted business conducted by the IOM Post Office)	3	5	7	4	5
Of which, payment services as principal only	2	3	3	2	2
Of which, payment services as principal and e-money	0	0	2	1	2
Of which, bureau de change and agency	1	1	1	0	0
Of which, bureau de change only	0	1	1	1	1
Of which cheque cashing	0	0	0	0	0

Source: FSA

There are no firms currently authorised for cheque cashing or money transmission agency services (e.g. for MoneyGram). In the past there were a small number of firms providing agency services for either Western Union or MoneyGram (including the IOM Post Office).

At the end of November 2024, there are 6 licensed money transmission firms – the change since the end of March 2024 is the surrender of one firm's licence (payment services as principal only) and the addition of 2 new firms (both payment services as principal and e-money).

The Island is seeing possible growth in the PSP and EMI sectors with around half of all new licence applications and enquiries in this sector alone.

Money Transmission firms that conduct payment services as principal and e-money report data to the FSA as part of the annual AML/CFT returns. Given the small size of the sector, there is a comparatively small number of people working in the sector. In 2023 there were no staff vacancies which included compliance staff. All the staff received annual training and **37%** of all staff received additional specialist training.

Money transmission firms that only conduct bureau de change, cheque cashing or agency business report annually to the FSA using a separate bespoke return. This includes AML/CFT information such as number and value of transactions by payment method, transaction thresholds, numbers of internal and external SARs, enquiries from competent authorities, training data, declined and terminated business and CRA data. In addition, for agency business the top 5 countries for money sent and received are reported (noting there are currently no firms operating agency business in the Island).

IOM Post Office also provides reports to the FSA annually (for bureau de change activity) or quarterly (for payment services activity).

RELEVANT LEGISLATION AND REGULATION

The activities are captured by the Regulated Activities Order 2011[143]:

- **Class 8(1)** – operation of a bureau de change
- **Class 8(2)(a)** – provision and execution of payment services directly
- **Class 8(2)(b)** – provision and execution of payment services as agent
- **Class 8(3)** – provision of cheque cashing services
- **Class 8(4)** – issue of electronic money.

IOM Post Office is exempted from having to hold a financial services licence but the FSA still retains powers over its "Class 8 activity", including the power of inspection and being able ›

143 https://www.iomfsa.im/media/2586/regulatedactivitiesorder2011.pdf

to request and obtain information and are subject to the requirements of the Code by virtue of being included within Schedule 4 to POCA.

In addition to any inspections with the Post Office, there have been 8 thematic questionnaires issued to this sector in Q1 2024.

TF-RELATED MATTERS

There is experience internationally of the use of money service providers to transmit funds for the purposes of acts of terrorism. There are features of the sector that might be attractive to a terrorist financier, including: simplicity and also the certainty of transactions; ability to send funds cross-border with ease; breaking transactions down into multiple smaller amounts to avoid detection (structuring); portability of products; ability to layer via several transactions; non-face-to-face.

The two **Class 8(2)(b)** money transmission agents have closed since the last NRA was published (including agency activity undertaken by the IOM Post Office). As a consequence the TF risk within the agency sector has proportionally reduced.

EMI customers typically have low value and low volume of payments which are inherently higher-risk for TF as such payments will typically not be picked up by transaction monitoring processes, especially when undertaken as peer-to-peer payments.

Many of the PSPs and EMIs operate in higher-risk markets and jurisdictions which further increases their exposure to potential TF risk.

New customers are onboarded both face-to-face and non-face-to-face.

Overall, the residual TF risk the sector is exposed to is estimated as **medium low.** ›

Figure 6-54: Case Study

The FSA in their Sector Guidance[144] provide a case study for how the sector is used to finance terrorism.

E-money: Using prepaid cards to finance terrorism

A father and son held numerous prepaid cards, which were charged daily from all over Italy. Shortly after, the sums were withdrawn so that the cards' account balances were almost always close to zero.

A portion of the sums withdrawn from the prepaid cards was transferred to a bank account held by the father; funds were also credited to the same bank account by a number of persons connected to Pakistan. The funds on the account were further used to order credit transfers. Both father and son were found to be involved in the 2008 Mumbai terrorist attacks.

Source: FSA

144 https://www.iomfsa.im/media/2856/sector-guidance-money-transmission-payment-services-and-emoney-august-2021-clean-published-version.pdf

6.3.6.8 Pensions

THE SECTOR

The Pensions sector covers both domestic schemes[145] (which generally provide benefits for IOM resident members) and international schemes[146] (which are designed for membership of individuals residing and working outside of the IOM).

All pension schemes must be established by way of a trust instrument with the required appointment of trustees and an IOM-based administrator (responsible for the management of the scheme), all of which must demonstrate to the FSA that they are fit and proper and have relevant knowledge and experience necessary for the management of the associated pension scheme.

The appointed administrator may be an In-House[147] or Professional[148] Administrator. At the end of 2023 there were (source: FSA):

- 18 registered In-House Scheme Administrators,
- 17 registered Professional Scheme Administrators.

The Pensions sector had £14.5bn of funds under management as at the end of 2023[149].

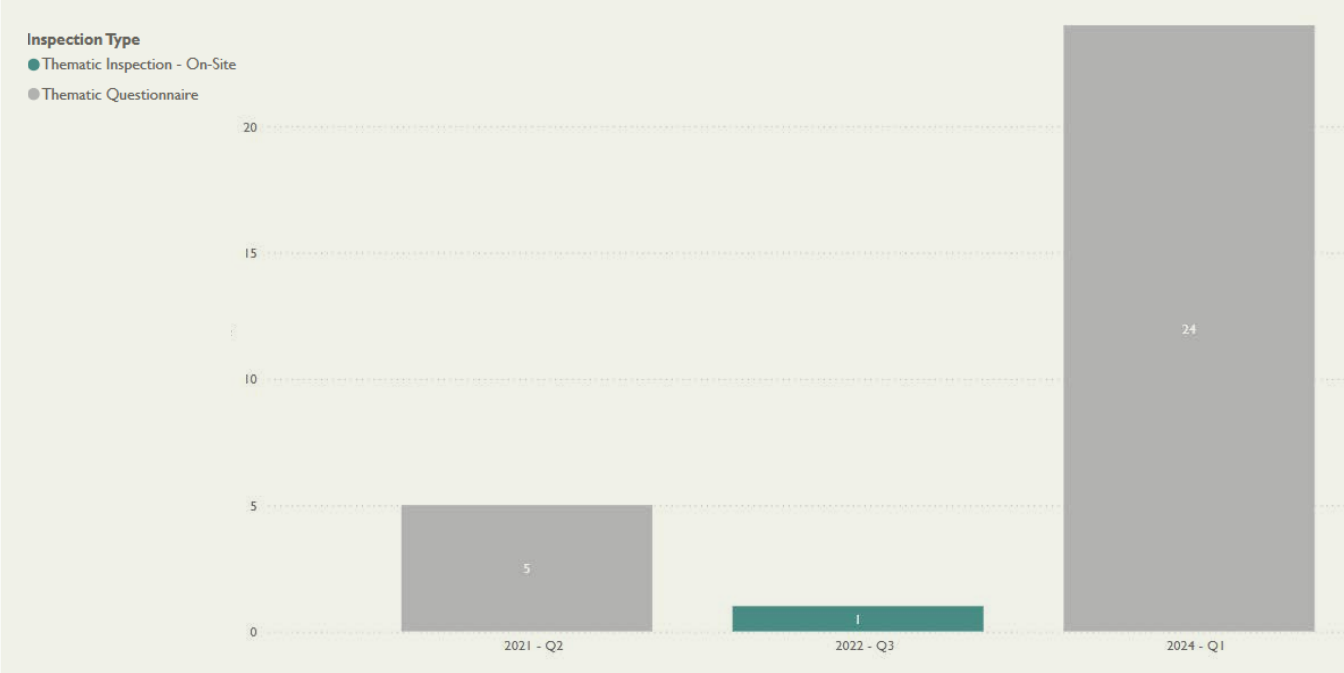
RELEVANT LEGISLATION AND REGULATION

Schemes are regulated under the provisions of the Retirement Benefits Schemes Act 2000 and its associated subordinate Regulations[150] and are subject to the requirements of the Code by virtue of being included within Schedule 4 to POCA.

Schemes may be taxed approved (on a voluntary basis) and also need to comply with appropriate Treasury and Social Security legislation.

There have been no AML/CFT regulatory penalties applied to the Pension sector in the time period of this NRA. ›

Figure 6-55: FSA AML/CFT Inspections & Thematic Questionnaires of Pension Sector



Source: FSA

145 https://www.iomfsa.im/regulated-sectors/pensions/domestic-schemes/
146 https://www.iomfsa.im/regulated-sectors/pensions/international-schemes/
147 The In-House administrator provision was introduced with the initial registration requirements to cater for a special category of schemes – such as long-standing occupational schemes operated by local employers that had historically been under their in-house management arrangements.
148 Administrator who are acting in an independent profession capacity usually falling as part of their fundamental commercial business activity.
149 https://www.iomfsa.im/statistics-site/pensions/
150 The existing framework is currently under review and any proposed alterations to the framework will be circulated by way of a consultation document.

TF-RELATED MATTERS

Generally, new members[151] of a pension scheme in the sector are not met face-to-face by the Scheme Administrator. A common exception to this would be for domestic schemes established by local IOM companies (for the pension accrual of their employees) and for some bespoke schemes.

Payment into a scheme by way of physical cash is not accepted by this sector (as per annual AML/CFT return) and almost all transactions are via bank transfers.

Pension schemes tend to see funds inaccessible for long periods of time and do not generally offer the level of flexibility needed to be attractive for traditional TF purposes, although there is some flexibility as to when funds can be accessed from a pension. Examples of when funds/benefits can be taken are:

- When the member retires from employment (for non-domestic arrangements this can include leaving service of the employer and may not be age-restricted),
- When a member suffers from serious permanent illness,
- Once the member attains a certain age (usual minimum retirement age of 50),
- Benefits taken as a lump sum upon retirement.

Research of public documents identifies a number of possible typologies/red flags which could impact the sector:

- FATF report on Emerging Terrorist Financing Risks, October 2015[152] – an FTF, having travelled to a conflict zone, still takes benefits from their pension fund (noting that some FTFs may be retired)
- Council of Europe MONEYVAL typology research report, Money Laundering Through Private Pension Funds and The Insurance Sector, September 2010[153] – identifies a number of red flags for private pension schemes for ML, which might also apply to TF, including:
  - Large sums deposited in Pension schemes by members of the scheme, particularly when followed by substantial withdrawals of funds
  - Unrelated third-party paying contributions on behalf of a member of a pension scheme
  - Unemployed person paying contributions into an employee pension scheme
  - Funds or other assets deposited into a pension scheme which are inconsistent with the profile of the policyholder
  - The type or volume of the transaction, which is untypical of the economic activity of the client and explanatory notes to transactions conducted by the client arise reasonable suspicion.

Given: there have been no AML/CFT regulatory penalties; there is no use of physical cash; pension products would tend not to be suitable for TF which typologies and red flags support (the products would be more suited to ML); most customers are resident in the IOM or UK; and there is very little exposure to jurisdictions that may pose a higher-risk, overall the residual TF risk the sector is exposed to is estimated as **low**.

6.3.6.9 Accounting Profession: External Accountants, Tax Advisers & Payroll Agents

THE SECTOR

The Accounting Profession sector consists of:

- External Accountants – who provide accountancy services to a third party. Activity 2 in Schedule 1 to the Designated Businesses (Registration and Oversight) Act 2015[154] (DBROA)
- Tax Advisers – who gives advice on a third party's tax affairs. Activity 3 in Schedule 1 of DBROA
- Payroll Agents – who are not the individual's employer, but is involved with the payment of earnings to or for the benefit of, any individual. Activity 4 in Schedule 1 of DBROA.

The Accounting Profession sector in the IOM ranges in size from sole practitioners to the offices of large international practices and provides bookkeeping, audit, tax and advisory services. Tax ›

151 The employer will be the customer of the Scheme Administrator and the sponsor of the scheme. Their employees will be the members of the scheme.
152 https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/Emerging-Terrorist-Financing-Risks.pdf
153 https://rm.coe.int/committee-of-experts-on-the-evaluation-of-anti-money-laundering-measur/1680723b24
154 https://legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/2015/2015-0009/2015-0009_10.pdf

services, including advice on structures and the mitigation of tax liabilities, can be provided by accountants and tax advisers but also by legal professionals and in-house experts in TCSPs. Where a Payroll Agent undertakes calculations relating to tax it should be classed as a Tax Adviser. **Figure 6-56** shows the crossover between designated business activities undertaken by firms in the sector as at the end of 2024. ›

Figure 6-56: The Accounting Profession Sector

Accountants, Tax Advisors & Payroll Agent Permission(s)	Count
External Accountant	61
External Accountant & Lender	1
External Accountant & Payroll Agent	16
External Accountant & Payroll Agent & Tax Advisor	46
External Accountant & Tax Advisor	39
Payroll Agent	12
Payroll Agent & Tax Advisor	2
Tax Advisor	12
Total	**189**



Source: FSA

2023	Tax Advisors	Payroll Agents	External Accountant	Total
Staff vacancies as %	5.0%	11.0%	6.2%	6.6%
Compliance staff as % of overall staff	15.3%	11.0%	15.7%	14.8%
Compliance staff vacancies as %	8.5%	31.1%	9.9%	12.1%

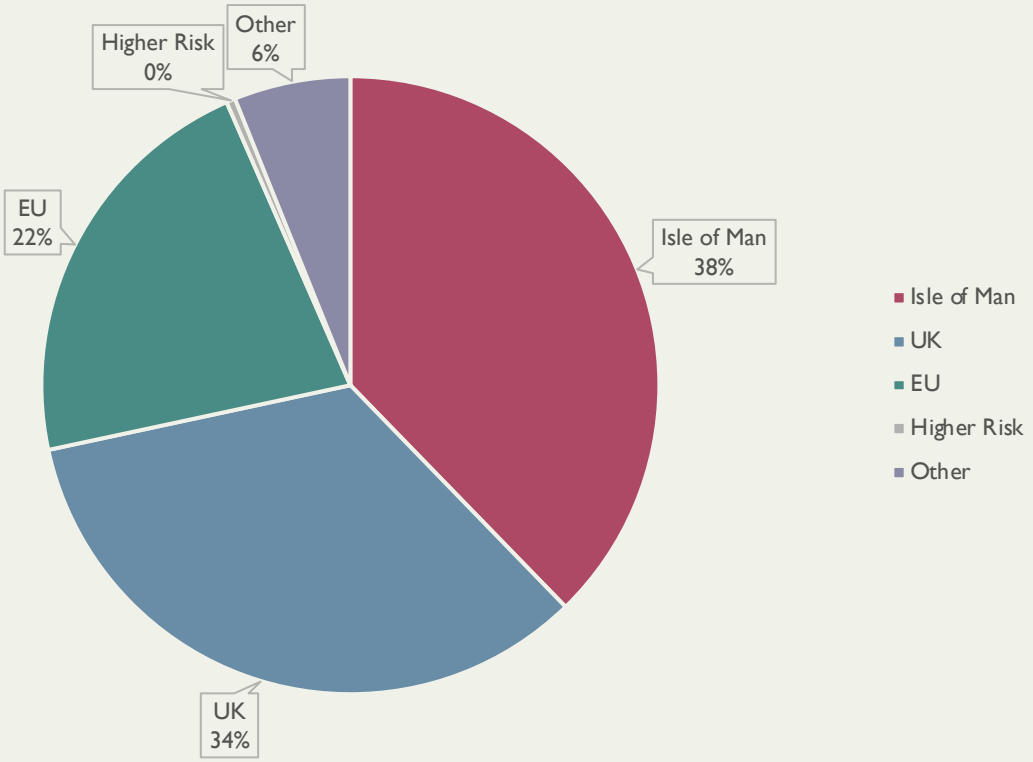
External Accountants and Tax Advisers do not ordinarily handle customer funds, although they will have a good overview of the financial picture for their customer.

RELEVANT LEGISLATION AND REGULATION

The activities of External Accountants, Tax Advisers and Payroll Agents are designated under Schedule 4 to POCA as undertaking business in the regulated sector. DBROA brings the sector into the FSA's oversight for compliance with the AML/CFT Code purposes.

The FSA has delegated oversight agreements in place with a number of professional bodies; members of these bodies can elect to have the oversight of their AML/CFT compliance ›

Accounting Profession Sector Groups



The Accounting Profession Sector firms on the Island are primarily locally focussed, although there are IOM branches of UK/Global firms.

As part of the 2023 AML/CFT annual return, the Accounting Profession Sector provide information on introduced business and for each introduced customer the jurisdiction of the introducer.

The AML/CFT returns were analysed by introductions for the number of customers from: IOM; UK; European Union Countries; Higher-Risk Countries; Other Countries, which includes other IFCs. **28.4%** of introduced business came from outside the IOM or UK, mostly from the EU. Only **0.5%** from higher-risk jurisdictions. The FSA monitors introductions and their locations.

Source: FSA AML/CFT Annual Returns

undertaken by these bodies. Where professionals choose not to elect to have AML/CFT oversight conducted by such a body, the FSA remains responsible. Inspections undertaken by professional bodies are conducted in accordance with FSA guidance, findings are reported to the FSA and working papers made available to the FSA on request. Where appropriate there might be a joint inspection conducted between the FSA and the professional body.

In addition, the FSA holds regular meetings with the professional bodies to discuss inspection findings and trends within the sector. Only the FSA has the power to take enforcement action. The FSA has delegated oversight agreements in place with the following professional accountancy bodies;

- The Institute of Chartered Accountants of England and Wales
- The Association of Chartered Certified Accountants
- The Institute of Financial Accountants
- The Institute of Certified Bookkeepers.

AML/CFT Primary Overisght Body	Count
Isle of Man Financial Services Authority	115
The Institute of Chartered Accountants in England and Wales (ICAEW)	52
Association of Chartered Certified Accountants (ACCA)	16
Insititute of Financial Accountants (IFA)	6
Insititute of Certified Bookkeepers (ICB)	0
Total	189

Source: FSA

In total the sector consists of 189 firms registered under DBROA. 74 **(39%)** have chosen to be overseen by a delegated body and 115 **(61%)** overseen by the FSA for AML/CFT supervision.

There has been a total of 97 AML/CFT inspections of External Accountants, Tax Advisers or Payroll Agents from January 2020 to December 2024, see **Figure 6-57.**›

Figure 6-57: FSA AML/CFT Inspections & Thematic Questionnaires of the Accounting Profession

FSA Inspection Type - External Accountants, Tax Advisers or Payroll Agents	2020	2021	2022	2023	2024	Grand Total
DNFBP - Inpection with Oversight Body	1	11	6	3	11	32
DNFBP - Joint Inpection with Oversight Body - On-Site				1	1	2
Event Driven - Desk-Based					1	1
Risk-Driven - Desk-Based					1	1
Risk-Driven - On-Site	3	1		1	1	6
Thematic Inspection - Desk-Based				35	17	52
Thematic Inpection - On-Site			3			3
Total	**4**	**12**	**9**	**40**	**32**	**97**

Source: FSA

In 2023 the FSA made a public statement regarding a firm registered with the FSA as an External Accountant. A fine was issued and the firm has since deregistered. The contraventions of the Code identified by the FSA Inspection included:

- The CRAs did not contain the prescribed level of detail nor were they updated on a regular basis
- Code-compliant CDD and EDD was not on file in all cases
- The foreign PEP customer files did not adequately demonstrate or identify customers' source of funds and source of wealth.

Sector-specific guidance for External Accountants and Tax Advisers[155] and Payroll Agents[156] has been published by the FSA.

The FSA recently published a thematic review[157] of the Accounting Profession (External Accountants, Tax Advisers and Payroll Agents) registered businesses focussing on CRAs. The thematic review has allowed the FSA to gather further data, assisting in risk assessing both the firms and sector itself, as well as building knowledge and findings to feed back into the AML/CFT Handbook and the AML/CFT sector-specific guidance documents. The CRAs are vital to helping the firm understand and evidence the risks which their customers may pose to the business of the firm. CRAs allow firms to identify those customers with higher-risk profiles, in order to apply appropriate procedures to prevent TF, as well as ML and PF. Detailed findings of the sector were included in the published report and firm-specific findings were provided in entity level reports.

Figure 6-58: Risk Rating of Customers Across Sector

	External Accountant	Payroll	Tax Adviser
Higher-Risk	2.6%	2.9%	4.2%
Standard Risk	64.5%	63.1%	65.9%
Lower Risk	32.9%	33.9%	29.9%

Source: FSA

TF-RELATED MATTERS

In the External Accountants and Tax Advisers sectors a large percentage of new customers are onboarded face-to-face and there is some use of the Acceptable Applicants concession. In the Payroll sector, around **60%** of customers are not met face-to-face.

The customer base is risk rated by the sector, which evidences the overall low exposure to higher-risk customers, see **Figure 6-58. Figure 6-59** shows the exposure to higher-risk jurisdictions (List A and List B), where South Africa, Bulgaria and Croatia are the largest concentrations, as a percentage of each sector's customer base. ›

Figure 6-59: Accounting Profession Exposure to Higher-Risk Jurisdictions

PEP Nationality			Natural Persons			Non-Natural person		
External Accountant	Payroll Agent	Tax Adviser	External Accountant	Payroll Agent	Tax Adviser	External Accountant	Payroll Agent	Tax Adviser
5.7%	7.3%	6.5%	0.5%	5.2%	0.8%	0.2%	0.2%	0.3%

Source: FSA

155 https://www.iomfsa.im/media/2857/accountants-and-tax-advisors-sector-specific-amlcft-guidance-notes.pdf
156 https://www.iomfsa.im/media/2876/sector-guidance-payroll-september-2021.pdf
157 https://www.iomfsa.im/media/3317/accounting-profession-cra-thematic-report-july-2024.pdf

The sector provides services to legal persons (non-natural persons) and by virtue of their work have a unique insight into the purpose and activity of the legal person.

The sector's role in facilitating the cross-border entry of businesses into a jurisdiction which is an IFC is recognised as a potential threat if these businesses are susceptible to TF.

The Financial Transactions and Reports Analysis Centre of Canada (FINTRAC) published indicators for accounting firms[158], including indicators specifically related to TF, including:

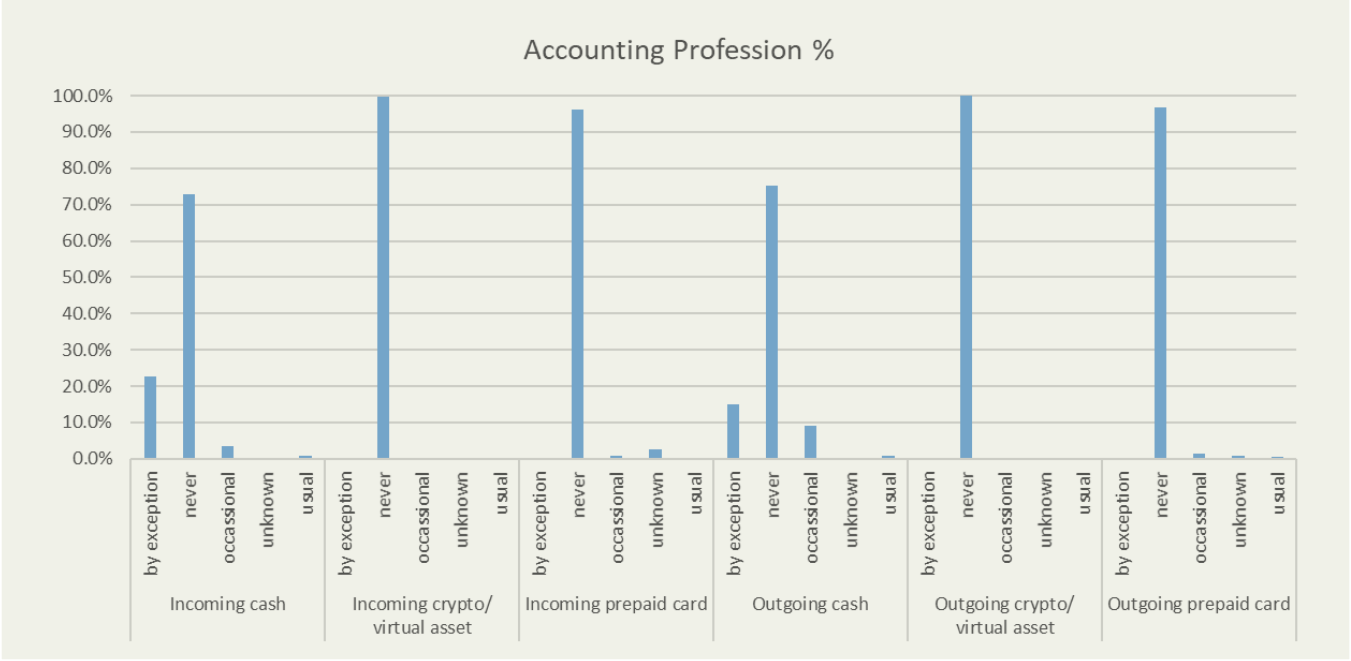
- Transactions involving certain high-risk jurisdictions such as locations in the midst of or in proximity to armed conflict where terrorist groups operate or locations which are subject to weaker ML/TF controls
- The use of funds by a NPO is not consistent with the purpose for which it was established
- Client-conducted travel-related purchases (e.g. purchase of airline tickets, travel visa, passport, etc.) linked to high-risk jurisdictions (including cities or districts of concern), specifically countries (and adjacent countries) under conflict and/or political instability or known to support terrorist activities and organisations
- Client donates to a cause that is subject to derogatory information that is publicly available (e.g. crowdfunding initiative, charity, NPO, Non-Governmental Organisation, etc.).

As shown in **Figure 6-60**[159], the sector has almost no exposure to cash or pre-paid cards and no exposure to virtual assets.

The sector may be seen by a terrorist financier as an enabler to provide legitimacy to transactions, by providing advice, performing transactions on behalf of the customer or as an introducer into the financial system. The sector is not necessarily seen to be vulnerable to TF in its own right, but as an enabler for the firms in other sectors with which it supports.

Overall, the residual TF risk the sector is exposed to is estimated as **low**. ›

Figure 6-60: Incoming and Outgoing Activity for the Accounting Profession Sector for Cash, Virtual Assets and Prepaid Cards, 2023



Source: FSA AML/CFT Annual Returns

158 https://fintrac-canafe.canada.ca/guidance-directives/transaction-operation/indicators-indicateurs/accts_mltf-eng#s11
159 Under the prescribed headings: by exception; never; occasional; unknown; usual

6.3.6.10 Legal Services

THE SECTOR

Legal professionals qualified to practice IOM law are Advocates; it is a fused profession and Advocates take the roles of both solicitors and barristers. The sector also comprises Registered Legal Practitioners. Registered Legal Practitioners are legal professionals qualified to practice law in jurisdictions other than the IOM who may work for IOM legal firms or who may be practicing the law of the jurisdiction in which they are qualified, but from the IOM.

Advocates provide the full range of legal services including wills and probate work, litigation, family law, criminal law, immigration law, corporate and commercial work and conveyancing. Registered Legal Practitioners may provide similar legal services but not in connection with IOM law. Only Advocates can appear in the IOM Courts and provide advice and assistance in relation to IOM law.

The nature of the services offered does result in a number of customers engaging with the sector for one-off transactions; for example the preparation and execution of a Will is a finite instruction, as is a conveyancing transaction. However, these transactions may then lead to a long-term relationship, allowing the advocate's firm to get to know their client extremely well.

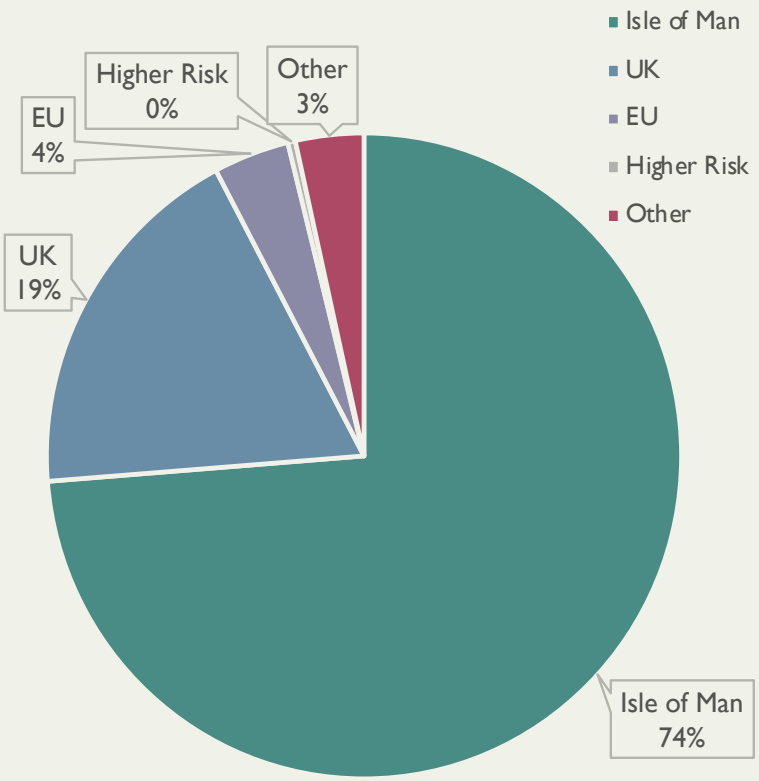
There are a mix of law firms of varying size and some will have a greater international focus. Some firms will only undertake work within the IOM, for example conveyancing, where the risk profile is very low, given they may have known both parties and the property itself, from years of service on the Island.

Some law firms have a separate Trust and Corporate Service business, which would hold the relevant TCSP licences, whilst other firms pass business to the TCSP sector acting as an introducer. ›

Legal Sector Groups

The Legal firms on the Island are primarily locally focussed, although there are IOM branches of UK/Global firms.

As part of the 2023 AML/CFT annual return, the Legal sector provide information on introduced business and for each introduced customer the jurisdiction of the introducer. The AML/CFT returns were analysed by introductions for the number of customers from: IOM; UK; European Union Countries; Higher-Risk Countries; Other Countries, which includes other IFCs. Only **7%** of introduced business came from outside the IOM or UK and only **0.4%** from higher-risk jurisdictions.



Source: FSA AML/CFT Annual Returns

ADVOCATES

Relevant Legislation and Regulation

Advocates are included in Schedule 4 to POCA. DBROA brings the sector into the FSA's oversight for compliance with the Code purposes.

Activities captured under POCA include: managing any assets belonging to a client; the provision of legal services which involve the participation in a financial or real property transaction.

Firms can choose who provides oversight in respect of AML/CFT between the FSA or the IOM Law Society (Advocates only). The IOM Law Society has oversight of AML/CFT for the majority of the firms. The IOM Law Society has a compliance team which undertakes support and advice, oversight inspections and testing; copies of all inspection reports are provided to the FSA. In addition, the FSA holds regular meetings with the IOM Law Society to discuss inspection findings and trends within the sector. The FSA retains its power to inspect those businesses overseen by the IOM Law Society. In some cases there may be joint inspections by the FSA and the Law Society.

Legal professionals who are providing 'in-house' services as an employee of an entity that does not fall within the definition of a legal professional are not included in Schedule 4 to POCA or required to register under the DBROA.

Legal professional privilege does not negate the obligations placed on Advocates to comply with the AML/CFT legal framework and submit SARs.

TF-RELATED MATTERS

In common with most other sectors, the awareness of TF risks is thought to be slightly lower than for ML, therefore further TF training, typologies and outreach is recommended.

In the FATF report Money Laundering and Terrorist Financing Vulnerabilities of Legal Professionals[160] published June 2013 it highlighted key ML/TF methods that commonly employ the legal sector as being: use of client accounts; purchase of property; creation and management of companies and trusts; setting up and managing charities.

The majority of customers are met face-to-face, although approximately **10%** are remote. The Acceptable Applicants concession is used within the sector.

Cash/virtual assets are rarely/never accepted by law firms.

The Manx[161] legal services sector has close links with the UK. Therefore, the UK ML/TF NRA was reviewed to support this assessment. The UK rated the Legal Services sector as low in 2017 and 2020 for TF. It stated:

> "The risk of terrorist financing through legal services is low. We continue to assess that legal services are not attractive for terrorist financing and there remains no evidence of these services being abused for terrorist financing purposes."

International organisations (such as the FATF/MONEYVAL), through various reports, typologies and guidance, do not consider the Legal Services sector as inherently vulnerable to TF itself. However, the Legal Services sector's role in facilitating the cross-border entry of businesses into a jurisdiction which is an IFC is recognised as a potential threat if these businesses are susceptible to TF. The sector also supports other sectors with the establishment of structures which could unwittingly be used for TF purposes. The sector may be attractive to a terrorist financier, as its professionalism provides credibility that third parties seek.

The sector is less likely to be at risk of TF from domestically focussed legal work, nor from legal services which are typically provided in one-off transactions rather than long-term business relationships. As a result, the chances of unwittingly establishing business ties with individuals from jurisdictions that may pose a higher-risk and thus facilitating terrorist financing, are low.

The sector assists charities and consequently there is a threat where the charities operate and send funds outside of the Island and there are connections with jurisdictions that may pose a higher-risk. This threat will be covered further in the NPO TF NRA which will be published in early 2025.

There is no evidence from SARs or typologies that the Legal Services sector in the IOM has been an unwitting enabler for terrorist financing. Overall, the residual TF risk the sector is exposed to is estimated as **low.** ›

160 https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/ML%20and%20TF%20vulnerabilities%20legal%20professionals.pdf.coredownload.pdf
161 Relating to the IOM

REGISTERED LEGAL PRACTITIONERS

Relevant Legislation and Regulation

Registered Legal Practitioners who are qualified in another jurisdiction can practice the law of the jurisdiction in which they are qualified from the IOM provided that they register as a Registered Legal Practitioner. Registration does not enable the Legal Practitioner qualified in another jurisdiction to practice or advise on IOM law. Only Advocates can practice and advise on IOM law.

In accordance with the Legal Practitioners Registration Act 1986[162], Registered Legal Practitioners make an application to the Registrar General, which maintains a register of legal practitioners. There are prescribed entry controls.

They are subject to the Anti-Money Laundering and Countering the Financing of Terrorism Code 2019.

TF-RELATED MATTERS

Registered Legal Practitioners are registered individually. Registered Legal Practitioners will hold legal qualifications from another jurisdiction and may be employed by IOM law firms to provide specialism on the law of the country in which they are qualified or to aid with specialist work, for example within a TCSP business to help with corporate structuring.

International work could potentially carry a higher-risk than local, domestic-based activity.

Registered Legal Practitioners are not regulated by a professional body in the same way Advocates are by the IOM Law Society.

Overall, the risks faced by Registered Legal Practitioners are similar to Advocates and are also assessed for TF as **low.**

6.3.6.11 Estate Agents

THE SECTOR

Estate Agents in the IOM are involved in the buying, selling, renting and property management of residential and commercial properties. The sector is small, consisting in the main of well-established firms. The majority of the work undertaken is domestic; purchase of property and land outside of the IOM is most often dealt with by the TCSP sector, via property agents in the UK and elsewhere.

The term Real Estate Agent is defined by FATF:

> "A real estate agent should be broadly understood as a professional that operates within the real estate sector and is involved in transactions for a client concerning the buying and selling of real estate."

There are currently 20 registered Estate agents, which accounted for £533m of transactions in 2023.
(Source: FSA thematic report[163]).

Typologies, case studies, guidance and other outreach from international bodies do not identify the sector as particularly vulnerable to TF; most emphasise the ML risks. In the FATF report Money Laundering & Terrorist Financing Through the Real Estate Sector[164] published in June 2007, it gives various examples of typologies, including cases where terrorists have used non-financial professionals or gatekeepers to access financial institutions. A case study was given in the report:

> "A trustee for a trust established in an offshore centre approached a real estate agent to buy a property in Belgium. The real-estate agent made inquiries with the bank to ask whether a loan could be granted. The bank refused the application, as the use of a trust and a non-financial professional appeared to be deliberately done to disguise the identity of the beneficial owner. The bank submitted a suspicious transaction report. Following the analysis of the financial intelligence unit, one of the members of the board of the trust was found to be related to a bank with suspected links to a terrorist organisation." ›

162 https://legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/1986/1986-0015/1986-0015_2.pdf
163 https://www.iomfsa.im/media/3327/estate-agents-thematic-report-august-2024.pdf
164 https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/ML%20and%20TF%20through%20the%20Real%20Estate%20Sector.pdf

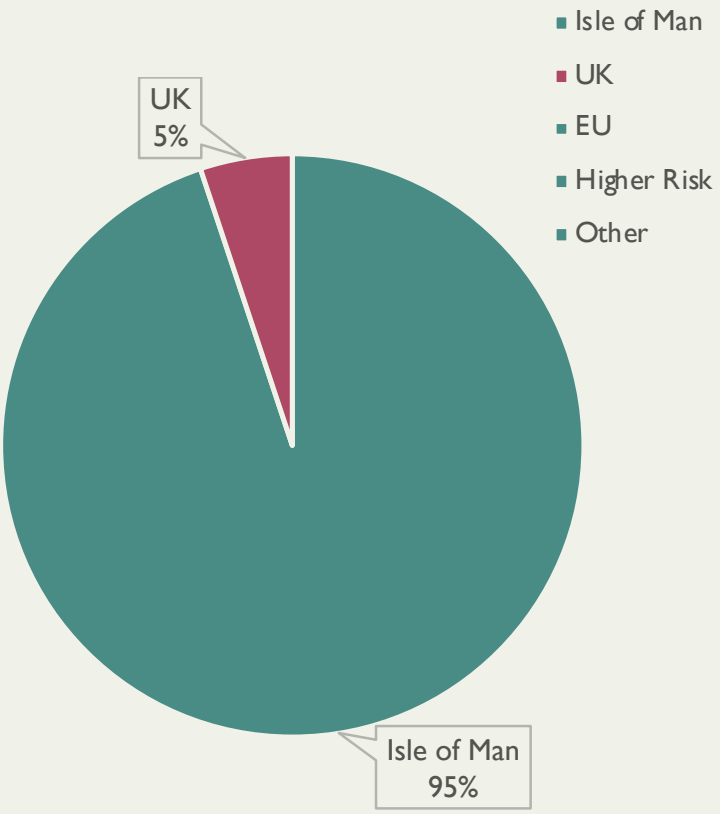
Sector	Staffing	2023
Estate Agents	Staff vacancies as %	10.0%
Estate Agents	Compliance staff as % of overall staff	15.0%
Estate Agents	Compliance Staff Vacancies staff	25.0%

The sector has a comparatively small number of staff and therefore a few vacancies can represent a sizeable percentage. This is the situation for compliance staff vacancies in 2023 which are a very low number of full time equivalents.

Estate Agent Groups

The Estate Agents on the Island are almost exclusively locally focussed and not part of wider UK/Global Estate Agency Groups. The only exposure is with the UK.

As part of the 2023 AML/CFT annual return, Estate Agents provide information on introduced business and for each introduced customer the jurisdiction of the introducer. The AML/CFT returns were analysed by introductions for the number of customers from: IOM; UK; European Union Countries; Higher-Risk Countries; Other Countries, which includes other IFCs. Only **5%** of introduced business came from outside the IOM, exclusively from the UK. The FSA monitors introductions and their locations.



Source: FSA AML/CFT Annual Returns

RELEVANT LEGISLATION AND REGULATION

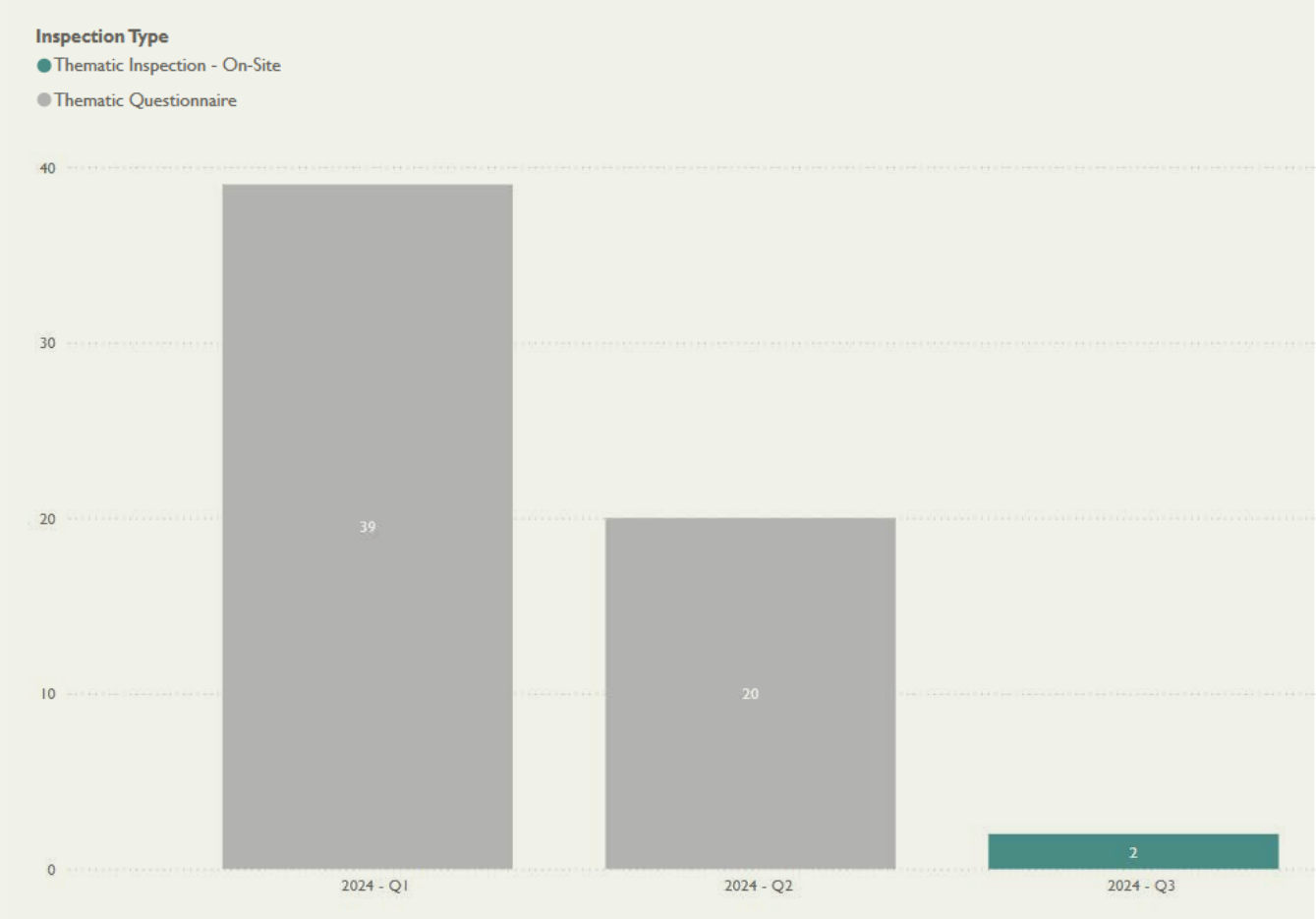
Estate agents are designated under Schedule 4 to POCA as undertaking business in the regulated sector. DBROA brings the sector into the FSA's oversight for compliance with the Code purposes.

The FSA has published sector specific guidance notes[165] for the Estate Agency sector. The FSA recently published a thematic review[166] of the estate agency sector, on-site inspections in relation to phase 2 of this thematic continue and a further report will be published at the appropriate time.

The thematic report identified and highlighted several failings, including not all Estate Agents screening both landlord and tenant for PEP or sanctions connections. ›

165 https://www.iomfsa.im/media/2860/estate-agents-sector-specific-amlcft-guidance-notes.pdf
166 https://www.iomfsa.im/media/3327/estate-agents-thematic-report-august-2024.pdf

Figure 6-61: FSA AML/CFT Inspections & Thematic Questionnaires of Estate Agent Sector



Source: FSA

TF-RELATED MATTERS

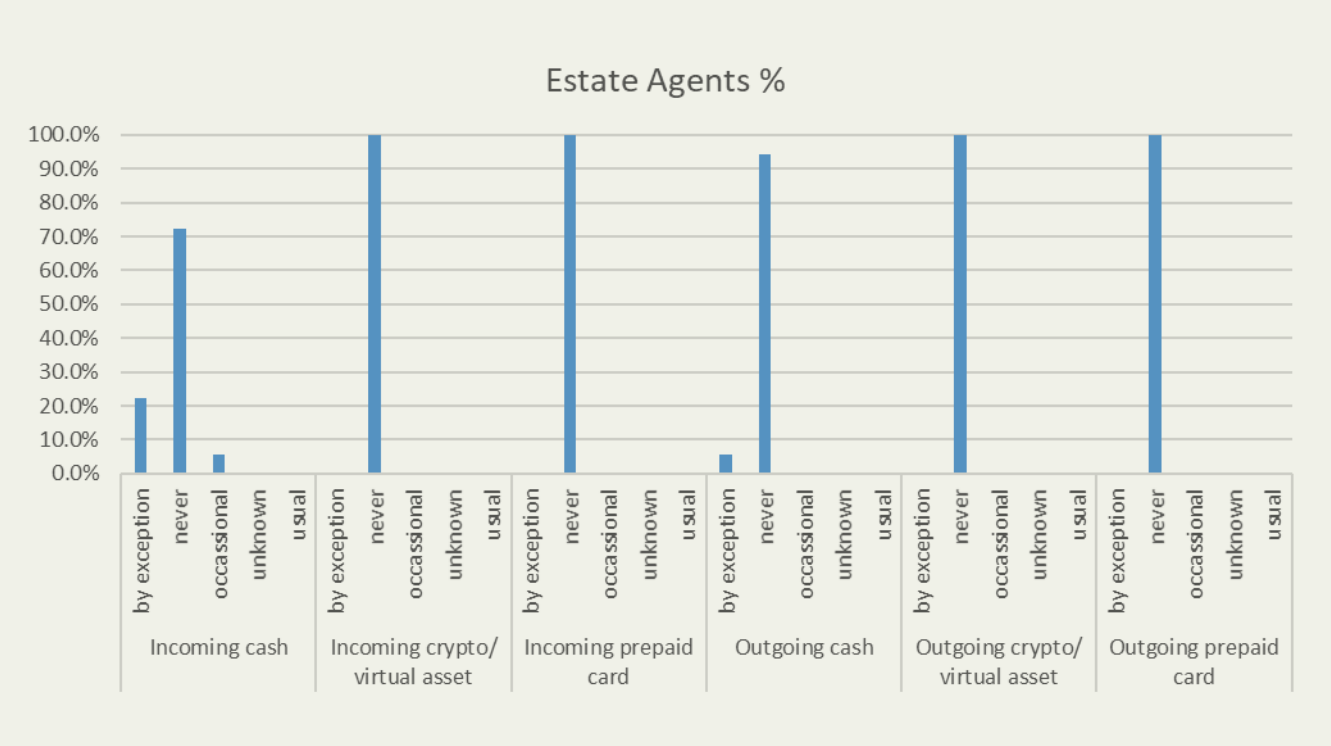
In the FATF report on Money Laundering and Terrorist Financing Vulnerabilities of Legal Professionals[167] published in June 2013, it identifies a number of TF typologies within the Real Estate sector, including: ›

- Intricate loan structures or credit arrangements being set up to obscure the origin of the funds
- Estate agents being used in their capacity as non-financial professionals to help facilitate transactions and obscure the true ownership of properties
- The use of shell companies or companies to purchase property and hide the true beneficiary
- Manipulating the value of a property to move illicit funds through successive sales and purchases.

The overwhelming majority of customers of the sector are met face-to-face. In the FSA thematic report, it was noted that 19 of the 20 estate agents collected CDD directly from the customer and not via a third party agent, therefore overall resulting in a lower risk due to the direct involvement with the customer. ›

167 https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/ML%20and%20TF%20vulnerabilities%20legal%20professionals.pdf.coredownload.pdf

Figure 6-62: Incoming and Outgoing Activity for Estate Agents for Cash, Virtual Assets and Prepaid Cards, 2023[168]



Source: FSA AML/CFT Annual Returns

Funds (with the exception of rental payments) are not handled by Estate Agents; sale and purchase of property requires the involvement of Advocates who provide the conveyancing services and FIs, which further mitigates TF risks.

Overall, the residual TF risk the Estate Agent sector is exposed to is estimated as **low.**

6.3.6.12 Non-Profit Organisations

NPOs play an essential role in society, but this unique position offers the opportunity for those associated with NPOs to potentially have easier access to higher-risk geographic locations and also to funds they have gathered. Both of these could be useful to terrorists who are seeking to finance their operations. The terrorists may seek to gain from funds or the legitimacy that an NPO may provide.

A separate NPO TF NRA will be published. ›

168 Under the prescribed headings: by exception; never; occasional; unknown; usual

6.3.6.13 Moneylenders

THE SECTOR

The Moneylenders sector consists of:

- The activity of Moneylending on the Island which is defined as: consumer credit; mortgage credit; factoring; and the financing of commercial transactions. **Activity 5 in Schedule 1** to DBRO
- A business which provides financial leasing arrangements in respect of products other than consumer products for and on behalf of customers. **Activity 6 in Schedule 1** to DBRO
- A business which provides financial guarantees and commitments in respect of products other than consumer products for and on behalf of customers. **Activity 7 in Schedule 1** to DBRO.

The Financial Leasing and Moneylending sectors contain almost all of the customers within the Moneylenders sector..

MONEYLENDERS SECTOR

The sector has exposure to List A & B countries primarily through the South African PEPs. There is negligible exposure for natural persons, non-natural persons or UBOs.

The majority of the natural persons are based in the IOM. Whilst the non-natural persons and UBOs are primarily in the UK. ›

Figure 6-63: Top 3 Exposure to Country Risk from the Customers of the Moneylenders Sector and Exposure to List A & B Countries, 2023

		PEP Nationality %	PEP Residency %	Natural Persons %	Non-Natural Persons %	UBO%
List A & B Countries		20.8%	28.1%	0.1%	0.1%	1.0%
Top 3 Countries	UK	37.7%		4.0%	75.7%	74.2%
	South Africa	15.6%	21.1%			0.9%
	IOM	14.3%	21.1%	94.3%	22.5%	23.7%
	UAE		24.6%			
	Ireland			0.9%		
	Mauritius				0.8%	

Source: FSA AML/CFT Annual Returns

The Moneylender sector risk rates its client base:

- **Higher-risk customers = 0.8%**
- **Standard-risk customers = 8.6%**
- **Lower-risk customers = 90.5%**

As at the end of 2023 there were 5,383 customers with finance outstanding at £938.9m in the Moneylender sector (source FSA Moneylenders Thematic Report, September 2024[169]).

RELEVANT LEGISLATION AND REGULATION

Moneylenders are covered by the **Moneylenders Act 1991**[170]. The Office of Fair Trading maintains a register of all persons carrying on the business of lending money and supervises in respect of conduct matters.

Moneylenders, Financial Leasing and Financial Guarantees are designated under **Schedule 4** to POCA as undertaking business in the regulated sector. DBROA brings the sector into the FSA's oversight for compliance with the Code.

The FSA has recently published a report following the thematic review on Moneylenders. Inspections are ongoing, forming **phase 2** of the thematic review, after which a further report will be published to industry at the relevant time.

Sector-specific guidance is provided by the FSA[171]. This has been updated following recent legislation changes.

TF-RELATED MATTERS

16% of the Moneylenders sector accepts cash payments occasionally or by exception, whilst the remainder do not. **5%** accept pre-paid cards for repayments, which may present a higher-risk.

There is a fairly even split of face-to-face and non-face-to-face business and a very small number of firms rely on eligible introducers. ›

Figure 6-64: FSA AML/CFT Inspections & Thematic Questionnaires of Moneylenders Sector

FSA Inspection Type - Moneylenders	2021	2022	2023	2024	Total
Event-Driven On-site	1				1
Risk-Driven- Desk-Based	1	8	3		12
Risk-Driven- On-Site				4	4
Thematic inspection - Desk-Based	1	1		129	131
Themaatic Inspection- On-Site				4	4
Total	**3**	**9**	**3**	**137**	**152**

Source: FSA

169 https://www.iomfsa.im/media/3344/moneylenders-thematic-report-september-2024.pdf
170 https://legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/1991/1991-0006/1991-0006_5.pdf
171 https://www.iomfsa.im/media/2859/moneylenders-and-providers-of-financial-guaranteescommitments-sector-specific-amlcft-guidance-notes.pdf

While there is a recognised typology concerning lending being used to fund TF activities, e.g. where a customer secures a loan for TF-related purposes without the intention of paying it back, no such cases have been identified in the Island.

The FSA in its recent thematic report noted: "The sector is considered one of the lower risk business areas with regards ML/FT risk on the IOM".

Overall, the residual TF risk the sector is exposed to is estimated as **low.** ›

Figure 6-65: Incoming and Outgoing Activity for Cash, Virtual Assets and Prepaid Cards for Moneylenders Sector, 2023[172]



Source: FSA AML/CFT Annual Returns

172 Under the prescribed headings: by exception; never; occasional; unknown; usual

6.3.6.14 High-Value Goods Dealers

THE SECTOR

High-Value Goods Dealers (HVGDs) are businesses that deal in goods and services of any description which involve total cash payments (one-off or linked transactions) which are equivalent to at least €15,000. The term "total cash payment" is not defined in legislation, however the following instances should be considered:

- a single cash payment of €15,000 or more
- several cash payments totalling €15,000 or more, including a series of payments and payments on account within a 90-day period
- cash paid by a customer totalling €15,000 or more in any 90-day period
- cash payments totalling €15,000 or more which appear to have been broken down into smaller amounts to potentially come below the threshold limit.

High-value goods of any type may apply, however these are likely to include businesses such as:

- art dealers
- auctioneers
- car dealers
- jewellers
- precious metal or stone dealers.

Year (as at 31st March)	2020	2021	2022	2023
No. of Registered HVGDs	2	1	1	1

The FSA have a process for monitoring the perimeter, where they write out to potential HVGDs to see if they operate with large cash payments.

The high-value goods themselves tend to be transportable, internationally exchangeable and easy to trade anonymously. Precious metals and stones are particularly attractive to terrorists because they have a high intrinsic value, are readily accepted across the world and gold can be melted down into many different forms.

In July 2015 FATF published a report into Money Laundering/Terrorist Financing Risks and Vulnerabilities Associated with Gold[173]. In the report it highlights:

- It provides a mechanism for organised crime groups to convert illicit cash into a stable, anonymous, transformable and easily exchangeable asset to realise or reinvest the profits of their criminal activities and
- The gold market is a target for criminal activity because it is highly lucrative.

In February 2023 FATF published a report Money Laundering and Terrorist Financing in the Art and Antiques Market[174] .
In the report it states:

> "The trade in art, antiquities and other cultural objects is a billion dollar industry. It is one where individual objects can attract high prices and where there is a culture of privacy and discretion regarding the identity of buyers and sellers. The market has attracted criminals, organised crime groups and terrorists who seek to launder proceeds of crime and fund their activities. The use of cash, third party intermediaries, shell companies and other complex corporate structures in relevant transactions also represents relevant illicit finance vulnerabilities." ›

173 https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/ML-TF-risks-vulnerabilities-associated-with-gold.pdf.coredownload.pdf
174 https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/Money-Laundering-Terrorist-Financing-Art-Antiquities-Market.pdf.coredownload.pdf

The report covers TF threats in this market and also highlights the threats associated with cultural objects, the involvement of terrorist organisations as well as transnational organised crime groups who cooperate with the terrorist groups to acquire, smuggle and sell the objects.

RELEVANT LEGISLATION AND REGULATION

HVGDs are included in Schedule 4 to POCA. The activity is defined as dealing in goods or services of any description (including dealing as an auctioneer) whenever a transaction or series of linked transactions involves accepting a total cash payment (in any currency) that is equivalent to at least €15,000. By virtue of being included in POCA, high-value dealers are subject to the Code. The FSA oversee firms for CFT purposes. Therefore, any HVGD must be registered with the Authority in advance of accepting cash payments that total €15,000 or more. Businesses carrying out such activity without being registered commit a criminal offence.

The FSA has published specific guidance for this sector.[175]

TF-RELATED MATTERS

The Island's Customs controls on cash and other similar instruments is covered in **Chapter 7.1.4.** However there have been no known cases of illegal antiques being traded through the Island. HVGDs represent a very small part of the DNFBP sector in the Island.

Overall, the residual TF risk the HVGDs sector is exposed to is estimated as **medium low.**

6.3.6.15 Terrestrial Gambling

THE SECTOR

Terrestrial Gambling is a small sector consisting of betting offices operated by bookmakers and the licensed casino. Consequently the number of customers and transactions are small.

Year	2020	2021	2022	2023
Bookmakers	3	3	3	3
No. of licensed betting offices	9	9	8	9
Casino	1	1	1	1

There are also 5 approved controlled machine suppliers.

The sector is mainly domestic in nature with many customers well known to the licensed betting offices. The casino's customer base is largely domestic, although visitors to the Island do also play.

RELEVANT LEGISLATION AND REGULATION

There are various pieces of legislation including the Gambling (AML/CFT) Act 2018[176]; The Casino Act 1986[177]; Gaming, Betting and Lotteries Act 1988[178] The Gambling Code. The GSC supervises the sector. It provides AML/CFT Guidance for Gambling Operators[179], updated August 2024. The GSC splits customers into those where there is an ongoing relationship and those where there are occasional transactions however an ongoing relationship must be formed at a threshold. The requirements differ for these two categories of customer.

The Gambling Code requires all terrestrial gambling operators to identify the customer and the source of funds. A €3,000 threshold (stakes and winnings) applies; the operator must verify a customer's identity using reliable, independent source documents, data or information. The GSC has regularly undertaken inspections of the casino and 3 bookmakers.

TF-RELATED MATTERS

Transactions are usually conducted on a face-to-face basis and on a time-sensitive basis. Cash is accepted, however it is often Manx notes – (see **Chapter 7.1.3**), which are more difficult to exchange outside of the Island.

There are 9 domestic PEPs within the sector (Source: GSC). Domestic PEPs have a much lower risk profile to Foreign PEPs and are not seen to carry any enhanced risk of TF.

Given that customers are often known to the operator, winnings are modest, so the residual TF risk the sector is exposed to is estimated as **low** ■

175 https://www.iomfsa.im/media/2689/sector-guidance-hvgd.pdf
176 https://legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/2018/2018-0002/2018-0002_2.pdf
177 https://legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/1986/1986-0016/1986-0016_5.pdf
178 https://legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/1988/1988-0017/1988-0017_5.pdf
179 https://www.isleofmangsc.com/media/3bugfy4j/aml-cft-guidance-for-gambling-operators-v1-2-final.pdf



CHAPTER 7

TF vulnerability

7.1 Step 4: National TF Vulnerability

This step evaluates the extent of national TF vulnerability, arising from deficiencies and gaps in national efforts to prevent and detect TF, as well as in the enforcement of CFT. Such vulnerabilities may involve shortcomings in specific CFT measures, the broader AML/CFT framework or jurisdictional characteristics that could be exploited for TF, like inadequate border controls or a significant informal economy. The national TF vulnerabilities scores are summarised in Figure 7-1.

Figure 7-1: National Terrorist Financing Vulnerability Scores

#	National Vulnerability	Rating	
1	Quality of CFT Policy and Strategy	0.6	Medium High
2	Effectiveness of TF Crime Definition	1.0	Excellent
3	Effectiveness of Customs Controls on Cash and Similar Instruments	0.6	Medium High
4	Effectiveness of Border Controls on Goods (incl. military and strategic goods)	0.7	High
5	Effectiveness of Immigration Controls	0.4	Medium Low
6	Quality of FIU Intelligence Gathering and Processing for TF	0.6	Medium High
7	Quality of Other TF Intelligence Gathering and Processing	0.6	Medium High
8	Capacity and Resources for TF Investigations	0.7	High
9	Integrity and Independence of TF Investigators	0.9	Close to Excellent
10	Capacity and Resources for TF Prosecutions	0.7	High
11	Integrity and Independence of TF Prosecutors	0.9	Close to Excellent
12	Capacity and Resources for Judicial Processes	0.7	High
13	Integrity and Independence of Judges	1.0	Excellent
14	Effectiveness of Domestic Cooperation	0.7	High
15	Effectiveness of International Cooperation	0.7	High
16	Availability and Effectiveness of TF Asset Forfeiture and Confiscation	0.7	High
17	Comprehensiveness of TFS Legislation, Procedures and Mechanisms	0.8	Very High
18	Effectiveness of TFS Implementation	0.8	Very High
19	Formalisation Level of Economy	0.9	Close to Excellent
20	Availability of Reliable Identification Infrastructure	0.7	High
21	Availability of Independent Information Sources	0.7	High
22	Availability and Access to Beneficial Ownership info	0.7	High
23	Controls on Provision of Strategic Equipment, Goods and Services to Conflict Zones	0.7	High

Score from 0.0 (does not exist) to 1.0 (excellent)

With these 23 scores, the WB methodology calculates the outcomes for 13 intermediary variables and the overall IOM national vulnerability for four categories (the same categories as calculated in **Step 2** for threat, see **Figure 6-4**): internal TF; incoming TF; outgoing TF; transit TF. These are displayed in **Figure 7-2.**

Figure 7-2: Terrorist Financing Vulnerabilities Assessment Results

Terrorist Financing Vulnerabilities	Assessment Result
Vulnerability to Internal TF	0.35
Vulnerability to Incoming TF	0.44
Vulnerability to Outgoing TF	0.44
Vulnerability to Transit TF	0.43

7.1.1 Quality of CFT Policy and Strategy

2025 ASSESSMENT: 0.6 MEDIUM HIGH

There is and has been very strong political commitment and support in the fight against TF. Demonstrated by:

- Hon Alfred Cannan MHK, the Chief Minister for the Island, wrote the Foreword to the National Financial Crime Strategy, in which he says:

  "The Isle of Man takes its international responsibilities seriously. As an IFC, the Island recognises it must maintain high standards and we will continue to maintain a robust framework that means that criminals are deterred from conducting illegal activity. Additionally, we are fully committed to maintaining our understanding of the developments in global regulation and enforcement techniques – and will continue to act quickly to strengthen our laws where needed"

- Former Chief Ministers have provided Forewords to other key documents demonstrating the Island's resolute approach

- In Our Island Plan: 2024/25 Update (Building A Secure, Vibrant And Sustainable Future For Our Island) published in March 2024[180] the Chief Minister writes in the Foreword:

  "In the 2022 Island Plan, this administration set out a bold vision for the next 10-15 years. 5,000 new jobs, a £10bn economy and a target population of 100,000. Combatting financial crime of course remains a high priority for this Island. The second MONEYVAL inspection is approaching soon and our dedicated team is working incredibly hard and liaising closely with industry, to make sure that we are compliant across the key criteria"

- The Island Plan highlights: "Preventing Financial Crime - the new Financial Crime Strategy" (2024 – 2026) was approved in Tynwald, allocated additional investment by Treasury and underscores the Government's proactive stance in addressing financial crime. As a member of MONEYVAL, the Island is focussed on a comprehensive cross-Government work programme, fostering collaboration with regulators and industry to implement a unified 'One-Island' approach"

- The Island Plan provides the overall strategy, within which the National Financial Crime Strategy forms a key and integral part. **Figure 4-1** shows how all the aspects including the NRA are connected back to the Island Plan. ›

180 https://islandplan.im/media/ta5gec3e/island-plan-2024-25-final-v1.pdf

The Competent Authorities and the roles that they play in mitigating risk within the Island are detailed in Appendix 5 in the National Financial Crime Strategy. This also includes details of the governing boards that oversee Financial Crime in the Island, from:

- Council of Ministers
- Economic and National Strategy Board
- Financial Crime Strategic Board (FCSB)
- AML/CFT/CPF Advisory Group.

Appendix 5 includes membership.

The FCSB's purpose is to provide an effective mechanism to enable IOM Government, regulators and LEAs to coordinate the development and implementation of actions related to combatting ML/TF/PF and other financial crimes. FCSB is made up of senior officers from law enforcement, regulatory authorities, the AGC and the FIU.

The AML/CFT Policy Office team within the Cabinet Office was established by the Chief Secretary in 2016. The Policy Office: leads the Island's engagement with key international organisations such as MONEYVAL and reports back across the Island; provides advice to FCSB and the Chief Executive and politicians; drives the engagement across industry; leads on NRAs; coordinates international inspections of AML/CFT; and develops and delivers the anti-bribery and corruption project and National Financial Crime Strategy.

The Island is fortunate to have never experienced a terrorist attack. The IOM works with the CTPNW. IOMC maintains direct liaison with the CTPNW in relation to extremism and is linked directly to the CTP Network with access to the National Common Intelligence Application in respect of the reciprocal sharing of intelligence. Senior Officers are vetted to the appropriate level for direct interface with the Security Services where this may be required.

The capacity in the IOM for dealing with the terrorism threat is additionally reinforced through a close working relationship with UK authorities, which would provide extra capacity if needed, in the case of a terrorism incident on the Island.

As documented in CONTEST: The United Kingdom's Strategy for Countering Terrorism (2023), the UK has responsibility to the CDs stemming from international law and the constitutional relationship. The UK would support any locally-led response if a terrorist incident occurred. The IOMC primarily engages with the UK Counter Terrorism network through the 'Pursue' and 'Prevent' strands. If there were a terrorist situation with a primarily external nexus (UK based/affecting the UK/international), the UK National Crime Agency or the British Security Services would be the lead agency for identification and investigation and the IOM agencies would support.

The FATF Terrorist Financing Risk Assessment Guidance (2019) emphasises "the importance of establishing regular mechanisms to monitor TF risks on an ongoing basis." The National Financial Crime Strategy confirms that the Island will conduct "an NRA underpinned by sectoral and focussed risk assessments and addressing the risks identified on a bi-annual[181] basis". It is recommended that the NRAs will be reviewed every two years, to identify if there are any material changes that need to be reflected in the NRA. The NRA will also be reviewed on a trigger event basis if there is a substantive local or domestic event that impacts the TF risk to the Island or if the Island Plan/National Financial Crime Strategy require an NRA to be reviewed. Via FCSB, recommendations will be made as to which sectors to be reviewed or existing risk assessments that require to be refreshed (at least on a 5-year cycle).

Businesses in the regulated sector are obliged (under the Code) to undertake and update a BRA, which "assists relevant persons to understand where, how and to what extent they are exposed to ML/TF risk and which areas of their business they should prioritise in combatting ML/TF." A BRA must have regard to any relevant findings of the most recent NRA relating to the Island. Therefore, industry must be able to show how they have considered and mitigated the relevant risks identified in this NRA.

The National Financial Crime Strategy states in strategic objective 4 to"Ensure that our supervisory authorities are empowered and appropriately resourced to inspect, detect, investigate and, where appropriate, sanction instances of non-compliance with ML/TF/PF preventative measures." The agencies have received significant additional resources over recent years to assist in countering ML/TF/PF risks. In common with other smaller IFCs, there is a limited resource pool and competition across industry, agencies, regulators and Government for individuals with specialist skills. ›

181 Every two years

Given the proportionally smaller size of the agencies compared to larger countries, then the key person risk becomes more apparent.

Following the increased resourcing to the competent authorities, it is recommended that more of the processes that cross several agencies are mapped to better understand the handovers and how the end-to-end process might be improved.

There are a number of pieces of legislation that are being updated/drafted which will enhance the quality of the CFT policy across the Island, including but not limited to the Financial Services (Miscellaneous Amendments) Bill.

7.1.2 Effectiveness of TF Crime Definition

2025 ASSESSMENT: 1.0 EXCELLENT

In the IOM the two key pieces of legislation relating to TF are: ATCA and TOCFRA. The legislation comprehensively defines the TF offences. The penalties are deemed to be proportionate and sufficiently high to be dissuasive, with a custodial term of up to 14 years for a TF offence.

The AG has recently published a Prosecution Policy and Guidance on TF Prosecutions internal guidance policy. The prosecution policy sets out:

"Guidance for TF offences in the IOM and the approach to be taken in considering whether a prosecution should be brought or not. The policy is to ensure that the principles and practices being considered in relation to TF prosecutions are underpinned by core values and to ensure a consistent and vigilant approach is taken relating to the prosecution of TF offending".

The AG notes in the policy, "It is acknowledged by the AG that opportunities for prosecutions in the IOM for TF offending are rare. Such investigations and prosecutions are by their very nature complex and present unique evidential difficulties that all prosecutors would need to carefully consider."

As is the case in a number of similar jurisdictions, the exposure to terrorism and TF is extremely low and therefore it is not unusual that there are few investigations/prosecutions and convictions. Given the recent publication of the Prosecution Policy Guidance on TF Prosecutions, it is recommended that the IOM undertake an Island-wide scenario test of how the agencies and regulators would approach a real TF case. This would allow a theoretical test of the current extensive laws, policies and procedures, communication mechanisms and data flows/information sharing gateways to be tested. The FATF Terrorist Financing Risk Assessment Guidance published in July 2019 provides suggested approaches and hypothetical scenarios. Other smaller jurisdictions have run these scenarios and their experiences and learnings will support the exercise.

7.1.3 Effectiveness of Customs Controls on Cash and Similar Instruments

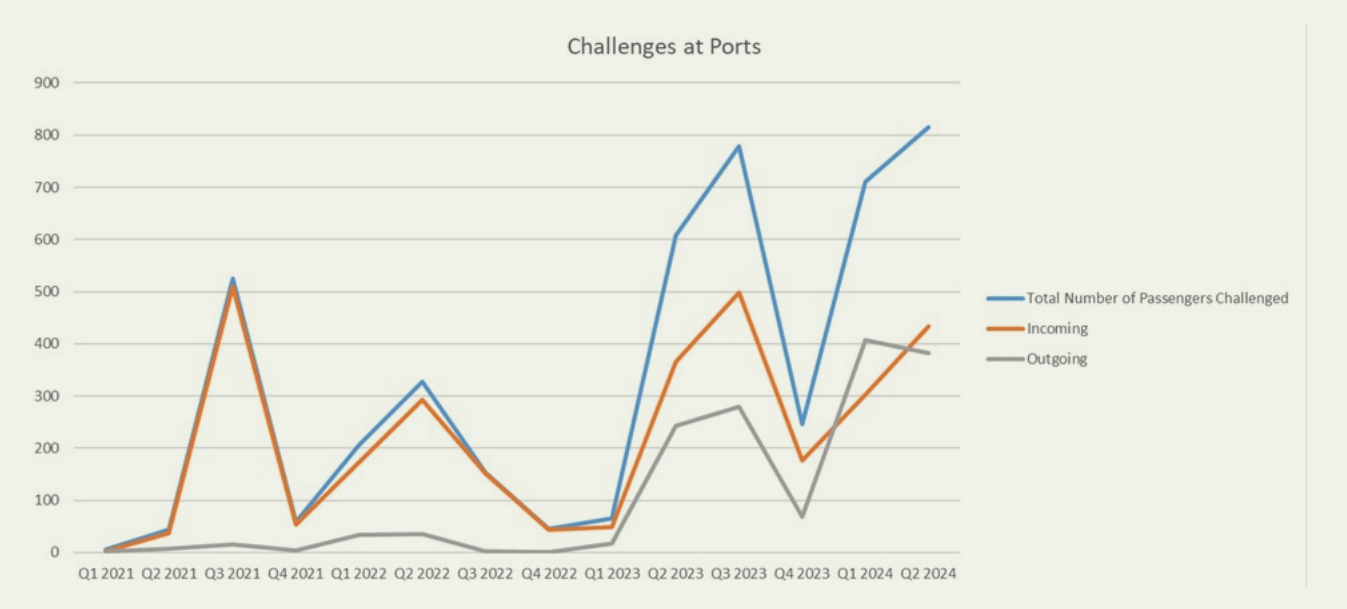
2025 ASSESSMENT: 0.6 MEDIUM HIGH

The IOM is surrounded by sea and its nearest neighbours are the UK and Ireland. The overwhelming majority of the flights or ferries are to the UK or Ireland. As the greatest proportion of the Island's business is with or via, the UK, the overwhelming proportion of its passenger and traffic movements are to and from the UK and the Island is extremely closely linked to the UK. Checks are conducted on foreign parcels arriving in the Island at the Post Office. The IOM agencies have very close links with their UK counterparts.

Given the small population in the IOM, it consequently has limited expatriate populations from high-risk areas, who might send money back home. There is no evidence that underground Banking systems exist on the Island. The IOM is not a cash-based economy. ›

Customs & Immigration (C&I)[182] Notice 9011MAN (updated 2024) titled "Carrying cash in and out of the Isle of Man"[183], covers cash, postal orders, travellers cheques, cheques, stored-value cards, coin or token with monetary value, banker's drafts, bearer bonds or bearer shares. This applies to cash going to or coming from, anywhere outside the Island, and regardless of whether the cash is being carried by someone or is sent in the mail, by courier service or is contained in freight, a vehicle or a vessel. The Notice includes the offences and penalties connected with cash controls. ›

Figure 7-3: Challenges by Officers at the Isle of Man Ports



Source C&I

Figure 7-4: Number of Incoming & Outgoing Cash Declarations at the Ports



Source: C%I

182 Following the recent name change from Customs & Excise to Customs & Immigration the names are used interchangeably in this document
183 https://www.gov.im/media/1385673/notice-9011-man_compressed.pdf

The Customs and Excise Management Act 1986 (The 1986 Act) provides the powers to detect the physical cross-border transportation and Officers can ask questions at random or where they have identified someone to ask. The 1986 Act requires declarations of cash which exceed £10,000 on inbound and outbound movements. There have been recent cases where cash has been detected.

The 1986 Act informs all passengers regarding the limitations on transportation of cash, effectively enforces the declaration and disclosure requirements and allows the seizure of cash.

The resources allocated to C&I to control the borders has increased. They are aided by a specialist K9 team, including cash detection. As the number of challenges by officials has increased, displayed in **Figure 7-3**, the number of cash declarations in **Figure 7-4** has also increased. It is assumed that there is a direct correlation.

In common with the other CDs is the challenge of locally-issued IOM bank notes being taken cross-border by criminals and Organised Crime Groups (OCGs) and paid into banks in the UK and then being repatriated to the Island, a recent example being where an attempt to smuggle cash in a toy[184] was intercepted. This issue was referenced in the 2023 Jersey ML NRA (**section 7.16.6**): "The FIU is currently working on a strategic report regarding Jersey notes being repatriated back to the Island as they are not legal tender in the UK." This matter was also referenced in the 2023 Jersey TF NRA (**3.22**). This vulnerability is continually reviewed by LEAs.

Training has been undertaken of border staff, but it is recommended that further training to enhance understanding of TF should be considered. This is a general theme across a number of staff within agencies. The expert judgement of the professionals from key agencies was that whilst training has been completed on TF, the level of knowledge was potentially still behind that for ML.

7.1.4 Effectiveness of Border Controls on Goods (incl. military and strategic goods)

2025 ASSESSMENT: 0.7 HIGH

There are limited customs barriers between the Island and its closest neighbours and no fixed border controls to check the movement of people. This is a consequence of:

- the Island's constitutional status as a CD of the British Crown
- the establishment in law of the CTA which protects free movement of people between the UK, the Republic of Ireland and the CDs
- the customs union between the Island and the UK under the Customs and Excise Agreement 1979 which governs the customs controls on the movement of goods between the Island and the UK.

Under the Customs and Excise Agreement, the IOM and the UK are considered to be part of the same customs territory. This Agreement has existed for many years. Where there is a cross-border movement of goods between the Island and UK, this movement is generally not subject to customs controls – this is akin to the movement of goods between the mainland of the UK and Scottish Islands and Isle of Wight. There are however certain goods which are prohibited (banned) or restricted (i.e. require a licence, authorisation or declaration) from being imported[185] or exported[186]. The C&I Division is responsible for the enforcement functions at the Island's border.

There is a small manufacturing industry in the Island, the majority of which do not trade in military or strategic goods. Due to the logistics of getting goods on and off the Island, the Island is not a favoured place for manufacturing.

The Island uses the UK customs declaration systems and procedures so there is reliance upon the effectiveness of the UK border controls. However, as described elsewhere in this ›

184 https://www.iomtoday.co.im/news/man-tried-to-smuggle-criminal-cash-off-the-isle-of-man-stuffed-in-cuddly-toy-704759
185 Import controls: www.gov.im/categories/tax-vat-and-your-money/customs-and-excise/imports-and-exports/import-controls/
186 Export controls: https://www.gov.im/categories/tax-vat-and-your-money/sanctions-and-export-control/export-and-trade-controls/

document, the Island is not a transhipment or trade hub and the majority of goods move between the Island and the UK, where there are established business links especially in the manufacturing industry.

C&I have an Export and Trade Controls webpage with specific information about strategic goods and firearms to guide business[187]. An export licence is needed before the export of controlled military goods, software and technology and items on the dual-use list from the IOM to any country other than the UK. These items are listed in **Schedule 2 and 3** to the **Export Control Order 2008**[189].

A trade control licence is needed before engaging in certain activities that involve:

- the supply or delivery of certain items from one country to another
- the agreement to supply or deliver certain items from one country to another
- any activity that will promote the supply or delivery of certain items from one country to another.

Most export control and trade licences are available via SPIRE[189] (UK Department for International Trade), the Export Control Joint Unit's online export licensing system. Export licences issued by the Export Control Joint Unit relating to IOM applicants indicate that controlled goods are being exported from the UK rather than directly from the IOM. C&I and the Export Control Joint Unit have a Memorandum of Understanding and engage on matters relating to export controls involving IOM businesses.

It is recommended that further training is considered for the Customs officers to better understand what to look for to identify military or strategic goods.

7.1.5 Effectiveness of Immigration Controls

2025 ASSESSMENT: 0.4 MEDIUM LOW

The Treasury formally took responsibility for Passports, Immigration and Nationality (PIN) services in January 2024. The Customs and Excise Division was renamed the Customs & Immigration Division, combining the customs and excise service and PIN services and is designed to improve efficiency and effectiveness through shared resources and personnel.

The Immigration Act 1971 (of Parliament) provides the statutory framework law for immigration control. This Immigration Act (as extended to the IOM) confers powers on the Minister for the Treasury of the IOM to exercise immigration control in the Island. Among these powers is the power to make Statements of Changes in Immigration Rules[190] which are laid before Tynwald. The statement sets out the practice to regulate the entry and stay of persons subject to immigration control in the IOM and specify the conditions under which leave to enter and leave to remain may be granted and cover, visits, study, work, family reunion, removal and deportation. The Treasury Minister authorises officers to exercise the powers conferred on them by **section 33(6)** of the Immigration Act 1971 (an Act of Parliament as it has effect in the Island) and appoints an officer under **paragraph 1** of **Schedule 2** to the Immigration Act 1971 as an Immigration Officer to carry out the provisions of the Immigration Acts and any rules made under them.

Geographical, natural borders help to prevent illegal crossings. The UK's departure from the EU has resulted in CTA, EU, European Economic Area (EEA) and Swiss national passenger arrivals to the Island now being under Immigration Control. This has increased the workload for the C&I teams.

The Chief Minister has recently stated (7 March 2024) that a firmer immigration policy for the IOM is being developed[191]. The Chief Minister stated whilst giving evidence to Tynwald's Economic Policy Review Committee: "tightening up immigration policy would need to be developed within the next 12 months". ›

187 https://www.gov.im/categories/tax-vat-and-your-money/sanctions-and-export-control/export-and-trade-controls/
188 https://www.legislation.gov.uk/uksi/2008/3231/contents/made
189 www.spire.businessandtrade.gov.uk/spire/fox/espire/LOGIN/login
190 https://www.gov.im/categories/travel-traffic-and-motoring/immigration/immigration-rules-and-associated-policy/
191 https://www.bbc.co.uk/news/articles/cg3q24npzvjo

The Chief Minister also put this in the context of the wider Island strategy to increase the population by 15,000 to 100,000 by 2037.

It is important that national immigration legislation is compatible across the CTA to prevent any one constituent part of the CTA acting as a 'backdoor'. Notwithstanding, the IOM has a degree of autonomy in respect of its immigration policy, enabling it to adapt to local immigration and labour needs.

Plans will be put in place to allow information and intelligence from all sea and air routes coming into and from the IOM to be gathered in a central hub/system. This central hub will allow the sharing of information with relevant enforcement agencies to enhance the understanding of the vulnerabilities; help maximise intelligence opportunities; develop evidence-based understanding of the CTA threats; enhance collaborative working; disrupt and deter terrorist and criminal exploitation of the CTA. This will result in an improvement to the quantity and quality of the information and intelligence collected which in turn will allow for more efficient and informed investigations to be carried out by the Island's enforcement agencies.

As the UK moves forward with its New Plan for Immigration and its digital strategy, increasingly replacing physical and paper-based products with digital products, the IOM will need to align and ensure unhindered travel for those coming to the IOM, to prevent any risk from divergence.

In September 2024 the Department for Home Affairs published its Securing Our Island Strategy[192]. It concluded by saying:

> "The IOM faces a range of threats from criminals who seek to exploit our open borders and our position within the CTA. To secure our Island and protect our people, we must take a proactive and coordinated approach to border security. Our policy principles and strategic aims of Prevent, Protect and Pursue are guiding our actions to make our borders less attractive to criminals, more secure for our community and more resilient against emerging threats."

The strategy includes a comprehensive plan of actions to mitigate the identified risks.

Figure 7-5: Typology - Abusing the IOM Visa System

The IOM workers visa process could potentially be abused by criminals in two typologies.

1) A Visa is issued for a job that actually does not exist on the island and the person is effectively a modern slave, working long hours for illegally low pay.

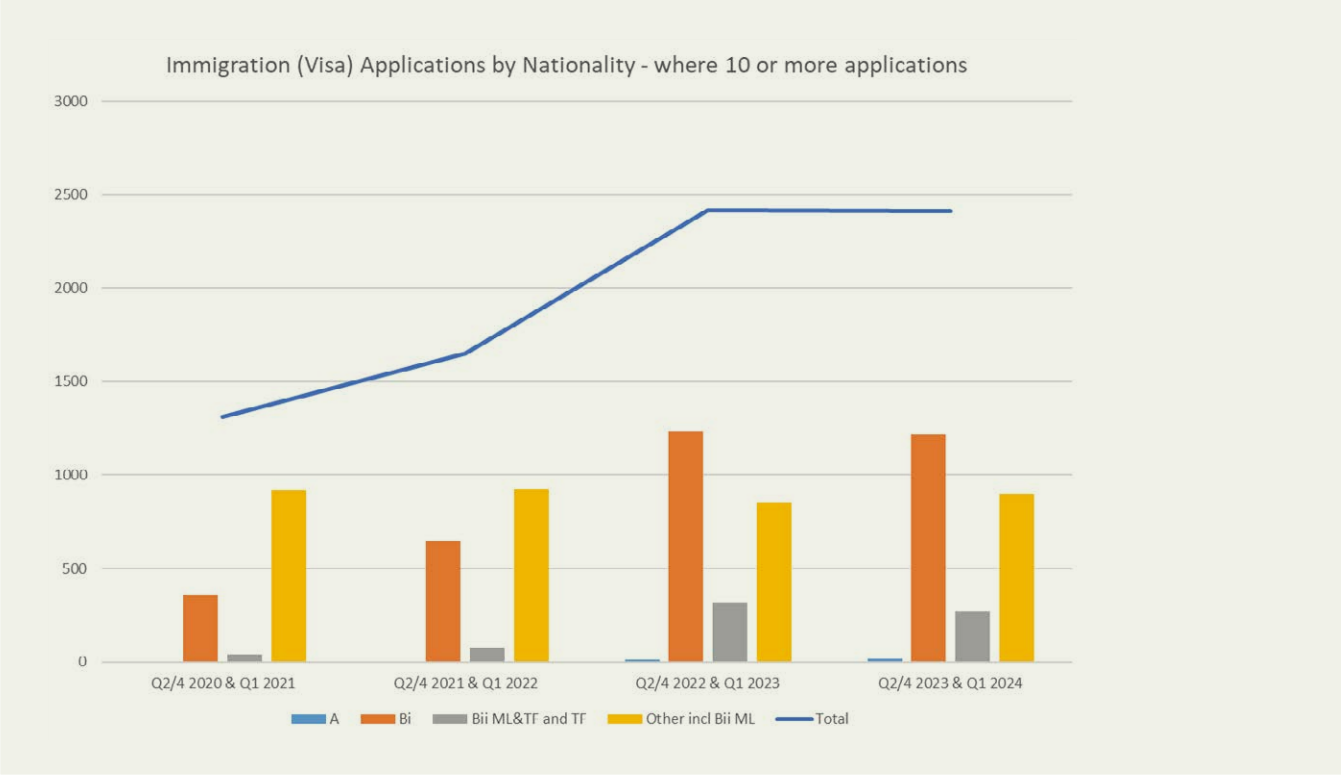
2) An IOM Visa is issued to an overseas worker and the person uses this Visa to get into the UK and then disappears and never comes to the IOM.

192 https://www.gov.im/media/1385612/borders-strategy-final-sep-24-compressed.pdf

With the impact of Brexit and planned work to closer align to the UK and mitigate known risks, resourcing challenges are created in the system. This puts additional strain on the experienced staff to help and support new recruits.

Funding has been approved for a small Immigration Compliance team, which will then be recruited and trained. ›

Figure 7-6: Immigration (Visa) Applications by Nationality for Four Years - Excluding Countries With Fewer Than 10 Applications in a Given Year



Source: Passport, Immigration & Nationality

Figure 7-6 shows the Visa applications by nationality, based on the country risk profile of those countries that pose or may pose a higher-risk.

As the population increases in line with Island strategy and in conjunction with the extensive work that is already in plan to improve the immigration controls, it is recommended that recent immigration cases reported in the press, in addition to the typologies noted above, are presented formally to industry as potential typologies that they should consider and remain vigilant to report.

7.1.6 Quality of FIU Intelligence Gathering and Processing for TF

2025 ASSESSMENT: 0.6 MEDIUM HIGH

The Financial Intelligence Unit Act 2016[193] (FIU Act) created the FIU as a 'Body Corporate'. The FIU has been a member of the Egmont Group since 31/3/2000 and is currently part of the Europe II region. As highlighted in the Egmont Group report the Role of FIUs in the National Risk Assessment Process[194], 'FIUs play a key role in analysing SARs and other data which provides critical insight in identifying TF risks within the country'.

The FIU has access to numerous closed databases both domestically, UK nationally and via open source. It makes requests of the regulated sector, government, other Egmont Group FIUs, International Anti-Corruption Coordination Centre (IACCC) and the Financial Crime Information Network (FIN-NET) and Beneficial Ownership requests.

Over recent years the FIU has had significant investment from the Government and the resourcing has increased. All FIU staff receive TF training. Additionally, the FIU has two Financial Intelligence Analysts who have been allocated TF as a specialism and primarily deal with incoming TF matters and receive additional dedicated TF training. The investment in people is supported with training and professional qualifications.

The FIU manage the SAR process. It works effectively using Themis[195] and high-level SAR data is made publicly available. In August 2023, the FIU introduced a new feature into Themis to allow the provision of standardised feedback to MLROs on submitted disclosures. The Guidance document was updated in June 2024 on making SARs and disclosures to help industry, as well as a Good Practice document. These are all part of a suite of guidance documents provided by the FIU to industry[196].

Received SARs are subjected to FIU operational analysis to add value, which may involve consideration of the content and quality of the received information, its timeliness, local or international enquiries, analysis and interrogation of available open and closed sources. The FIU will then make a decision on which international and domestic partners would value from receiving a dissemination. Common recipients of FIU disseminations include domestic law enforcement agencies, regulators and FIUs in other jurisdictions

All of the actionable TF SARs (or any SAR possibly linked to TF) received by the FIU were immediately developed and referred to PIMLIT for investigation as appropriate. Following initial enquiries, one of the referrals was adopted by PIMLIT as a criminal investigation. Following investigation, PIMLIT found that no crime had occurred. The overall number of such disclosures may appear to be low, however it is broadly in line with the low TF risk of the Island.

Figure 7-7 shows the number of SARs submitted per annum from each sector where suspected criminality was provided as terrorism or TF, including those submitted under ATCA as well ›

193 https://www.legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/2016/2016-0005/2016-0005_3.pdf
194 https://egmontgroup.org/wp-content/uploads/2024/09/The-Role-of-FIUs-in-the-National-Risk-Assessment-Process.pdf
195 The FIU's online reporting mechanism, which is the single point of contact for regulated entities in relation to: Reporting under the Proceeds of Crime or Terrorism Legislation; Reporting under Section 24 of the FIU Act; Reporting Sanction Breaches. Themis is also the tool the FIU use for communicating advisory notices and other pieces of information
196 https://www.fiu.im/guidance-documents/

as **section 24**[197] reports. The table shows:

- The sector which submitted the SAR
- The outcome of the SAR
- The country or countries where the suspected criminality occurred
- The country or countries of the location of the primary subject.

For every actionable TF SAR, the FIU undertake all searches and checks possible, as well as seeking cooperation with the UK NTFIU, to enquire if they have additional information on the subject. This approach is also taken with non-TF SARs, where the FIU believe there might be any TF connection. An example would be an ML SAR where the FIU identify any potential activity/symbolism that might be linked to a terrorist group or there are links to a location/subject that might be linked to terrorism. ›

Figure 7-7: SARs Where Suspected Criminality Was Provided As Terrorism or TF

Sector	2020	2021	2022	2023	Total
Bank/Building Society	1	0	0	0	**1**
Lawyer	0	1	0	0	**1**
Life Insurance/Assurance	3	2	3	2	**10**
Online/e-Gaming	8	7	7	3	**25**
TCSPs	0	1	0	0	**1**
Total	**12**	**11**	**10**	**5**	**38**
Outcome	**2020**	**2021**	**2022**	**2023**	**Total**
Disseminated	10	8	7	3	**28**
Not Disseminated	2	3	1	2	**8**
Filed as part of Triage	0	0	2	0	**2**
Total	**12**	**11**	**10**	**5**	**38**
Country(ies) Of Suspected Criminality	**2020**	**2021**	**2022**	**2023**	**Total**
IOM	1	4	-	-	**5**
UK	2	1	3	1	**7**
List A & B Countries	5	2	7	2	**16**
Other Countries	9	9	6	0	**24**
Not known	-	-	2	2	**4**
Total	**17**	**16**	**18**	**5**	**56**
Country(ies) Location of Primary Subject(s)	**2020**	**2021**	**2022**	**2023**	**Total**
IOM	-	1	-	-	**1**
UK	2	1	4	1	**8**
List A & B Countries	5	1	3	1	**10**
Other Countries	5	8	4	3	**20**
Not known	-	-	1	-	**1**
Total	**12**	**11**	**12**	**5**	**40**

Source: FIU

197 Section 24(1) of the FIU Act allows any person to disclose information to the FIU if the disclosure is made for the purposes of the exercise by the FIU of any of its functions

Potentially some improvements could help with regard to raising the awareness on TF risks, although there is no evidence to suggest that the private sector has major issues with submitting TF SARs. The publication of this TF NRA (plus the NPO TF NRA), combined with industry refreshing their own BRA, should help increase the awareness and focus on TF. In addition, it is recommended by the FIU that TF typologies are updated (previous examples published in 2018[198] and 2023 for Sanctions[199]), including emerging threats, followed by further training to industry.

Other helpful publications for TF typologies or red flags are:

- FATF have published Guidance for Financial Institutions in Detecting Terrorist Financing[200] in 2002
- FATF Terrorist Financing report[201] from 2008
- FATF Terrorist Financing Risk Assessment Guidance[202] July 2019
- Federal Financial Institutions Examination Council (FFIEC) in the USA published Potentially Suspicious Activity That May Indicate Terrorist Financing[203]
- The FSA published Sector-Specific DNFBP Reports[204] contain sector specific red flags
- The GSC have published guidance which incorporates red flags, for example Virtual Assets[205] and Software Suppliers[206].

The FIU can disseminate, spontaneously and upon request, information and results of its analysis to relevant competent authorities. The only delays encountered are with overseas authorities who do not always respond in a timely manner where the FIU have requested information internationally as part of the FIU's intelligence development **(see figure 7-10)**. Given the international nature of parts of the customer base in the IOM, especially the UK, the IOM FIU is reliant upon good communications channels with the UK and other key jurisdictions.

It is recommended that the FIU TF policy is updated. Both the Police and FIU have TF policies that require updating. Updates should be aligned, particularly in terms of where the actions of both agencies intersect. The updated FIU TF policy will state the need to actively follow up and review each TF matter that is not filed.

In **Chapter 7.2.2** it is recommended that the strategic analysis of incoming and outgoing financial flows to/from higher-risk countries process is documented for how this data is used by the FSA and the FIU and how regularly and how often presented with comments to appropriate governance. As part of the strategic financial flow analysis, the FIU and FSA will consider the flows from the Island to IFCs in a similar way to the analysis with financial flows to higher-risk jurisdictions.

7.1.7 Quality of Other Intelligence Agencies' TF Intelligence Gathering and Processing

2025 ASSESSMENT: 0.6 MEDIUM HIGH

The IOMC have a specialist PIMLIT team who investigate complex, multi-jurisdictional cases of ML and TF. Domestic financial crime matters and fraud are investigated by the Police Economic Crime Unit (ECU). PIMLIT are a ring-fenced resource.

The Police have access to numerous databases either with direct or indirect access. Some are via other agencies such as the UK Home Office, Police Sensitive Intelligence Unit (SIU), via other police forces or the FIU. The Police also manage incoming/outgoing requests to Anti-Money Laundering Operational Network (AMON), Camden Asset Recovery Inter-Agency Network (CARIN) and the International Criminal Police Organisation (Interpol). ›

198 https://www.fiu.im/media/1101/typologies-january-2018.pdf
199 https://www.fiu.im/media/1184/sanctions-and-tbml-typologies-feb-23.pdf
200 https://www.fatf-gafi.org/content/dam/fatf-gafi/guidance/Guidance%20for%20financial%20institutions%20in%20detecting%20terrorist%20financing.pdf
201 https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/FATF%20Terrorist%20Financing%20Typologies%20Report.pdf
202 https://www.fatf-gafi.org/content/dam/fatf-gafi/guidance/Terrorist-Financing-Risk-Assessment-Guidance.pdf.coredownload.pdf
203 https://bsaaml.ffiec.gov/manual/Appendices/07
204 https://www.iomfsa.im/amlcft/amlcft-requirements-and-guidance/
205 https://www.isleofmangsc.com/media/envj2xsk/aml-cft-guidance-for-virtual-assets_goods.pdf
206 https://www.isleofmangsc.com/media/thblhit3/aml-cft-guidance-for-software-suppliers-v1-2-final.pdf

From 2016 – 2017 onwards there has been significant investment in agencies supporting investigations, including the Police, FIU and ICART.

Terrorism and TF is an area in which the Police have limited calls upon their resources. The senior leadership team have good experience from their time working in roles in the UK. Where additional support and expertise is required, the IOMC reach into CTPNW. The IOMC do have local capability if a terrorist incident occurred domestically.

All intelligence relating to TF is assessed in a timely manner in accordance with the Police strategy. A majority of disseminations received relate to gaming companies that have identified adverse media in relation to a player account or internal red flags have been triggered due to player activity.

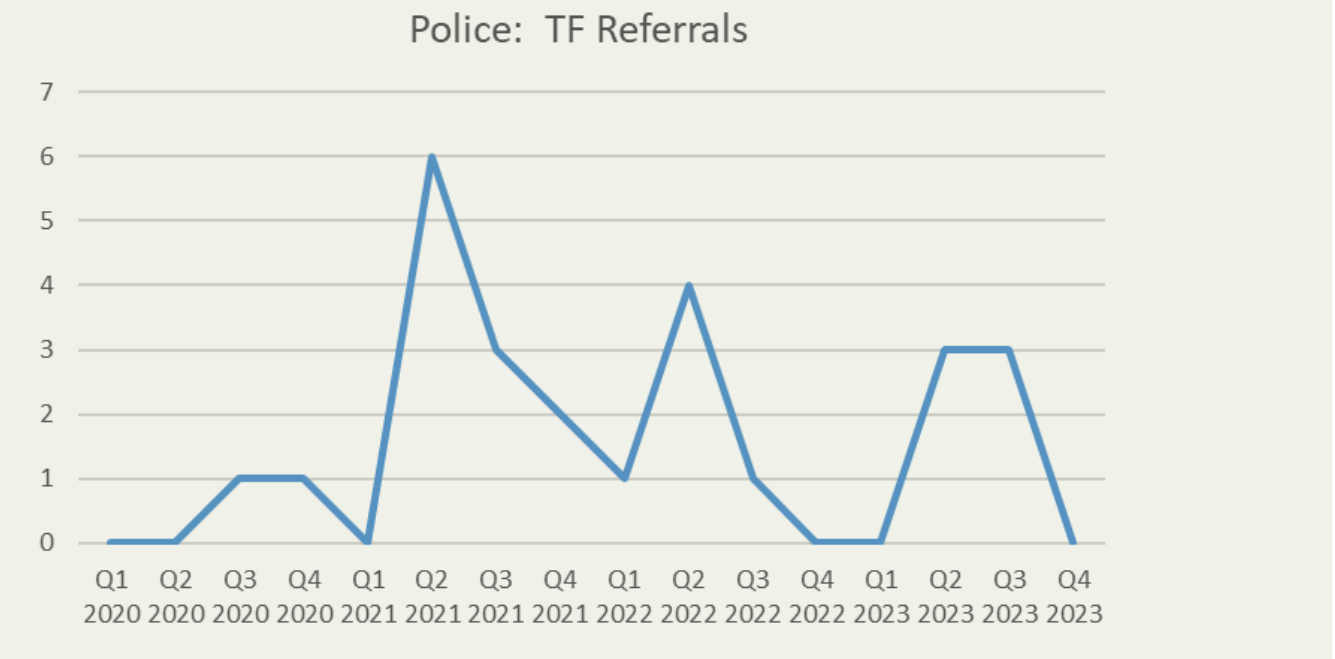
In conjunction with the FIU action noted above in **Chapter 7.1.6,** it is recommended that the Police TF policy is updated.

Figure 7-8: Organised Crime Groups

The Department of Home Affairs Policing Plan 2024-25[207] had deterring, pursuing and preventing serious and organised crime as one of its priorities.

The RUSI paper Missing Connections: Crime-Enabled Terrorism Financing Europe[208] highlights the potential crime-enabled terrorist financing links with recent European attacks, such as the 2015 assault on the Charlie Hebdo magazine in Paris and the suicide bombing in Manchester arena in 2017.

Figure 7-9: Police - TF Referrals 2020 – 2023



Source: IOMC

207 https://www.tynwald.org.im/spfile?file=/business/opqp/sittings/20212026/2024-GD-0077.pdf
208 https://static.rusi.org/rusi-op-crime-enabled-terrorism-financing.pdf

7.1.8 Capacity and Resources for TF Investigations

2025 ASSESSMENT: 0.7 HIGH

As per Chapter 7.1.7 above, PIMLIT lead on TF investigations. By their very nature these investigations, often multi-jurisdictional, can take extended time periods to investigate. It also incorporates a proactive capability utilising financial and other intelligence to target TF activity. As referenced in 7.1.7, the Police have invested additional resources in PIMLIT, as has the AG in ICART.

The Police found they had spent time trying to locate bespoke TF courses and specialist training. Much of what is available is aimed at industry rather than agencies. To support this, the FIU have signed up a number of the agencies, for specialist TF training.

ICART is a Directorate of the AGC. ICART includes the Asset Recovery Unit, which identifies, restrains and recovers criminal assets in the IOM. ICART, on behalf of the AG, has conduct of all MLA requests made by and sent to, other jurisdictions in relation to criminal investigations and prosecutions, including obtaining evidence, restraining assets in the IOM and enforcing confiscation orders.

ICART is dedicated to MLA and Civil recovery action, to include civil investigative orders. The mirror image structure in FCU deals with criminal investigative orders and there is a very high degree of cooperation between the two units. This provides for a cohesive rapid response to TF threat and to criminal activity across the board.

ICART recently refreshed a number of policies, which were approved by the AG. A case management system for the AGC including ICART is in an advanced procurement stage.

7.1.9 Integrity and Independence of TF Investigators

2025 ASSESSMENT: 0.9 CLOSE TO EXCELLENT

The main legislation that covers bribery and corruption in the IOM is the Bribery Act 2013. The Bribery Act makes it an offence to: give or receive a bribe, bribe a foreign public official or fail to prevent bribery. There is also a duty under the Bribery Act for certain individuals to report bribery. The AGC prosecutes all crime in the IOM, including crimes involving bribery or corruption.

There is also an independent police complaints process.

There has been no prosecution for a substantive terrorist financing offence on the Island because none have been detected. There has been a failure to report a suspicion of TF investigation leading to a prosecution of two counts under s.14 ATCA, (see **Chapter 6.3.3.3**). There is no reason to consider that TF investigators would act with anything other than integrity and independence.

There is no reason to consider that a TF investigation would be the type of investigation where investigators might come to be pressurised or influenced by those who might conceivably be considered to be in a position where they might potentially seek to bribe or bring pressure on those conducting any TF investigation.

The conducting of TF by a politician or member of the law enforcement/prosecution agencies is not a typology encountered in similar jurisdictions to the IOM. There have been no instances where any criminal investigators or prosecutors have been corrupted or bribed nor has there been any attempt to do so in relation to any offence, nor for any TF offence. Persons in elevated positions on the Island have been investigated and prosecuted in the past (for offences wholly unconnected with TF) and there has been no suggestions that such investigators ›

and prosecutors have acted with anything but integrity and independence. Examples of such investigations and prosecutions include the following:

- An Attorney General was prosecuted for (and acquitted of) perjury in the past
- On rare occasions, police officers have been prosecuted and convicted for offences of dishonesty where they have stolen assets which have been seized. Police officers have been prosecuted in the past for other offences such as harassment
- The wife of a previous Chief Minister was prosecuted and convicted for a dishonesty offence in the past.

7.1.10 Capacity and Resources for TF Prosecutions

2025 ASSESSMENT: 0.7 HIGH

The Prosecutions Division provides advice to the IOMC and other public authorities on potential criminal charges and the prosecutors make decisions on behalf of the AG in relation to criminal prosecutions. Within the Prosecution team there is a dedicated FCU in the AGC. Prosecutions are split into a general team and the FCU, which helps to increase specialism. FCU was established in 2024 and is a ring-fenced resource. FCU is structured to allow for procurement of specialist services and advice from a KC, as most prosecutions will be highly complex and lengthy. PIMLIT and ECU automatically come to the FCU – there is guidance for the other agencies on what may come to FCU.

Procedures allow the Prosecution team to seek KC from the UK. This is usually for cases which are very complicated or there are extreme levels of resource required. The Chambers runs all cases, with KC support.

The AG has issued the Prosecution Policy and Guidance on Terrorist Financing Prosecutions to support the prosecutors.

It is planned to update the Justice Reform Act 2021 which will streamline a number of the court processes.

There is a lower understanding across industry and the agencies of TF compared to ML, which impacted the overall score.

7.1.11 Integrity and Independence of TF Prosecutors

2025 ASSESSMENT: 0.9 CLOSE TO EXCELLENT

The AG was appointed by Her Majesty the Queen in 2022, a process which is independent of the Island's political system. The AG is not a politician and not subject to any party whip or collective responsibility. The AG can only be removed by the King (not the case in the UK) and therefore there is less scope for political pressure to be applied to the AG.

Safeguards to preserve prosecutor integrity are found in the Advocate Practice Rules 2001, which specifically applies the English Bar Code of Conduct and the Law Society (of England and Wales) Regulations. The prosecutors are also subject to the Advocates Disciplinary Tribunal which is a body established under Part IV of the Advocates Act 1976 to consider complaints against Advocates. The independence of the prosecutors from political interference and intimidation and abuse of office can be evidenced by the investigations, prosecution and convictions of influential people as outlined in **Chapter 7.1.9**.

FCU within the AGC, with the support of the AG, make the decision to prosecute TF cases. There are checks and balances in the prosecution process. All prosecutions are subject to Crown Officers being able to review. The decisions of Prosecutors may be judicially reviewed, as they are public officials. This is the situation as demonstrated by *Bell vs HM Solicitor General & Others*[210] May 2024. ›

209 https://www.judgments.im/content/CHP23_103%20-%2031%20May%2024.pdf

7.1.12 Capacity and Resources for Judicial Processes

2025 ASSESSMENT: 0.7 HIGH

The IOM is a separate jurisdiction to the UK and as a result has its own legal system. The principles of the Manx legal system are based on English common law and the Island follows very closely the precedents set by the English Courts if there is no conclusive Manx precedent already established. However, Manx law has also developed to fit the IOM's own needs and circumstances, particularly in relation to tax, company law and financial supervision issues. The main sources of Manx law are based on the Acts of Tynwald and their subsidiary legislation[210].

The IOM's High Court judges are called 'Deemsters', who have jurisdiction over all criminal and civil matters on the Island. The first Deemster is the head of the IOM judiciary. The Island also has its own Magistrates, whose roles are similar to their English counterparts. There is a local Court of Appeal called the 'Staff of Government Division'. Since January 2015, Channel Islands Judges are eligible to sit as Appeal Judges in the IOM and IOM Judges are eligible to sit as Appeal Judges in the Channel Islands. The final Court of Appeal is the Judicial Committee of the Privy Council in England.

The number of judges has increased from 5 to 6 recently. The judges are able to call upon experienced UK Judges such as (His Honour Judge) Michael Hopmeier, who is a Circuit Judge (appointed July 2009) sitting at Southwark Crown Court, specialising in serious economic crime and confiscation. There is also one full-time circuit judge on the panel (His Honour Judge Kainth) and a further specialist financial crime KC (Simon Farrell KC) who deals with financial trials.

The Justice Reform Act 2021 (Appointed Day) (No.3) Order 2024 makes provision for trials without a jury in complex fraud cases, which increases the Court's capacity to hold trials quickly in appropriate venues, provided there is provision for electronic provision of evidence. It is planned to update the Justice Reform Act 2021 which will streamline a number of the court processes.

It should be noted that one of the risks identified in the General Registry 2023 annual report[211], is the recruitment and retention both judicially and administratively.

7.1.13 Integrity and Independence of Judges

2025 ASSESSMENT: 1.0 EXCELLENT

There is a Code of Conduct for members of the judiciary in the IOM[212]. The Code of Conduct is based on the six Bangalore Principles of Judicial Conduct which are well recognised internationally and which are concerned with (1) judicial independence, (2) impartiality, (3) integrity, (4) propriety, (5) equality of treatment and (6) competence and diligence.

The Rt. Hon. The Lord Garnier KC produced an extensive paper dated March 2023 of his independent review of the provision of legal services on the IOM[213].

The judiciary in the IOM is independent and has excellent levels of integrity. Appointments to the judiciary are through an open and transparent selection process. Candidates need to evidence significant legal experience as well as competency, integrity and independence requirements. The First and Second Deemsters and the Judge of Appeal are appointed by His Majesty the King on the recommendation of a recruitment panel. The judges are not political appointments.

All court proceedings are recorded and all judges are required to give reasons for their decisions. Manx judgements are available online[214] and also through the published Manx Law Reports. There is a publicly documented process[215] in respect of complaints of personal misconduct against members of the judiciary of the IOM. ›

210 https://dq.im/about/isle-of-man/
211 https://www.courts.im/media/3542/general-registry-2023-annual-report-1.pdf
212 https://www.courts.im/judiciary/code-of-conduct/
213 https://www.4pumpcourt.com/wp-content/uploads/2023/11/Independent-Review-of-the-provision-of-legal-services-on-the-Isle-of-Man-2023.pdf
214 https://www.judgments.im/content/home.mth
215 https://www.courts.im/judiciary/procedural-notes/

No judge in the Island has the final say. There is an appeals process which eventually goes to the Justices of the Supreme Court England &Wales (E&W). The Judicial Committee of the Privy Council (JCPC)[216] is the highest court of appeal for a number of Commonwealth countries, CDs and UK Overseas Territories.

The Council of Ministers Act 1990[217] **section 6A** and **6B** cover the duty of the Council of Ministers to uphold the law and the independence of the judicial process.

7.1.14 Effectiveness of Domestic Cooperation

2025 ASSESSMENT: 0.7 HIGH

Although there is strict application by FIs of the common law duty of confidentiality in respect of customer information, it is overridden by various statutory provisions including POCA/ATCA and others.

The framework for inter-agency cooperation serves as a factor for mitigating potential TF risk. The small size of the jurisdiction may be an advantage. There is no difficulty in prompt communication between authorities themselves and between the authorities and the private sector. Close collaboration across the jurisdiction is formalised in a number of forums, including:

- The AML Group consisting of Police/FIU/ICART/FSA/GSC and other agencies where required (such as C&I/Income Tax Division(ITD)) meets fortnightly to discuss intelligence on specific cases and then act upon it
- There is a team from PIMLIT (Case Development Unit) co-located but entirely separate in the FIU and they meet the FIU weekly. The Police receive good intelligence from the FIU, therefore it was decided that it would be more efficient, as the resources in PIMLIT were increased, for a small number of people to be in the FIU, although firewalls are in place. This has helped ensure that agencies work together in line with operational priorities and identified national risks
- There is the Joint Tasking and Coordination Group, which coordinates and prioritises the national response to specific cases enhancing overall cooperation between the law enforcement agencies.

The FIU has also been instrumental in the establishment of the IOM's PPP, the IOMFCP. The IOMFCP works together with the private sector to improve the IOM's capacity at an operational and strategic level. PPPs are considered internationally to be the future of financial intelligence sharing. The IOMFCP has already begun developing relationships with other jurisdiction's PPPs. Strong links have already been established with the UK's Joint Money Laundering Intelligence Taskforce (JMLIT), the PPPs of Jersey, Guernsey and Gibraltar as well as the Europol Financial Intelligence Public Private Partnership (EFIPPP). The IOMFCP Banking and TCSP Operational Groups have been formed and are working. There is a capacity to call tactical briefings with the Banking sector if required to respond to a TF matter. Operational Groups involving other sectors such as Life Insurance are also being developed and may be of assistance to TF-related enquiries.

7.1.15 Effectiveness of International Cooperation

2025 ASSESSMENT: 0.7 HIGH

The AGC is the Central Authority in the IOM responsible for making and receiving MLA requests in respect of investigation and prosecution of crime, criminal asset tracing, restraint and confiscation and civil recovery (non-conviction-based confiscation). The IOM has a legal basis that allows its authorities to rapidly provide a wide range of MLA in relation to ML, associated predicate offences and TF investigations, prosecutions and related proceedings.

However, there are some countries who are slow at responding when ICART make requests outside of the jurisdiction. The IOM continues to encourage faster responses from these countries. A project has started to ensure data is recorded in a way that allows quick identification of those countries that the IOM needs to improve their response times. The data will also evidence the efficiency and effectiveness in addressing requests to and from ›

216 https://www.supremecourt.uk/uploads/beginners_guide_to_the_jcpc_080825_3852886dac.pdf
217 https://legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/1990/1990-0003/1990-0003_7.pdf

other countries and also help the Island to make best use of the opportunity to request information from other agencies in other countries.

Figure 7-10: Where Responses Are Not Received Following Requests to Agencies Overseas

In this case study, the IOM FIU receive a SAR from industry, where they have located adverse media linked to their customer. This adverse media may be related to ML/TF/PF.

The SAR raises concerns regarding the source of funds and in this scenario, the funds are potentially going to be paid away to help finance a terrorist organisation overseas.

The FIU shares the intelligence with domestic agencies in the Island, as well as with a number of international FIUs, together with requests for further intelligence regarding the parties involved. Restraints are obtained to ensure the funds are not paid away.

Despite several further requests for assistance from overseas jurisdictions, minimal responses are received. As a result of not being able to gather further meaningful intelligence, the restraining orders have to be discharged and the funds are then paid away outside of the Island.

The AGC's website provides access to (all updated July 2024):

- The asset recovery policy
- Asset sharing policy
- International cooperation policy
- Mutual legal assistance in criminal matters and asset recovery in the IOM.

The FIU exchanges information with foreign FIUs in accordance with the Egmont Group principles.

Competent authorities have access to numerous international cooperation mechanisms through which the LEAs can exchange information both spontaneously and upon request. There is a central register of beneficial ownership that meets international standards, which helps to share information with authorities around the world. The IOM is:

- A member of the Egmont Group[218] (since March 2000)
- A member of the CARIN[219] (since September 2004)
- A core donor nation to the International Centre for Asset Recovery, part of the Basel Institute on Governance (since January 2017)
- Has associate membership of the IACCC[220] (since July 2020) – specifically aimed at exchanging intelligence in respect of 'grand corruption' cases
- A member of the United Nations Global Operational Network of Anticorruption Law Enforcement Authorities[221] (GLOBE Network), in conjunction with the UK (2021)
- Has indirect access to Interpol via the UK's Interpol Bureau
- Member of the Small Countries Financial Management Programme[222]
- Part of AMON [223]
- Member of the European Business Registry Association[224].

The agencies and regulators are also part of international bodies. For example, the FSA is a member of the International Association of Insurance Supervisors (IAIS), International Organisation of Securities Commissions (IOSCO) and the International Organisation of Pension Supervisors (IOPS) and ›

218 https://egmontgroup.org/members-by-region/eg-member-fiu-information/
219 https://www.carin.network/
220 https://www.nationalcrimeagency.gov.uk/what-we-do/crime-threats/bribery-corruption-and-sanctions-evasion/international-anti-corruption-centre
221 https://globenetwork.unodc.org/globenetwork/en/the-network/members-and-auxiliary-members.html
222 https://www.scfmc.im/
223 https://www.cepol.europa.eu/training-education/webinar-27-2020-anti-money-laundering-operational-network-amon
224 https://ebra.be/members/

has been accepted as a signatory to both the IAIS and the IOSCO Multilateral MOU in respect of cooperation and the exchange of information. The FSA is also a member of GIFCS (which was formerly known as the Offshore Group of Banking Supervisors) and Group of International Insurance Centre Supervisors (GIICS) (which was formerly known as the Offshore Group of Insurance Supervisors).

FIU have good links with the TF specialists in the UK. In addition the tax authorities regularly respond to international requests for tax information. In this respect, the IOM has signed up to numerous cooperation and information sharing mechanisms, listed on the ITD's website[225].

7.1.16 Availability and Effectiveness of TF Asset Forfeiture and Confiscation

2025 ASSESSMENT: 0.7 HIGH

Section 16 of ATCA enables the forfeiture of "any money or other property" related to terrorism offences. The forfeiture orders can be made where the defendant is convicted of terrorism offences (sections 7 – 10 of ATCA) and that the money or other property, at the time of the offence, was in the possession or under the control of the defendant. The court may order the forfeiture of the money or other property which:

a. had been used for the purposes of terrorism
b. intended to be used for such purposes
c. where the defendant knew or had reasonable cause to suspect that it would or might be used for those purposes.

Payments and rewards received wholly or partly, directly or indirectly,1 in connection with the commission of the terrorism offences are also subject to forfeiture under **section 16(7).**

It is planned that POCA will be updated, which will improve a number of aspects including confiscation, as well as Unexplained Wealth Orders.

The asset forfeiture policy is being updated for approval by the AG. Although not in relation to TF matters, various assets have been confiscated including crypto and properties.

Since the 2020 ML/TF NRA, the Island has not conducted any TF prosecutions or convictions and therefore has not had the opportunity to forfeit or confiscate assets related to TF activities. No alternative measures have been required or applied.

7.1.17 Comprehensiveness of TFS Legislation, Procedures and Mechanisms

2025 ASSESSMENT: 0.8 VERY HIGH

TOCFRA implements in law the targeted financial sanctions measures under UNSCRs 1267, 1373, 1718, 1988, 1989 and 2231. Although the IOM is not a UN member in its own right, the UK's membership of the UN extends to the Island; therefore the IOM is obliged to implement such measures. Where a person is designated under a UNSCR described above, that person automatically becomes a designated person under TOCFRA without any legislative delay and is subject to the asset freezes provisions listed below.

TOCFRA Sub Division 3 – Offences in connection with designations covers situations relating to:

44. Freezing of funds and economic resources
45. Making funds or financial services available to designated persons
46. Making funds or financial services available for benefit of designated person ›

225 https://www.gov.im/categories/tax-vat-and-your-money/income-tax-and-national-insurance/international-agreements/all-agreements/

47. Making economic resources available to designated person
48. Making economic resources available for benefit of designated person.

C&I is the competent authority for sanctions in the IOM[226], and its responsibilities include:

- Implementing United Nations and UK sanctions legislation
- Publishing sanctions designation updates and guidance
- Providing outreach to promote compliance and prevent breaches of sanctions law
- Processing applications for and issuing, sanctions licences
- Working in partnership with other government agencies to monitor compliance with sanctions legislation
- Enforcing sanctions law in the IOM in conjunction with the IOMC.

When the UK implements its own counter terrorism targeted financial sanctions under the Sanctions and Anti-Money Laundering Act 2018 (SAMLA), these measures also have effect in the Isle of Man by virtue of the Sanctions (Implementation of UK Sanctions) Regulations 2024. A person designated by the UK has effect in the Island. Where a person or entity is delisted, either by the UN or UK, the delisting has automatic effect in the IOM and the funds and other assets are unfrozen.

Law is in place should the Island decide to designate a person independently of the UK designating them (**section 18** of TOCFRA). However, procedures to implement the law are not in place and it is recommended that they are written.

The IOM Aircraft Registry, as well as the Shipping Registry, implement sanctions. The speed and effectiveness of the processes within the two registries were evidenced when Russia invaded Ukraine.

7.1.18 Effectiveness of TFS implementation

2025 ASSESSMENT: 0.8 VERY HIGH

TOCFRA ensures that the obligation to freeze, without delay, the funds or other assets belonging to a UN-designated person is met. Under the UNSCRs, there is an obligation to freeze all funds, financial assets or economic resources of designated persons/entities.

Where the UK Secretary of State or HM Treasury has designated a person under SAMLA for the purposes of UNSCR 1373, that designation also has effect in the IOM from the same time and any variation or revocation of the designation will also have effect in the IOM. The criteria for designation in the UK is if persons are or have been involved in terrorist activity. The UK Sanctions List states the people designated under the UK Regulations and details of the sanctions in respect of which they have been designated (e.g. asset freeze, travel ban, etc).

Communication of TFS designations made by the UN or UK are sent via a news release published on the Sanctions and Export Control website (which can be subscribed to) and further disseminated by the FIU and regulators through their own communication channels. Statistics are held by C&I which demonstrate how quickly these are issued compared to when the information is received or found from the UN or UK. In the majority of cases, IOM news releases are published within 24 hours of the UN publication.

No funds or other assets have been frozen in relation to designated persons or entities under the UN TF-related TFS regimes. Nevertheless, IOM obliged entities have frozen assets linked to other sanctions frameworks. Through examples of cooperation and actions taken in relation to other TFS regimes that the IOM implements, the Island can show that if there were an identified TF-related TFS case, the Island would be capable of taking actions consistent with the requirements under respective UNSCRs.

The FSA has advised that it is conducting a Sanctions thematic project[227], in which it will look at how the supervised sectors are fulfilling their international obligations and have the necessary preventative measures in place with regard to: ›

226 https://www.gov.im/categories/tax-vat-and-your-money/sanctions-and-export-control/
227 https://www.iomfsa.im/media/3375/sanctions-questionnaire-report-december-2024.pdf

- sanctions regimes and denying terrorist groups access to the financial system
- countering the proliferation of weapons of mass destruction (WMD)
- effective controls on the export and trade in military equipment, dual-use items and other goods of concern.

It is recommended that given changes over time, it would be helpful to provide a visual picture of where responsibilities reside. Sanctions sit across a number of agencies, including C&I who are responsible for awareness/policy and legislation, licences and civil actions. The FIU receive reports of suspected breaches of TFS and frozen assets. PIMLIT are currently responsible for criminal investigation of breaches. The FSA and GSC review sanctions procedures and controls in place for their regulated entities.

The IOM should strengthen the FSA and GSC TFS supervisory approach and potentially have a TF lead; this person will be the contact point for TF matters and focus their learning as such on this topic. The supervisors should apply higher scrutiny to TFS supervision especially during on-site examination checks.

7.1.19 Formalisation Level of Economy

2025 ASSESSMENT: 0.9 CLOSE TO EXCELLENT

The IOM has a developed economy which supports a view of a high degree of formalisation of the IOM economy. The number of unemployed is low (c0.7% at March 2025) at approximately 320[228]. The economically inactive are primarily older residents (see KPMG Our Big Picture: Evidence Base Report issued Dec 2021[229]).

The Island publishes[230] extensive data publicly, allowing the reader to study many aspects of the Island's economy and demography. **Figure 7-11** shows some of these statistics.

There are a number of laws and regulations, listed elsewhere in this document, that drive economic activities to be formalised. It would be difficult to interact financially without working with one of the local businesses in the regulated sector.

Figure 7-11: Key IOM Data

Gross Domestic Product (GDP) (2020/21)	£5.37bn
Consumer Price Index (CPI) (December 2022)	7.40%
Retail Price Index (RPI) (December 2022)	9.70%
Total number in employment (December 2022)	36,107
Registered unemployment rate (December 2022)	0.70%
Average weekly earnings (June 2021)	£769
Median weekly earnings (June 2021)	£613
Key social indicators	
Population (May 2021)	84,069
Average property price (December 2022)	£386,955
Recorded criminal offences (2022)	3,067
International development (March 2022)	£3,321,056
Number of births (2022)	586
Number of deaths (2022)	902
Key environmental indicators	
Electricity consumption (2022, GWH sold)	349
Greenhouse gas emissions (Thousands of tonnes, 2021)	605

Source: IOM Government

The Department for Enterprise (DfE) undertook an Access to Cash Survey (update October 2023) to gain insight into usage and accessibility of cash by the public since the COVID-19 pandemic. The findings[231] were:

- **68%** believe cash usage has decreased due to the impacts of the pandemic
- **92%** stated they withdraw cash at some points and of those:
  - **80%** use ATMs as primary method
  - **12%** use bank counters or cashback options. ›

228 https://www.gov.im/about-the-government/departments/cabinet-office/statistics-isle-of-man/unemployment/
229 https://www.gov.im/media/1377114/our-big-picture-phase-1-part-1-report-final-public.pdf
230 https://www.gov.im/about-the-government/government/open-data/economy/
231 https://consult.gov.im/economic-development/access-to-cash-survey/

In the DfE Access to Cash Report January 2022[232] it stated:

> "In recent years there has been a major shift, both domestically across the Island, in the UK and internationally, in the ways in which consumers and Small and Medium Sized Enterprises use cash. The perpetually evolving and increasingly competitive digital payments landscape now facilitates more convenient, cheaper and efficient approaches to payments. The role of cash is changing. Historically cash has been used as a method of payment, however it is now more commonly used as a store of value. Analysis of trends and consumer sentiment indicate that cash requirements are expected to continue to decline into the future."

7.1.20 Availability of Reliable Identification Infrastructure

2025 ASSESSMENT: 0.7 HIGH

The IOM does not require citizens to carry identity cards. The IOM is an issuing authority for British Passports. IOM variant British passport applications are processed in the IOM and printed in the UK by HM Passport Office at a secure facility in the UK to ensure the security and integrity of the passport. IOM Driving Licences are issued by IOM Post who is the licensing agent for the Department of Infrastructure. The IOM has an Electoral Register.

LEAs have experience of IOM-issued driving licences being a feature of a number of their investigations. There is scope for the processes for issuance of driving licences to be reviewed.

The absence of formal border controls within the CTA means that there is no mandatory obligation to check the identification of persons entering and leaving the IOM and travelling to or from the UK, Channel Islands and Ireland.

Particularly for the banks, the most common form of photo ID is a Government-issued passport or IOM driving licence. A framework is in place to deal with persons who may not have these documents (e.g. elderly, students). The AML/CFT Handbook provides extensive support and guidance to industry on CDD. Some banks also use electronic ID data tools for customers resident in certain countries, most commonly the UK as it is considered robust data sources exist there.

Almost all sectors do business with customers in many different countries and this is taken into account in the BRA and CRA process. Particular focus on ID theft is also in place and staff are trained to spot fraudulent documents. Due to non-face-to-face business the level of required validation can be difficult where cultural differences may exist such as name spelling, females not being included on bills, etc.

The use of electronic ID methods can be more difficult for corporates due to the number of persons involved in a structure.

7.1.21 Availability of Independent Information Sources

2025 ASSESSMENT: 0.7 HIGH

The IOM's availability of independent information sources is considered high due to Government and industry use of internationally recognised credit and identification services. As considerable business in the IOM is with non-resident customers, FIs and DNFBPs have developed significant expertise in accessing external data sources.

Industry uses extensive screening for clients, transactions and staff via a number of in-house/group/purchased tools. Agencies screen their staff to various levels depending on the work they undertake. For example, World-Check and other international databases are used extensively for screening clients for PEPs and sanctions, etc, as well as adverse media. These can be accessed globally. ›

232 https://www.financeisleofman.com/media/hzin5j14/access-to-cash-report.pdf

7.1.22 Availability and Access to Beneficial Ownership Information

2025 ASSESSMENT: 0.7 HIGH

The Beneficial Ownership Act 2017 places all IOM corporate and legal entities under the same legislation regarding beneficial ownership. There is a central database for the recording of beneficial ownership of legal persons. The database went live July 2017.

Section 4(1) of the Beneficial Ownership Act 2017 defines "beneficial owner" as:

> "a natural person who ultimately owns or controls a legal entity to which this Act applies, in whole or in part, through direct or indirect ownership or control of shares or voting rights or other ownership interest in that entity or who exercises control via other means and 'beneficial ownership' is to be construed accordingly".

The Beneficial Ownership Act was amended by the Beneficial Ownership (Amendment) Act 2021. Some of the key changes were:

- A reduced period of 21 days for changes to beneficial ownership or nominated officers to be notified to the Central Registry
- A reduced period of 21 days for disclosure of beneficial ownership information by nominated officers
- Powers to make enquires to establish the accuracy of information and to remove, correct or annotate information which it considers to be false, inaccurate or misleading.

The Beneficial Ownership Act requires every legal entity (to which it applies) to appoint a 'nominated officer' unless the legal entity is in receipt of corporate services comprising Class 4 regulated activity provided by a TCSP, who may undertake the role or responsibility for which a nominated officer is responsible.

The Beneficial Ownership Act defines a registerable beneficial owner as someone who owns or controls more than **25%** of the beneficial ownership of a legal entity to which the Beneficial Ownership Act applies. Therefore, there are instances where no one person owns more than **25%,** yet someone/some people are controlling the entity, e.g. directors. TCSPs still have to identify and hold information on the beneficial owners with less than **25%** beneficial ownership. The LEAs do have powers to obtain this information.

The FSA has oversight responsibilities to ensure the Beneficial Ownership Act is complied with and the nominated officer or TCSP complies with their obligations under the Act. It is a criminal offence not to comply with the Beneficial Ownership Act. Guidance is published by the FSA in order to assist firms with their obligations.

The Exchange of Notes[233] (EoN) between the UK Government and the IOM Government in respect of the sharing of beneficial ownership information is available.

The Governments of the CDs issued a joint press release[234] regarding registers of beneficial ownership of companies.

The Central Registry will potentially consider how best to verify the identity and status of key persons (beneficial owners and those that manage/direct a legal person/owners). They will also look at how to enhance their understanding where there are complex corporate structures.

There is no register of trusts/beneficiaries of trusts in the IOM. Information is available to regulators and law enforcement authorities via the TCSPs. The TCSP cannot inform the trust of this request, as this may alert the relevant trust, leading to 'tipping off' (a criminal offence under POCA and subject to regulatory sanction were this to happen). ›

233 https://www.gov.im/media/1356973/april2016-beneficial-ownership-exchange-of-notes.pdf
234 https://www.gov.je/News/2023/Pages/JointCommitmentByGuernseyTheIsleOfManAndJerseyRegistersOfBeneficialOwnershipOfCompanies.aspx

7.1.23 Controls on Provision of Strategic Equipment, Goods and Services to Conflict Zones

2025 ASSESSMENT: 0.7 HIGH

The enforcement of export controls in the Island is the responsibility of C&I. In the UK, the Department for Business and Trade has responsibility for the statutory and regulatory framework of export controls and administers export licences including applications from the IOM, where the goods are exported from the UK.

The IOM Government implements export control law in line with the UK, as required under the Customs and Excise Agreement. The main legislation concerned with export control and trade controls are:

- the Export Control Order 2008[235]
- the Export of Radioactive Sources (Control) Order 2006.

As part of the PF NRA work, the Island's Science Technology Engineering and Mathematics Committee supported the outreach with a PF questionnaire, to which a number of its members responded. This allowed an analysis to help understand the risk in the Island. A similar questionnaire was undertaken with the Maritime sector which detailed where the vessels operated. Once published, the PF NRA will provide further detailed analysis. The firms confirmed that their BRAs covered the risks from a TF (as well as ML and PF) perspective.

Proliferation financing can be:

i. TF - where it provides financial support to terrorist organisations that would want to acquire and/or use a WMD or

ii. Financing from a state or a state-controlled or state-sponsored entity with the aim of providing a state with a WMD or to enhance, improve or replace an existing one.

When exported from the IOM or UK, strategic export controls are imposed on:

- Diamonds
- Radioactive substances
- Military goods, services and technology
- Items that can have both civil and military uses
- Goods that could be used for torture or capital punishment
- Firearms, ammunition and related equipment.

These items can be found in the UK Strategic Export Control Lists. There are also controls on the brokering of dual-use items.

It is recommended that the planned NPO TF NRA looks at flows to high-risk and conflict jurisdictions. ■

> The IOM Government implements export control law in line with the UK, as required under the Customs and Excise Agreement."

235 This Order includes the "embargoed" destinations where no strategic goods are to be sent - this is UK law which is given effect in the Island.

7.2 Monaco (MONEYVAL) Small States

7.2.1 Introduction

Effective measures to address TF can only be put in place if the risks are understood. This can be a challenge for smaller financial centres, such as the IOM which is an IFC. Whilst the terrorist threat within the Island is very low, the main risk that exists to any IFC is if it is used as a transit jurisdiction for the movement of funds linked to terrorist activity in another jurisdiction. There is also a risk of becoming involved in the funds associated with people or businesses that are associated with terrorist activity.

There are several challenges:

- An extremely limited number of cases to study and competent authorities who consequently may have little experience of TF activity. This challenge has been identified as a central one for small jurisdictions, leading the IOM authorities to invest significant resources in addressing this issue: the creation of specialist teams (PIMLIT within the IOMC and FCU with Prosecution); additional resource within the FIU; additional resources within the FSA for both AML/CFT and Enforcement Divisions; additional resourcing for the GSC AML/CFT team; AG issuing internally the Prosecution Policy and Guidance on TF Prosecutions
- The difficulty in identifying potentially very small sums for which there is a terrorist purpose, versus the large sums required to maintain the terrorist entity
- The difficulty of assessing a risk that exists in another jurisdiction.

Several small jurisdictions (including the IOM) met in Monaco in 2018 and 2024 to develop guidance on how they could identify, understand and assess these TF risks. The work was highlighted in the FATF Terrorist Financing Risk Assessment July 2019, **section 40.**

CROWN DEPENDENCIES

The IOM has considered the TF risks highlighted in the NRAs from both Jersey and Guernsey. Both jurisdictions are Crown Dependencies and also IFCs. Both Jersey and Guernsey highlighted the risk that exists of being used as a transit jurisdiction for the movement of funds linked to terrorist activity in another jurisdiction.

7.2.2 Financial Linkages

Consideration of the cross-border exposure for a regulated entity as well as the Island are very important to the assessment of TF. The Island's banks supply the FSA with quarterly financial flow data, showing outflows and inflows by country as well as the number of transactions. The funds coming into the IOM (and this equally applied to outflows) for SWIFT payments should pick up the original remitter for inflows and final beneficiary for outflows through the The Business Identifier Code fields. (BIC) It should be noted that the data for the UK includes faster payments, BACS and CHAPs payments. The FSA has requested Banking licenceholders to conduct internal audit reviews in 2025/26 regarding the quality of data being submitted to the FSA, including financial flow data.

This data was analysed to consider the top 10 outflows and inflows as a percentage of the sum of the overall amounts for the four years, see **Figure 7-12.** ›

> Both Jersey and Guernsey highlighted the risk that exists of being used as a transit jurisdiction for the movement of funds linked to terrorist activity in another jurisdiction."

Figure 7-12: Top 10 Outflows and Inflows 2020 – 2023

Top 10 Outflows 2020/3		
Number	Country	%
1	UK	46.9
2	USA	12.7
3	Germany	11.2
4	Switzerland	3.1
5	Jersey	2.8
6	South Africa	1.6
7	India	1.5
8	Singapore	1.3
9	Belgium	1.0
10	Luxembourg	0.9

Top 10 Inflows 2020/3		
Number	Country	%
1	UK	51.1
2	USA	12.3
3	Germany	9.8
4	Jersey	3.0
5	Switzerland	1.9
6	France	1.7
7	South Africa	1.5
8	Luxembourg	1.4
9	Mauritius	1.2
10	Ireland	1.2

Source: FSA

Consideration is given to the exposure that regulated entities and their customers have to jurisdictions that pose or may pose a higher level of threat from terrorism and TF. The inflows and outflows information in **Figure 7-13** summarises the outflows and inflows for List A jurisdictions and List B jurisdictions that pose or may pose a higher-risk for banks for the Period 2020 –2023. **Figure 7-13** also includes the total for all the other countries and the top 10 countries, for comparative purposes.

Figure 7-13: Outflows and Inflows for Jurisdictions That May Pose a Higher-Risk 2020 – 2023

Financial Outflows 2020/3	
A	0.00%
Bi	2.71%
Bii ML&TF and TF	1.07%
All other	96.22%
Top 10	**83.00%**

Financial Inflows 2020/3	
A	0.00%
Bi	2.38%
Bii ML&TF and TF	0.41%
All other	97.21%
Top 10	**85.10%**

Source: FSA

The outflow data over the years 2020/3 confirms:

- **46.9%** of all outgoing funds are to the UK. The outflows data does not reveal whether the UK is the final destination. From PIMLIT ML investigations, it has been evidenced that the UK is used as a 'transit' country, with funds passing through the UK to/from the IOM to/from a third country
- The USA is next largest with **12.7%,** then Germany with **11.2%.** Germany and USA have switched between 2nd and 3rd places over the four years; notably the total outflows to Germany decreased substantially after 2021, whereby the total outflows to USA increased (albeit less) in the same period. For 2023, USA made up **14.8%** and Germany only **6.4%**. The higher level of outflows to Germany in 2020 and 2021 arose ›

through one bank and similarly a large portion of the US$ outflow relates to one (different) bank, consistent with its business model
- **83%** of all outgoing payments go to the top 10 countries
- South Africa is the only List B jurisdiction in the top 10
- **3.8%** of all outgoing payments are to jurisdictions that may pose a higher-risk, with South Africa accounting for over **40%** (**1.6%** of total outflows). Zimbabwe and Kenya are 2nd and 3rd with much smaller amounts
- The proposed NPO TF NRA will look at NPOs which have links with List A & B countries.

The inflow data over the years 2020/3 confirms:

- **51.1%** of all incoming funds are from the UK. The inflows data does not reveal if the funds ultimately originated in the UK
- The USA is next largest with **12.3%**, then Germany with **9.8%**. Germany and USA have switched between 2nd and 3rd places over the four years, notably the total inflows from Germany decreased substantially after 2021, whereby the total inflows from USA increased in the same period. For 2023, USA made up **17.5%** and Germany only **6.6%**. The higher level of inflows from Germany in 2020 and 2021 arose through one bank and similarly a large portion of the US$ inflow (and outflow) relates to one (different) bank, consistent with its business model
- **85%** of all incoming payments originate in the top 10 countries
- South Africa is the only List B jurisdiction in the top 10
- **2.8%** of all incoming payments are from List A & B countries, with South Africa accounting for more than half of these (**1.5%** of total inflows). Then Kenya and Zimbabwe are 2nd and 3rd with much smaller amounts.

Figures 9-1 and **9-2** in **Appendix 9.3** provide a more detailed breakdown of outflows and inflows by country for List B countries.

Average transaction sizes for inflows and outflows were reviewed by country, with particular focus on the List A and List B jurisdictions.

It is recommended that consideration is given to Class 8 Money Transmission Services providing relevant financial flow data (incoming and outgoing) to the FSA on a quarterly basis.

STRATEGIC ANALYSIS OF LIST A & B COUNTRIES' FINANCIAL FLOWS

The FSA can see the volume and total value of transactions made by each underlying bank, as well as the source and destination of the aggregate values which is collected and is developing a formal approach with the FIU to review inflows and outflows with higher-risk jurisdictions, along with any other relevant intelligence the FIU hold. Payments, countries and trends of interest will then be discussed by the FSA with the respective bank to ensure there is a good understanding of the potential threat.

TF RISKS FROM OTHER IFCS

The Financial Flow data in **Figure 7-12** evidences the Top 10 jurisdictions where the Island sends and receives the greatest funds over the 4-year period. This includes other IFCs[236] (UK and USA have been excluded from this analysis[237]). Consideration has been given to the potential TF risks exported/imported to/from these IFCs, by considering the identified deficiencies from the TF NRAs from these IFCs, as per **Figure 7-15**.

Figure 7-14 sets out, using 2023 customer data, the exposure of customers to the 6 IFCs from **Figure 7-12.** The exposure is low when compared with the overall number of customers for the Island. The data is shown as a percentage for the IFC country against the overall number for the IOM:

- Singapore has the highest percentage of PEPs by both nationality and residency as well as natural persons and new customers introduced
- Jersey has the largest number of non-natural persons and UBOs by residency
- For these countries, the Life Insurance sector accounts for the largest percentage for PEPs and natural persons
- For these countries the Non-Life Insurance sector accounts for the largest percentage of non-natural persons and UBOs. ›

236 The Cayman Islands and also BVI are IFCs, however the outflows and inflows over the four year period were considered, but were comparatively small and hence not included in the analysis
237 The countries chosen as IFCs have some similar characteristics to the IOM as they may act as transit countries for funds.

Figure 7-14: Customer Analysis for the IOM for International Finance Centres

2023						
Country	**Total PEPs by Nationality**	**Total PEPs by Residency**	**Total Natural Persons by Residency**	**Total Non-Natural Persons by Residency**	**Total New Customers Introduced**	**Total UBOs**
Ireland	0.84%	0.44%	0.34%	0.31%	0.21%	0.97%
Jersey	0.27%	0.43%	0.39%	1.43%	0.75%	2.22%
Luxembourg	0.09%	0.14%	0.03%	0.11%	0.01%	0.06%
Mauritius	0.40%	0.40%	0.08%	0.31%	0.31%	0.25%
Singapore	0.95%	1.39%	1.08%	0.12%	0.85%	0.29%
Switzerland	0.52%	0.75%	0.43%	0.23%	0.56%	0.54%

Source: FSA AML/CFT Annual Returns

Figure 7-15: Deficiencies Identified in 6 International Finance Centres NRAs

IFC	**Outflows**		**Inflows**		**TF Risks Imported From or Exported To Other IFCs. Relevant areas/threats identified from TF NRAs.**
	Position Number [238]	**%**	**Position Number**	**%**	
Switzerland [239]	4	3.1%	5	1.9%	**Proving:** 'that a payment really is destined for a terrorist' or 'someone making a payment or donation in Switzerland knew that the funds were going to a terrorist organisation'. **Complex structures:** 'Complex or hybrid structures in recipient organisations present a further challenge.' **Personal networks and their role in TF:** 'International cooperation between authorities is crucial here, as these networks generally have transnational connections.'
Jersey [240] [241]	5	2.8%	4	3.0%	**Target Jurisdictions:** 'Jersey sends money to and receives money from 15 Target Jurisdictions and the TCSP sector has a significant number of TCSP customer relationships with PEPs in Target Jurisdictions' **VASPs**: 'The VASP regime is not fully in place' **Preventative Measures:** 'Evidence of monitoring by the Jersey Financial Services Commission (JFSC) of preventative measures should continue to be improved.'

238 Position number from Figure 7-12.
239 https://backend.sif.admin.ch/fileservice/sdweb-docs-prod-sifadminch-files/files/2024/08/23/8792df31-8eeb-4753-a328-0cff2972b667.pdf
240 https://www.gov.je/SiteCollectionDocuments/Industry%20and%20finance/National%20Risk%20Assessment%20of%20Terrorist%20Financing%20April%202021.pdf
241 https://www.gov.je/SiteCollectionDocuments/Industry%20and%20finance/Terrorist%20Financing%20National%20Risk%20Assessment%20update%202023.pdf

IFC	Outflows		Inflows		TF Risks Imported From or Exported To Other IFCs. Relevant areas/threats identified from TF NRAs.
	Position Number[219]	%	Position Number	%	
Singapore[242]	8	1.3%	-	-	**Raising and Moving Funds:** 'Self-radicalised individuals continue to pose the most salient TF threat to Singapore.' **Emerging and Potential TF Typologies**: 'Exploit the convenience of these new online transaction channels or virtual currencies/assets to further their terrorist causes.' **Threats and Contextual Factors:** 'our status as an international financial, business and transport hub, coupled with robust connectivity, a substantial number of transient visitors and geographical proximity to countries harbouring active terrorist groups, heightens our vulnerability to TF threats.'
Luxembourg[243]	10	0.9%	8	1.4%	**International Terrorist Organisations:** 'Finance industry may be misused to send funds to international terrorist organisations in other countries. NPOs based in Luxembourg may also execute projects in territories, which are in close proximity to terrorist organisations. The materials and funds of those projects may be misused for terrorist financing.' **Other Terrorist Actors:** 'Faces the threat that entities operating from it may be misused for sending funds or other forms of support (e.g. philanthropy) to state sponsors of terrorism, which may be then used to finance terrorism.'
Mauritius[244]	-	-	9	1.2%	**Direction of Funds:** 'Detected several cases of money being transferred abroad where TF was suspected…to overseas jurisdictions.' **MVTS**: 'MVTS (Money or Value Transfer Services) providers may have been abused for TF purposes'
Ireland[245]	-	-	10	1.2%	**Charities:** 'The collection of charitable funds either within community institutions or by charities/NPOs in general. Such funds may be collected for the stated reason of supporting humanitarian relief in conflict zones.' **Credit Cards:** 'The use of credit cards near conflict zones or the transfer of funds through accounts to such regions are indicators of terrorist financing it must be borne in mind that there are a number of individuals in the State who legitimately send funds to their countries of origin on a regular basis.'

242 https://www.mas.gov.sg/-/media/mas-media-library/publications/monographs-or-information-paper/amld/2024/terrorism-financing-national-risk-assessment.pdf
243 https://mj.gouvernement.lu/dam-assets/dossiers/blanchiment/en-nra-import-version-2982022.pdf
244 https://financialservices.govmu.org/Documents/NRA%20Report/Public%20Report%202019-compressed.pdf
245 https://www.amlcompliance.ie/wp-content/uploads/2019/11/National-Risk-Assessment.pdf

	Outflow	Inflow
BVI	0.01%	0.07%
Cayman Islands	0.14%	0.08%

From the analysis of the TF risks arising in other IFCs there are a broad range of risks raised including:

- complex structures, which are briefly discussed in **Chapter 7.2.4** and will be considered in the LPA NRA
- VAs will be considered by a separate NRA that is shortly to be produced
- NPOs are a concern in several IFCs and a separate NRA covering TF risk is being produced for the IOM considering the position for the Island.

The risks outlined in **Figure 7-15** contain some elements that are encountered globally:

- Proving the payments are destined for terrorist activity – this is a common challenge globally regardless of IFC status, although is particularly prevalent in jurisdictions whereby the terrorist activity occurs internationally (such as in IFCs)
- Complex structures – the nature of business in IFCs tends to result in the presence of complex structures.

As part of the strategic financial flow analysis, the FIU and FSA will consider the flows from the Island to IFCs in a similar way to the analysis with financial flows to higher-risk jurisdictions.

ML TO FUND TF

A number of the case studies in the FATF Terrorist Financing February 2008 report[246] demonstrate where the proceeds of crime are laundered and used to fund terrorism. This can be by OCGs, PEPs as well as lone actors. Therefore, where there is suspicion of ML and there is also links with a List A or B jurisdiction, then consideration should be given by the regulated entity of the possibility of TF as well as ML.

PREPAID CARDS

The United Nations Security Council Counter-Terrorism Committee Executive Directorate report on the Evolving Trends in the Financing of Foreign Terrorist Fighters' Activity: 2014 – 2024 published in November 2024[247] states:

> "This shift to prepaid cards, which were often loaded with funds in one country and used in another, provided a method to move money across borders, with even less scrutiny on how the funds are ultimately utilized."

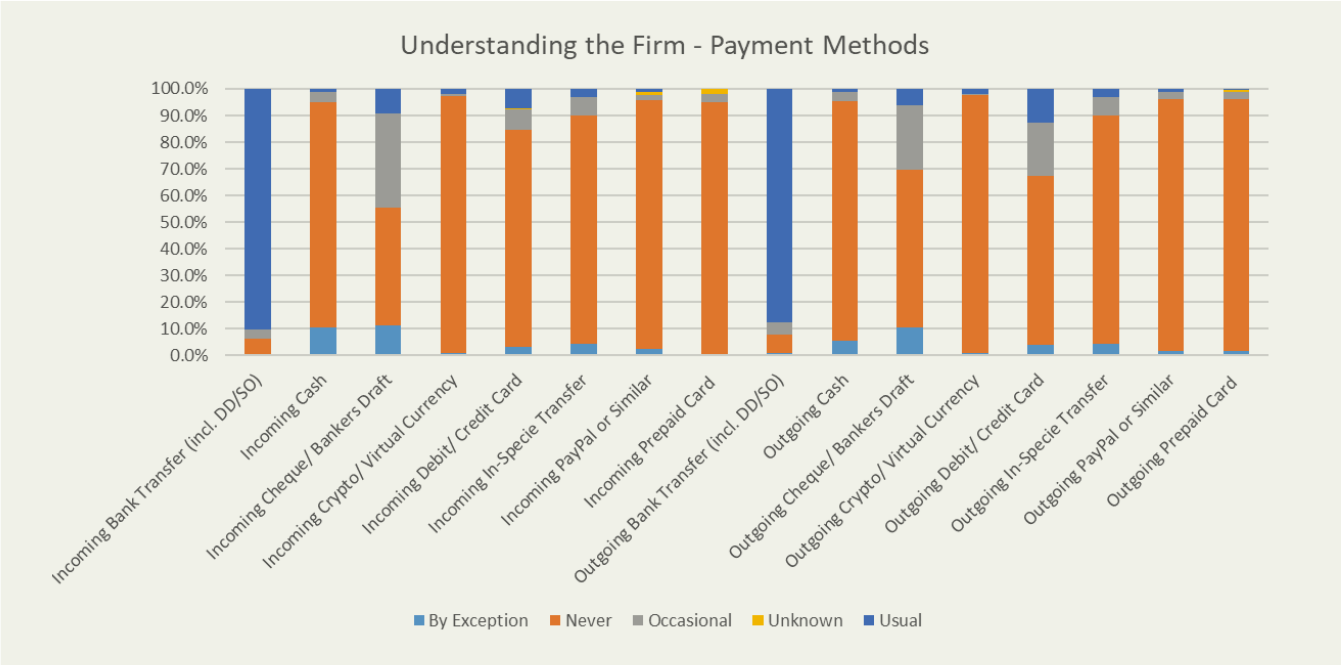
The FSA receives information regarding incoming and outgoing usage of prepaid cards in the annual AML/CFT return. The various Figures in **Chapter 6.3** also shows incoming/outgoing cash and crypto/virtual asset usage by sector. **Figure 7-16** displays the combined position for all sectors and all payment methods reported to the FSA, which demonstrates that the reported usage of prepaid cards is very low. ›

"This shift to prepaid cards, which were often loaded with funds in one country and used in another, provided a method to move money across borders, with even less scrutiny on how the funds are ultimately utilized."

United Nations Security Council Counter-Terrorism Committee Executive Directorate

246 https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/FATF%20Terrorist%20Financing%20Typologies%20Report.pdf.coredownload.inline.pdf
247 https://www.un.org/securitycouncil/ctc/sites/www.un.org.securitycouncil.ctc/files/cted_trends_tracker_evolving_trends_in_the_financing_of_foreign_terrorist_fighters_activity_2014_-_2024.pdf

Figure 7-16: Incoming and Outgoing Payment Activity for All Sectors Including Prepaid Cards, 2023[248]



Source: FSA AML/CFT Annual Returns

USE OF ATMS OVERSEAS

There is no central data held on use of ATMs overseas. It is recommended that this data is collected (if available) from relevant businesses in the regulated sector. ATM usage overseas is monitored by entities, who will have transaction monitoring and other tools assessing for fraudulent behaviour, which might subsequently lead to a SAR being raised.

EXPOSURE UK ELECTRONIC MONEY INSTITUTIONS

In the March 2022 publication "Together in Electric Schemes: Analysing Money Laundering Risk in E-Payments"[249], Transparency International highlight that the UK is home to more than 260 EMIs and noted that a further 77 foreign EMIs offered services in the UK. The assumption is that a number of IOM residents will be using some of these service providers.

The report highlights the growing body of evidence that suggests that some of these EMIs are open to abuse by those seeking to launder corrupt funds and consequently could be disguising funds being moved for TF purposes.

In addition, as identified in the Dutch Banking Association: Financial Crime Threat Assessment of the Netherlands 2023–24[250], EMIs help create a fragmentation of the payment landscape.

- This threat arises from the increasing diversification of payment options, which can lead to widely dispersed regulated financial transactions
- Criminals can deliberately use the fragmented payment landscape to disguise money flows and make it more difficult to follow transaction flows
- Additionally, due to this increased fragmentation, law enforcement agencies may struggle to obtain a full view on financial flows and patterns and banks may find it challenging to understand the background of batch payments received from PSPs. This evolving landscape adds another layer of ›

248 Under the prescribed headings: by exception; never; occasional; unknown; usual
249 www.transparency.org.uk/sites/default/files/2024-12/Together%20in%20Electric%20Schemes%20-%20Transparency%20International%20UK.pdf
250 https://www.nvb.nl/media/uvgbly4k/20240330-financial-crime-threat-assessment-of-the-netherlands-2023-24.pdf

complexity to the already challenging task of transaction monitoring and financial crime detection.

EMIs are potentially importing risk to the IOM, probably from the UK. Therefore it is recommended that the banks are approached to see what financial flow data is available to analyse the risk to the Island from this type of institution.

CORRESPONDENT BANKING

No banks in the IOM (either incorporated banks or via an IOM branch) provide correspondent Banking services.

DISPLACEMENT RISK

Displacement risk is where business moves from one jurisdiction to another. This may be due to the tightening of controls, external factors such as sanctions or a country deciding their appetite for business from a particular industry/country/sector has changed. It is assumed that criminals exchange information with each other on the controls of a country and seek out the country with lower mitigating controls. The media widely reported the movement of Russian money to other jurisdictions following the imposition of sanctions in 2022.

7.2.3 Trade Linkages

There is very little manufacturing in the Island, due to the logistics of getting goods off the Island. The Island uses the UK customs systems and procedures so there is reliance upon the effectiveness of the UK border controls.

The IOM is an IFC rather than a trading hub. This is in common with the following statement taken from the Monaco Guidance:

> "Similarly, for IFCs without a significant manufacturing and trade sector, import and export of goods that could be used for terrorist purposes or used to finance terrorist activities is unlikely, although the possibility of IFCs being used as transit countries for such goods should not be overlooked (especially in the case of IFCs that are free ports or with ports which have significant entrepot activity with a range of other jurisdictions)."

In the TF NRA WB methodology, **Step 1, Chapter 6.1** of this document, consideration was given to the terrorist risk from the two closest neighbours: UK and Ireland. Their TF NRAs were reviewed for guidance and typologies. Almost all trade is with the UK[251], which publishes UK import and export data, although there is no corresponding IOM data with which to compare with the UK published data. In the UK data the Island was the UK's 75th largest trading partner in the four quarters ending **Q4 2023** accounting for **0.1%**[252] of UK trade. Almost all trade is in services.

CUSTOMS FREE ZONES

There is currently one customs free zone designated and is due to expire in 2026 unless it is renewed. The designated free zone is not utilised and does not provide security for high-value items. It is deemed to be very low-risk.

7.2.4 Business Relationships

The regulated sector provides extensive data via the annual AML/CFT return to the FSA. This data has been analysed in earlier Chapters, to review exposure across sectors to the List A and List B countries – those that carry the highest risk.

To provide context to the business relationships, from the 2023 data **Figure 7-17** shows the split of customers across the sectors and **Figure 7-18** shows the top 10 countries for personal customers, non-natural persons and UBOs. ›

251 https://www.ons.gov.uk/economy/nationalaccounts/balanceofpayments/datasets/uktotaltradeallcountriesseasonallyadjusted
252 https://assets.publishing.service.gov.uk/media/664480d3993111924d9d34d3/isle-of-man-trade-and-investment-factsheet-2024-05-17.pdf

Figure 7-17: Distribution of Personal Customers, Non-Natural Persons and UBOs Across the Sectors in 2023

2023			
Sectors	Personal Customers	Non-Natural Persons	UBOs
As % of all personal customers, non-natural persons and UBOs	74.65%	10.46%	14.90%
Banks	30.85%	16.12%	15.20%
Credit Union	0.11%	0.00%	0.00%
DNFBPs	5.38%	7.48%	6.43%
TCSPs	0.28%	14.20%	8.55%
Funds	0.42%	1.04%	1.96%
Investment	2.58%	3.97%	7.90%
Life Insurance	47.66%	49.33%	53.38%
Money Transmission	0.00%	0.03%	0.04%
Non-Life Insurance	11.85%	7.70%	6.10%
Pensions	0.88%	0.12%	0.45%
	100.00%	100.00%	100.00%

Source: FSA AML/CFT Annual Returns

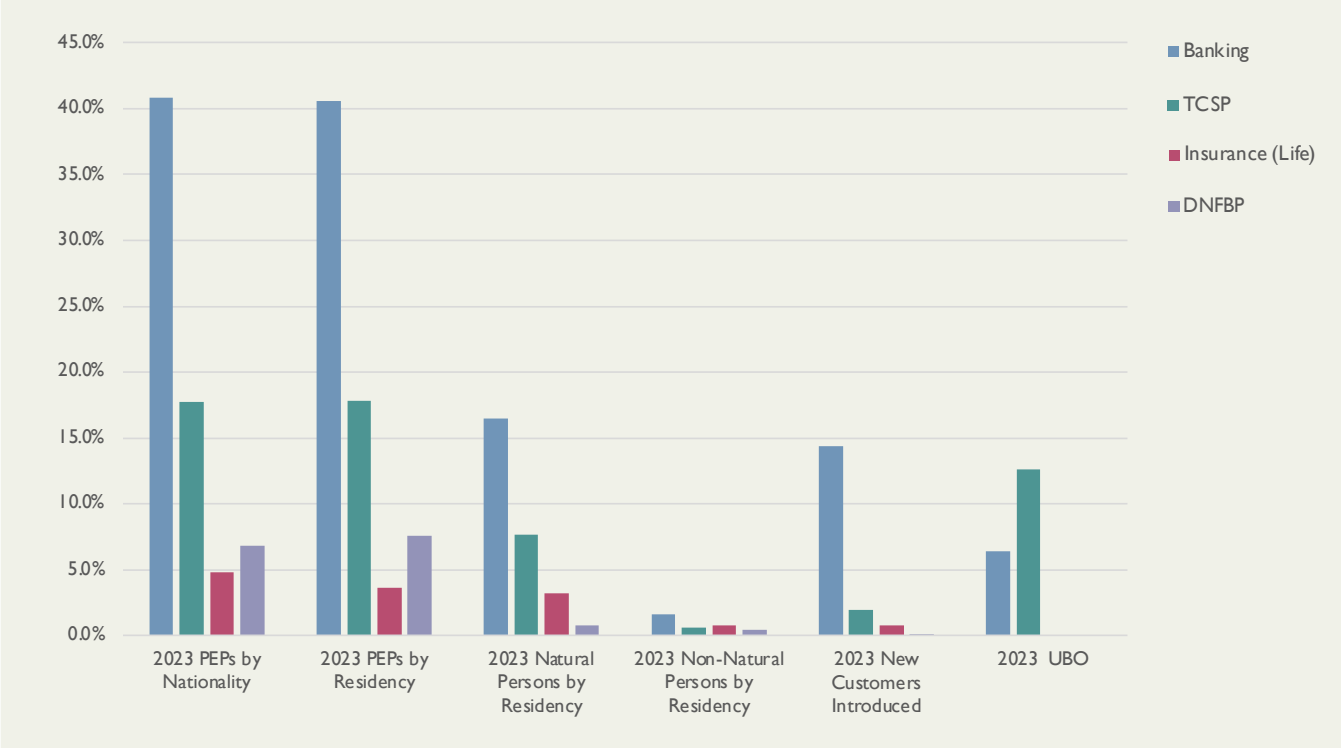
Figure 7-18: Top 10 Country Exposure for Personal Customers, Non-Natural Persons and UBOs in 2023

Personal Customers		Non-Natural Persons		UBOs	
Country	%	Country	%	Country	%
UK	26.94%	UK	40.59%	UK	52.22%
Isle of Man	20.22%	Isle of Man	37.50%	Isle of Man	18.02%
UAE	10.34%	Guernsey	3.43%	South Africa	4.00%
Argentina	5.92%	Malta	3.29%	UAE	1.50%
Hong Kong SAR	5.40%	Gibraltar	2.86%	Japan	0.98%
South Africa	4.61%	Jersey	1.43%	USA	0.82%
Japan	4.29%	BVI	1.32%	Hong Kong SAR	0.72%
USA	1.33%	South Africa	1.11%	Argentina	0.55%
Australia	1.08%	Cayman Islands	0.86%	Australia	0.44%
Singapore	1.08%	UAE	0.82%	Singapore	0.29%
Top 10	81.22%		93.19%		79.53%

Source: FSA AML/CFT Annual Returns

Higher-risk countries as a percentage for four sectors (including DNFBP[s253]) are considered for 6 classifications of customer in **Figure 7-19**. This shows that approximately **40%** of PEPs with the Banking sector are from higher-risk jurisdictions, which is largely driven by PEPs from South Africa, Nigeria, Zimbabwe, Namibia and Kenya. For TCSPs, the UBO percentage is predominantly due to South Africa, Kenya and Monaco.

Figure 7-19: Higher-Risk Countries as a Percentage for Four Sectors and Six Classifications, 2023



Source: FSA AML/CFT Annual Returns

USE OF COMPLEX STRUCTURES

The Monaco guidance warns of: "The use of complex structures involving legal persons and legal arrangements to disguise the underlying beneficial owner who may be involved in terrorism or TF or feature on a terrorism related sanctions list." To help mitigate this risk the FSA's AML/CFT Handbook refers in section 3.4.5.4, that relevant persons should be satisfied that the ownership and control structure of the customer is not unduly complex or opaque; or complex or opaque ownership and control structures have a legitimate legal or economic reason.

The FSA looks at complex cases when they examine a sample of customer files as part of their inspections. In addition, it is planned to complete a LPA NRA for the Island. ›

253 DNFBPs are defined by the FSA https://www.iomfsa.im/designated-business/dnfbp-overview/

7.2.5 Financial or Administrative Services

Almost all trade is with or via the UK. The trading activity for the Island is low given it is not a trading or manufacturing hub. The main business is that as an IFC.

7.2.6 Foreign PEPs

Due to their position, foreign PEPs might be targeted for corruption and bribery attempts and ultimately for money laundering or terrorism financing activities. Being a foreign PEP does not automatically mean someone is involved in criminal activities. However, their status enhances the threat that is posed and the enhanced due diligence measures that a firm must put in place to manage the relationship.

Whilst PEPs may be motivated by the desire to move money to an IFC, to shelter it for their and their families' personal gain, there is also the possibility that the proceeds might be used for state-sponsored terrorism. This is of greater risk where the PEP is linked to a higher-risk jurisdiction.

The IOM is used by Foreign PEPs, including those from higher-risk countries although the risk is concentrated within four sectors: Banks; TCSPs; Life Insurance; DNFBPs.

The FSA does examine customer files relating to PEP customers during supervisory inspections and has fined three regulated business for: not always identifying; identifying at the appropriate time; having documented customer risk assessments; having sufficient source of wealth/funds evidence for Foreign PEPs. In 2023 the FSA published a Foreign PEP Thematic Report[254], which considered a number of areas, including: findings; areas of good practice; procedures and controls.

Figure 7-20 shows the PEPs by residency for the sectors where there are a material number of PEPs. The table shows:-

- The sector's percentage of the overall share of the PEPs in the Island. Life Insurance **(56.6%)** is the largest, then Banks **(19.3%)** and TCSPs **(13.4%)**
- The percentage of PEPs resident in countries that are or may be higher-risk within the overall PEP numbers for the sector. The Bank sector has **40.6%** of all its PEPs in List A or B countries, then Non-Life Insurance **(18.5%)** and TCSPs **(17.7%)**
- The percentage of PEPs resident in countries that are or may be higher-risk within the overall PEP numbers for the Island. The Bank sector has the largest (**7.8%),** then TCSPs (**2.4%)** and Life insurance **(2.0%)**. ›

Figure 7-20: PEPs by Residency as a Percentage, Excluding Sectors Where Numbers Are Not Material

2023	Bank	DNFBP	TCSP	Funds	Investment Business	Life Insurance	Non-Life Insurance	Pension
Sector % of overall number of PEPs in the IOM	19.3%	5.2%	13.4%	1.4%	2.1%	56.6%	1.4%	0.5%
PEPs in higher-risk countries as a % of overall sector's number of PEPs	40.6%	7.6%	17.7%	13.5%	11.7%	3.6%	18.5%	3.1%
PEPs in higher-risk countries as a % of overall IOM number of PEPs	7.8%	0.4%	2.4%	0.2%	0.2%	2.0%	0.3%	0.0%

Source: FSA AML/CFT Annual Returns

254 https://www.iomfsa.im/media/3147/aml-pep-thematic-report-05-05-2023.pdf

'WHITE-COLLAR' TF THREAT

This is the threat from HNWIs contributing to TF operations through donations, which are conducted by more sophisticated financial channels and instruments. In the IMF's Current Developments in Monetary and Financial Law Volume 4, Jeff Breinholt writes in the Chapter on Reaching the White-Collar Terrorist: Operational Challenges[255], published in 2008:

> " White-collar professionals – doctors, lawyers, bankers, academics, journalists – came to the United States to raise funds for violent organizations with which they were associated. During this era, some of the most lethal terrorist organizations operating in the world, like the Palestinian Liberation Organization (PLO) and the Irish Republican Army (IRA), raised a significant portion of their operating budgets in North America."

As an IFC, the IOM has many customers who are HNWIs in a number of sectors. In addition, some of these customers may also be in jurisdictions close to those where there is a higher-risk of terrorism. HNWIs may also be involved in activities which FATF has identified as being at risk of TF, as explained in the FATF Report – Money Laundering and Terrorist Financing in the Art and Antiquities Market, published February 2023[256]:

> " The market for cultural objects has a history of privacy and discretion. This protects sellers and buyers from being targets of theft or other crime and helps ensure that high net-worth individuals are not charged at a higher price if their identities is known to the seller. This may create vulnerabilities in terms of countering the risk of ML/TF, for example, where cultural objects can be purchased anonymously in cash, it complicates the traceability of transactions. The use of intermediaries and legal persons in the buying and selling process is relatively common in the market, which in certain cases can act to obscure the identity of the ultimate seller or purchaser."

In addition to HNWIs, Family Offices could potentially contribute to terrorist organisations. In the RUSI Occasional Paper: Examining the Unknowns: Money-Laundering Risk in the UK Professional Services Sector[257], published in 2019, the risk of "family offices or individuals acting as intermediaries on their behalf" is examined. The FSA published a paper on Family Office-Type Services in 2024[258], in which the FSA sought engagement and views on the nature, prevalence and provision of Family Office-type services being offered by way of business, in or from the Island.

7.2.7 Commercially Exposed Persons

Recently the FSA has commenced requesting data in relation to Commercially Exposed Persons (CEPs) from firms in the Annual AML/CFT return. CEPs are individuals who are associated with a specific industry or activity which typically has a higher exposure to bribery and corruption, which, in turn, may increase the TF risk posed to the firm by such individuals where they are connected to a customer. An individual would be regarded as a CEP due to their position as a senior executive of a commercial enterprise in an industry posing a higher-risk of financial crime.

CEPs are connected to customers who are employed in or associated with the following occupational activities:

- Arms/weapons trading, dealing and defence
- Casinos, gambling and betting
- Construction/development industry
- Dating/adult entertainment industry
- Decision-making members of high-profile sporting bodies
- Import/export companies/industry
- Money services businesses
- Oil and gas industry
- Pharmaceuticals and healthcare
- Precious metals and stones mining and trading
- Shipping and transport of goods
- Virtual asset service providers.

Figure 7-21 shows a table by sector for the 12 occupational industries, as a percentage of the total Island exposure. The sectors with the highest concentration are: Life Insurance **(36.12%)**; TCSP **(19.40%)**; and Banking **(18.38%)**. The occupational activities with the largest share are: Construction/development industry **(30.85%)**; Oil and gas **(21.45%)**; and Casinos, gambling and betting **(13.78%)**. **Figure 7-22** shows the reporting sector exposure to CEPs as a percentage of the overall number for the IOM. **Figure 7-23** shows the occupational industries for CEPs as a percentage of the overall number for the IOM. ›

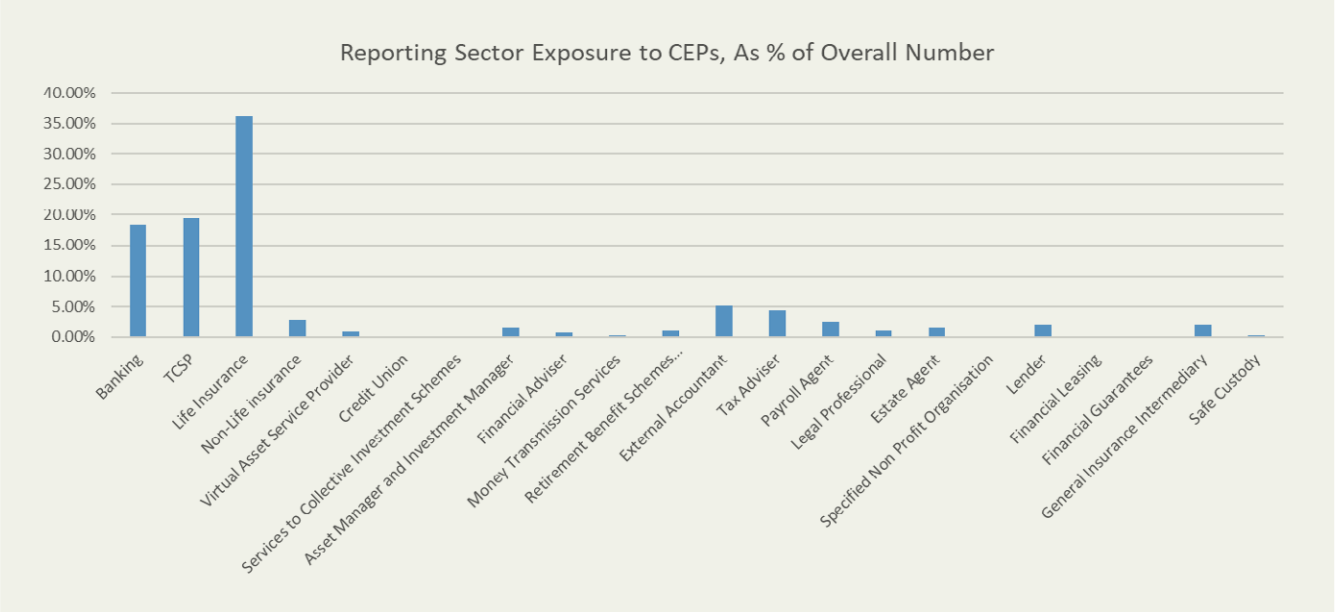
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258 https://consult.gov.im/financial-services-authority/call-for-input-family-office-type-services-ci24-01/results/feedback-statement-familyoffice-typeservices.pdf

Figure 7-21: CEPs by Sector and Occupational Industries

Reporting Sector	Arms/weapons trading, dealing and defence	Casinos, gambling and betting	Construction/ development industry	Dating/adult entertainment industry	Decision-making members of high profile sporting bodies	Import/export companies/ industry	Money services businesses	Oil and gas industry	Pharmaceuticals and healthcare	Precious metals and stones mining and trading	Shipping and transport of goods	Virtual asset service providers	Total
Banking	0.19%	5.22%	4.04%	0.00%	0.33%	0.72%	0.40%	3.66%	1.28%	0.38%	2.03%	0.14%	18.38%
TCSP	0.10%	3.45%	5.07%	0.02%	0.43%	1.72%	1.18%	2.48%	1.24%	1.06%	2.25%	0.40%	19.40%
Life insurance	4.67%	0.09%	13.31%	0.00%	0.05%	0.00%	0.00%	13.69%	3.87%	0.43%	0.00%	0.01%	36.12%
Non-life insurance	0.02%	0.03%	0.06%	0.00%	0.00%	0.00%	0.00%	0.04%	0.01%	0.00%	2.77%	0.00%	2.92%
Virtual Asset Service Provider	0.00%	0.40%	0.16%	0.00%	0.00%	0.00%	0.02%	0.00%	0.17%	0.01%	0.06%	0.04%	0.85%
Credit Union	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Services to collect Investment Schemes	0.00%	0.01%	0.02%	0.00%	0.01%	0.00%	0.00%	0.02%	0.00%	0.02%	0.00%	0.00%	0.07%
Asset Manager and Investment Manager	0.02%	0.23%	0.13%	0.00%	0.00%	0.06%	0.02%	0.60%	0.15%	0.17%	0.13%	0.02%	1.53%
Financial Adviser	0.00%	0.20%	0.23%	0.01%	0.01%	0.00%	0.01%	0.01%	0.14%	0.01%	0.04%	0.00%	0.65%
Money Transmission Service	0.00%	0.20%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.01%	0.07%	0.29%
Retirement Benefit Schemes Administrator- professional Administrator	0.01%	0.11%	0.12%	0.00%	0.00%	0.05%	0.01%	0.33%	0.21%	0.06%	0.08%	0.00%	0.98%
External Accountant	0.00%	1.35%	1.76%	0.08%	0.00%	0.08%	0.24%	0.22%	0.56%	0.08%	0.70%	0.08%	5.17%
Tax Adviser	0.00%	0.94%	1.41%	0.09%	0.00%	0.09%	0.21%	0.19%	0.58%	0.08%	0.66%	0.08%	4.35%
Payroll Agent	0.03%	0.39%	1.17%	0.00%	0.00%	0.04%	0.31%	0.08%	0.31%	0.02%	0.20%	0.03%	2.58%
Legal Professional	0.00%	0.15%	0.54%	0.00%	0.01%	0.03%	0.01%	0.08%	0.18%	0.02%	0.02%	0.03%	1.07%
Estate Agent	0.01%	0.32%	0.17%	0.01%	0.01%	0.00%	0.57%	0.01%	0.29%	0.00%	0.02%	0.01%	1.42%
Specified Non Profit Organisation	0.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.01%
Lender	0.00%	0.40%	1.29%	0.00%	0.00%	0.01%	0.00%	0.01%	0.20%	0.02%	0.07%	0.00%	2.00%
Financial Lending	0.00%	0.00%	0.05%	0.00%	0.00%	0.00%	0.00%	0.00%	0.02%	0.00%	0.02%	0.00%	0.08%
Financial Guarantees	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
General Insurance Intermediary	0.00%	0.28%	1.31%	0.00%	0.01%	0.02%	0.03%	0.02%	0.10%	0.01%	0.14%	0.00%	1.91%
Safe Custody	0.00%	0.02%	0.02%	0.00%	0.00%	0.00%	0.07%	0.02%	0.06%	0.05%	0.00%	0.00%	0.24%
Total	**5.06%**	**13.78%**	**30.85%**	**0.21%**	**0.86%**	**2.82%**	**3.08%**	**21.45%**	**9.39%**	**2.41%**	**9.19%**	**0.90%**	**100.00%**

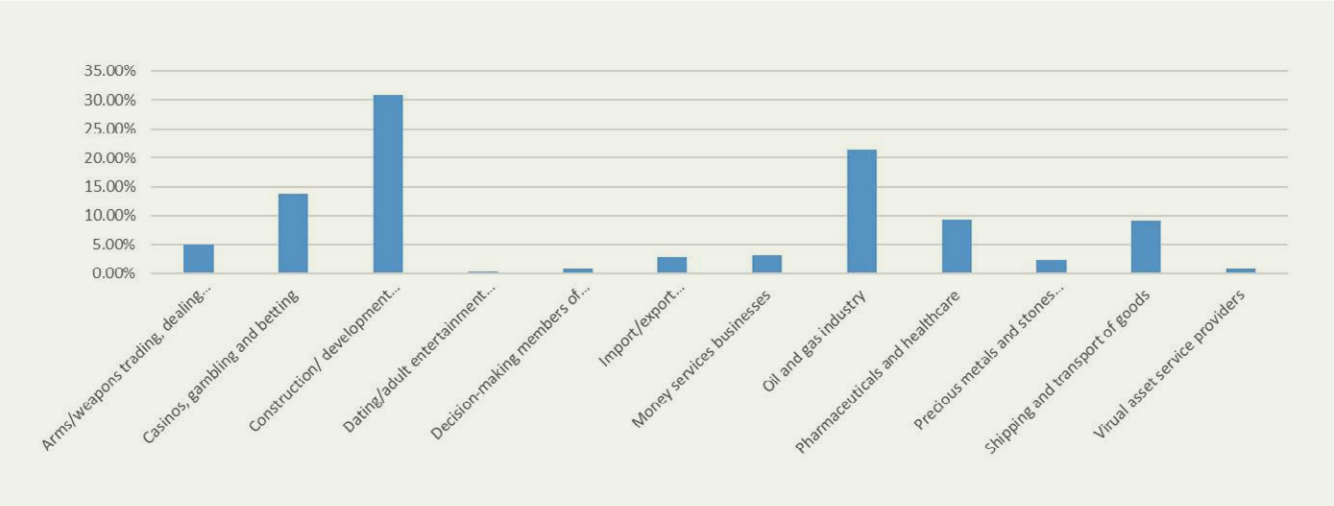
Source: FSA AML/CFT Annual Returns

Figure 7-22: Reporting Sector Exposure to CEPs, As a Percentage of the Overall Island Number



Source: FSA AML/CFT Annual Returns

Figure 7-23: Occupational Industries for CEPs, As a Percentage of the Overall Island Number



Source: FSA AML/CFT Annual Returns

7.2.8 Levels of Awareness of TF and Trade Expertise Among the Private and Public Sectors

As per **Figure 7-7**, the number of TF SARs is low. FIU published a paper on Typologies: "Sanctions and Trade Based Money Laundering" in February 2023[259]. The document helps industry better understand the potential risks they face and how to detect suspicious behaviour. This TF NRA recommends that TF typologies are updated, including emerging threats, followed by further training to industry. It also suggests more agency training.

Therefore, there is an acknowledgement that whilst ML knowledge across the Island is good, further TF training would aid industry and the agencies, which may increase the number of TF SARs raised.

The Monaco Guidelines also look at "the extent to which there is sufficient skill base to investigate terrorism and TF and supervise compliance with TF requirements." Data is collated from the sectors, by the FSA, on number of Full Time Employees (FTE), which allows analysis to identify potential vulnerabilities within a sector on:

- Overall staff (FTE) vacancies
- Compliance staff (FTE) as a percentage of the overall staff (FTE) number
- Number of compliance staff (FTE) vacancies.

Figure 7-24 shows the staff numbers and vacancies as a percentage by each sector. ›

259 www.fiu.im/media/1184/sanctions-and-tbml-typologies-feb-23.pdf

Figure 7-24: Staff Numbers and Vacancies by Sector As a Percentage



Source: FSA AML/CFT Annual Returns

7.2.9 Fintech, Regtech and Other Developing Technologies

The authorities and private sector have a range of understanding of Fintech, Regtech, blockchain and other developing technologies. The FSA has a strategic goal to work with stakeholders to embrace innovation within a dynamic, appropriately regulated IFC. It is a member of the Global Financial Innovation Network (GFIN) which enables the Authority to connect with like-minded regulators and industry bodies across the globe to monitor and collaborate on Fintech developments.

A number of Government bodies support and promote developing technologies, such as DfE, IOM Digital and IOM Finance. Local firms also promote their specialist services.

7.2.10 Large-Scale Terrorist Organisations

Chapter 6.1 considered the threat by terrorist organisations within the IOM and near neighbours. This Chapter gives consideration to large-scale terrorist organisations that are recorded as operating in countries where the IOM has a significant customer base. **Figure 7-18** summarises the country exposure and a review of those where there is a customer base of greater than **5%** (Argentina, Hong Kong SAR and UAE for personal customers) is provided below, noting that the IOM and UK have been considered in the earlier **Chapter 6.1**. The Mutual Evaluation Report for each country has been used for this analysis.

Figure 7-25 provides the overall outflow and inflow figures for these three countries for the period 2020/3. ›

Figure 7-25: Outflows and Inflows as a Percentage of Overall Financial Flows for Argentina, Hong Kong SAR and UAE, 2020/3

	2020/3	
Country	Outflow %	Inflow %
Argentina	0.003%	0.001%
Hong Kong SAR	0.812%	0.886%
UAE	0.779%	0.397%

Source: FSA

ARGENTINA[260]

The 2024 MER states:

> "Argentina assesses its TF risk as overall medium-low, especially considering the presence of transnational organisations in neighbouring jurisdictions (e.g., individuals sympathetic or related to Hezbollah, designated as a terrorist organisation by Argentina) which take advantage of the country's long and porous borders, including the TBA[261], to move in and out of Argentina and could use the jurisdiction to fund their activities."

In the 2024 MER, Immediate Outcome 9, TF Investigations and Prosecutions was rated as Moderate, with a number of recommended actions.

The financial flows to and from Argentina are comparatively small and **99.1%** of Argentinian personal customers are within the Life Insurance sector, where the TF risk is assessed as medium low.

HONG KONG SAR[262]

The 2019 Hong Kong SAR MER states:

> "To date, there is no evidence of TF occurring within HKC and, although no system can be guaranteed to detect all instances of TF, the systems in place to detect potential TF, arising both domestically and from overseas, are sound."

In the 2019 MER, Immediate Outcome 9, TF Investigations and Prosecutions was rated as Substantial, with a number of recommended actions.

In addition, the ML/TF NRA 2022[263] report was reviewed, but no large-scale terrorist organisations were highlighted.

87.4% of Hong Kong SAR personal customers are within the Life Insurance sector, where the TF risk is assessed as medium low.

UNITED ARAB EMIRATES[264]

The 2020 UAE MER provides financing case studies for:

- Islamic State of Iraq and the Levant/Islamic State of Iraq and Syria (ISIL/ISIS)
- Al-Qaeda
- Boko Haram in Nigeria.

In the 2020 MER, Immediate Outcome 9, TF Investigations and Prosecutions was rated as Substantial, with a number of recommended actions.

91.1% of UAE personal customers are within the Life Insurance sector, where the TF risk is assessed as medium low.

If there is any exposure to large-scale terrorist organisations via these countries, then the threat would be comparatively larger for the Life Insurance sector than any other sector. ›

260 https://www.fatf-gafi.org/content/dam/fatf-gafi/mer/Argentina-Mutual-Evaluation-Report-2024.pdf.coredownload.inline.pdf
261 Argentina shares an important physical intersection with Brazil (Foz do Iguazu) and Paraguay (Ciudad del Este), referred to as the Tri-Border Area.
262 https://www.fatf-gafi.org/content/dam/fatf-gafi/mer/MER-Hong-Kong-China-2019.pdf.coredownload.inline.pdf
263 https://www.fstb.gov.hk/fsb/aml/en/doc/Money%20Laudering%20Report_2022_EN.pdf
264 https://www.fatf-gafi.org/content/dam/fatf-gafi/mer/Mutual-Evaluation-Report-United-Arab-Emirates-2020.pdf.coredownload.pdf

7.2.11 State Sponsorship of Terrorism

This Chapter considers the issue of state sponsorship of terrorism and how this could be considered by the Island. The jurisdictions subject to a 'FATF call on its members and other jurisdictions to apply countermeasures' identifies the following countries:

- Democratic People's Republic of Korea (DPRK)
- Iran.

In the Financial Flow data over the 4 years 2020/3, there were:

- DPRK – no transactions
- Iran – 19 reported inflow transactions, averaging approximately £5,000 each. No outflow transactions.

From the annual AML/CFT returns in 2023, there were:

- DPRK – no customers
- Iran – a very small number of personal customers across the Banking sector and Life Insurance sector and a very small number of UBOs across the Banking sector, TCSP sector and Life Insurance sector.

Whilst the exposure to the IOM from these two jurisdictions is extremely small, the risk from state-sponsored terrorism is the risk of more sophisticated financial operations servicing terrorist organisations. In a written submission in 2023 to the UK Parliament[265], Emily Winterbotham, Director of Terrorism and Conflict at RUSI, highlighted a number of potential risks of state-sponsored terrorism, including:

- Targeting specific individuals and organisations
- Cyber-attacks
- Chemical, biological, radiological and nuclear materials related attacks
- Assassinations on UK soil
- Funding anti-democratic movements to undermine the rule of law and social cohesion ■

> "The risk from state-sponsored terrorism is the risk of more sophisticated financial operations servicing terrorist organisations."

265 https://committees.parliament.uk/writtenevidence/121994/html/



CHAPTER 8

Summary & Proposed actions

8.1 Step 5: Overall Results

This NRA used WB methodology. Figure 8-1 shows how the various steps covered in Chapters 6 & 7 interlink and provide the summary results in this Chapter. Whilst the Monaco (MONEYVAL) Small States assessment in Chapter 7.2 has not directly fed into the scores, that analysis has supported the WB work and highlighted deficiencies where recommendations have been made in the actions in Chapter 8.2

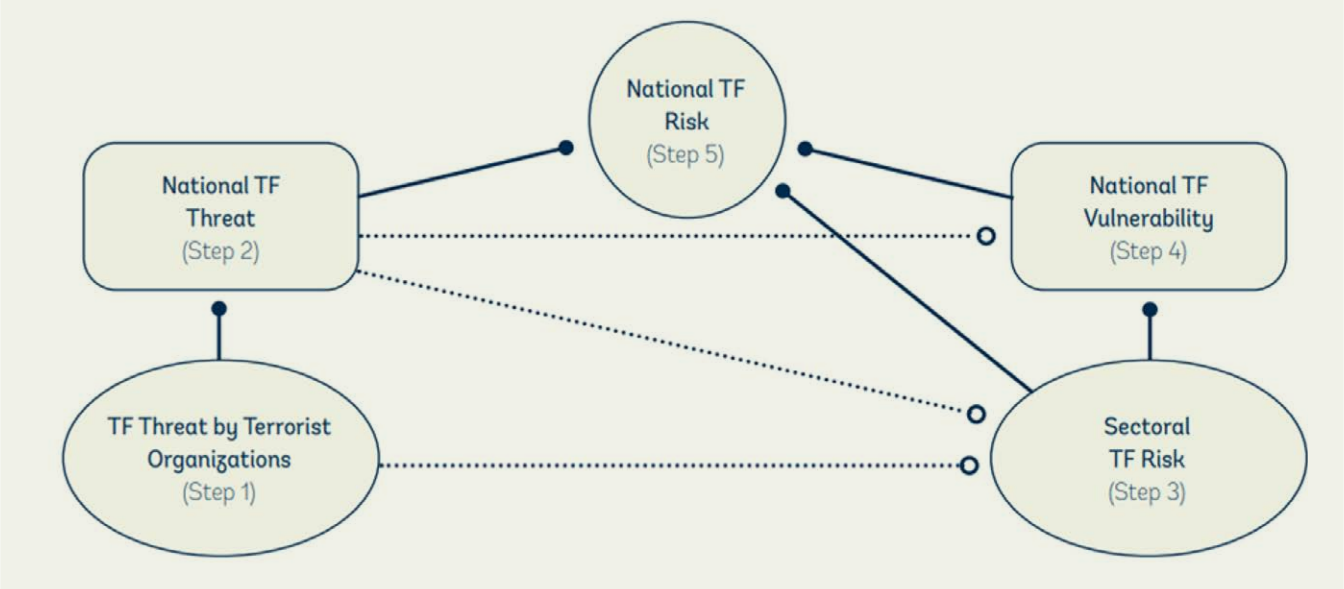
TF THREAT BY TERRORIST ORGANISATION

The IOM has never experienced a domestic terrorist attack. The IOMC has a relevant intelligence gathering strategy. No terror groups or cells are believed to be active or present on the Island. There have been 4 offences between 2020 – 2023 initially recorded when reported as terrorism offences, which were hoax calls to institutions such as schools. These were later assessed to be misuse of telecommunications rather than terrorism offences.

There have been no terrorism offences and no terrorism financing offences within the scope of the time period of this NRA. The IOM population profile is low risk for terrorism. Although there are significant numbers of people resident who were not born on the Island, very few originate from regions/countries with an elevated risk profile for terrorism. There have been no terrorism prosecutions or convictions.

The overall summary of crime recorded terrorism offences for the IOMC within the time parameters of this NRA is there have been no substantive offences of terrorism, with no links to any form of fund raising from any particular example, therefore the overall domestic and cross-border TF threat is deemed very low. However, there is an assumption that the Island is not immune from the challenges faced in other countries and therefore consideration is given to the neighbours of UK and Ireland. ›

Figure 8-1: Overall Structure of the WB TF Risk Assessment Tool



Source: World Bank Group

NATIONAL TF THREAT

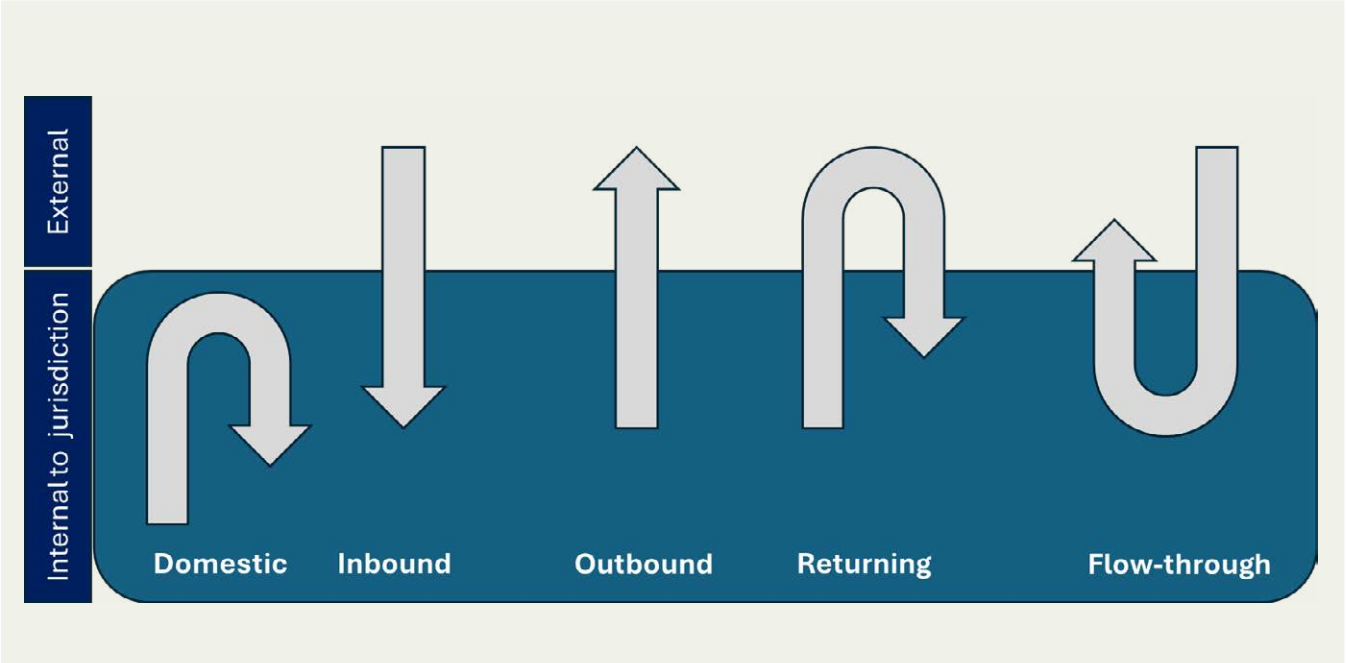
Figure 8-2 shows the paths of domestic and international flows of terrorist property within and between jurisdictions, adapted from The Negative Effects Of Money Laundering On Economic Development by Bartlett (May 2002). As an IFC, it is helpful to think about where the threat resides. For the Island, from the analysis, it can be summarised as:

- Domestic: There is a very low threat of domestic terrorism, therefore the threat of domestic TF is medium low
- Inbound: There is a very low threat of domestic terrorism, therefore the threat of inbound TF is medium low
- Outbound: There is the possibility of outbound TF, although this is more likely to be inadvertent and unintentional. There is also a risk that funds raised in the Island for legitimate purposes may be diverted subsequently to support foreign terrorism. The threat is medium low.
- Returning: There is a very low threat of domestic terrorism, therefore the threat of returning TF is medium low
- Flow-through: The greater risks come from the Island's cross-border business as an IFC being used to support foreign terrorism, by funds flowing through or administered from the IOM (transit). The threat is medium.

The Island has very close links to the UK and **38.2%** of the population were born in the UK, therefore it cannot be assumed that the challenges the UK face will not be faced in the Island in the future. It is also assumed that the Island faces similar potential threats as other jurisdictions, though a smaller population will result in a proportionally smaller risk. This NRA considers that the Island could potentially face similar threats to those highlighted in the UK NRA, such as extremists (political or religious) or lone wolf actors, even though none have materialised to date.

The TF threat to the NPO sector will be considered in the NPO TF NRA which will follow the publication of this NRA. VAs will also be considered in a separate NRA. Further analysis is planned within the LPA NRA, which is scheduled for 2025. This will primarily consider the ML risks, but will also look at TF risks for LPAs. ›

Figure 8-2: Domestic and International Flows



Source: The Negative Effects Of Money Laundering On Economic Development by Bartlett (May 2002)

Using WB methodology and with data and the expert opinions from the Island's key agencies, government and regulators, the national threat was assessed and categorised under four TF threat categories, see Figure 8-3. As would be anticipated for an IFC, the outgoing and transit TF threat came out highest.

SECTORAL TF RISK

In addition to the national threat and national vulnerability, the threat and vulnerability were also considered in detail for four materially significant sectors in particular. The participation and input from the sectoral industry working groups was important. In addition a high-level assessment was undertaken for all the other sectors, apart from those where sectoral TF-related NRAs are planned.

Figure 8-3: Terrorist Financing Threat Assessment Scores

Terrorist Financing Threat category	Summary of Threat	Assessment Result
Internal TF Threat	The domestic threat to the IOM from activity within the IOM	0.10
Outgoing TF Threat	The outbound threat to other jurisdictions from activity in the IOM	0.30
Incoming TF Threat	The inbound threat to the IOM from activity from neighbouring countries	0.13
Transit TF Threat	The flow-through threat of the IOM being used for TF	0.50

Figure 8-4 presents the residual TF risk score each sector is exposed to, which derives from the TF threat to each sector and the residual vulnerability of the sector to TF. The 2020 ratings are taken from the 2020 ML/TF NRA and are the TF Risk ratings as presented in the NRA.

Figure 8-4: Residual Terrorist Financing Risk Score To Which Each Sector is Exposed

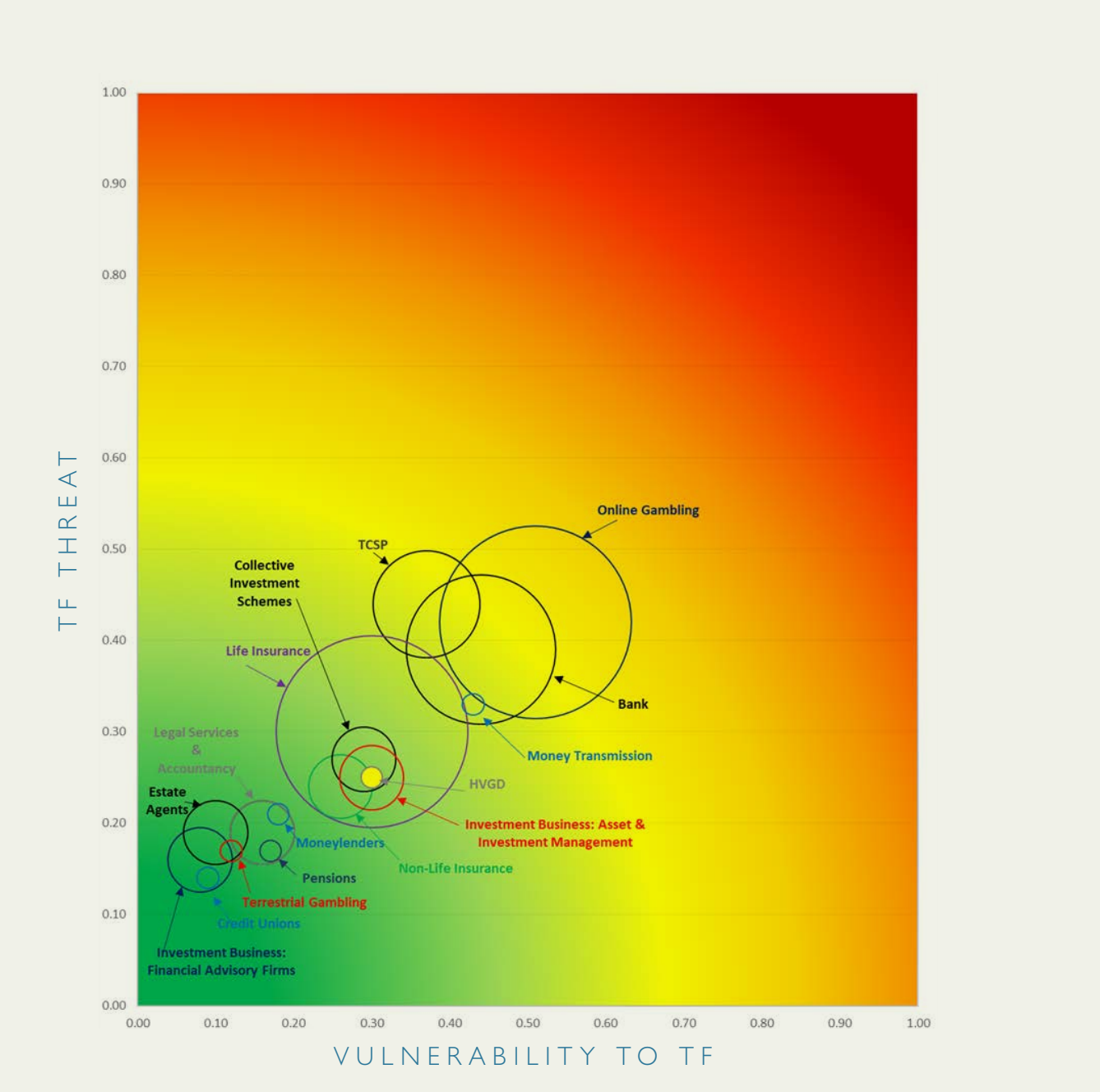
Sector	2020	2025
Materially Significant Sectors - Assessed Using World Bank Methodology		
Banking	Medium	Medium
TCSPs	Medium	Medium
Life Insurance	Medium	Medium Low
Online Gambling	Low	Medium

Other Sectors - Scored With The Expert Judgement Of The Relevant Regulators		
Non-Life Insurance	Medium Low	Medium Low
VA	Medium	Assessed separately
Credit Unions	Medium Low	Low
Collective Investment Schemes (Funds), Fund Managers and Administrators	Medium	Medium Low
Investment Business: Asset and Investment Management	Medium	Medium Low
Investment Business: Financial Advisory Firms	Low	Low
Money Transmission	Medium Low	Medium Low
Pensions	Medium Low	Low
External Accountants, Tax Advisers & Payroll Agents	Medium Low	Low
Legal Services	Low	Low
Estate Agents	Low	Low
Non-Profit Organisations	Low	Assessed separately
Moneylenders, Financial Leasing & Financial Guarantees	Low	Low
High-Value Goods Dealers	Low	Medium Low
Terrestrial Gambling	Low	Low

Of the four sectors reviewed using the full WB sectoral methodology, Banking, TCSP and Online Gambling sectors were all medium.

Using the WB tool, these TF risk scores for each sector are shown graphically in **Figure 8-5** which plots vulnerability to TF against TF threat on the two axes of the graph. The size of the circle represents the size of the sector to the Island. The four sectors that received a more in-depth review (Banking, TCSP, Life Insurance, Online Gambling) are more exposed to TF risk than some of the sectors towards the bottom left of **Figure 8-5**. **Figure 8-6** shows the scores in tabular format. ›

Figure 8-5: Sectoral TF Risk Scores Graphically Presented



Source: World Bank Group

Figure 8-6: Sectoral TF Risk Scores in Table Format

Sector name	Threat	Vulnerability
Banking	0.39	0.44
TCSP	0.44	0.37
Life Insurance	0.30	0.30
Online Gambling	0.42	0.51
Non-Life Insurance	0.24	0.26
Credit Unions	0.14	0.09
Collective Investment Schemes (Funds), Fund Managers and Administrators	0.27	0.29
Investment Business: Asset and Investment Management	0.25	0.30
Investment Business: Financial Advisory Firms	0.16	0.08
Money Transmission	0.33	0.43
Pensions	0.17	0.17
External Accountants, Tax Advisers & Payroll Agents	0.19	0.16
Legal Services	0.19	0.16
Estate Agents	0.19	0.10
Moneylenders, Financial Leasing & Financial Guarantees	0.21	0.18
High-Value Goods Dealers	0.25	0.30
Terrestrial Gambling	0.17	0.12

	Threat	Vulnerability
Low	0	≥0.2
Medium Low	>0.2	≥0.4
Medium	>0.4	≥0.6
Medium High	>0.6	≥0.8
High	>0.8	1.0

NATIONAL TF VULNERABILITY

The national vulnerabilities were also considered, with many of the controls for TF being the same/similar to those for PF and ML. Once again, the analysis relies upon data as well as expert judgement from the agencies, regulators and government. Overall the lowest score was for the effectiveness of immigration controls, which has been acknowledged by Government and a recent announcement of strategy to close these gaps was presented by the Minister. The published strategy negated the need for this NRA to make many recommendations regarding immigration. ›

Figure 8-7: National Terrorist Financing Vulnerability Scores

#	National measures for the prevention and detection of TF and the enforcement of CFT	Rating – Strength of CFT Measures	
1	Quality of CFT Policy and Strategy	0.6	Medium High
2	Effectiveness of TF Crime Definition	1.0	Excellent
3	Effectiveness of Customs Controls on Cash and Similar Instruments	0.6	Medium High
4	Effectiveness of Border Controls on Goods (incl. military and strategic goods)	0.7	High
5	Effectiveness of Immigration Controls	0.4	Medium Low
6	Quality of FIU Intelligence Gathering and Processing for TF	0.6	Medium High
7	Quality of Other TF Intelligence Gathering and Processing	0.6	Medium High
8	Capacity and Resources for TF Investigations	0.7	High
9	Integrity and Independence of TF Investigators	0.9	Close to Excellent
10	Capacity and Resources for TF Prosecutions	0.7	High
11	Integrity and Independence of TF Prosecutors	0.9	Close to Excellent
12	Capacity and Resources for Judicial Processes	0.7	High
13	Integrity and Independence of Judges	1.0	Excellent
14	Effectiveness of Domestic Cooperation	0.7	High
15	Effectiveness of International Cooperation	0.7	High
16	Availability and Effectiveness of TF Asset Forfeiture and Confiscation	0.7	High
17	Comprehensiveness of TFS Legislation, Procedures and Mechanisms	0.8	Very High
18	Effectiveness of TFS Implementation	0.8	Very High
19	Formalisation Level of Economy	0.9	Close to Excellent
20	Availability of Reliable Identification Infrastructure	0.7	High
21	Availability of Independent Information Sources	0.7	High
22	Availability and Access to Beneficial Ownership info	0.7	High
23	Controls on Provision of Strategic Equipment, Goods and Services to Conflict Zones	0.7	High

Score from 0.0 (does not exist) to 1.0 (excellent)

AWARENESS OF TF TYPOLOGIES

Generally, there is a lower understanding across both agencies and industry of TF and the forms it may take compared with ML. TF may be rarely, if ever, encountered whereas ML is more common. The lack of experience in the IOM in encountering TF, a lack of experience which is shared by many jurisdictions, may mean that any warning signs of TF and the threats of and vulnerabilities to TF might not be as readily identified as they would be for ML and suspicions may not be as readily engaged and reported as they would be for ML. The very low number of TF SARs may be because there has been very little TF or potential TF to date and/or it could be partly accounted for by the lack of experience in this area.

The jurisdiction's lack of experience in dealing with TF increases the need to raise the understanding (with the assistance of experience obtained from examples encountered in other jurisdictions) of the risks, threats and vulnerabilities of TF in all agencies and across all sectors. The typologies of TF, particularly those forms of TF at risk of being encountered in an IFC, need to continue to be collected from examples encountered in other jurisdictions and disseminated so that those in a position to report suspicions of TF have a better understanding of the forms in which it may be encountered.

TARGETED FINANCIAL SANCTIONS

TOCFRA ensures that funds or other assets of a designated person sanctioned under a TF-related UN sanctions regime are frozen without delay and without prior notice. Under the UN sanctions regimes, there is an obligation to freeze all funds, financial assets or economic resources of designated persons. No funds or other assets have been frozen in relation to designated persons or entities under the UN TF-related TFS regimes. However, IOM regulated entities have frozen assets linked to other sanctions regimes, including the UK's Russia regime which saw an unprecedented number of individuals and entities being designated following Russia's illegal invasion of Ukraine in February 2022. This demonstrates that regulated entities understand their obligations regarding TFS.

Through examples of cooperation between agencies and actions taken in relation to other sanctions regimes, the Island can show that if there were an identified TF case, the Island would be capable of taking actions consistent with the requirements under UN sanctions regimes.

MONACO (MONEYVAL) SMALL STATES GUIDANCE ON IDENTIFYING, ASSESSING AND UNDERSTANDING THE RISK OF TF

Effective measures to address TF can only be put in place if the risks are understood. This can be a challenge for smaller financial centres, such as the IOM which is an IFC.

There are several challenges:

- Extremely limited number of cases to study and competent authorities who have little experience of TF activity
- Potentially very small sums that are involved in attacks or to maintain small terrorist entities, versus the large sums required to maintain the largest terrorist entity
- The difficulty of trying to assess a risk that exists in another jurisdiction.

To help these jurisdictions, several countries met in Monaco in 2018 and 2024 (including the IOM) to provide guidance on how these smaller jurisdictions could identify, understand and assess these risks. This guidance has been used in this TF NRA in support of the WB methodology.

Consideration of the cross-border exposure for a regulated entity as well as the Island are very important to the assessment of TF. In **Chapter 7.2**, this TF NRA considers a number of the risks identified in the Small States Guidance.

NATIONAL TF RISK

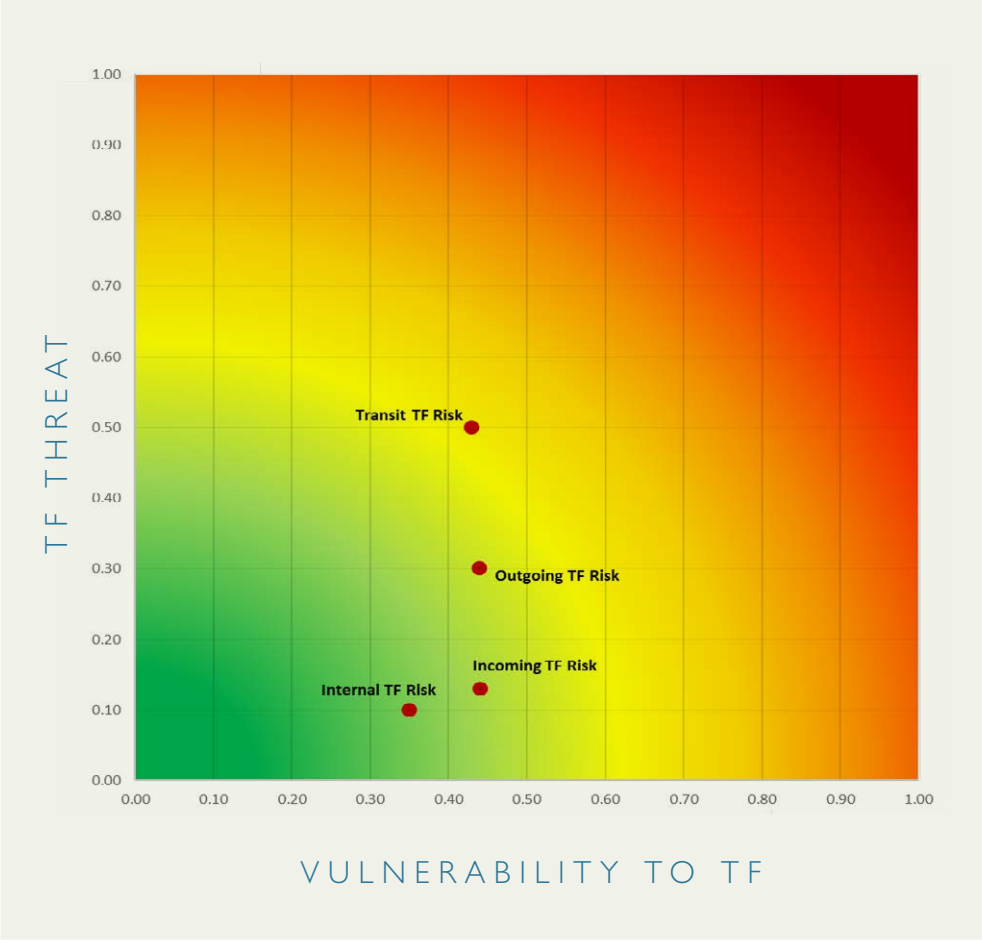
In WB methodology, the TF Threats are combined with the National Vulnerability rating which incorporates the Sectoral Vulnerabilities to provide a TF Risk Level for the four categories defined (**see Figure 8-3**). These risk level scores are summarised in **Figure 8-8** and mapped in **Figure 8-9** which plots vulnerability to TF against TF threat on the two axes of the graph. ›

Figure 8-8: Overall TF Risk Levels

Terrorist Financing Threat Category	Summary of Threat	TF Threat	Vulnerability to TF	TF Risk Level
WB Methodology Steps		1&2	3&4	
Internal TF Risk	The domestic threat to the IOM from activity within the IOM	0.10	0.35	Medium Low
Outgoing TF Risk	The outbound threat to other jurisdictions from activity in the IOM	0.30	0.44	Medium Low
Incoming TF Risk	The inbound threat to the IOM from activity from neighbouring countries	0.13	0.44	Medium Low
Transit TF Risk	The flow-through threat of the IOM being used for TF	0.50	0.43	Medium

Score from 0.0 (low) to 1.0 (high)

Figure 8-9: National TF Risks



Source: World Bank Group

Taking an average of the 4 TF Risk levels in **Figure 8-8**, then the overall assessment score in 2025 of medium low aligns with previous TF assessments in NRAs, however it benefits from this more substantive document and is underpinned by a number of unpublished supporting workbooks. This risk assessment indicates that the risk of internal terrorist fund raising scores the lowest of the 4 categories and an overall medium risk of the IOM being used as a conduit (transit risk) for TF. ›

Figure 8-10: Overall Island TF Risk

Year	TF Rating
2015	Medium Low
2020	Medium Low
2025	Medium Low

The Department of Home Affairs Policing Plan 2024 – 25[266] has deterring, pursuing and preventing serious and organised crime as one of its priorities. Whilst there is currently no evidence of organised crime and terrorist groups collaborating on the Island, as the RUSI paper Missing Connections: Crime-Enabled Terrorism Financing Europe highlights, the potential crime-enabled terrorist financing links with recent European attacks, such as the 2015 assault on the *Charlie Hebdo* magazine in Paris and the suicide bombing in Manchester Arena in 2017.

Various sectors may be seen by a terrorist financier as an enabler to provide legitimacy to transactions, by providing advice, performing transactions on behalf of the customer or as an introducer into the financial system.

The threat from terrorists using cyber-crime to aid their causes was also highlighted. The IOM National Cyber-Security Strategy[267] emphasises the increase in the threats as well as the increase in their sophistication.

Significant progress has been made since the 2020 NRA in both understanding the TF risk and mitigating actions. The embedding of much better data from industry via the Regulators has allowed this NRA to have a deeper repository of data to review. Thanks must go to industry for supplying the FSA and GSC with the data on a quarterly/annual basis. Undoubtedly these data requests will increase and broaden, as the Island seeks to better understand the threats it faces. A number of additional data requests are recommended actions from this NRA.

The proposed action to test the CFT system with hypothetical yet realistic scenarios will be an important exercise, allowing all interested parties to test that their controls work, the law does what is intended, the handovers between agencies are efficient and terrorist financiers can be prosecuted and their funds/assets confiscated. Throughout this assessment, it is acknowledged that CFT skills and CFT capacity must continually be evolving to effectively meet with the threat. Therefore, continued training, typologies and outreach are needed across the public and private sectors.

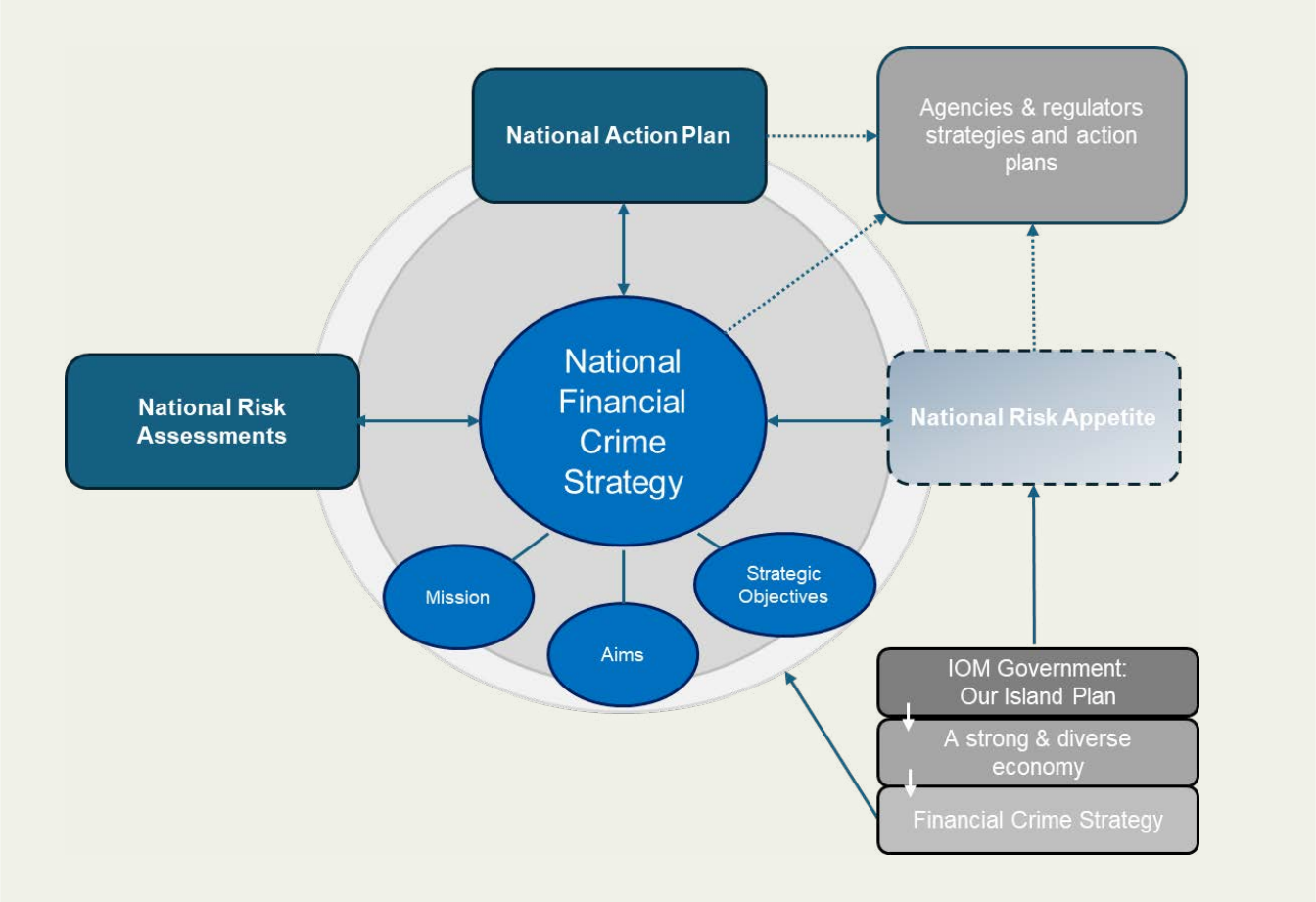
On completion of the recommended actions in this document, it is anticipated that the scores would improve when this TF NRA is next undertaken. ›

“The threat from terrorists using cyber-crime to aid their causes was also highlighted. The IOM National Cyber-Security Strategy emphasises the increase in the threats as well as the increase in their sophistication.”

266 https://www.tynwald.org.im/spfile?file=/business/opqp/sittings/20212026/2024-GD-0077.pdf
267 https://csc.gov.im/media/jsvfzv5u/isle-of-man-national-cyber-security-strategy-_compressed.pdf

8.2 Proposed Actions

Figure 8-11: Relation between Key National Documents



This TF NRA identifies a number of areas where work could enhance the controls and help further mitigate the threats identified. Figure 8-11 shows the relationship between key national documents and how they link to the overall Our Island Plan, with the substantive actions from the NRAs being added to the National Action Plan, which will then be published. The areas for potential improvement have been aligned with the four strategic aims from the National Financial Crime Strategy 2024 – 2026, summarised in this Chapter, which support the overall mission of 'an all-Island approach to tackling financial crime'.

Whilst these actions have arisen during the analysis of TF in the Island, consideration could also be given to ML and PF at the same time.

Actions that are already in course, such as the GSC's legislative changes, the Island's enhanced border controls and ICART's project on data to identify countries that are slow at responding, are not included in the list of proposed actions. ›

PUBLIC SECTOR AND INDUSTRY WORK TOGETHER TO ACHIEVE A COMMON GOAL OF MEETING INTERNATIONAL STANDARDS

1. Test CFT systems with hypothetical yet realistic scenarios

As is the case in a number of similar jurisdictions, the exposure to terrorism and TF is extremely low and therefore it is not unusual that there are few investigations/prosecutions and convictions. Given the recent (internal only) publication of the Prosecution Policy Guidance on Terrorist Financing Prosecutions within the AGC, it is recommended that the IOM undertake an Island-wide scenario test of how the agencies and regulators would approach a real TF case. This would allow all interested parties to test that their controls work, the framework does what is intended, the handovers between agencies are efficient and terrorist financiers can be prosecuted and appropriately sanctioned and deprived of their funds/assets. The FATF Terrorist Financing Risk Assessment Guidance published in July 2019 provides suggested approaches and hypothetical scenarios. Other smaller jurisdictions have run these scenarios and their experiences and learnings will support the exercise.

To support this exercise it is recommended that more of the processes that cross several agencies are mapped to better understand the handovers and how the end-to-end process might be improved and if there are any gaps.

It is recommended that agencies conduct a 'table top' exercise to identify and address gaps in domestic information sharing pathways.

2. Typologies presented to industry and agencies

The jurisdiction's lack of experience in dealing with TF increases the need to raise the understanding (with the assistance of experience obtained from examples encountered in other jurisdictions) of the risks, threats and vulnerabilities of TF in all agencies and across all sectors. The typologies of TF, particularly those forms of TF at risk of being encountered in an IFC, need to continue to be collected from examples encountered in other jurisdictions and disseminated so that those in a position to report suspicions of TF have a better understanding of the forms in which it may be encountered.

It is therefore recommended that typologies are presented (potentially accompanied by training) covering a number of topics including, but not limited to:

- Global emerging threats
- Analyse in more depth the appropriateness of SAR reporting on TF suspicion – provide guidance via typologies of what to look for and how to report it to the FIU.

3. Training

It is recommended that further training is considered for the Customs Officers to better understand what to look for to identify military or strategic goods.

Training and outreach should be offered to agencies and industry in respect of recent trends and methods of TF. This could be in co-operation with the UK (via CONTEST), Memoranda of Understanding, monitoring typologies in other IFCs and working with other jurisdictions via international forums.

4. Targeted Financial Sanctions Familiarity and Testing

It is recommended that given changes over time, it would be helpful to provide a visual picture of where responsibilities reside. Sanctions sit across a number of agencies, including: C&I, who are responsible for awareness/policy and legislation, licences and civil actions; the FIU, who receive reports of suspected breaches and frozen assets; PIMLIT; who currently have responsibility for criminal investigation of breaches; and the FSA/GSC who are responsible for supervision of the preventative measures.

The FSA and GSC's TFS supervisory approach should be strengthened and potentially have a TF lead. This person would be the contact point for TF matters and focus their learning as such on this topic. The supervisors should include applying higher scrutiny to TFS supervision, especially on-site examination checks and increasing the capability of the obliged entities to identify close associations and indirect links to sanctioned persons to better prevent sanctions evasion risks. ›

ACTIONS ARE INFORMED AND DRIVEN BY BEST PRACTICE AND STANDARDS, BOTH DOMESTIC AND INTERNATIONALLY

1. Embed IOMFCP and Expand Its Remit

Ensure the IOMFCP is embedded and operating well with the Banking sector across AML/CFT/CPF. Then make any refinements before extending to other key sectors. The IOMFCP and partners will explore the option of creating a TF Fusion Group.

2. Improvements in data

It is recommended that consideration is given to Class 8 Money Transmission Services providing relevant financial flow data (incoming and outgoing) to the FSA on a quarterly basis.

There is no data held centrally on use of ATMs overseas. It is recommended that this data is collected (if available) from relevant businesses in the regulated sector.

EMIs are potentially importing risk to the IOM, probably from the UK. Therefore it is recommended that the banks are approached to see what financial flow data is available to analyse the risk to the Island.

One of the main TF risks that the Island faces as an IFC is use as a transit jurisdiction for the movement of funds intended to finance terrorism. Therefore, an important current activity is the analysis of incoming and outgoing financial flows to/from high-risk countries, which increases the awareness of the relevant authorities. It is recommended that this process is documented for how this data is used by the FSA and the FIU and how regularly and how often presented with comments to appropriate governance.

As part of the strategic financial flow analysis, the FIU and FSA will consider the flows from the Island to IFCs in a similar way to the analysis with financial flows to higher-risk jurisdictions.

THE ISLAND IS AN ACTIVE PARTICIPANT IN THE GLOBAL FIGHT AGAINST FINANCIAL CRIME

1. Update the Island's National Financial Crime Strategy

Following the publication of this TF NRA, the National Financial Crime Strategy should be refined and updated when next published. The National Action Plan should be updated straight away with the key recommended actions from this Chapter.

2. Update of NRAs

It is recommended that the NRAs will be reviewed every two years, to identify if there are any significantly material changes that need to be reflected in the NRA. The NRA will also be reviewed on a trigger event basis if there is a substantive local or domestic event that impacts the TF risk to the Island or if the Island Plan/National Financial Crime Strategy require an NRA to be reviewed. Via the FCSB, recommendations will be made as to which sectors to be reviewed or existing risk assessments that require to be refreshed (at least on a 5-year cycle).

An NRA will be written for VAs, which will also consider the TF risk. Should the VA TF risk materially differ from this jurisdictional TF assessment, then it will be considered as a trigger event and this NRA will also be reviewed in the light of the additional information.

3. Write Procedures

The Law is in place should the Island decide to designate a person independently of the UK designating them for UNSCR 1373. However, procedures to implement the law are not in place and it is recommended that they are written.

Both the Police and FIU have TF policies that require updating. Updates should be aligned, particularly in terms of where the actions of both agencies intersect.

4. Horizontal Executive Summary Across a Number of NRAs

The publication of the NPO/VA/LPA NRAs may necessitate an overlay on this TF NRA, with necessary adjustments if required. It is recommended that to demonstrate how these have been considered in concert, a horizontal Executive Summary is produced once all these NRAs have been published. ›

ALL STAKEHOLDERS HAVE THE RESOURCES THEY NEED TO EFFECTIVELY IDENTIFY AND RESPOND TO ML/TF/PF THREATS

1. Information sharing

It is recommended that information and intelligence from all sea and air routes coming into and from the IOM be gathered in a central hub/system. This central hub will allow the sharing of information with relevant enforcement agencies to enhance the understanding of the vulnerabilities; help maximise intelligence opportunities; develop evidence-based understanding of the CTA threats; enhance collaborative working; disrupt and deter terrorist and criminal exploitation of the CTA. This will result in an improvement to the quantity and quality of the information and intelligence collected which in turn will allow for more efficient and informed investigations to be carried out by the Island's enforcement agencies.

It is recommended that Visa application information is shared by Immigration with the other competent authorities when appropriate.

2. GSC Enhancing Controls

The GSC have identified a number of controls that will be enhanced, including:

- Specific AML/CFT Guidance for B2B businesses
- The GSC to apply civil penalties to individuals
- Amendments to strengthen the controls will be added to the legislation, which will give the GSC additional powers regarding the businesses associated with the regulated gambling entity.

8.3 Updating this NRA

The FATF Terrorist Financing Risk Assessment Guidance (2019) emphasises 'the importance of establishing regular mechanisms to monitor TF risks on an ongoing basis.' The National Financial Crime Strategy confirms that the Island will conduct 'a National Risk Assessment underpinned by sectoral and focussed risk assessments and addressing the risks identified on a bi-annual[268] basis'.

The TF NRA will be reviewed every 2 years, to identify if there are any material changes that need to be reflected in the NRA. The NRA will also be reviewed on a trigger event basis if there is a substantive local or domestic event that impacts the TF risk to the Island or if the Island Plan/National Financial Crime Strategy require an NRA to be reviewed. ›

268 Every two years

8.4 How Industry Should Use National Risk Assessments

One of the key inputs to the Island's NRAs is the risk data provided to the FSA via STRIX AML. Where published NRAs and sector reports include aggregated industry data, each firm should consider how their own data compares with the published data. This will assist them to better understand their risk profile compared to the national metrics, threats and vulnerabilities.

Businesses in the regulated sector are obliged by the Code to undertake and update the BRA, which 'assists relevant persons[269] to understand where, when, how and to what extent they are exposed to ML/TF risk and which areas of their business they should prioritise in combatting ML/TF.' The Code states that a BRA must have regard to any relevant findings of the most recent NRA relating to the Island. Therefore, Industry must be able to show how they have considered and mitigated the relevant risks identified in this NRA. Given a number of NRAs are being published over the course of a few months, it is acceptable to consider each NRA as it is published, but update the overall BRA at its next formal review date. Consideration should also be given to the CRA and TRA and if these require updating.

In January 2024 the FSA published[270] a thematic review of BRAs for the TCSP sector. The review considers paragraph 5(3)(b) of the Code and provides areas for consideration in a BRA.

Chapter 6.3 of the AML/CFT Handbook directs a relevant person to provide or arrange education and training. Senior management should consider whether the NRA identifies matters which need to be brought to the attention of their colleagues and implement changes accordingly ■

269 Persons carrying on business in the regulated sector are referred to as "relevant persons"
270 https://www.iomfsa.im/media/3232/tcsp-thematic-report-phase-2.pdf



CHAPTER 9

Appendices

9.1 Agencies/Bodies Engaged

AGENCIES

AML/CFT/CPF Policy Office
Attorney General's Chambers: Prosecution and ICART
Central Registry
Customs & Immigration Division, Treasury
Financial Intelligence Unit
Financial Services Authority
Gambling Supervision Commission
General Registry, IOM Courts of Justice
Income Tax Division, Treasury
Isle of Man Constabulary: PIMLIT and SIU
Isle of Man Financial Crime Partnership
Isle of Man Treasury, Government

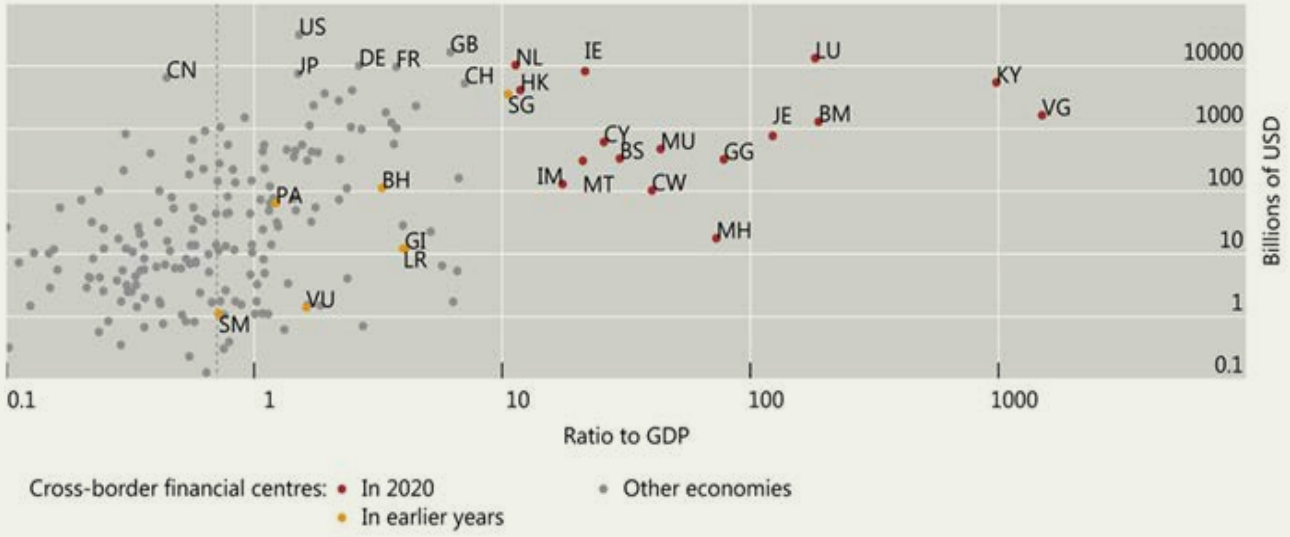
INDUSTRY BODIES

Association of Corporate Service Providers
EGSAB (E-Gaming Strategic Advisory Board) which includes service providers
GSC AML Forum which incorporates industry representatives
IOM Bankers Association
IOM Insurance Association
IOM Law Society

9.2 BIS: Cross-Border Financial Intermediation at End-2020

Distinguishing among financial centres

Cross- border financial intermediation at end 2020[1]



BH=Bahrain; BM=Bermuda; BS=Bahamas; CH=Switzerland; CN=China; CW=Curaçao; CY=Cyprus; DE=Germany; FR=France; GB=United Kingdom; GG=Guernsey; GI=Gibraltar; HK=Hong Kong SAR; IE=Ireland; IM=Isle of Man; JE=Jersey; JP=Japan; KY=Cayman Islands; LR=Liberia; LU=Luxembourg; MH=Marshall Islands; MT=Malta; MU=Mauritius; NL=Netherlands; PA=Panama; SG=Singapore; SM=San Marino; US=United States; VG=British Virgin Islands; VU=Vanuatu. The vertical dotted line indicates the median ratio for all economies. [1] Measured as the minimum of an economy's external assets and liabilities. Log_{10} scale, with axis labels in natural units.

Sources: Lane and Milesi-Ferretti (2018), updated; BIS LBS; authors' calculations.

© Bank for International Settlements

Source: Bank for International Settlements

9.3 Countries That Pose or May Pose a Higher-Risk

As at June 2024

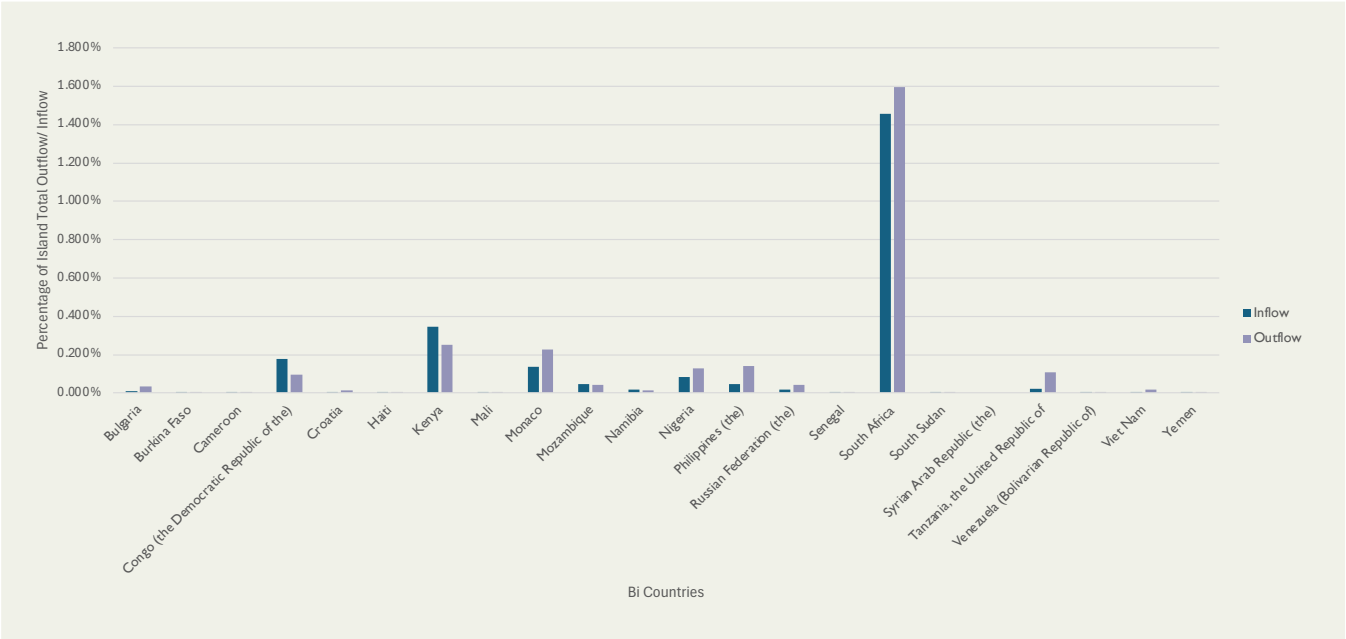
List A
Islamic Republic of Iran
Democratic People's Republic of Korea
Myanmar

List Bi	
Bulgaria	Nigeria
Burkina Faso	Philippines
Cameroon	Russian Federation
Democratic Republic of the Congo	Senegal
Croatia	South Africa
Haiti	South Sudan
Kenya	Syrian Arab Republic
Mali	United Republic of Tanzania
Monaco	Bolivarian Republic of Venezuela
Mozambique	Vietnam
Namibia	Yemen

List Bii		
Afghanistan	Eritrea	Niger
Angola	Eswatini	Pakistan
Belarus	Ethiopia	Sierra Leone
Plurinational State of Bolivia	Guinea	Solomon Islands
Burundi	Guinea-Bissau	Somalia
Central African Republic	Iraq	Sudan
Chad	Kyrgyzstan	Tajikistan
Comoros	Lebanon	Togo
Congo	Liberia	Türkiye
Cuba	Libya	Turkmenistan
Djibouti	Liberia	Ukraine
Egypt	Mauritania	Zimbabwe
Equatorial Guinea	Republic of Moldova	

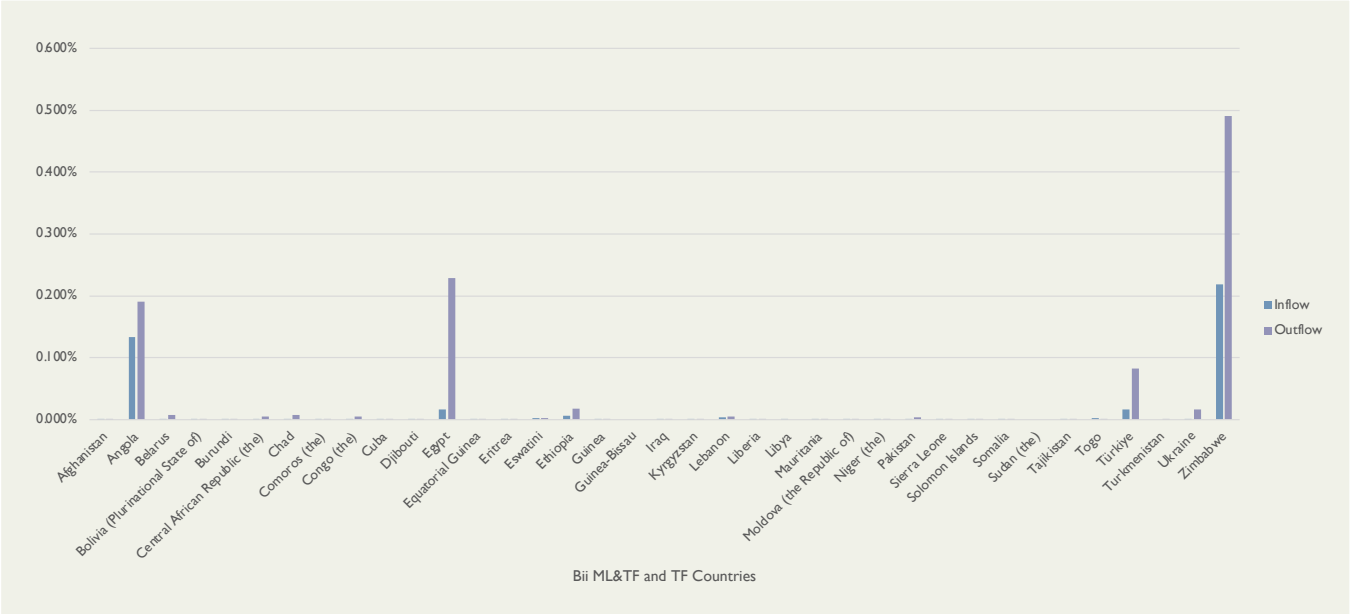
Some countries appear in more than one list. For the analysis, countries were only considered to be in one list. For example, all list A countries are also in List Bii. A number of countries appear in List Bi and also Bii.

Figure 9-1: Financial Outflows and Inflows 2020/3 for List Bi Countries



Source: FSA

Figure 9-2: Financial Outflows and Inflows 2020/3 for List Bii ML&TF and TF Countries



Source: FSA

9.3 Glossary and Abbreviations

Key Agency/Term/Acronym	Meaning
AG	Attorney General
AGC	Attorney General's Chambers
AML	Anti-Money Laundering
AML/CFT Handbook	Anti-Money Laundering and Countering the Financing of Terrorism Handbook December 2023
AMON	Anti-Money Laundering Operational Network
ANPR	Automatic Number Plate Recognition
ATCA	Anti-Terrorism and Crime Act 2003 (ATCA)
ATM	Automated Teller Machine
B2B	Business-to-Business
B2C	Business-to-Customer
BRA	Business Risk Assessment
BVI	British Virgin Islands
CARIN	Camden Asset Recovery Inter-Agency Network
CD	Crown Dependencies – Isle of Man, Jersey and Guernsey
CDD	Customer Due Diligence
CEIC	Closed-Ended Investment Companies
CEP	Commercially Exposed Person
CFT	Combatting/Countering the Financing of Terrorism
C&I	Customs & Immigration Division
CPF	Counter Proliferation Financing
CPI	Consumer Prices Index
CIS	Collective Investment Schemes
Code	Anti-Money Laundering and Countering the Financing of Terrorism Code 2019
CRA	The Gambling (Anti-Money Laundering and Countering The Financing of Terrorism) Code 2019

Key Agency/Term/Acronym	Meaning
CT	Countering Terrorism
CTA	Common Travel Area
CTPNW	Counter Terrorism Policing North West
DfE	Department for Enterprise
DNFBPs	Designated Non-Financial Businesses and Professions
DPRK	Democratic People's Republic of Korea
ECU	Police Economic Crime Unit
EDD	Enhanced Due Diligence
EEA	European Economic Area
EFIPPP	Europol Financial Intelligence Public Private Partnership
Egmont Group	Egmont Group of Financial Intelligence Units
EMI	Electronic Money Institution/Issuers
EoN	Exchange of Notes
EU	European Union
Europol	European Union Agency for Law Enforcement Cooperation
FATF	Financial Action Task Force
FCA	UK Financial Conduct Authority
FCSB	Financial Crime Strategic Board
FCU	Financial Crime Unit
FFIEC	Federal Financial Institutions Examination Council (United States)
FIs	Financial Institutions
FIN-NET	Financial Crime Information Network, is an organisation that operates under the umbrella of the FCA and allows the sharing of information between law enforcement and regulators on specific individuals and entities.
FinTech	Financial Technology
FINTRAC	Financial Transactions and Reports Analysis Centre of Canada
FIU	Financial Intelligence Unit
FIU Act	Financial Intelligence Unit Act 2016
FSA/Authority	Isle of Man Financial Services Authority
FSA08	Financial Services Act 2008

Key Agency/Term/Acronym	Meaning
FTE	Full Time Employees
FTF	Foreign Terrorist Fighter
GDP	Global Financial Innovation Network
GIFCS	Group of International Financial Centre Supervisors
GIICS	Group of International Insurance Centre Supervisors
GLOBE Network	United Nations Global Operational Network of Anticorruption Law Enforcement Authorities
GSC	Gambling Supervision Commission
Guidance	AML/CFT Guidance for Gambling Operators
Hong Kong SAR	Hong Kong Special Administrative Region
HNWI	High-Net Worth Individual
HVGD	High-Value Goods Dealer
IACCC	International Anti-Corruption Coordination Centre
IAIS	International Association of Insurance Supervisors
ICART	International Co-operation and Asset Recovery Team
ID	Identification Document
IFA	Independent Financial Advisers
IFC	International Finance Centre
IMF	International Monetary Fund
Interpol	International Criminal Police Organisation
IOM	Isle of Man
IOMC	Isle of Man Constabulary
IOMFCP	Isle of Man Financial Crime Partnership
IOPS	International Organisation of Pension Supervisors
IOSCO	International Organisation of Securities Commissions
IP	Internet Protocol
ITD	Income Tax Division
JCPC	Judicial Committee of the Privy Council
JMLIT	Joint Money Laundering Intelligence Taskforce (UK)
KC	King's Counsel
LEAs	Law Enforcement Agencies

Key Agency/Term/Acronym	Meaning
LPAs	Legal Persons and Arrangements
Manx	Relating to the Isle of Man
MHK	Member of the House of Keys
ML	Money Laundering
MLA	Mutual Legal Assistance
MLRO	Money Laundering Reporting Office
MONEYVAL	Council of Europe's Committee of Experts on the Evaluation of Anti-Money laundering Measures and the Financing of Terrorism
MOU	Memorandum Of Understanding
MVTS	Money or Value Transfer Services
National Financial Crime Strategy	Isle of Man Financial Crime Strategy 2024 – 2026
NPO	Non-Profit Organisation
NRA	National Risk Assessment
NTFIU	UK National Terrorist Financing Investigation Unit
NWP	Network Partner
OCG	Organised Crime Group
OGRA	Online Gambling Regulation Act 2001
OSINT	Open-Source Intelligence
PEP	Politically Exposed Person
PF	Proliferation Financing
PIMLIT	Proactive International Money Laundering Investigation Team
PIN	Passports, Immigration and Nationality
POCA	Proceeds of Crime Act 2008
PPP	Public Private Partnership
PSP	Payment Service Provider
Regulated sector	Has the meaning given in Schedule 4 to the Proceeds of Crime Act 2008
RPI	Retail Prices Index
RUSI	The Royal United Services Institute for Defence and Security Studies
SAMLA	UK Sanctions and Anti-Money Laundering Act 2018
SAR	Suspicious Activity Report

Key Agency/Term/Acronym	Meaning
Saudi Arabia	Kingdom of Saudi Arabia
SIU	Sensitive Intelligence Unit
TCSP	Trust and Corporate Service Provider
TF	Terrorist Financing
TFS	Targeted Financial Sanctions
The 1986 Act	Customs and Excise Management Act 1986
Themis	The FIU's online reporting mechanism, which is the single point of contact for regulated entities in relation to: Reporting under the Proceeds of Crime or Terrorism Legislation; Reporting under Section 24 of the FIU Act; Reporting Sanction Breaches. Themis is also the tool the FIU use for communicating advisory notices and other pieces of information.
TM	Transaction Monitoring
TOCFRA	Terrorism and Other Crime (Financial Restrictions) Act 2014
TRA	Technology Risk Assessment
Tynwald	IOM Parliament
UAE	United Arab Emirates
UBO	Ultimate Beneficial Owner
UK	United Kingdom
UN	United Nations
UNODC	United Nations Office on Drugs and Crime
UNSCR	United Nations Security Council Resolutions
USA	United States of America
VA	Virtual Asset
VASP	Virtual Asset Service Provider
VPN	Virtual Private Network
WB	World Bank
WMD	Weapon of Mass Destruction